

Kaynes Tech (KAYNES)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Feb 2023

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechology.co.in email ID: kaynes.acc@gmail.com

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 February 07, 2023

The Secretary

BSE Ltd.

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Stock Code 3 543664 The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code 3 KAYNES

Dear Sir/Madam,

Sub: Intimation of transcript of earnings call for the Financial Results of 3rd Quarter and Nine Months ended December 31, 2022 .

Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by DAM Capital Advisors Limited for the Financial Results of the 3rd quarter and nine months ended December 31, 2022. The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript <https://www.kaynestechology.co.in/investors.html>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited.

Jairam P Sampath

Whole Time Director

DIN: 08064368

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<Kaynes Technology India Limited

Q3 FY '23 Earnings Conference Call =

February 01, 2023

MANAGEMENT : M RS. SAVITHA RAMESH – CHAIRPERSON OF THE
BOARD – KAYNES TECHNOLOGY INDIA LIMITED
M R. RAMESH KANNAN – MANAGING DIRECTOR –
KAYNES TECHNOLOGY INDIA LIMITED
M R. JAIRAM SAMPATH – WHOLE TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – KAYNES TECHNOLOGY
INDIA LIMITED
M R. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : M S. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

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PO, Mysore 570016 India Telephone No: +91 8214280270
Moderator: Ladies and gentlemen, good day, and welcome to the Kaynes Technology Q3 FY '23 Conference
Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the
listen-only mode, and there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please signal an operator by
pressing star and then zero on your touchtone phone. Please note that this conference is being
recorded. I now hand the conference over to Ms. Bhoomika Nair. Thank you, and over to you,
ma'am.
Bhoomika Nair: Thank you, Myron. Good morning, everyone, and welcome to Kaynes Technology Q3 Earnings
Call. I here welcome the management, Ms. Savitha Ramesh, Chairperson of the Board; Mr.
Ramesh Kannan, Managing Director; Mr. Jairam Sampath, Whole Time Director and CFO; and
Mr. Rajesh Sharma, CEO. I now hand over the call to Mr. Ramesh Kannan, Managing Director,
for the initial comments. Over to you, sir.
Ramesh Kannan: Thank you, Bhoomika. Good morning, friends. I would like, first of all, to thank you all for
joining the first earnings call of Kaynes Technology. Along with me, my Chairperson; Savitha
Ramesh is there, our CFO, Jairam Sampath is there; and our CEO, Rajesh is there. Before I start
with the business update, I would like to take this opportunity to formally introduce the company
to all the participants.
I founded this company in 1988 after completing my B-Tech out of NIE Mysore. At the nascent
stage of our company, we have been fortunate to be qualified as a vendor to two large Indian
engineering giants, which laid down one of the key foundational philosophies of the company
in establishing strong quality and process standards and providing services with complex PCB
assemblies. We have come a long way since. Now we are a leading integrated ESDM player in
India with capabilities across the value chain from concept to post-manufacturers and end of life
support.
We undertake high mix, high-value products with variable and flexible volumes. Our company
has been operating profitably for the last 3 decades and with a well-diversified portfolio of
around 300-plus customers in 24 countries across multiple industry verticals.
Coming to our performance for the period ended 31st December 22, our total revenue for the
quarter stood at INR 2,917 million, registering a growth of 57.16% year-on-year. On a year-to-
date basis, our total revenue stood at INR 7,655 million, registering a growth of 62.22%.
The growth that we witnessed was largely led by strong demand across automotive, railway and
industrial verticals. Our core PCBA businesses witnessed strong growth during the period. As
on 31st December 22, our order book stood at over 25,579 million as against INR 22,662 million
as on 30th June 22. The order book contains firm orders to cover our balance of the year plan
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for FY '23. There is an increased focus on import substitution by our domestic customers, and that is likely to continue.

We registered a quarterly EBITDA of INR 411.58 million. On a year-to-date basis, our EBITDA is INR 1089.66 million. Our quarterly PAT stands at INR 228.69 million.

On a year-to-date

basis, our PAT was INR 539.16 million.

Kaynes is focusing on delivering value to its clients is continuing to pay off as we now take on orders where we provide higher value-added services. This will help increase our average order value and ultimately lead to margin expansion too. Management is focused on areas like working capital and other areas. I'm sure and certain, we will bring it down in the days to come in.

I now hand over the call to Jairam to take you through the financials. Thank you once again for joining our first earnings call.

Jairam Sampath: Thank you, Ramesh ji. Thank you, everyone, for joining the call. I will take you through the financial performance of the company for the period ended 31st December 2022. For the quarter ended 31st December 2022, our consolidated total revenue stood at INR 2,917 million. This corresponds to a 6.52% growth quarter-on-quarter and a 57% growth year-on-year. On a year-to-date basis, the consolidated total revenue stood at INR 7,655 million. This corresponds to a 62.2% growth year-on-year.

Our consolidated EBITDA for the quarter stood at INR 411 million, up 87.24% on a year-on-year basis. On a quarter-on-quarter basis, down about 4.82%. Our EBITDA margin stood at 14.24% as against 15.8% for Q2 and 11.98% for Q3 of FY '22. The sequential drop in margins were largely on account of increased other expenses. This was mainly due to increase in several expense items, including selling, consulting, etcetera. On a YTD basis, our consolidated EBITDA stood at INR 1,089 million, up 103% year-on-year. EBITDA margins on YTD basis stood at 14.7% against 11.47% earlier on.

Our consolidated PAT for the quarter stood at INR 228 million, up 8.8% quarter-on-quarter and up 112.87% year-on-year. Our PAT margin stood at 7.9% as against 7.69% for quarter 2 and 5.86% for quarter 3 of last year. Lower finance costs and lower effective tax rate aided our PAT margins sequentially. On a YTD basis, our PAT was at INR 723 million*, up 141%. PAT margin stood at 7.08% as against 4.67% earlier.

Our year-to-date ROE and ROC is at 15.41% and 13.6%, respectively, on a nonannualized basis adjusted for unutilized IPO proceeds. Cash and cash equivalents stood at INR 4,873 million as against INR 174 million in June. The increase is largely on account of the IPO proceeds. From the IPO proceeds, we have earmarked INR 989 million as capex to expand our existing facility in Mysore and Manesar. Further, INR 1,493 million has been earmarked for investment in

* The PBT number was erroneously called out as the PAT number. Reported PAT on a YTD basis is INR 539.16 mn, up 147%

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Kaynes Electronics Manufacturing Private Limited for setting up a new facility at Chamarajanagar, Karnataka. During the period, we had our groundbreaking ceremony at Chamarajanagar facility and have commenced construction.

Our year-to-date net working capital on an annualized basis at 135 days. This was driven primarily by an increase in inventories from 101 days in FY '22 to about 115 days on YTD annualized basis. And payable days reduced from 86 days in FY '22 to 72 days on YTD annualized basis. This is necessitated due to the stocking up of components in the face of electronic component shortages to ensure order fulfillment. Receivable days marginally increased from 83 days in FY '22 to 91 days on a year-to-date basis.

Our total debt stood at INR 2,594 million, with a debt equity ratio of 0.28 as against the ratio of 0.84 as of FY '22.

We believe that the story of Indian manufa

cturing sector is still in a nascent stage. Given our recent fundraise, we remain well positioned to take advantage of opportunities that are created as a result of government policies as well as resetting of global supply chains. With this, I would request all participants to come in with their questions. I now open the floor for questions.

Moderator: We have the first question from the line of Renu Baid from IIFL Securities.

Renu Baid: My first question would be to understand, while we have seen a pretty strong overall growth in revenues and you've shared the YTD mix vertical-wise, can you also share some inputs in terms of which end markets and verticals have been driving and contributing to this incremental growth? And what would be the outlook in terms of the key high growing segments and markets for us for the next 18 to 24 months?

Jairam Sampath: So essentially, as we described, the order book has also grown. We are happy to tell you that the order inflow has now gone up to about INR 150 crores a month. As of June, we had the order book of INR 2200 crores. Now it's about INR 2,500 crores, and we have done about INR 450-odd crores of business in the meanwhile. So approximately about INR 150 crores of order input is there. The strong segment still remain as before. It's automotive, industrial and railways. And of course, in Q4, we will see more segments other than automotive in terms of order fulfillment as well as order book expansion. So, as I speak to you, almost a large number of our plans for the coming year order book is already in place. So we are quite bullish about all the sectors and the composition is similar to what we had earlier in FY '22...

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Renu Baid: Sure. So this INR 2,500 crores order book that we have at the end of December, what would be the vertical-wise mix of this order book? And on an average, what would be the execution time frame for these orders in hand?

Jairam Sampath: Yes. So, the order book contain orders for FY '24 and some orders for FY '25. So roughly out of this, about INR 1,800 INR - 1,900 crores order is for FY '24. And we have some orders yet to be executed this year. That will be about INR 440-odd crores for this year. And then the remaining orders are for FY 25.

So as we go through the coming quarters, there will be more orders that will be coming in. So in terms of its composition, largely the same three verticals which earlier were there, almost similar, barring percent difference here and there. It's automotive, it's industrial and its railways. And we do expect that the other segments such as aerospace and medical also will pick up some time maybe during this quarter or early quarter next year in terms of order book.

Renu Baid: Sure. Second question is while you've mentioned a high growth, are there any new customer additions that we have seen in the last 3, 6 months who have come on board and are contributing to these incremental orders. So any insight on new customer additions? And in which segment are we seeing most of the new customer additions coming?

Jairam Sampath: Yes. So of course, I can't take specific names because of the confidentiality. But there is a very large customer. We would classify them as industrial, who is of a large amount of business transferring from China to India. So, we are in advanced stages of this discussion. And this is going to be in effect in the FY '25 only because there'll be a huge technology transfer and this is a large quantum of business. And this is a high-mix business, high tech business. Similarly,

from Europe, we have in the medical area, a very large customer for whom we are in the final stages of finalizing the prices, etcetera. We have obtained the approval for quality systems and all that. So this is, again, something expected to shore up revenues in our medical sector so that our medical sector also can kind of grow -- and of course, there are some clients, as we have discussed earlier on in various areas, such as IT, and that is for domestic business. And there also, we expect some large amount of business.

So these are the 3 developments that have happened over the last 3 or 4 months. We are seeing some good demand but especially people moving businesses from China. Earlier it was China Plus One, now it is Minus China Plus One. So I think that is something which is going to help all industry players in this sector.

Renu Baid: The next question is if I look at -- on the P&L side, gross margins, while it has increased on a Y-o-Y basis. Sequentially, there is some softness. So any particular change in the segment mix, which has led to this or pricing pressures, etcetera?

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Jairam Sampath: No. I think that these are routine changes that happen because as you know, we are a very high mix company. We have with each client also some 50 to 100 different types of products. And all the different product groups have exactly the same margin mix. So sometimes, the margins will go up and down, but it's not significant. Based on the orders on hand, for the Q4, the mix will be more favorable. You will see a different higher percentage, etcetera. This is purely driven by the kind of products that our customers require, both of the total basket of products that we do.

Renu Baid: So more of a sales mix effect rather than any pressure on margins for to them.

Jairam Sampath: Yes, you're right.

Renu Baid: Lastly, what would you like -- if you can just help us with the broad guidance for fiscal '23. And at this point in time, given that we have order book in hand, any broad indications of fiscal '24 in terms of revenue and margin guidance?

Ramesh Kannan : This is Ramesh Kannan here. We are going to do as per plan. INR 1,200 Crore is what we have projected for '23 and a PAT of around 8.6 plus. So there, we are on line. And as far as 824 is concerned -- for guidance, INR 1,700 crores is what we will be doing on the top line. And I'm sure and certain my team is working on and very positive about improving margins grow.

Jairam Sampath: And also, this is based on the order book that we have already on hand.

Moderator: We have the next question from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, two questions. In terms of PCBA business, we have seen two trends. One, those who cater to the consumer companies, they tend to have a very low margin of 3% to 4%. But whereas those who are catering to industrial and automotive segment, they are having significantly higher margin, 12% to 14%. So is this margin sustainable? Maybe there is upturn in industrial and automotive sector -- so there might be relatively higher margins right now. But do you see these margins remaining sustainable? And first of all, why there is such a difference because the PCBA remains -- being a PCBA, why there would be such a difference in margins? That is question number one.

And question number two is there is a steep increase in working capital to almost 135 days. That is 4.5 months working capital cycle is a bit too high to sustainably generate return at above cost of capital or even to generate free

cash also. So what is the plan to bring it down considerably

lower? And I mean basically, why the working out will be so high. Is there any one-off inventory stocking done by the company or any other reason? Yes, that is it from my side.

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Jairam Sampath: Thank you. I think very important questions. And these are questions which keep us awake also 24/7. So firstly, about the margin sustainability. So see, we can talk about what we have on hand, which is the order book of INR 2,500 crores, and we have checked because those orders are for specific products. And we know the cost profile as on today. So based on as on today, the margin profile that we continue to enjoy will be continued to be enjoyed as far as this order book is concerned, okay?

The other important thing that we must understand between consumer companies and companies aiming -- working on consumer side and companies who are working on largely industrial side, is that our order book is very long. For instance, we already have orders coming in for FY '25. So this helps us to give the lead time that's required to procure components. So our component purchases are always at a lower cost than those companies who don't have a long cycle of forecasting and order placement. So, in this case, they do probably short-term purchase and I'm hazzarding a guess here. And when you do short-term purchase, the cost of electronics components are much, much higher and that depresses the margins a little bit.

The second issue also is that in our kind of business, the components is a very high mix business. It's not very easy to shift these businesses, and it's very difficult to develop these businesses. So

these are some of the factors, high tech, high mix, a large number of variety, which pushes up the margin profile a little higher in our kind of businesses. That is -- which is in critical sectors and multiple different types of sectors, high-quality, high tech, those kinds of sectors.

Now coming to the question on -- specifically on the inventory numbers. And of course, better sustainable working capital is there is available or not. -- fundamentally, this year, we are just coming on the back of huge shortages on components. I'm sure you all have heard about that from other sectors and other companies.

And we -- since we have commitment, firm commitments, with the customers. So we did not want to fail on that front. So we have actually, in some sense, onetime overstocking we have done as and when the components were available, we have acquired. So for the coming quarter, that is Jan, Feb and March, we've got most of the items with us and just hardly some a few -- maybe INR 100 crores worth of purchases required. So when we exit this quarter, after executing all the orders that we have INR 450 odd crores, plus orders are there, we probably will be in a much better situation than what we are in the month of December. And this is not necessarily a bad thing right now. So this is as far as the December number is concerned. But on the other hand, like Rameshji mentioned, one of the major things that we have undertaken is to reduce the amount of inventory that we hold. So this is aided by two things. One is, of course, operations is generating a good amount of cash. But the only thing is it is going into inventory. So now we are going to -- we have taken steps already to make sure that we get local stocking of components so that we can get a less amount of inventory in sight. And so that is one major step we are

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taking. And second thing is also we are improving the purchase of balanced component so that we don't have component waiting for some other components arrival. So these are two specific steps we have taken in inventory. And we think that this will take us to a much-improved working capital level -- and on an overall basis, maybe whatever working capital, net working capital 98-odd days in FY '22 are there. When we exit FY '23, probably we'll do better.

Moderator: We have the next question from the line of Sameer Shah from Value Quest.

Sameer Shah: If you can just highlight one on the capacity utilization. And two more on the funnel, so INR 2,500 crores is the orders that you have, but from a 2- to 3-year point of view in terms of the opportunity and the funnel, if you can give some colour sir.

Jairam Sampath: Yes. So thank you, Sameerji. Welcome to this call. See, fundamentally, we have started work on expanding capacity because we realized that the order book is now at a fast clip. We have -- in the last 6 months, the orders have received at about INR 150 crores a month. which is up from roughly earlier, the order received rate was about INR 100 crores a month. So there is a steep increase there. So we already have done the ground-breaking ceremony at Chamarajanagar.

And we have taken a tactical decision to make sure that we make some small capacity available in the first quarter itself. Whereas in the prospectus, we had given that second quarter onwards, we will probably start having some little work done from Chamarajanagar, we can now expect from April itself in terms of some output from Chamarajanagar. This is helpful in 2 ways. One is this is to our subsidiary, which is in 115BAB category. So obviously, this will aid further profits for the next year in terms of optimization of tax, etcetera.

And second thing is it will give us a much-needed capacity. And in Manesar and Mysore, we have already augmented the line. We have added two lines, one in each area and some more are going to come in, in the month of February and March. So, in terms of capacities, I think we have adequately done in terms of expansion of capacity. So hopefully, we'll be able to meet all the demand that is there. In terms of coverage, now we have started getting orders for the coming year that is FY '25. So FY '24, almost INR 1,800 crores of order is there on hand. And FY '25, we'll have some more hundreds of crores there.

In addition to this, there are more discussions we had, I have talked about a company who is actually a European company, but having based in China, they are moving this in the industrial sector. It's a large quantum of business. And the second one was the medical company who is again a European company. And they are also in the last phases of the discussion. The third was the domestic business in the IT sector. So we are having good demand from other sectors also, like industrial, IT and medical which typically will help us to improve the profitability profile.

Sameer Shah: All right. And sir, any -- if you can give any details on the PLI that we have applied...

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Ramesh Kannan: Regarding the PLI, we have got two PLIs. One is on telecom and one is on air conditioning and

white goods. So both of the places our design is in the final stages. During this financial year, we will not have any claim on PLI. But in the coming year, that is year '24, we are going to have a good benefit. But investments to a large extent will get completed this year itself, benefit is going to come in the next year.

Sameer Shah: And so next year, we'll have both tax as well as PLI, which will add to the PAT margins

Ramesh Kannan: Yes...

Jairam Sampath: Next year, yes, between EBITDA and PAT, we'll have some serious benefits year.

Moderator: We have the next question from the line of Akhilesh Bhandari from ICICI Prudential AMC.

Akhilesh Bhandari: My question is on working capital. So given that we have seen relatively higher growth in industrial and railway verticals, is that likely to keep our overall receivable level in terms of number of days higher because these segments typically have a longer cash conversion cycle?

Jairam Sampath: See, fundamentally, right now, the increase that you see in the December inventory numbers is primarily gearing up for JFM, but having said that, in March also, we need to have inventories for April, May, June. So I would like to answer your question the other way, saying that we may not see sharp decline in inventories, but we'll definitely be able to maintain it at the FY '22 levels. And we have taken some steps, as I mentioned earlier, to get our distributors stock in India so that the inventories can be moderated. Because once I know that it is in my distributors stock, I don't have to keep it in my stock. And then I can draw it as and when we require. So that is one step that is giving us.

Second thing is we are making sure that the supplier payments, etcetera, are exactly on time and wherever required, we are also paying advances to make sure that we get good allocation. See the inventory burden becomes high because out of 100 components, for example, we may have 95 and five are not coming. So using this method of making sure that we pay on time and we sometimes the advances we make sure that without increasing the price, we get the components priority for us. And then we reduce the imbalance and then we can do the production.

Ramesh Kannan: Added to this, we have put a focus team studying this at all stages and how do we bring down the working capital days. We have put in a 15-month program in place. So I'm sure quarter-on-quarter, we will see a continuous improvement on this sector, and it is directly monitored at my level.

Akhilesh Bhandari: Sir, I understood about the inventory, but we have also seen an increase in the receivable level?

Receivable days have gone up to 98 days. So given that industrial and railway verticals typically

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have a higher receivable cycle. So does that mean that we are not expecting in FY '24 as well to see a meaningful reduction in receivable specifically the receivable level, not the inventory level?

Yes. I don't know if you heard my question, sir, I understood your point on inventory. What I wanted to understand was specifically on the receivable level, because we have seen the receivable days inch up to 98 days versus a lower level at the end of FY '22. And given that we are seeing a higher growth in railway and industrial verticals, which have a slightly more elongated receivable cycle as compared to other verticals, are we expecting in FY '24 as well that our receivable days will remain on the higher side?

Jairam Sampath: So thank you, Akhilesh ji. This question is also -- see, there is a margin

al increase in the month

of December number, YTD December numbers. There is a marginal push up on receivables.

Receivables will -- every time we grow, the receivables will keep going up. So that is given. But

on the other hand, we are discussing with all our large clients to make sure that we are able to get the money a little earlier than the rated number of days of credit. This is done through something called supply chain financing, which all our large customers have. So as we move, bulk of the receivables come from larger clients. So we will ensure that the receivables tend towards the theoretical number. So when we exit this year, I think on an annualized basis, we'll be still better off than last year, in terms of number of days.

And if you actually see the last quarter numbers, it is less than 90 days, specifically on receivables. But having said that, receivables get aided also by better delivery. So that is another thing that we are doing now. And as we have seen, if we execute orders faster then our customers can then do their business better. And that in turn gets the cash in faster and then there is a natural payment cycle improvement.

So these are the two factors that we are seeing. One is making sure that we are a part of supply chain finance on their side, so that it is not on our books once we deliver the material. And the second thing is to make sure that the quality of delivery to them improves, and we deliver on time so that they can do their projects faster and then they can get collection faster and then give it to us.

So sectorially, it's not going to impact too much. As we add the business in each sector, we are adding business of large clients. And so they also are very much interested into us. We also keep telling us that they also make sure that we are able to support them, because we become a larger part of their purchases.

Akhilesh Bhandari: Sir, any specific time line for when the supply chain finance that really put into play? Or is it already into already into how will the scale-up happen?

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Jairam Sampath: Yes. See for about three clients, this is already in place and all the new clients that we are adding.

We have multiple options. Some people have a relationship with foreign banks, some people have relationship with some of these online vendors who will essentially factor the -- provide factoring services. And so this is an ongoing process. And as we exit March, I think we'll be better off than what we were last March.

Akhilesh Bhandari: And sir, what is the capex plan for next FY '24?

Jairam Sampath: Sir, FY '24 will be spent completely in operationalizing whatever we gave in the prospectus, essentially INR 250 crores of capex was projected. Some of it will get done now. And FY '24, the bulk of it, especially the INR 160 crores of money will be invested through a subsidiary in Chamarajanagar. So that will remain at this point in time. But of course, going forward, during this two, three months end, if there are some large customers coming in that we might take a look at it and alter the plan and increase the capex.

Moderator: We have the next question from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: Congratulations for a good set of numbers, sir. Just a few questions from my side. Since you mentioned you are looking at INR 1,700 crores of revenue estimates next year. Do we expect any substantial change in your revenue across verticals with the mix of automotive, industrial, railways and consumer going to significantly change given wh

at is the order book mix right

now? That's the first question. And is there -- what will there be an impact on margins. What kind of EBITDA margin can we expect for FY '24?

Jairam Sampath: So I can't really give you guidance on that. But I can tell you one thing, the profile of business has not changed over the last three months. So, the order book largely remains the same, top three verticals being automotive, industrial and railways. And we are not seeing any dips because we work on a PPV basis that is purchase price variance being borne by the customer. So from that perspective, we don't see any reduction in the margins, etcetera.

And last quarter, typically, the largest of the quarter among the four in any year in our business, this is based on last four years' trend. So we expect the EBITDA margins to be higher because we'll get better operational leverage than the previous quarters. And like Ramesh ji has said, we are on track as far as that is concerned. We don't see any trouble with that.

Harshit Kapadia: Fair enough. Yes. Go ahead.

Jairam Sampath: What was your second question?

Ramesh Kannan: Will we be able to sustain the margins?

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Jairam Sampath: Yes. Margin sustain is possible because we are now seeing a lot of growth in the non-automotive sector. So there will be a balanced growth. Automotive sector will drive volumes and efficiencies, etcetera. And then non-automotive sectors will drive margins. So we don't see at least in the medium term, we don't see any major change in the margins.

Harshit Kapadia: And do you see -- just wanted to also understand from your customer side, how long does it take to onboard a customer when you're looking at additions there? And secondly, are you looking at adding product enhancement for your possible customer, so that you can extract more revenue from an existing customers? That would be helpful.

Savitha Ramesh: This is Savitha here. See, basically, it depends on the vertical and the products that we manufacture for the customer. So the gestation for a customer will be somewhere around six months to 24 months, depending on the product and the complexity of the product. And however, on your second question, there is an organic growth coming from every customer because every product quantities also will be increasing year-on-year.

And all the customers will be also coming out with new products year-on-year for which we will be taking it as a new NPI project and going ahead with it. So basically, there is a growth coming from every customer per se, year-on-year and also adding up new customers. And the new customers come for us to onboard the new customers, the gestation will be somewhere around 6 months to 24 months, depending on the complexity of the project.

Moderator: We have the next question from the line of Renjith Sivaram from Mahindra Mutual Fund.

Renjith Sivaram: Sir, first of all, congrats on good sets of numbers. Sir, if I look at FY '23 and '24 in terms of your -- what's the kind of growth that you are looking at, given that you're almost in Jan for FY '23?

And what will be the kind of order intake momentum that you're witnessing?

Jairam Sampath: Yes. See, this year almost is done in terms of whatever numbers we have talked about earlier.

All of those orders are in the bag and then this quarter is a quarter of execution. So depending on some availability of components, etcetera, I think we will do, I think, Mr. Ramesh ji, also talked about it, about 1,200-odd if you reach. As far as next year is concerned, based on the order

delivery by the customer, close to about INR 1,800 crores have been asked for delivery next year. However, closer to March, we will probably firm up the delivery commitments to the customers.

So, we see at least on this basis, at least a good say 45% to 50% kind of growth for FY '24. And since last time we published our order book to this time, 6 months have elapsed, and we have bought in orders at the rate of INR 150 crores a month. So that shows an increase compared to previous year when it was about INR 100 crores a month. So yes, so there is a reasonable amount of, let's say, improvement in the order rate on a monthly basis at this point in time.

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Renjith Sivaram: Okay. And sir, this INR 1,200 crores means that you have to do close to INR 500 crores in Q4, right?

Jairam Sampath: Yes, sir.

Renjith Sivaram: Okay. So, we are in line in terms of our plan?

Jairam Sampath: Yes, we are in line. Ours is a continuous business. So, the order delivery is a continuous process. So obviously, the last quarter is normally the biggest quarter, anywhere between 35% to 40% of total year business happened in the last quarter. So, a lot of work to do, of course.

Renjith Sivaram: Okay. And FY '24, I missed the capex number. FY 23 50 crores is the capex and FY '24 is...

Jairam Sampath: FY '24, mainly what we have declared, the opex about INR 260-odd crores, which is for Manesar, Mysore and Chamarajanagar, Chamarajanagar is INR 150 crores.

Renjith Sivaram: Okay.

Jairam Sampath: Okay. Right

Renjith Sivaram: Sure, sir.

Jairam Sampath: Thank you.

Moderator: We have the next question from the line of Dhruv Bhatia from Bank of India Investor Manager.

Dhruv Bhatia: Good Morning sir. Thank you for the opportunity. My first question is actually just a follow-up on the capex. So, with the current capacity that you have and the capacity addition that you're doing in FY '24 and your revenue growth guidance of about IN R 1,700 crores to INR 1,800 crores in FY '24. What can be the piece revenue from the gross-block that you'll have by FY '24 end? Because I'm assuming you have obviously capacity for INR 1,700 crores, INR 1,800 crores and INR 250 crores should give you 4x asset turns, so about IN R 1,000 crores of revenue. So maybe if you could just give us an idea of ballpark of what type of revenue, peak revenue, you can do with the capacities that you'll have by FY '24 end?

Jairam Sampath: Yes. So, if we were to implement all of these things then barring the minor annual capex, we may have cited a little bit for debottlenecking and some main tenance, et cetera. we should probably be able to cross anywhere between INR 2750 crores to INR 3,000 crores of revenue based on the capex that we have on hand.

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Having said that, it also depends on the kind of orders that we take in . For instance, in the next set of orders come in for, say, technology transfer from China. And if that requires some specific equipment, some of it may be invested by the customer, some of it, we may have to invest.

So, the capex is subject to those kinds of conditions. But otherwise, it's the same profile of business keeps on going, then we -- anywhere between INR 2750 cr

ores to INR 3,000 crores

worth of business we can do with whatever capex we are going to implement between now and end of FY '24.

Dhruv Bhatia: Understood. Sir, the second question was you mentioned that you are currently clocking about INR 150 crores of order inflow month. If I just go by, again, your guidance of INR 1,700 crores to INR 1,800 crores and your order book at this moment, just to maintain an order book of about INR 2,500 crores by FY '24 and it will require you to have order inflows of about approximately INR 300 crores per month. So are you confident of ramping up your order inflows from INR 150 crores a month to about INR 300 crores...

Jairam Sampath: How is it INR 300 crores?

Dhruv Bhatia: Currently, you're about end the year with INR 1,200 crores of sales. For next year, you're guiding for about...

Jairam Sampath: INR 1800 crores...

Dhruv Bhatia: INR 1,800 crores. So, you require -- so by next year, so if you end this year also with INR 2,500 crores of order book. So, you have about INR 800-odd crores of order book left to execute for FY '25. -- still another INR 1700 -1800 crores, plus you require...

Jairam Sampath: In 12 months' time.

Dhruv Bhatia: Yes. Yes.

Jairam Sampath: So roughly, the guidance that we are giving is based on current order rates. If it goes up, then, of course, the numbers should go, but we wouldn't go as far as say that right now. So based on these 150 kinds of number, we are well poised to do about, whatever , INR 1,800 crores or so for which orders have come in already. -- for next 12 months also, same rate it comes, it is for order for the next year also.

So, the only thing that we must be mindful is that sir, if there is any other new decline coming in, which is not in the order book, then we may have alter our strategy and address those needs.

That's why I said the capex is subject to that.

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Dhruv Bhatia: Okay. And sir, just last 2 questions. One is on -- with China reopening, are you seeing any

inquiries coming down for you in terms of order inflows or something on that side? Because as China has opened up, you might see again customers go back to China for further incremental orders that -- or the visibility that they may have.

Jairam Sampath: Yes. So, see, our sense is that, very recent this feeling is just about 15, 20 days ago when we had some discussions. So, some serious decisions have been taken by certain clients to de-risk their business and moved entirely out of China. Earlier, they were moving into filters like Philippines and Vietnam and Malaysia et cetera.

Now for various reasons, some of the customers out of them are trying to come to India, too, because India is seen as a long-term bet for their manufacturing because anywhere near by China area, they go, they are not rid of the Chinese influence where China controls that entire freight corridor. So, from that perspective, some of these sellers who completely depend on China for production, they have decided to move lock, stock and barrel. There are 2 reasons why we are moving. One is, of course, this particular thing about the fear. And the second thing is we also find that now other places like India, et cetera, has also developed that they can -- and a lot of software and other technology support is possible in a place like India, which is not so in China. And they are very much scared about loss of intellectual property. As we go forward, this scare becomes more and more. So, on that front, they feel more assured to move business to India, those companies who have

some specific things to protect.

Dhruv Bhatia: And sir, last thing on your RM side, what percentage of your RM is imported? And from where is the imported roughly?

Jairam Sampath: 60-odd percent is imported. And a lot of imports technically on paper, it comes from Singapore and about 10% comes from China, remaining come from Singapore, Japan, US, Europe, etcetera.

Dhruv Bhatia: And just on this, I mean, so basically, with -- as you mentioned, that inventory was on the higher side because of availability or uncertainty of raw material availability with China again opening up? Is that uncertainty gone away? And are you going to be seeing lower number of inventory days going forward?

Jairam Sampath: Yes. See, inventory days will definitely be -- the steps that we are taking of asking for local stocking will improve. And it will improve by large numbers. And also, the inventory is a function of three things. One is, of course, how much we need to keep as a safety stock. Second is how fast we can turn around the product, which contains one more element of can I get all the components in time.

And the third thing is the nature of the business, whether it's a batch business or whether it's a continuous flow business. So given all these inventory days will definitely come down, even

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though we are in railway and aerospace and all of these kinds of things. We are making sure that we tried to improve the efficiencies there, too, and we will get that done. So inventory days will reduce.

Dhruv Bhatia: Sorry, if I may just squeeze in one last question is that is there any new vertical that the company is looking to enter into?

Ramesh Kannan: Yes, we are working with the energy sector in a big way. And I'm sure we'll be able to enter into this business because this is going to be the future. The green energy is catching up, and this is going to be the future. And it contains a lot of electronics because the power generator has to be converted and inverted.

Dhruv Bhatia: So when are you expecting some -- I mean some order inflows that you might see in the sector.

Ramesh Kannan: By mid of '24, that is somewhere in second quarter of '24, I'm expecting something to break through. And I'm very, very confident that my team is capable of doing it because they are already working in depth.

Moderator: We have the next question from the line of Chirag Lodaya from Valuequest.

Chirag Lodaya: Just two bookkeeping questions. First, on debt, what kind of gross debt we are looking at end of FY '23?

Jairam Sampath: Debt, see, right now, we will probably bring it down to the theoretical number that we had earlier calculated. In between, there was increase in inventory. So, we did not want to pay off all these things. So maybe it will be somewhere sub INR 200 crores debt by FY '23.

Chirag Lodaya: And in terms of tax rate, what do expect for FY '23 and '24?

Jairam Sampath: So FY '23 may be about 23.7%. And FY '24, we will probably go further down. There will be a blended rate between 17% and 25%, so somewhere midway, maybe you can take it at about

19%, 20-odd percent.

Moderator: We have the next question from the line of Amber Singhania from Nipp on Mutual Fund.

Amber Singhania: So sir, just one question from my side is, you just mentioned about entering into the energy sector. If you can just elaborate this a bit more exactly what we are planning to enter? What kind of opportunity it has -- I understand you're talking about green energy. So within that, what could be the scope of products which we are looking

into and how it could be the opportunity? And who are the competition in there?

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Ramesh Kannan: I've been guided by factors that not to disclose all the names, but whatever possible, I'll definitely do it. This will be in areas like hydrogen fuel coming in a big way. US companies are working on these technologies. And this technology has already proven, packaging is going on. So India will be one area where this will be manufactured. This is not for automobile purpose. This is for replacing generators and things like that. So this is where we will be working and large capacities will be built up in the year to '25 and '26. So '24 will be the proto and the PIPA Protection. And from there, it will take it to '25 and '26. So that is how it will be there.

Jairam Sampath: And just to add to Ramesh ji, in Chamarajanagar, we already have acquired 12 acres of land. We have looked for another five acres because some of these products requires space. So we are gearing up and let's hope for the best.

Amber Singhania: And just one more thing. I just wanted to know. I missed the number, you mentioned the target for working capital for FY '23 and '24, number of days you mentioned that?

Jairam Sampath: FY '23 end we expect the working capital to be not much improved from last year's number, which was about 98 days. We'll try and keep it there because of the inflow of order book. By FY '24, we might get it tad down, maybe five, 10 days lower. So this is what we feel at this point in time. Maybe some improvements you can see when we come closer to the year-end.

Moderator: We have the next question from the line of Piyush Kandelwal from Bank of India Mutual Fund.

Piyush Kandelwal: Sir, just one question on this payable days. If I look at our payable days are coming down constantly from FY20 to -- I mean, if I look at you on a nine months FY '23 from 122 days to 72 days. I mean, is there any specific reason?

Jairam Sampath: Yes. See, like I said in the beginning of the call and Ramesh ji also briefly touched upon it. See, our fundamental issue this year has been availability of components. And then we also came into this with a little stretched payable days, and it was hurting the supply chain a little bit. And in order to make sure that all the promises to customers we can meet, we are making sure that we take steps even including paying advance, etcetera, so that we keep the component cost reasonable and then we don't create any stress on the supplier, so we get priority for allocation. As you know, many from other companies also realize, many components are on priority basis. So because of that reason, the payable days have been kept moderate. What we are doing first is that we don't want to immediately as the credit. There's no need that at this point in time with cash on the balance sheet. What we want them to do is reduce the cost of components. So we are working on a cost reduction program.

Second thing is we want them to give local supply of component. We're keeping it here, make it comfortable in terms of payments so that we -- it's a win-win for the supplier also, it's a win

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because we get cash flows fast as they are distributor.

And for us, it's a win because we get lower cost components and lower inventory.

Piyush Kandelwal: So on a sustainable basis, we should assume that payable days would be in the range of 70 to 80

days going forward?

Jairam Sampath: Yes, I think so, I mean, we will try and get whatever without -- there is no free lunch in this whole thing. So if you extend the credit days, they normally push up the prices. So we need a fine balance. So since I think next several years, we will be generating net cash. So we use that as a weapon to sustain our margins. We'll be around that number only.

Piyush Kandelwal: And sir, another question when you say, you mentioned that you are looking for local sourcing as well. So when you say local sourcing, you're buying from the manufacturers in India or you're buying from the distributors who are importing from some other geographies?

Savitha Ramesh: Yes. This is Savitha here. Actually, when we said that we will be looking at local sourcing, we meant that we will have the distributors set up local warehouses in India. So that -- it will be the same distributors so that they will set up the warehouses close to India so to our facilities so that we can get the components faster. And the lead time of the components also will be reduced.

Piyush Kandelwal: Is there any target in mind of that 50%, which was -- I mean right now importing to reduce that?

Jairam Sampath: Yes, there is some target. It depends on how fast they can get the warehouse done. During COVID time, they had stopped the programs, earlier still we were working. So maybe in FY '24, we'll have at least out of two, one of them giving us local supplies. So that will be something like some 15% of the total purchases imports. So 15%-20% max will probably next year will be locally supplied. When you say, locally supplied, he will actually import it from wherever they are importing and keep it in India. So we don't have to keep that inventory. And going FY '25, I think significant amounts of imports will be done locally.

Piyush Kandelwal: And sir, just one last question. What would be our average age of Top 10 customers? And I mean, when it's a, let's say, B2B customers on industrial customer or railway customer, what would be the average life cycle of that customers? For example, let's say, customer onboards, today or FY '24 for how long it will be with the company, let's say, four years, five years?

Jairam Sampath: So typically, the tenure of customers will be in several decades actually. And especially top customers, if you see in Top 10, somebody like L&T has been there since inception, but I'm not at liberty to take names, but most of these customers are for life, between our B2B or industrial kind of segment, industrial, aerospace, defense, automotive etcetera. So tenure of these customers is several decades.

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Savitha Ramesh: To add to what Jairam said, see, once we are qualified with the customer, any new products that they are bringing in also will come back to us only because they don't have to go through the qualification process all over again.

Piyush Kandelwal: What would be the average age of Top 10 customers then?

Jairam Sampath: Average age of our Top 10 customers will be about 10 years. Currently, who are there, will be more than 10 years. That is in the past, of course, in the future, Some more.

Moderator: We have the next question from the line of Shrinidhi from HSBC.

Shrinidhi: Sir, I just wanted to understand the drivers of the growth that the company has delivered, like it's a very impres

sive 60% growth, but would it be possible to share some color on how much is it really driven by an industry growth? How much is really driven by new customer addition? How much is that product expansion or could be wallet share? A rough number that would help us understand what is really driving growth?

Jairam Sampath: Yes. So typically, in our business, what we have seen in the past is that the existing clients account for almost 80% of the business, whether it's grown or stable. And 10% to 20% is all either new products of existing customers or new customers themselves. So that is one type of metric. The second type of metric will be in terms of drivers of growth, we have penetration of electronics increasing, which is the case in places like automotive. The basic industry may grow at 10% or 12%, but our business growth is higher because of localization of many electronics and more electronics per car.

And the second thing which drives this certain industry segments such as EV, etcetera, has come up, which has a large amount of electronics compared to a traditional car. So this is penetration of electronic. It is also applicable in many other sectors in industrial sectors like, for instance, smart meters, for instance, now the government is insisting on the implementation of smart meter program across all the states and so on. So there are a lot of these kinds of things that are happening which are driving growth.

The third driver for growth is import substitution, which is actually the first driver. Wherein,

people were buying, it was already being bought with electronics, but unfortunately, the Chinese suppliers had a good relationship, and they were giving it at low price, etcetera. So it was like chicken and egg story since we didn't have sale, we cannot match those prices. Our government has come down heavily on that, and then we are making sure that as much as possible, they will do local sourcing. And once they start sourcing, companies like us can scale up and then we can be as competitive as any other source in the world.

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Shrinidhi: Sir, would you elaborate more on the import substitution opportunity in terms of some bit of quantification here in some of the key segments that we have like, for example, railways, industrial, auto. How large is import dependence that India has currently?

Jairam Sampath: See, I have not conducted a study, but based on whatever products that we are doing, it is just a kind of -- I mean, I will be just hazarding a guess, but it's a huge number compared to our turnover itself, each of the sectors. If you take railways, more than 10x to 15x the number that we do is imported actually, in various areas. May not be in signaling alone, it may be another area too. Similarly, in automotive, also a large amount of electronics is imported. And even, in fact, areas where we are not present also, there's a lot of import was happening and that is now coming into India. So it's multiple times. In the sense, it's not a percentage growth. Its several x opportunities that's available for import substitution.

Moderator: We have the next question from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: I just have follow-up questions on earlier questions on the auto. I want to understand, you did indicate auto industrial and railways make up most of it. I want to know how much in terms of percentage these three sectors make. And also how much is export share in the total order book?

That's the first question...

Jairam Sampath: So, automotive will be around

around 39%, Industrial, about 26% and railways about 13.5%. And the remaining are like aerospace and defense medical IT, IoT and consumer. Consumer is a small segment for us. It's a sub 10% segment.

Rahul Gajare: And what about exports?

Jairam Sampath: At this point in time, exports are a tad lower than what we anticipated earlier on. That's because of very strong domestic demand. Last year, we had exports at about 22%. Now it's a little lower at about 20% or so. But I wouldn't know exactly what will turn out by the end of March because we are having our strong inquiries. For the coming year, in terms of if you were to ask you for guidance, I think export will go back to its number earlier what we had earlier in terms of percentage of exports. Because there are some three, four large discussions that we are having. So that if that is the kind of indicator of the trend, exports will go back to 20%-ish in the coming year. But at this point in time, the order book has something like less than 20% of exports.

Rahul Gajare: And typically, which sector is it that you cater to in the export side?

Jairam Sampath: Export side, it is mainly railway and industrial right now. We classify it as industrial, the instrumentation, then there is HVAC and controller and then railway signaling. What we are discussing will again probably, we will classify it as industrial for the new one, industrial and

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medical. So industrial and medical are the two new large businesses that we are discussing, existing is industrial and railway.

Rahul Gajare: And typically, is it that you've seen margin differential in your domestic ordering and export ordering? Or it is on the similar side?

Jairam Sampath: Yes, sir. See, margins are dependent on the sector.

Yes, obviously, export margins will be tad higher because they will be shifting production from some other locations which are higher parts in India. So the possibility of export margins being

higher is always high. The other thing about export is that the receivables will be a little tad lower, compared to domestic business. So those are the two benefits we get. On the other hand, domestic business scale up faster. So we have both the counterbalancing factor.

Rahul Gajare: And sir, my next question is on your -- you did indicate capex of INR 250 crores in the next year. Typically, what is the return that you expect when you're doing that kind of a capex? What is the RoE that you have in your mind when you all are planning capex?

Jairam Sampath: Sir, actually, this year, that the RoCE and RoE will definitely look not as good as last year. The simple reason that we'll have -- we are in the middle of implementation of the projects and a lot of cash will be on the balance sheet and so on. And also, this is kind of gearing up for growth. But by end of FY '24, we should definitely be in the mid-20s in terms of RoCE and RoE, if not higher. And that's the math that we have done based on whatever order book that is there and our own internal plans. So 25 plus or minus, yes.

Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

Ramesh Kannan: Thank you once again, for attending our first earnings call. Thank you very much once again.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Jairam Sampath: Thank you. Have a good day

Ramesh Kannan: Thank you.

(This document has been edited to improve readability)

Call: May 2023

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechology.co.in email ID: kaynes.acc@gmail.com

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 May 20, 2023

The Secretary

BSE Ltd.

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Stock Code 3 543664

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code 3 KAYNES

Dear Sir/Madam,

Sub: Intimation of transcript of earnings call for the Financial Results of 4th Quarter and Financial Year ended March 31, 2023 .

Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by AMBIT for the Financial Results of the 4th Quarter and Financial Year ended March 31, 2023. The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript <https://www.kaynestechology.co.in/investors.html>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited.

Ramachandran Kunnath

Company Secretary and Compliance Officer

Membership No. A57817

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<Kaynes Technology India Limited 4QFY23 Earnings
Conference Call =

May 17, 2023

MANAGEMENT : M R. RAMESH KUNHIKANNAN – FOUNDER AND
MANAGING DIRECTOR , KAYNES TECHNOLOGY INDIA
LIMITED

MR. JAIRAM SAMPATH – WHOLE TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER , KAYNES TECHNOLOGY
INDIA LIMITED

MR. NEERAJ VINAYAK - AVP – INVESTOR RELATIONS ,
KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : M R. DHURUV JAIN – AMBIT CAPITAL

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Moderator: Ladies and Gentlemen, Good day and welcome to the Kaynes Technology India Limited 4QFY23 Earnings Conference Call hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing 8*9 and then 809 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhruv Jain from Ambit Capital. Thank you and over to you, Sir.

Dhruv Jain : Hello everyone. Welcome to Kaynes Technologies 4QFY23 Earnings Call. From the management side today, we have with us Mr. Ramesh Kunhikannan – Founder and Managing Director, Mr. Jairam Sampath – Whole Time Director and Chief Financial Officer and Mr. Neeraj Vinayak- AVP – Investor relations.

Thank you and over to you sir for your opening remarks.

Ramesh Kunhikannan: Thank you Dhruv. Good evening friends.

First, I would like to extend my sincerest apologies for the need to reschedule our Earnings Call yesterday. Unfortunately, due to an unforeseen delay in our Board Meeting it had become necessary to adjust our plans. I understand that your time is valuable and I deeply regret any inconvenience that this delay may have caused. Please know that we deeply value your time and commitment. Thank you for your patience and understanding.

I would like to welcome everyone present on the call from the entire team of Kaynes Technology. I have along with me on the call Mr. Jairam Sampath – CFO and Mr. Neeraj Vinayak – our Investor relationship and Orient capital our Investor Relation Partners. I also have Rajesh Sharma our CEO with me.

Before I start with this business update, I would like to briefly introduce the Company to all of the participants founded in 1988 Kaynes Technologies is a leading end-to-end and IoT solution enabled integrated electronics manufacturer of India. We have capabilities across the entire spectrum of ESDM service. We have an experience in providing conceptual design process engineering, integrated manufacturing, and lifecycle support for major players in the automotive, industrial, aerospace and defense, outer space, nuclear, medical railway, internet of things, information technology and the other segments. Our advanced manufacturing infrastructure enables us to undertake a high value addition of products across industry verticals with the ability to produce such product at variable or flexible volume. We have a well-diversified portfolio of around (+350) customers in 26 countries across multiple industry verticals.

Coming to our performance for the quarter ended March 31, 2023:

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Our total revenue was 3,646 million registering a growth of 53% year-on-year. On the year-to-year basis our total revenue was 11,261 million registering a growth of 59%. Our growth was largely led by strong demand in automotive, railway, IoT and consumer verticals.

Our order book as on March 31st 23 stood at INR 26,482 million. Our Company has been profitable for the last three decades and we are focused on delivering value to our client. Our FY23 EBITDA was INR 1,683 million compared to INR 937 million last year. Our FY23 PAT stand at INR 952 million compared to INR 417 million in FY22.

We have executed orders that are higher value and leading to increased margin and higher profitability. We continue to witness strong order flow and to meet the growing needs. We are exploring our facilities along with upgrading the existing ones. We are working on improving our working capital and we are confident that we will bring it down further in the coming days. I will now hand over the call to Jairam Sampath to take the financials through each one of you.

Thank you.

Jairam Sampath : Thank you Mr. RK. Good day everyone. Thank you for joining us on this call. I will be presenting the Financial Performance of our Company for the period ended 31st March 2023. For the quarter ended 31st March 2023, our consolidated total revenue was INR 3,646 million representing a 26% quarter-on-quarter growth and a 53% year-on-year growth. Our consolidated year-to-date revenue was INR 11,261 million reflecting a 59% year-on-year growth. The consolidated EBITDA for the quarter was INR 594 million showing a 48% year-on-year increase and a 44% quarter-on-quarter increase. The EBITDA margin for the quarter was 16.3% compared to 14.2% for the Q3 and 16.8% for Q4 of FY22. The consolidated year-to-date EBITDA was INR 1,683 million up about 80% year-on-year and EBITDA margin was 14.9% as compared to 13.3% for the year FY22. Our consolidated PAT for the quarter was INR 413 million up 81% quarter-on-quarter and up 108% year-on-year with the PAT margin of 11.3% compared to 7.9% for Q3 and 8.3% for Q4 of last year.

The consolidated year-to-date PAT was 953 million up 128% year-on-year and PAT margin was 8.5% as compared to 5.9% in FY22. Our ROE and ROCE adjusted for unutilized portions of proceeds is at 24.9% and 24.2% respectively for FY23. We had an increase in cash and cash equivalents which stood at INR 4,860 million as compared to INR 2,160 million in the previous year primarily due to the IPO proceeds. Net working capital for FY23 was at 99 days on an annualized basis similar to FY22. Our inventory was higher but has seen reductions in both receivables and payable days by 12, 13 days in FY23.

Coming to our expansion plans:

We have allocated INR 989 million towards CAPEX expansion and upgrade our facilities in Mysore, Manesar and Bengaluru and Chennai and acquired 1,20,000 square feet built up space
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in Manesar which is expected to be operationalized in the Q1 of this year. Additionally, we have year marked INR 1,493 million for investments into Kaynes Electronics Manufacturing Private Limited for setting up a new facility in Chamarajanagar Karnataka whose first phase to be operationalized by Q2 of this year. India is now positioned as a global hub for electronic system design and manufacturing and we believe that we are rightly placed to capitalize this opportunity. With this, I would request all participants to come in with their questions. I now open the floor for questions. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Maulik Shah from Haitong Securities. Please go ahead.

Maulik Shah : So, I have got a couple of questions can you talk about new customers that were added you did talk about in the opening remark that you have (+300) customers, but any new customers that you have added in this particular year and what is the kind of potential business that you see from such customers that is the first question?

Jairam Sampath : So, one of the things is that unless we get a clear approval from our customer we cannot actually put their names in public domain, but I can describe those customers to you. So, we will take segment by segment the orders. To begin with we had a new customer, EV is an export customer. So, this customer there is a huge business in terms of various types of boards which are standard in EV charger boards and these are for high end cars. So, this was added during this period of last five months or so. In the area of medical we have added a new customer in the critical care segment is a European customer and they are a very large critical care and surgical equipment manufacturing product Company and we have successfully completed the audit for supply. So, this year we might see some pilot lots going through this medical customer. In terms of

IT one

of the largest semiconductor companies in the world we qualified and started the supplies for production of laptops for specific usage within India and similarly there are other areas like defense and aerospace. We have already had a customer, we have now completed the pilot lots and there were couple of visits from them and hopefully going forward into this year we will start doing some serial production work for that.

Maulik Shah : Sir, my second question is on the working capital side now you have indicated earlier you know that you had put in a team together to work on improving the working capital, so can you please highlight the key areas that they are working on and is there a specific target that they have, is there a certain ground that they have already covered and along with this what could be our ROC

target that you are working with over the next two or three years?

Jairam Sampath : So, as far as working capital is concerned even though the figures look a little higher for the inventories and so on, but one of the main reasons why we probably did not cross the 1,200 number is also the fact that certain imbalance inventories were with us and certain components as you know last year was the year of difficult supply chain conditions and so certain components did not come for want of few value customers, value components we could not convert almost
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close to 60 crores, 70 crores of orders and of course this will get converted during this month and the next. So, that kind of makes the inventory look a little higher, but we have discussed with all the distributors there are two areas which we have discussed with them. One area is to ask them for local supply which we have talked earlier also. So, they are in the process of giving us a proposal by which wherein they will keep a warehouse either in Mysore or in Bangalore so that we can cut down some on the lead time. The second issue is also we have taken up with them about on time supplies from their side because as you know in a month the supplies come more inclined towards the end of the month and that is causing the 15 days, 20 days of delays in conversion. So, these are the two areas that we have talked to them. So, this is as far as inventory is concerned and as far as receivable is concerned I think we have made a good progress some more progress to be done. This is in terms of getting some supply chain financing and all the large customers now as part of the RFQ response itself we are taking up with them on the receivables front. So, I think going forward that this will further improve. On payable front we have deliberately set the dial at low payables. This is to get favorable attention from our suppliers because last year we had one of the toughest supply chain issues in electronics wherein there were delays, etc. So, we have made sure that suppliers do not deprioritize us for want of any commercial this thing. So, this is happening now and we have also like I said we are discussing with suppliers for more to get local supplies done and on time supply is done so that benefit will outweigh this whatever minor increase in payable. So, all in all we have put a team together they are essentially from supply chain and logistics people and by doing these kinds of activities we will not only save on the inventory days we will also save on the logistics cost because the suppliers are much larger than us and we can get in the material especially on the import which is 60% of our purchases at a smaller cost. So, this team is working already we are seeing some results. So, during this year we will definitely do the improvements that is required in terms of the number of days of working capital and our aim is another couple of years time should go in the 70s from whatever 98 days, 99 days that we are seeing now. I think we are co

nfident it will

happen. One more thing to note is that last year even though we had made plans, etc., in terms of our number of days, etc., it was expected that we would launch our IPO in September, but it actually as you know it got done only in November. We kind of lost some two, three precious months, but never mind we are picking up those lost ground now and on the back of very strong demand and industry tailwinds. So, hopefully when we exit this year and the next we will have significant improvements in our project.

Maulik Shah : So, my last question before I join back the queue is on the profitability now I recollect you had indicated that you will do 1,200 crores of revenue in this particular year and I think the explanation on supply chain disruption explains where you marginally fell short of that number, but you are fairly confident of achieving the 1,800 crore that you are talking about along with margin expansion, is that something that we can assume for FY24?

Jairam Sampath : Yes FY24 I think if I recall correctly we had talked about 1,700 crores and of course if you were to just add one positive thing whatever the backlog of last year we will add it to this because all the materials are there. So, I think we will definitely achieve the number that we had projected, talked about last time and in terms of profitability it will be superior to what we have in FY23.

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Moderator : Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Sir the first question is on the order book we have a very strong order book of 2650 crores if I can just get the vertical split which is between the different segments and what is the timeline that we are looking to execute because if we are doing about 1,700, 1,800 crores next year does that mean that it kind of spills over into 25 or can there be a faster delivery of execution of this order book?

Jairam Sampath : See fundamentally our business has not changed dramatically over the last four months. So, the composition of the order book remain similar to our business competition. The only thing if you start changing once all these discussions that we have on large businesses whether it is a EV

segment, whether it is industrial, whether it is medical, whether it is aerospace once those who get converted into business those orders will get in. So, the proportion of various verticals is similar to what business that we have been doing for FY23 which is similar to FY22 give or take a few percent. Now coming to the execution timeline for this obviously this represents about one and a half years' worth of orders for us. So, we should execute and of course during this year FY24 we will get further orders for execution this year. So, that is the challenge that we have deal with. We are working very hard to add capacities beyond what we have earlier declared that is Chamarajanagar and expansion of Mysore and Manesar. We will come back to you once we finalize on those aspects of the plan. So, we are gearing up for having to deliver more than what we have order on hand right now because there could be other orders coming in. So, this 26,042 million represent one and a half years' worth of orders and Rs. 1,700 for sure will get done this year FY24 plus some backlog of last year some 70 crores, 80 odd crores will also probably get added and then remaining will go to FY25, but we are trying our best to make sure that we try to give an early delivery date for all of this. So, as and when we make progress in terms of capacity addition we will certainly come back to you.

Bhoomika Nair : Sir, in terms of the working capital and you know the component shortages particularly that you spoke about in the supply chain obviously we are trying to push more for local sourcing and on time etcetera, but is the supply chain

tarting to ease off or does that still remain a challenge for which we need to keep from a payable perspective because that number of days has come down and led to higher working capital, so how is that kind of situation easing off or is it still remains very challenging?

Jairam Sampath : So, what you see as the challenges are remnants of the delayed lead time, etc., for some critical components. So, we think that see once the global tensions cooled down a little bit and also the capacity enhancement in semiconductors happen so this problem will probably be reduced. On the other hand, your point is very well taken that we must try to indigenize. So, we are working on two areas which we have talked about the last time. One is bare PCB manufacturer for which we have now found collaborator and we are discussing intensely. So, the moment we come up with a plan for execution we will come to you. This is bare PCB which is about 8% of the total value of sales. So, that will ease out some burdens in the bare PCB supply chain and in terms of
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components we are talking about examining post FAB outsourced semiconductor assembly and testing. So, which is in preliminary state right now we have done all the due diligence required to understand this sector and we have got good partnerships ahead of us once something concrete comes in we will certainly come back to you with that, but that will also ease out certain components and just like we are doing it there are other companies who are setting up capacities in both FAB. FAB probably will take a few years to bear fruit, but this OSAT that kind of things are happening now more intensely. So, we can expect that the supply chain related lead-time issues and the unreliability, etc., will come down into the future.

Moderator : Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora : Just one clarification you said that 1,700 crore topline for next year and margins will be higher than what we reported in FY23 we did about 14.9% EBITDA margin in this year so better we should look at the percentage margin you are trying to say it will go further higher or it is the absolute EBITDA growth you are talking about would be higher next year?

Jairam Sampath : See, there is a logic I can provide we also have order. So, assuming that we do not have any other disruptions in the marketplace and in the environment we are saying that some more operating leverage will kick in. Now exactly what that number will be we will have to actually do it and show it to you guys. So, in absolute terms certainly the EBITDA number will increase and in percentage terms it is showing an upward trend so far and we expect further kicking in of the operating leverage which will definitely improve the EBITDA percentage also, but the exact quantum we will probably have to estimate as we go along maybe a few couple of quarters later will be for sure whether it has gone up or not.

Nitin Arora : I just wanted to understand where it is coming from, sir in terms of the bit pipeline whether it is automotive, industrial and railways, can you throw some light in terms of the content how it is increasing for you let us say in automotive and year-on-year how much the value addition would have increased if let us say in a per unit terms or a content terms if you can throw some light and the future pipeline which you are seeing in terms of bits whether it is let us say making the PCB for the chargers or in the automotive segment or let us say for the railways how the really content is moving, if you can help us that?

Jairam Sampath : As I will take this question by each vertical. So, in automotive what is happening is that we are now started getting enquiries for some box build that means complete production of products from earlier the most of the automotive

business was in PCB assembly. So, obviously the box build gives us a bigger opportunity to do value addition and also binds the customer closer to us. So, in automotive which is the increased amount of box build RFQs that we are getting. In terms of industrial now we are again box build kind of deals in larger per unit price is likely to happen in the area of industrial and in the railway segment, railway segment has been our prime segment and we are getting back inquiries on products which we have done earlier three, four years back. There was a time when railways used to be one of the largest segments for us. So, today we have
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started to get some strong enquiries in the area of railways. So, obviously as a portfolio if the percentage of railways go up it helps in the gross margin contribution and so in terms of let us say the kind of products that we are doing so we are discussing with companies the one that I talked about in Europe. So, that will all be full box build and will be on technology transfer. This is for the medical business. So, this is the kind of change that we see in our total portfolio that is happening.

Moderator : Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : So, my first question is on the railway segment given that some of your customers are sitting with a very large order book with visibility for almost 8 to 10 years, what is the kind of growth you are expecting in this business over the next three years if you can help us quantify and are we seeing any expansion of portfolio apart from core signaling telecom equipment that we have been working in the segment?

Ramesh Kunhikannan : This is a subject which I like you see as far as this is concerned we are already having around 8 to 10 development activity going on and this is fully with our control and so the actual delivery will happen only 24 onwards and it will be there for 9 years, 10 years.

Renu Baid : Any inputs on the scope of the box?

Ramesh Kunhikannan : Today we are talking about only PCB assemblies, but we are acquiring another things that will come going forward.

Jairam Sampath : There are three different types of businesses in railways. One is called the railway signaling. The other one is metro signaling and the third one is onboard equipment like the rack wiring that he is talking about and we are now having active new RFQs in each one of these three segments. So, for instance, for trains like Vande Bharat there is a lot of inquiries and lot of demand projected because the government has plans to introduce them in other sectors. So, there are customers who have technology for this and we are actively working with the government of India. They have reached of course because they were our earlier customers so they will all come and then so on-board equipment we will get significant business going forward in the future and the Metro is also coming back. Some of the clients who were importing they have been asked to do local sourcing so they have compared again to reevaluate us and then get back into that and of course whatever business that is going on already with our existing clients in the signaling system that is also going on.

Renu Baid : Sir, just wanted some clarification it may help us quantify the value of these RFQ that you are receiving in terms of order pipeline what could be these numbers and value in terms of size and scale because the value of the end projects for customer runs into thousands of crores, but for your addressable segment what is the value that you are looking in the

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Jairam Sampath : The way it works is based on whatever in the past we have done it is a project is worth 100 crores for our customer OEM only 10% of that will come into areas like signaling.

Now areas like rack

wiring the percentage may be lower. So, we can roughly assume that about 10% sub 10%, 9% to 10% of the total value of projects is likely to flow into this kind of an area of course for the sake of confidentiality we really cannot exactly say how much will come to us, but this is a ballpark number.

Management : And we have a clear instruction from the customer that this cannot be leaked out.

Renu Baid : Sir, secondly if we look at the broad annualized number way back in March when we spoke and the end of Feb we were very confident of 1,250 crores kind of revenues, you highlighted 60 crores, 70 crores of revenue is getting impacted because of component shortages, but still there is a gap of what we delivered and what was expected and profit numbers clearly versus 110 crores something like 95 crores. So, while some of the supply chain constraints may continue with this year political uncertainties remain at the global level geopolitical level. So, in terms of your comfort for FY24 guidance of 1,700 crores plus the slippage of almost 100 crores is 1,800 crores what in your view could be the risk for you to miss on this number and in terms of segments which are the key segments which will deliver this incremental delta in revenue terms?

Jairam Sampath : So, you are right about some orders like I said and I think beginning of the call about 70 crore odd worth of orders kind of got postponed to this year because we did not have all the components it is also strained our working capital a little bit and it has not allowed us to improve on the net working capital days. Having said that, we also said that we will execute it now. So, right now it is a very prudent situation we have orders for this year for sure for 1,700 crores. Now the question is during this year we will get some orders and how much of it will convert we will have to really go back and examine as and when those orders arrive and then when we commit maybe this quarter the next we will come back with our analysis how much we will do. Now we do not want to give a specific number here, but certainly the risks are reducing in the supply chain and the specific question about semiconductor delays, etc., those risks are reducing and our sense is that I think even global factors, etc., net-net the supply chain comfort will be better than last year. Now that is again a qualitative statement we can not 100% assure that some country will not attack some other country and so on. So, barring those kinds of big issues I think you can expect better confidence on execution of numbers that we are talking about this year. So, specific numbers we cannot give you because we really do not know for sure the specific number.

Moderator : Thank you. We will take the next question from the line of Amar Maurya from AlfAccurate Advisors Private Limited. Please go ahead.

Amar Maurya : Sir my question is more from the OCF generation perspective so if I see like you know FY2021 we were having almost around OCF to EBITDA conversion of above 60% plus. Now, in FY22 and 23 both year like OCF conversion is very weak I mean bulk of it is because of the working capital and how do you see basically it is going to plan out let us say in 24 and 25?

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Jairam Sampath : See the issue is that OCF to EBITDA is a kind of not a very linear progressing metric. So, it is like almost a digital metric. If you are doing well it is high if you are not being well it will be negative. So, now this year and the last year ironically the Company did better because of the growth and our investments into especially the component of inventories have gone up and whatever savings or whatever improvements you made in receivable we have loaded it back into payables. So, net-net, you see a kind of a negative OCF, but never mind this year I think we probably will get out

of that situation unless of course we have a situation where some more investments have to be done to examine and to do a execute a larger order book. So, let me tell you even though the number does not look very great, it is a healthy sign because the investments have gone into productive assets. A one is in inventory which helps us to execute the orders and B which is reducing payables which helps us in terms of better relationship with suppliers and gets us better pricing and gets us whatever things that we require from the suppliers in terms of allocation and all that.

Amar Maurya : So, basically you are saying that this was the worst and from here all the situation improve from the OCF to EBITDA conversion perspective?

Jairam Sampath : Yes sir definitely and see the thing is it depends on what is your horizon. So, in stable businesses you are right OCF to EBITDA can be a good number and we can maintain it, but in our businesses every time there is a jerk up in the sense there is an increase in the turnover which is more than the average increases like right now we are seeing this 60% types of increases. So, there will be some little effect on that, but never mind that is a productive use of the cash because of the growth.

Amar Maurya : And secondly sir going into like you know FY24 what is the kind of tax rate we should assume?

Jairam Sampath : Sorry, could you repeat that last line.

Amar Maurya : Tax rate would be 25%, right?

Jairam Sampath : You see an effective tax rate will improve once we start doing some business in our subsidiary called KEMPL and so we do not know exactly how much will go through it. It will improve from whatever tax rate that we have assumed for FY23 it will improve how much exact percentage we will work out maybe post two quarters and we can reach you by the time we will have a stable information.

Moderator : Thank you. The next question is from the line of Smit an Individual Investor. Please go ahead.

Smit : The only question I would like to ask sir like IC has an inner complete portfolio. The IT hardware component is quite less and the growth of opportunities is quite big and there is also in PLI scheme 2.0 which is going to come in, so do you see has opportunity where our Company can contribute and grow more faster in that area also?

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Management : See the future of electronics in that IT is one good area where things are going to improve. India

is planning large number of data centers, large number of deployment even today if you see the statistics only 45% for population is even having IT infrastructure. So, what I am trying to tell is this is one area which will grow and if you see large companies are coming to India they are also supporting people like us. So, definitely India will grow in this.

Management : We also started manufacture of laptops in a small way. So, that answers your question that going forward in future if you look forward to some good business in that case.

Moderator : Thank you. The next question is from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead.

Kaushik Mohan : Sir, I have a specific question on what is your coming plan for CAPEX and if needed for I just see that Pune is coming up, so what is your plan for Pune plant and what is your CAPEX plan over next two years?

Jairam Sampath : So, CAPEX we have already disclosed during the objects of the offer it self 260 crores in three plants Chamarajanagar, Mysore and Manesar and then some more from our own earnings, etc., flowed back into other plants so we are enhancing. So, obviously the other additional locations are being planned to cater to the additional requirements. So, we have a kind of rough calculation we said that the newer facilities and augmentation is tripling our capacity. So, that was in sometime this year so obviously tripling capacity means

whatever CAPEX we have is

good for let us say nearer to somewhere between 27 and 3,000 crore kind of number, but the capacity enhancement also takes a lead time. So, we are planning to make sure that we start thinking about newer factories because now we have almost listed in November that point in time we had one new factory subsequent to that we are not talking about another one and so on. So, this is an ongoing process without taking a specific location. Every quarter we will need to reassess our capacity is based on the RFQ that we are getting and the customer requirements and we will be planning and adding the capacities and whatever existing resources there are we definitely are able to raise finances as required for the growth of our ESDM business.

Kaushik Mohan : Sir, another addition of question that with the current kind of CAPEX and current kind of setup what you have, what can be the optimal revenue can be achieved with this?

Jairam Sampath : Yes including the investment that we will complete based on the objects of the offer we should triple the capacity. So, we probably like I said, Rs. 2,700 crores to Rs. 3,000 crores of revenue can be done with whatever capacity that have been funded already of course many of it is working process some of it is yet to be expanded so that is the number.

Moderator : Thank you. The next question is from the line of Pradyumna Choudhary from JM Financial. Please go ahead.

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Pradyumna Choudhary : So, I have three questions first more on the demand side like definitely we have a very strong order book right now, but are we seeing any sort of weakness in any of the verticals that we are serving, second is more on the like recently there was a WTO ruling against India regarding import duties on certain IT components and integrated circuits, so would it have any sort of impact on Company like us and third from a longer term perspective which verticals do you see the biggest opportunity in and how big like could you give some idea on how big is the current market because definitely we are seeing very good growth across the sector and especially you guys so just wanted to get a sense on the longer term opportunity as well?

Jairam Sampath : Yes. So, in terms of strength of demand the different industry verticals have a different horizon.

So, certain verticals supposing you take the large volume high volume, mass volume verticals like consumer, etc., the horizon itself is small. So, any comment you make cannot be taken for a long term. So, nobody can say today that how much mobile phone or TV or some other consumer appliance will be consumed after one year. So, it is completely dependent on a lot of other factors, some of them are macroeconomic and some of them probably are your lifestyle choice, but when you come to the non-consumer type of sectors the majority of our businesses is that sector. So, these have a long-term theme and they are a little slower in terms of their change, but of course they do change depending on some long-term trends that one can see. So, as of now we have not got any information to tell us that there is any weakening of demand that is primarily linked to your second question that you had asked or maybe the third one about how we are affected by WTO asking us to play fair on various aspects. Actually, it has been the other way around India was unfairly importing stuff from outside. So, what government is saying is you purchase it in India and give them the same price there is no need to give preferential pricing for us and if that alone is done that will multiply the businesses of companies who is into this sector. I am talking about non consumer sector within the country. So, that is not likely to affect in any major way Mr. Choudhary what was the last question if I have not answered.

Pradyumna Choudhary : So, more from a longer-term

perspective like maybe five years down the line which vertical do

you see the biggest opportunity and generally how big is the market that we operate?

Jairam Sampath : So, I can speak from the perspective of our Company. So, some of the underrepresented verticals in our business portfolio. One is of course the glaring omission is telecom and then the other is something like it and the third one is something like your medical we are comparatively smaller in size compared to the other. So, we see that there is a lot of growth in the infrastructure for 5G not only in India across the world. I think with the new global realignments happening we see next big demands coming up there. Of course, that demand will be fulfilled by different types of companies. Some of it will come to companies like us. So, telecom is one strong growth segment. Second is IT is because there is a huge growth of IT in India. India's IT penetration now again this I would say this kind of a resurgence of IT within India because IT has now become like infrastructure like roads or telephone lines. So, all these servers and all these things will connect people and help. So, that is the other sectors and as far as we are concerned there is a lot of demand growth also in the areas like medical and we were always looking for one large client
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and I think we are now on to it. So, these are some sectors that you can expect some good growth from our companies perspective.

Pradyumna Choudhary : And just a counter question on your point regarding the WTO I did not actually understand like are you talking about some reverse duty structure which was in place earlier like where probably what we were importing was not being taxed while what we manufacture was not being taxed when being imported whereas what we were importing was being taxed like was that the case earlier now that has been corrected, is it so?

Jairam Sampath : Possibly some reclassification some little hide-and-seek, but in principle what happened is that the government is now telling the corporate that if you are able to buy the same equipment at the same price, why would you import it. Now from government perspective very valid question from the companies perspective since they are global multinationals value technology, they would like to have value addition on their books rather than on the books of Indian Company. So, that is the kind of what shall I say political see-saw that India saw and looks like Indian government is winning on that because now we become a very large country with I would be if I dare say maximum amount of CAPEX budget over next several years for these kinds of industries. So, that is what is happening a kind of normalization is happening. I do not want to allege that people were wrongly classifying or whatever, but the fact of the matter is that on a weight basis, on equal terms basis Indian companies are competitive in those areas I am not talking about consumer I am talking about non consumer areas.

Pradyumna Choudhary : So, there is no like even on imports we can match the prices and all there is no issue with regards to that in case the WTO ruling stands, so it could not really affect us?

Management : Yes it should not affect us.

Moderator : Thank you. We will take the next question from the line of Kuvam Chugh from Birla Mutual Fund. Please go ahead.

Kuvam Chugh : So, my first question is on our export revenue so export growth was more muted in the overall business, so what has really prevented the scale up of the export business because initially we were expecting export to grow faster than India revenue, so what has happened this year that has held back the export growth?

Jairam Sampath : Like I always say that the exports in domestic are driven by two different factors. The domestic business increase is driven by imports

substitution and export business primarily is driven by shifting of manufacturing based on say South Asia or China to India. So, the growth in exports is there, but it is as a percentage of total has not grown it is probably same or coming down that is because of the outstripping of the projections for domestic business, but as we go forward in some of the areas I did mentioned earlier in the call areas like medical electronics then there are areas like the industrial area, etc. We are likely to get some good export traction and we will start seeing exports becoming the larger percentage. So, first it has to cross the 20% mark at
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some point in time in our portfolio exports used to be almost one-third. So, now it has become one-fifth. I think it will be movement now you can say that the pendulum is now going to swing back and two, three years or time quickly the exports will probably come back to 25%, 30% kind of number.

Kuvam Chugh : So, of our current order book of about 2,500 crores how much is from export orders and how much is domestic order?

Jairam Sampath : See right now I do not have the number in front of me, but my sense is between 15% and 20% is exports remaining is domestic and as we go forward into the year we might see that shift a

little bit in favor of exports.

Kuvam Chugh : And just finally on our inventory it continues to rise this year as well. So, where are we in terms of the supply chain issues normalizing and what is your projection for the end of your inventory for FY24?

Jairam Sampath : So, we had anticipated that we would have made about I think last time when I spoke to you all even during the call, etc., we said that between five and seven days of networking capital improvement would have been there last year we unfortunately did not do that, but I did explain about some little amount of business not being done because of certain non-availability, but that I think we will make up and this year end that we certainly will go to 80s in terms of number of days of net working capital. So, that is the reduction primarily comes by uh, better utilization of inventory and the number of days of inventory reduction. So, that is your answer.

Moderator : Thank you. The next question is from the line of Aniruddha Joshi from Isec. Please go ahead.

Aniruddha Joshi : Just one question what are the PLI benefits that are available to us and what was the PLI benefit that we actually accounted in FY23?

Jairam Sampath : In FY23 we have not taken any major benefit in the PLI. We have approval for two PLIs. One is white goods PLI the other one is telecom PLI and we have applied for the IT products PLI too. Now this year we are likely to operationalize for sure some little business in telecom and even in white goods though consumer products are not a big suite for us, but we will certainly make sure that we fulfill the requirements of the PLI which is like 30 crores of investment and 100 crores of business which we can easily do because the investment into white goods PLI is for generic machinery. So, this year you can see some little application of those profits. Now coming to benefits these PLI give you a direct benefits in the amount of production that you do they are production linked incentive based on your sales number I think first year, second year, third year, fourth year and fifth year depending on the type of PLI it is 6, 5, 4, 3 those kinds of numbers percentage of total sales that is given to you as an incentive. So, in the initial five years if you run the PLI you do get an average benefit of anywhere between 3% to 6%.

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Moderator : Thank you. The next question is from the line of Mayur Patel from 360 One AMC. Please go ahead.

Mayur Patel : Most of the questions got answered, but if you can just give some breakup

of this 2,600 crores

of order book in terms of segments or any large orders which you have got, any color would be?

Jairam Sampath : I think this I had briefly mentioned this order book is exactly in the same proportion as our sales which is automotive, industrial, railway, etc. So, similar is the proportion. So, obviously this means that these are all organic growth order books that means existing clients who have given us more orders and like I mentioned earlier there will be addition to the order book in certain areas where we are discussing with clients and as and when they come we probably quarterly when we kind of talk about our new orders we will kind of describe these. So, it is not very different because it has been only I think five months, six months since we listed and so this is not sufficient time to change the complexion, but new RFQ's that we have discussed in various areas that is going to definitely alter this percentage, but that is not part of the order book yet.

Mayur Patel : And given that like this order book gives you the visibility of 1,700 crores which you are guiding, but given the pipeline is there any way to guide us on what is the likely order inflow over next one year?

Jairam Sampath : We have to kind of actually in order to put a guidance we need to know for sure what is happening. We can talk about trends. So, obviously the trend has been over the last 18 months the increase in order books. So, you can make your own simple conclusion that is likely to increase and we as a Company have to find ways and means of making sure that whatever orders that come in we trying to service it as early as possible. So, every quarter we will definitely come back to you and say what are the improvements and so on and from there we will take it up, but we are not going to give up any order just because we have enough orders for the year. We will instead convert that into a problem of finding capacities so earlier I think Mr. Kaushik had asked the question about additional capacity. So, we said that we are already looking for next two plants where to put. So, that is the direction in which will work and we will certainly keep you posted every quarter about the actual benefits that we have got.

Mayur Patel : Just last thing from my side the Company is on a very high growth path undoubtedly and the outlook looks really promising, but the way already a lot of questions have been discussed around working capital, so the thing is 413 crores of inventory because of the average inventory the 104 days looks still okay, but that clears a drag in cash flows because that is like a sizable part of say 1,126 crores of top line. So, I hope this is apart from growth this is an area of top priority to generate cash and the operating levels and net of working capital despite being on a high growth, is it fair to assume that is an important part of the strategy?

Jairam Sampath : I think this is the top operating strategy for us to make sure that suppliers perform both in terms

of all the aspects QCD. Having said that the increase inventory from what we are supposed to have theoretically has got three components. One is availability in all components and set. So, Kaynes Technology India Limited
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that is what kind of let us down a little bit last year some 70 odd crores of material if we had had the balancing between which may be less than a few lakhs we could have probably converted that. So, we are working on that, that has several other aspects like availability of money, availability of that has been now mailed now ordering on time and so on and then of course the global supply chain. The second reason is where we buy from so that we have discussed with suppliers to put local stock, we are discussing whether to put the warehouse in Mysore or in Bangalore and what are the terms, etc. So, we have some positive movement there.

So, we are

pushing that envelope pretty hard the third constituent of which basically inventory is the native constituent which is how much business you do in each area. So, we do not want to change because it is balanced by the higher margins you expect in the slower moving areas. So, all in all we define our inventory problem is a sort of minimization, but optimum inventory which gives us the maximum profits. So, we are working our efforts on that direction.

Moderator : Thank you. The next question is from the line of Chirag Lodaya from Valuequest. Please go ahead.

Chirag Lodaya : Sir, my first question was on bare board aggregator you mentioned earlier in the call, so what exactly we are trying to do there?

Jairam Sampath : You are talking about bare board manufacture.

Chirag Lodaya : So, are we going to manufacture or it is just arrangement and source?

Jairam Sampath : We are going to manufacture. So, if you say printed circuit board assembly or box will be fitted, it has got a box, it has a display, it has got a wires, it has got a printed circuit board assembly. Printed circuit board assembly has got several thousands of components and one particular board which is the printed circuit board. Now this one board typically in our business about 8% of the total sale is this value alone. Now every printed circuit board obviously we cannot do because we will have to then put in lot of money. So, what we have decided is to put high quality printed circuit board that is multiple layers and Hi-Tech products where the margins are very high that means if I buy a 10 layer or 16 layer board from let us say China or Switzerland or someplace the margins are pretty high on that and those are the capacities that we want to build in India and we are talking to collaborators and we already it is an advanced stage. So, we will set up capacities in those areas so that out of this 8% maybe let us say on a ballpark about 4% of this thing we do then we can start saving about 2% of that because of high margin in the nature. So, we will actually manufacture the boards and we will not only do supply to our Company we will supply to other companies too.

Chirag Lodaya : And this should be like technology tie up or it would be more JV kind of thing and what kind of initial investment you think can go?

Jairam Sampath : So, this and there are some other areas we talked about OSAT, etc. So, these are all eventually will be high in investment, but these are scalable investments. So, to begin with it will not be

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generating more than what we had talked in objects we have a corporate general corporate purposes we have raised some money. So, some part of it we will invest in as the initial capital into this and we will think about raising funds once we have the entire thing in place. It is a technological collaboration and the new generation of machines and so on and this business whether it is a JV or whether it is going to be floated in the existing Company that is under discussion right now but suffice is to say that that this will be fully examined and we do not want very high initial capital commitment to this because there are few projects that we are looking at. So, we cannot really do lots of large capital investments. We want to keep our Company asset light as much as possible without losing any opportunity for profitability. So, we will come back to you, but broadly the plan is to make sure that all the complex PCB bare PCBs are done under our umbrella so that we can partake in the profits there.

Chirag Lodaya : And what is the CAPEX for FY24?

Jairam Sampath : FY24 like we said FY24 like we said the thing about out of 260 crores that we raise our 40 crores is already utilized in either it is in CWIP or capital already employed. The remaining 220 crores over next couple of quarters we will consume about 100 crore

and balance of remaining also.

So, we will finish this entire 260 minus 40 crores for this year.

Chirag Lodaya : And just lastly is there any progress on our subsidiary product engineering and IoT solution, is

there any update there?

Jairam Sampath : Yes, there are a lot of opportunity is there. We have already placed the CEO of this business Kaynes Technologies is sitting in the US and he has made some good progress there. We are also contemplating on doing a small road show in the US for our business going across and telling them the width of services that we offer and there is also a very positive mood in the US for collaboration with India. So, along with that we think that this solutions business will also take off. There is a lot of progress in terms of getting let us say customer acceptance and field installations, etc. So, we stand firm that FY23 definitely will do a significant amount of business in this year.

Chirag Lodaya : And box build share for FY24 will also look similar to FY23 or we might see might be a difference there?

Jairam Sampath : No, right now it is similar because growth is organic, but it will go up during this year.

Moderator : Thank you. The next question is from the line of Raj Shah from Ambit AMC. Please go ahead.

Raj Shah : So, my question was that what is the R&D expense for FY23 as a percentage of sales and what are we currently working on for research and development for newer sectors such as E mobility or aerospace and defense I just wanted to know some progress over there?

Jairam Sampath : So, R&D as a percentage of our sales for FY23 would have been in the range of 1.1%, 1.2% and going forward probably this might even go up a little bit as we go in to more ODM projects. So, Kaynes Technology India Limited
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that is the thing and second question was on aerospace and defense. So, aerospace and defense subsequent to our call, etc., twice our major customers with whom we have got a qualification has come and visited and they are that business is going to take shape in FY24. So, you can see some significant increase in the total revenues in the aerospace and defense sector substantial increase.

Moderator : Thank you. Ladies and gentlemen in the interest of time we will take that as a last question. I now hand the conference over to the management for closing comments.

Ramesh Kunhikannan : Yes on behalf of Kaynes team I would like to thank all the participants for attending today's conference call. You can reach out to our team in case of any further clarifications required on shared details. We look forward to your continued support and engagement in upcoming quarters. Thank you very much once again.

Moderator : Thank you. Ladies and gentlemen, on behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynes.acc@gmail.com

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 August 04, 2023

The Secretary

BSE Ltd.

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Stock Code 3 543664 The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code 3 KAYNES

Dear Sir/Madam,

Sub: Intimation of transcript of earnings call for the Financial Results of 1st Quarter and ended June 30, 2023 .

Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by IIFL SECURITIES LIMITED for the Financial Results of the 1st Quarter ended June 30, 2023. The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript [https://www.kay nestechtechnology.co.in/investors.html](https://www.kaynestechtechnology.co.in/investors.html)

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

Jairam P Sampath

Whole Time Director & CFO

DIN: 08064368

Enclosed:

" transcript of the earnings call"

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<Kaynes Technology India Limited Q1 FY24 Earnings
Conference Call=

August 01, 2023

MANAGEMENT : M R. RAMESH KANNAN 3 FOUNDER AND MANAGING
DIRECTOR , KAYNES TECHNOLOGY INDIA LIMITED
MRS. SAVITHA RAMESH - CHAIRPERSON , KAYNES
TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH 3W HOLETIME DIRECTOR AND
CHIEF FINANCIAL OFFICER , KAYNES TECHNOLOGY
INDIA LIMITED
MR. RAJESH SHARMA 3CEO, KAYNES TECHNOLOGY
INDIA LIMITED
MR. NEERAJ VINAYAK - HEAD, INVESTOR RELATIONS ,
KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : M S. RENU BAID PUGALIA 3 VICE PRESIDENT,
RESEARCH, IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Kaynes Technology India Limited Q1 FY24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Renu Baid Pugalia from IIFL Securities. Thank you and over to you, ma9am.

Renu Baid Pugalia: Thank you, Dorwin. Good afternoon, everyone, and welcome to the First Quarter FY24 Earnings Conference Call of Kaynes Technology India Limited.

From the management, we have with us today, Mr. Ramesh Kannan 3 Founder and Managing Director, Mrs. Savitha Ramesh 3 Chairperson, Mr. Jairam Sampath - Wholetime Director and Chief Financial Officer, Mr. Rajesh Sharma - CEO, and Mr. Neeraj Vinayak 3 Head of Investor Relations.

I would now like to hand over the call to Mr. Kannan for his opening remarks thereafter, which we will open the session for Q&A. Thank you and over to you, sir.

Ramesh Kannan: Good afternoon. Thank you, Renu. Good afternoon, friends. I would like to welcome everyone present on the call for the entire team of Kaynes.

I have along with me on the call Mrs. Ramesh 3 Chairperson of the Board, Mr. Jairam Sampath 3 CFO, Mr. Rajesh Sharma 3 our CEO, and Mr. Neeraj Vinayak 3 our Investor Relation in charge and Orient Capital 3 our Investor Relations partners.

I would like to briefly introduce the company to all the participants founded in 1988 Kaynes Technology is a leading end-to-end IoT solution enabled integrated electronics manufacturing in India. We have capabilities across the entire spectrum of ESDM services. We have an experience in providing conceptual design, process engineering, integrated manufacturing and life cycle support for major players in automotive, industrial, aerospace and defense. We are actively present on Outerspace, medical and railways too. We have a well-diversified portfolio of around 300 plus customers in 26 countries across multiple industry verticals.

Coming to our performance from the quarter ended June 30th 2023, our total revenue was Rs. 2,972 million, registering a growth of around 49% year-on-year. Our growth was largely led by strong demand in industrial, railway, IoT and IT, aerospace verticals and to some extent, automobile and EV. Our Q1 EBITDA was Rs. 403 million compared to the last year of Rs. 246 million and that for Q1 stands at Rs. 246 million compared to Rs. 100 million in the last year. We continue to witness strong demand across verticals with monthly order inflow reaching to Rs. 2,164 million per month from Rs. 1,515 million during Q4 of 23. Order book as of June 30th stood at Rs. 30,004 million.

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Friends, let me share few details around our business. In traditional ICE engine, auto segment,

we are witnessing growing functionality at entry levels which is propelling the demand of electronic assemblies. We have added two more tier 1 clients during the quarter and will have steady growth in the segment. Our EV, we are witnessing indigenization of assemblies in India due to better control on quality and cost, also getting increased enquiries on support on design aspects. We have added another OEM this quarter and are confident of doing significant growth versus previous year. On IT infrastructure side, India's IT penetration remains low and government is increasingly focused on upgrading the same. There is a huge demand for servers and laptops under various projects. Government is also pushing for local procurement of the same. We have already collaborated with

CDAC in terms of technology and aligning with the OEMs to manufacture them in India, purely for the India rural computerization program. We are confident of sizable contribution from this segment in FY24 and expect it to ramp up significantly the year to come.

On railways, there is significant amount of work being planned on revamping the existing infrastructure, along with adding newer lines. In terms of our scope of work, we are presently doing work with rail signaling, metro signaling and onboard equipment like rackwiring etc. We are working closely with ministry to have majority of the requirement being indigenously met, given we are associated with leading players in the segment, so significant allocation should aid us in terms of better revenues too.

Lastly, we have taken a decision to enter into the OSAT business, assembly test, mark and package. It is a service business, which aligns well with our DNA. We will focus on few packages and product category like (Inaudible) 6.50 and other which power devices for leading global chip manufacturers. Automotive and EV as a vertical will be our key focus area with addition of, or such capability, we can provide a more integrated offering to our customers. It is a sunrise sector with good government support and we want to be one of the early entrants in the space. I will now hand over the call to Mr. Jairam Sampath to take you through our financial performances. Thank you all. Over to you, Jairam.

Jairam Sampath: Thank you, Rameshji. Good day, everyone. Thank you for joining us on this call. I will be presenting the financial performance of the Company for the period ended 30th June 2023.

For the quarter ended 30th June 2023, our consolidated total revenue was Rs. 2,972 million representing 49% year-on-year growth. The consolidated EBITDA for the quarter was Rs. 403 million, showing a 64% increase year-on-year basis. The EBITDA margin for the quarter was 13.5% compared to Q1 FY23 of 12.3.

Our consolidated PAT for the quarter was Rs. 246 million, up 145% year-on-year with a PAT margin of 8.3% compared to last year's Q1 percentage of about 5%. Networking capital for Q1 FY24 was (Inaudible) 8.27 were indeed higher as we had to make advance purchases keeping in mind the requirements of the upcoming quarters. We will be slightly lenient in terms of payables, which also contributed towards reported working capital numbers. Our gross debt for

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the quarter was at about Rs. 2,119 million compared to Rs. 1,359 million in FY23 with cash and cash equivalents of about Rs. 4,821 million as compared to Rs. 4,860 million of FY23. Our ROE and ROC adjusted finalized portions of proceeds at 16.8% and 21.7% respectively. For Q1 FY24, the return ratios are impacted by the combination of seasonality which is present in our business along with the expanded base post public issue.

Coming to our expansion plans, we have allocated INR 960 crores CAPEX to expand our existing facilities in Mysore, Manesar, Bangalore and Chennai and acquired 120,000 square feet built-up space in Manesar. We expected to be operationalized in coming months.

Additionally, we have earmarked Rs. 1,493 million for investment into Kaynes Electronics Manufacturing Private Limited for setting up a new facility at Chamarajanagar, Karnataka, whose first phase will be operationalized by Q2 of FY24. India is taking strong strides to position itself as a global hub for electronic system design and manufacturing, and we believe that we are rightly placed to capitalize on this opportunity. With this, I would request all the participants to come up with their questions. I now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aaron Armstrong. Please go ahead with your question.

Aaron Armstrong

g: The question is around your margins, so your margins are, say around 13% EBITDA margin, you have paced domestically and globally making more like 3% or 4%, so could you talk a little bit about that difference please and whether it is particular sub verticals or categories, which ones are driving your high margins?

Jairam Sampath: So, essentially, we work in high mix, low to medium volume, high tech sector of electronics manufacturing and we work in 6 different sectors starting with automotive electronics,

industrial and EV electronics, aerospace and defense and Outerspace, medical electronics, IT, IoT and other electronics. The contribution of consumer products in our business is miniscule and most of the business is driven by industrial type of electronics and typically we have found over the last several years that we have been operating, the gross margins are higher in these businesses. Among the different sectors, while I can't give you exact numbers, but sectors which are very low volume and high variety and Hi-Tech such as railway signaling or aerospace and defense and industrial, they tend to be higher on margins, whereas sectors such as automotive and consumer, etc., they tend to be a little lower on the gross margin level. And while comparing to the other industry players, the reason is that we have proper diversification in our portfolio and within the portfolio also we specialize in a few type of products manufacturing so that we get scale economies in those products, for instance, in automotive, we do, we are one of the largest manufacturers of lighting systems and so on and signaling, etc. So, specialization within vertical and across vertical, different diversified businesses leads to the higher level of margins that you see in us.

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Aaron Armstrong: So, it is more on the category side, so you basically are only in categories that above a certain margin level, is there a threshold that you work through, do you deliberately avoid categories that say, single digit margins, how do you manage your category mix?

Jairam Sampath: A short answer to the question is that we actively look at our portfolio for profitability and there were three factors which we look at before onboarding any business, one, whether the business is long term, two, whether the business has got high criticality and technology and three, whether we can in future make reasonable profits in the business. So, that is how we manage our profitability in our business portfolio.

Aaron Armstrong: Sorry, if I could maybe have one follow up, please, could you talk about why the categories you are in are higher margin, is it because there are barriers to entry, low competition or there is lots of value add or you bring unique technology to the table, so I understand that it is your category mix, but why are those categories high margin, please?

Jairam Sampath: So, the first and foremost reason is that the price paid to us is similar to price paid to any other similar competitor in the marketplace. So, that being the case, obviously if our margins are higher, we are working on value engineering, etc., but there are six basic factors which affect profitability. One if it is a low volume production, normally margins are higher; second, if the complexity is high, margins are higher; if the criticality of the products that you do is high, then margins are higher; if the percentage of your production as a percentage of the customer's production is low then they are what you call the squeeze factor is much lower and the fifth is the entry barrier in terms of how easy is for customer to replace you; if it is very easy, then margins are lower. So, these are the six factors that affect the total margins in any category.

Moderator: Thank you. We have the next question from the line of Ravi Swaminathan from Spark Capital

Please go ahead.

Ravi Swaminathan: Congrats on a good set of numbers. My first question is regarding the mix of revenues in automobile between traditional IC engine based business vis-à-vis EVs and is there any sizable margin difference or working capital difference between the two businesses within the automobile sector?

Jairam Sampath: So, essentially the IC engine based automotive sector is primarily electronics, which is lesser in complexity compared to the EV electronics. EV electronics tracks more nearly the electronics industrial sector. So, Ravi, we were talking about the difference between IC engine electronics and EV electronics. So, the primary difference is in the complexity. So, IC electronics tends to be lower complexity and it is less criticality also because it is performing oscillatory function, the main functions of the engine etc., are mechanical in nature, whereas in EV the entire car runs on these electronics. So, that is why the profile of margins are likely to be better here because the job is also more like industrial work. It also demand heavy work, a lot of import substitution is happening, so price points that we get in India are comparable to what you get on imported material. So, to that extent, this will be superior to EV electronics.

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Ravi Swaminathan: And how much is EV as a proportion of today's automobile revenue, any sense and how it can be over the next 3 to 4 years, any sense on it? Is it likely to catch up more into two-wheelers than four-wheelers, your view?

Jairam Sampath: EV is an upcoming sector and it has got very strong traction. So, obviously today, if you see, it maybe about 10% or 15% compared to the total automotive work as of FY23 and this year, maybe the percentage will increase much more, but really we can't hazard a guess, but it is a

very strong demand that we can see for electric vehicles. Different types of four wheelers are there, then there are charging infrastructure, so suffice it to say it is going to be very strong demand.

Ravi Swaminathan: Sir, with respect to our presence in the consumer durable side, I believe it is also a pretty large market compared to other companies, we are slightly on the lower side in that, is it a conscious decision or we are likely to increase our presence there also significantly?

Ramesh Kannan: This is Ramesh Kannan here. It is nothing to do. Our company has designed certain combination of orders which we will take. So, accordingly we are rationalizing it. So, there is nothing like we will not take at all. On the other hand, we have enough in our own sector where we are practicing.

Ravi Swaminathan: And with respect to progress in the telecom with respect to the PLI that we have applied, etc., if you can throw light on how telecom can progress in terms of size, revenue, run rate over the next 2-3 years that will be great?

Ramesh Kannan: Yes as far as the PLI is concerned, we have got the order from the customer and we have started doing all the trials. In the coming quarter, we will be doing the billing and this will come into force. Telecom sector also is likely to grow, but we are a large entrant in that. So, we will definitely catch up with the situation.

Management: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities India Private Limited. Please go ahead.

Rahul Gajare: Congratulations on good performance in the first quarter. Sir, I have a question on the CAPEX side, now you indicated during the IPO, you intend to spend Rs. 150 crores on CAPEX, a large part of that going towards Chamarajanagar, I wanted to understand, last time you did mention that you want to set up bare board or PCB manufacturing in India, is there any development in that front which you can share with us, in terms of what are your plans, capacity, location, the kind of technology that

you are planning to put over there?

Jairam Sampath: As far as Chamarajanagar is concerned, it is getting developed and the building is almost getting completed, so at least phase of what we call the Alpha building and that will be have about one about one third to one half of the total square feet area that we expect in Chamarajanagar and so that will support multiple activities across all the different verticals that we are working. As far as the bare PCB is concerned, we have got the government
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approval, etc., and we are working and we are going to be doing the high end PCBs here. We are not going to do commercially high volume low end PCBs. So, probably it will be more like two layer and above and more towards higher layer PCBs and so that is on, but all of these businesses require some time for technology development partnerships and setting up the factory etc. So, we are making sure that we get the best of the minds in the industry to work on this project being business, which is similar to ours in terms of construct, but different in technology, so you can see some improvements by probably end of the year we can have more concrete support on that.

Rahul Gajare: And do you think you will have to raise funds for funding that PCB manufacturing facility or?

Jairam Sampath: For PCB manufacturing per say bare PCB we may not require too much of funds, but of course we do have as Rameshji mentioned in response to the earlier during his initial address that we are seriously contemplating on OSAT business because government is also providing a lot of incentives for companies to start off and we are also kind of deep diving into it, so that may require some investment different from what we have raised during the prospectus.

Rahul Gajare: Sir, basically, given that we are looking at revenue growth of about 40% to 50% for the next several years, maybe three to 3 to 4 years or so, with that kind of growth and the kind of working capital position that we are in, there will be requirement of additional funding for working capital, how do you intend to raise that, given the money raised during the IPO towards working capital is pretty much used, right now?

Jairam Sampath: Yes, correct. That is an obvious thing. We want to match the source of funds to the nature of the usage. So, obviously working capital through borrowings is a good idea. We don't want to use equity funds for working capital kind of activity and going forward, there are two ways of funding this, one is we will squeeze out the waste in our system by reducing the networking capital days, so we are kind of on an annual basis last year we did about 98 days. So, maybe at the end of this year, another 10 days, we will knock it off. So, that will give us some amount of money, 10 days out of, let us say, Rs. 1700 to Rs. 1800 crore turnover, 10 days would be fair amount of money plus we will also raise further banking channel, say we will get some loans etc., to make sure that we fund the working capital needs. As far as capital is concerned, other than new projects like OSAT etc., we have done some calculation and from FY25 onwards, we have to expand capacities in our existing ESDM business for which our internally accrued funds will be sufficient.

Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Congratulations to the entire team. Sir, just wanted some clarification on the previous question itself on the working capital days, if you see in the first quarter, we have seen an increase in the inventory days both on Q-o-Q and Y-o-Y basis, so if you can just explain what has driven this increase in the inventory days? And if I remember correctly, we were trying to source a lot more locally, warehousing etc., which could kind of drive that down and as you said, we are trying to cut down on the working capital days, so how is the progress on that aspect?

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more locally, warehousing

g etc., which could kind of drive that down and as you said, we are trying to cut down on the working capital days, so how is the progress on that aspect?

Jairam Sampath: So, one of the reasons why the number of days looks exaggerated is also because the first quarter is about 16% to 18% of the whole year and as we go through the entire year, the metric kind of average is out and also during the first quarter, second quarter and the third quarter, we actually keep stocking up a little bit and in preparation for the orders, execution etc., and also there is an effect of some customer, there is a small delay of say, 2 weeks to a month if it happens at the end of the quarter, then you would make it look as if there is additional inventory available here. So, in terms of qualitatively, the number of working capital days will be similar to last year, maybe it will improve by the end of the year.

Bhoomika Nair: Sir, the other question that you mentioned in your opening remarks was on the railway signaling where you are seeing a lot of traction and a lot of government spending that is happening, so have we seen some traction on ground in terms of execution? When do you see that kind of picking up, any new client additions or increased audit share, if you can just talk about that because that is a fairly large opportunity for us from medium to long-term perspective?

Jairam Sampath: So, in terms of client addition, we have one large multinational client added. We can't disclose the name yet. On the other hand, there have been very serious attempts from government side to redo the signaling systems in 3000 stations which have actually they have implemented the signaling systems about couple of decades ago. So, a total of 6000 stations worth of signaling and the signaling in between is getting converted into the kind of signaling that we have where we hold about 80% to 90% of market share and we expect this to happen over next couple of years. So, you can see some great traction in railway signaling business going forward.

Bhoomika Nair: And would that mean that railway will grow, so margins will remain healthy, but some expansion in working capital because railway segment tends to have a little bit of a working capital, from that perspective?

Jairam Sampath: So, when we say that we will improve the working capital from 98 to let us say about 10 days during the year, we have considered all of those factors. Yes, a few days here or there maybe changed because of a different proportion of each business segment, but by and large, we think that we can definitely get our working capital down by about 10 days this year.

Moderator: Thank you. We have the next question from the line of Meet Jain from Motilal Oswal. Please go ahead.

Meet Jain: Sir, my question is regarding our vertical mix like in this quarter, we are paying a high share of the OEM Box Build side, so earlier we mentioned that we are seeing some enquiries from the automotive part for conversion of PCBs and Box Build, are we getting that kind of order flows in automotive business?

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Jairam Sampath: What is happening is we are coming back to our classical share of business across different verticals. So, we have always been saying that broadly automotive tracks at about 30%, industrial tracks at about 30%, railway about 15% to 20%, aerospace about 10%. So, the orders that are coming in is moving towards that and at the moment you get the sector rather than non-automotive sectors once they proportionally increase, the Box will automatically increase because most of the Box built is from non-automotive sectors. So, that is the main reason Meet, that you see that kind of thing on the ground.

Meet Jain: And on the PLI segment like we already mentioned that we are getting orders from the white goods business and I didn't get the tele

com part?

Jairam Sampath: So, in telecom also we have got a business model that we have already designed our own product also and we also have some large customers with whom we are working. So, we will be definitely able to this year show some production in the telecom PLI too, in addition to already, we do have white good customers, but our reliance on these two new verticals is not

high for this year's work. This is more like futuristic growth.

Meet Jain: And in this white goods, again you mentioned that the consumer durables are basically a low margin business, so going forward with increasing share of this white goods, don't they valued our margin profile?

Jairam Sampath: So, we have some amount of consumer electronics like consumer durables in our portfolio. We prefer to do work wherein we have our own ODM, so that we can control and maintain the margin profile a little nearer to our choice, but otherwise we don't let it become beyond a certain percentage of our work.

Moderator: Thank you. We have the next question from the line of Dhanan Bagrodia from ASK Investment Managers. Please go ahead.

Dhanan Bagrodia: Congratulations on the set of numbers again. Sir, I wanted to ask you now with this OSAT which is being spoken about, maybe I have missed this earlier, any thoughts of our company and how we are looking at this process?

Ramesh Kannan: This is altogether a new business in India. It is more of a related business, but very highly technological as well as highly capital intensive. That is why Government of India is giving a good subsidy for this. We have a technical partner. Along with them only we are doing it in India. I am unable to tell you full details now. At appropriate time, we will be informing all of you.

Dhanan Bagrodia: So, the capital expenditure which we are forecasting for the next year does not include this, right?

Jairam Sampath: Yes, the objects don't include the money for OSAT. That will be separately done.

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Ramesh Kannan: Not even in this year's budget, it is included.

Dhanan Bagrodia: And roughly, what would be then our CAPEX estimate without OSAT for the next couple of years?

Jairam Sampath: Without OSAT, we probably will complete this Rs. 260 crores that we raised during the IPO time. So, about 100 of that is consumed already and another Rs. 160 crores will be the CAPEX during this year. So, FY25 you can expect us to raise some more, not raise some more, but actually implement some more CAPEX based on our internal accrual, so you can say in a steady state you will have something like Rs. 100 to Rs. 200 crores of CAPEX going in for our electronic manufacturing businesses. In addition to that, the other businesses, there is something new, we will do.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Congrats for good set of numbers. Sir, right now the Indian EMS industry is going through a super normal phase of growth, obviously, we have seen Chinese EMS companies which are probably 10-15 years ahead of the Indian EMS Companies, so we see they are having relatively very inferior financial Indian EMS companies, so while the growth phase is on right now for Indian EMS companies, what are the 3 to 4 differentiated things that we can do so as to improve the competitive advantages as well as the modes into the business so that probably once the growth phase is over, the Indian EMS doesn't go the China EMS way, so what is our take on this and what are the 3 to 4 key important activities that Keynes is doing right now to improve the competitive advantages?

Jairam Sampath: So, what are the fundamental differences between Indian EMS company like Kaynes Technology and the typical Chinese EMS? Chinese EMS specializes in a few product categories, so what happens is they in

crease the volume, so because of increase of volume, their margins tend to be lower, whereas in our case we have a diversified portfolio. The second major difference that we do is that we do value engineering and we make sure that we acquire the business and instead of targeting high volume in the business, we target high margin in the business. That means once after acquiring the customer, we work on the material costs and other things through various means, technical as well as commercial to make sure that we get the target margins that we require. Third thing is we do value added business that means we add some little bit of ODM. Within each sector also, we do those businesses which require complexity and criticality of working. So, these are some of the things which will make sure that we grow the business in a way in which it has acceptable margins also.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential life insurance. Please go ahead.

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Keyur Pandya: Congratulations to the team for good results. Sir, the question is on the CAPEX side, so I think

earlier you mentioned during the IPO Rs. 250 crore of CAPEX from the primary issue and I think Rs. 115 crore for working capital and Rs. 130 crore for debt repayments, if you can just share the status of each of these objects, how much of money has been spent and broad idea of what kind of investment would be required for bare PCB as well as for OSAT with any timeline that you can share?

Jairam Sampath: So, bare PCB was contemplated to be used out of the general corporate purpose for which about Rs. 114 odd crores were earmarked and so we have enough money, we have not spend much there. So, we can use that out of that some funds maybe 50% of those funds for bare PCBs. Coming back to Rs. 130 crores rate for debt be aring that has been paid off to banks and we have reduced our debt by that amount. As far as the long term working capital is concerned, we still have a cushion of about Rs. 30- Rs. 35 crores which we can utilize from the objects to fund the working capital. So, that leads us to the balance Rs. 250 crore of fixed asset that is of CAPEX. In that CAPEX we have used about Rs. 100 crores of that, last year, some Rs. 70 crores, this year about Rs. 40 crores. So, balance Rs. 750 crores will consume it for Chamarajanagar, Mysore and Manesar plants during this year and going forward since we are going at about 50% kind of growth rate, so anything beyond the Rs. 3,000 crores kind of number will require additional capacities to be built in the EMS area. So, we think that our internal generation of the revenue will be sufficient assuming an asset turnover from about 6 to 7, so for every Rs. 1,000 crores we may require about Rs. 150 crore to Rs. 200 crores of CAPEX which we will generate internally. So, from FY25 onwards actually, we start investing this for the next year's capacities for the additional business that we are planning.

Keyur Pandya: Second on the receivable side, whatever numbers we see of receivables in absolute or in earnings days, basically what is the general credit period and this is the actual number which we see in the balance sheet or we see some kind of factoring or discounting, so that we get cash earlier than what is the credit period, I mean any further arrangement?

Jairam Sampath: So, we had this receivables being high because of the nature of the business. So, we took a conscious decision to do factoring and get the money inside and then get it off our books because this factoring is done at request to the customer. So, as soon as they receive the material through various entities, they do supply chain finance and we give them some little bit of factoring charges or bill discounting charges or cash discounts, etc., so obviously this is a little costly. You might see the i

nterest, amounts spent is a little higher, but this is an easier problem to solve. Going forward, what we will do is we will standardize with a few suppliers, maybe one or two supply chain finance companies, so that we can get a better rate of interest, rate of discounting compared to what we are having to spend now because we are going to some many agencies with small footprint. So, going forward, supply chain finance will be done, but with companies which can give us better deal. So, it becomes like to like because we borrow at about 7.2% or so, so we should be able to discount around that number, so we are working. So, by the end of the year, we will probably finalize with 1 or 2 agencies to do this activity. So, that there is no difference in this, there is a valid discussion while we do factoring.
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Keyur Pandya: Just clarification, so what would be the actual credit period on the client?

Jairam Sampath: Actual time period varies from, some customers 30 days, some 45 days, some 60 days and some 90 days. So, credit period will be less than 90 days for sure and if you take an average, we can probably bring it down to about 60 days if we were perfectly collecting and customers were perfectly paying.

Moderator: Thank you. The next question is from the line of Piyush Khandelwal from Bank of India Mutual Fund. Please go ahead.

Piyush Khandelwal: I just wanted to get a sense on the margin side, because if I look at quarterly, there is a lot of volatility in the margins and since you already have an order book, so what kind of, let us say margins that we can look at on an annual basis, is it like 13-14% range, 15% range because last quarter you delivered 16 odd percent, this quarter 13.5%, annualized basis is somewhere around 15%, so just trying to understand annualized margin range?

Jairam Sampath: Margins increase, EBITDA margins will be about 15% and you can expect PAT at about 9% to 10% for this year because our gross margins are stable, so because of that we can confirm that based on the order book, already we have done the math. Why you see the volatility is because the amount of business that is done each quarter is different. So, it kind of starts like let us say this year, it starts at 13.5% and obviously it will exceed 16% during the fourth quarter. Average, you can expect 15% EBITDA and PAT around 9% to 10%.

Piyush Khandelwal: Sir, another question is on this OSAT opportunity that you spoke about, although you mentioned that you won't be sharing much details, so you already had a technology tab or you are in discussion with some large OEMs, just wanted to get a sense on this because you also mentioned that it is a heavy CAPEX business?

Ramesh Kannan: We have already gone ahead and come to an understanding as far as the partnership is concerned. We will be shortly exercising it and going in for Government of India approvals for this.

Piyush Khandelwal: And the CAPEX will be, is it in partner share where you will also do some amount of CAPEX and the partner at your on-boarding will do or the CAPEX will be on your term, on your balance sheet?

Jairam Sampath: We will do the CAPEX ourselves, but there is significant subsidy available from the government, so we think it is the right time to get it.

Piyush Khandelwal: What kind of subsidy, any ballpark number, let us say if Rs. 100 crores of CAPEX you do and what kind of subsidy you can expect?

Jairam Sampath: Post approval only we can answer.

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Ramesh Kannan: This is too early to answer this. You will have to excuse us because we will come back to your appropriate time.

Jairam Sampath: Because we need government approval before we complete.

Moderator: Thank you. The next question is from the line of Anirudh Singhi from the Dalal & Broacha Portfolio Managers. Please

go ahead.

Anirudh Singhi: Congratulations on good set of numbers. My first question is about the smart metrics. So, we have seen a lot of orders coming in lately for smart meters and the government is trying to replace 25 crores meters, so what is the quantity there for us, what is the revenue we are getting right now, what our clients and what could the opportunity be?

Jairam Sampath: So, as far as smart meter is concerned, we are working with some large civilian companies with Indian outfit. They have got orders in a couple of electricity boards and the requirement is in millions of numbers. Obviously, smart meters being a new metering product, it takes some time for implementation and even though the orders have been issued by various electricity boards etc., most of the OEMs are taking their time to install new smart meters. As far as we are concerned, we are also in ODM player, we have our own design. So, going forward, the combination of both contract manufacturing that is EMS as well as ODM we think that it can be an important part of our portfolio in the industrial sector.

Anirudh Singhi: And we won't be doing any tendering ourselves, we won't be participating in any other tenders ourselves?

Jairam Sampath: No, we are not typically geared up to participate directly into government tenders. So, that is not our business model yet. So, we continue working either with the OEMs directly or in some cases through tiered approach.

Anirudh Singhi: And secondly, what will be your utilization right now or mostly what is the peak revenue we can do with our current capacity?

Jairam Sampath: Yes, using all the money that we have received during the IPO, we should probably go to about Rs. 3,000 crores and beyond that, we will internally generate for our existing business that is (Inaudible) 46.12 and I think it is self-sufficient because the cash generation from FY25 onwards would be sufficient for future capacity required from this business.

Anirudh Singhi: So, this Rs. 3,000 crores will be after the new plant, right? Currently how much you would be able to do?

Jairam Sampath: If you see currently, this year 1700, 1800 the new plant contribution will not be huge. So, roughly you can say with this new plant coming in, we go to about 3000. So, currently even should we stop to work today maybe up to Rs. 2,000 crores, we can do probably with all the machines that have been ordered and installed.

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Anirudh Singhi: And Chamarajanagar plant could be about Rs. 1,000 crores peak revenue, would that be a good estimate?

Jairam Sampath: Yes, even more probably. It depends on the kind of business that we do from there, so yes that is a good ballpark to keep, yes.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, my question is on margins, you mentioned why we have higher margins than peers globally, but whenever we speak to EMS companies in India, everybody wants to do pretty much the same segments, so do you think there is a possible downside risk to these margins over the medium term because at the end of the day, the capabilities are getting built at multiple companies to be able to do the same thing, just wanted to know your thoughts on that?

Jairam Sampath: As far as we are concerned, we have planned for the immediate future in the short term. We can

consistently do this and we are able to see a visibility for the next 24 months. Our company's activities are designed in such a way next 24 months there should not be any up or down.

Moderator: Thank you. The next question is from the line of Sayan Das Sharma from Bajaj Finserv Asset Management. Please go ahead.

Sayan Das Sharma: Sir, most of my questions have been answered, just couple of basic clarification. First, sir, last quarter if my memory serves me right, you

said that there was Rs. 60 to Rs. 72 crores order

which was deferred, you could have completed it last quarter because of some bottlenecks couldn't, so if you acquire that revenue in Q1, then the growth looks significantly lower than what the guidelines numbers are, so is there anything I am missing or is it the right way to look at it?

Jairam Sampath: No, actually the overflow of businesses typically happens not just exactly to the quarter. It depends on when the scales arrive etc. You are right, we could have some finished goods, etc., with us awaiting the confirmation from customers etc., so what happens is whenever we are addressing some of these newer segments, so sometimes there is some delays in the uptake of material, sometimes there is a rethinking by customers about their own strategy etc. So, first quarter typically suffers from these problems, so you are right about Rs. 30-Rs. 40 crores additionally could have been done in the quarter, but for the year we are already saying that Rs. 1,700 to Rs. 1,800 crores is what we think we can do. So, you can look at like that. We are not still completely out of the supply chain, though 90% of the problems have been resolved, 10% of shortages are still lingering, and maybe during this year, I think it will get clarified fully. So, when we exit this year, you can say that one miss and one (Inaudible) 50.13 can be taken up in the other quarter, they are being made against to confirm purchase order.

Sayan Das Sharma: Sir, my second question is, you have been growing pretty fast last few quarters, a few years, couple of years, so if you can just share some sense on how much of this growth has come

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from wallet share gains of existing customers and how much has come from new customer addition, I understand you are not sharing the exact number of customers, but any quality difference from that?

Jairam Sampath: Currently, what you see, our guidance and whatever numbers in the EMS business, 80% is from existing customers and that comes from both combination of wallet share gain in existing products and some new products that they are trying to be with us. Roughly 20% is the kind of traction we are seeing from the new customers and going forward this 20% number is going to propel first. As you know, when we did last reckoning we imported electronics of a very high order number and import substitution is being now pursued actively by the government. They are also talking about it openly, so you can expect new customers share in the future to go up significantly.

Sayan Das Sharma: And one last small thing, if I may, you have done a commendable job on increasing the Box Build share, which is now about 34% in a sense where we could see this maybe couple of years out, any aspirational numbers that you have in mind?

Jairam Sampath: See, our aspirational number is that is we have something like 40% Box Build, 40% PCB assembly and 20% of design. It is a good portfolio to have. It will have a healthy mix of new products and it will also have a healthy mix of profitable product. From that perspective, we need to improve with the amount of ODM that we are doing. Otherwise, if all the businesses grow the way we had contemplated across all the sectors, then this 40:40:20 is likely to raise, so that is how we look at it.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Sir, just one clarification, see post the IPO, if I am not from Mysore is one facility where we have already done the CAPEX in the additional facilities available and Chamarajanagar you mentioned that the first phase would be, which is probably 35% or 40% of the proposed capacity, so when will that be available, so as of now, what is the utilization overall and what is the upcoming brands say in next nine

months?

Jairam Sampath: Yes, so broadly speaking about Rs. 250 crore that we raised for CAPEX, about Rs. 100 crores have been utilized and already the building and construction is going on, we have ordered machines etc., so during next balance 9 months of the year, you can see the entire Rs. 150 crores to be consumed and maybe readiness for doing up to Rs. 3,000 crores should be there by maybe not exactly end of this year, but maybe the first quarter full operation is likely to happen.

Keyur Pandya: What all plants or facilities are coming up this year, which will be available for use in FY24?

Jairam Sampath: Chamarajanagar is one and we are contemplating on additional plant in Pune region. So, these

are the two things we can look forward to during FY 24.
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Keyur Pandya: And for whatever guidance you have given, do we have facilities available for that kind of growth?

Jairam Sampath: Yes, for the guidance numbers, we already have secured the capacities.

Keyur Pandya: And just one quarter number, but the automobile revenue based on what you have shown in the presentation, the growth is not significant year over year, only for Q1, so is there any seasonality or this how the business behaves or it is I think Rs. 95 crores versus Rs. 82 crores last year?

Jairam Sampath: That is why we don't lay too much emphasis on one particular sector doing well and we don't celebrate that because many times there are secular changes every quarter to quarter. We still think that automotive is a strong sector. First quarter is not a sector to judge. In fact, what has happened is even the EV etc., first quarter they take a pause, they look at all their field, installs, they look at any technical changes are required, etc., but you can see the sector picking up and it is not bad for us, the 30% automotive is what we have been seeing from beginning as the average number. So, that is okay and other sectors are picking up for us like we said, railway, industrial, aerospace and IT/IoT, so from that perspective, but it is not a different automotive, we don't see any such signs on the ground.

Moderator: Thank you. The next question is from the line of Amar Maurya from Alpha Accurate Advisors Private Limited. Please go ahead.

Amar Maurya: Sir, first question is little bit more on the working capital cycle and primarily on the funding of the growth, so basically, sir, what I can understand is that this year we had guided for something around Rs. 1,700 crores kind of a topline, which means like, 15%, Rs. 510 crores kind of EBITDA and so basically and if I see the EBITDA to cash flow conversion, historically also has not been like, more than 25% to 30% average. So, in that context, what I see here is that the major money which we had raised through the IPO will be consumed in working capital, so I am just trying to understand how we will fund this for growth and then for the working capital?

Jairam Sampath: So, as far as fund is concerned, we are using exactly what is earmarked for, so Rs. 250 crore will go into CAPEX we kept it in the FDs etc. Of the remaining there are some general corporate which we are actually not using for any working capital. Two things, one was long-term working capital, other is of course closing the debt, which is essentially funding the working capital, yes indeed it is there. What happens is when you are in a growth phase, the regulation of working capital is not our objective, but to secure business and then to perform on it. So, as you know, last year and maybe it is extending to this year a little bit of supply chain difficulties and getting components etc., so we are not taking any discounts on that behalf, so if you notice, our payables are also, we are keeping it quite generous in the sense we are not putting too much pressure on our suppliers right now, so because the growth rate of

ate of

50% etc., is possible only if you can supply the components for the same thing. So, with that
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perspective, we do have several levers to handle the fund for additional businesses, etc., and this 25-30% of cash flow versus EBITDA, maybe it can be taken up to about 50% by the end of the year or at least in the first quarter or so. So, we think that we can pull out some of the working capital out of the working on inventories and local supplies and also working on supply chain finance, etc., and at that point in time, when our purchases also will be larger, you will also lean on our suppliers also to fund a little bit to pick up the business, so all these factors together, I am sure we can get that additional money to fund the working capital and also EBITDA-to-cash will be higher, so we can fund money for the CAPEX too.

Amar Maurya: So, basically EBITDA let us say OCF, are we saying that by the end of this year we will be at least 55% to 60%, EBITDA to OCF?

Jairam Sampath: That is the aspiration, sir. It also depends on how fast the business is growing, so supposing for something the big order because we expect the fourth quarter to be higher than usual. So, if that happens, then what will happen is we will happen we will (Inaudible) 59.03 and some continue to do so. We might overstock a little bit, but yes, by the first quarter of next year, certainly on a running basis on a 12 month running basis, we should get there, 40%-50% kind of EBITDA.

Moderator: Thank you. The next question is from the line of Mayur Patel from 361 Asset Management. Please go ahead.

Mayur Patel: Congratulations for robust set of numbers and I highly appreciate the high growth path which

the company is able to achieve, but coming to the same point which the previous discussion was that I would have just a very humble suggestion that in this high growth phase, please do look at the cash flow conversion because if OCF conversion would remain low then very soon regularly you will need capital raise and then that 30%, 40%, 50% growth path will not create much value for any stakeholders, so that is the cash flow generation I would request to keep that as one of the high priority factors apart from other things. That is the only humble session from my side.

Jairam Sampath: Thank you exactly. We actually do not look at any other metrics other than ROC as the most important metrics. We are keeping track of it and we make sure that that moves upwards on an annual basis and also the cash conversion ratio also, we are tracking every quarter. I was only explaining the nature of business growth that forces us to temporarily up the metrics a little bit.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Ms. Renu Baid Pugalia for closing comments. Over to you, ma'am.

Renu Baid Pugalia: Thank you everyone. We thank the management for giving us the opportunity to host the call and the audience for being extremely patient. I would like to now pass it on with the management for any closing comments or remarks.

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Ramesh Kannan: Our apologies for having some telecom connectivity problem. I am sure next time onwards this should not happen. Otherwise, thank you very much for all participants and the host team having us in this call. Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23 -25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 November 04, 2023

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Tower s,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Sub.: Intimation of transcript of earnings call for the Financial Results of 2nd quarter and half year ended September 30, 2023.

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by PHILLIPCAPITAL INDIA PRIVATE LIMITED for the Financial Results of the 2nd quarter and half year ended September 30, 2023. The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Transcript%20of%20Earnings%20Call-%20November%2001,%202023.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the earnings call

November 01, 2023

MANAGEMENT : MS. SAVITHA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAMESH KANNAN – FOUNDER AND MANAGING
DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
MR. NEERAJ VINAYAK -- HEAD OF INVESTOR
RELATIONS -- KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : MR. DEEPAK AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 earnings conference call of Kaynes Technology hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital India Private Limited. Thank you and over to you, sir.

Deepak Agarwal: Good afternoon, everyone. On behalf of PhillipCapital India Private Limited, I welcome you all to Kaynes Technology Limited Q2 FY24 earnings conference call. Today we have with us management represented by Mr. Ramesh Kannan, Founder and MD. Ms. Savitha Ramesh, Chairperson; Mr. Ja iram Sampath, Whole -Time Director and Chief Financial Officer. Mr. Rajesh Sharma, CEO and Mr. Neer aj Vinayak, Head of Investor Relations.

Without taking much of time, I would like to hand over the floor to the management for their opening remarks, post which we open the floor for Q&A. Thank you and over to you, sir.

Ramesh Kannan: Good afternoon, friends. My name is Ramesh Kannan, I am the Managing Director of this company. I would like to welcome everyone present on the call from the entire team of Kaynes Technology. I have along with me on the call, Ms. Savitha Ramesh, our Chairperson. Mr. Ja iram Sampath, our CFO; Mr. Rajesh Sharma, our CEO and Mr. Neeraj Vinayak, our Head Investor Relations.

Coming to our performance for the quarter ended September 30th, 2023. Our total revenue was INR3,608 million, registering a growth of 32% year on year. Our growth was largely led by strong demand in industrial and railway verticals. Our Q2 FY24 EBITDA was INR488 million compared to INR432 million last year.

Our PAT for Q2 stood at INR323 million compared to INR210 million during last year. We continue to witness strong demand across verticals with monthly order inflow reaching to INR2741 million per month from INR2165 million during Q1 FY24. Our order book as on September 30th, 2023, stood at INR34,608 million.

Friends, let me share few details around major developments for the quarter.

On IT side, as you are aware that Kaynes Technology as a part of its strategy to enter into complex electronic manufacturing has entered into a Transfer of Technology License with Center for Development of Advanced Computing, CDAC, under the National Supercomputing Mission. I am very pleased to announce that Kaynes has delivered the first batch of prototype of high-performance computing servers in the three and a half months' time, which makes us eligible for a significant contract for manufacturing a large number of high-performance computing servers under Atmanirbhar Bharat.

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These are India's first indigenized, developed, designed high performance computing servers and are likely to be the backbone of hyperscale datacentres, edge computing and whole set of industry applications. This delivery validates our strong execution, robust testing, and reliability setup. Our strong execution in the space have resulted in increased enquiries from global OEMs for possibly Make in India collaboration.

We have also received our first order from the global medical player for supplying components for their cardiovascular division based in US. This marks an important milestone for us and reinforce our outline strategy of continuous expansion of customer base with focus on large accounts.

One of the mega trends in the adoption of green technology for sustainability; I am very pleased to say that we have a

acquired a large key account in manufacturing of components for electric vehicles directly from the OEMs. In addition, we have done a transfer of technology with the European OEM in EV space, supercharger segment and have one sizable order to start with. Let me now spend a few minutes talking about how we see the ESDM landscape shaping up in India and why it is important for players to take a larger role.

India is witnessing an impact of global mega trends in 5G, datacenters, electronic vehicles, healthcare, artificial intelligence, and Industry 4.0. All this is creating huge opportunities for companies like Kaynes Technology. However, the supply chain has still not come up in India and we are dependent on component imports. I firmly believe development of local manufacturing ecosystem is way forward as it will be.

Improve time to market/lead time, reduce component and logistics cost, save precious foreign exchange and making electronic products more affordable as overall cost of the ownership becomes more prominent. In view of the above and as a part of our overall strategy, Kaynes Technology has taken baby steps to get into semi-con packaging. This is an urgent need of the day and we would like to support government initiatives in developing and promoting the indigenous ecosystem of supply chain.

I believe we need financially stronger multiple players to act as a catalyst to lead this transformation stage. This will not only remove bottlenecks around supply chain ecosystem, but also help the industry unleash its optimum potential, playing its part in the ecosystem, development will not only strengthen the fundamentals of the industry, but it will also create few large organizations which can be benchmarked to the best in the world.

We have forwarded our proposal to Government of India for setting up an outsource semiconductor assembly and testing facility in Telangana and are awaiting for final approval.

We will be sharing finer details of the project once we formally receive the approval for the same. We look forward to your continuous support as we embark on this journey ahead.

With this, I will now hand over the call to Mr. Jairam Sampath, our CFO to take you through our financial performances. Thank you. Over to you, Jairam.

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Jairam Sampath: Thank you, Rameshji. Good afternoon, everyone. Thank you for joining us on the call. I am Jairam Sampath. I am the Whole-Time Director and CFO of Kaynes Technology. I will be presenting the financial performance of our company for the period ending 30th September 2023.

For the quarter ended 30th September 2023, our consolidated total revenue was INR3,608 million, representing a 32% year-on-year growth. For the first half year ended September 2023, consolidated total revenues were INR6,580 million, representing 39% year-on-year growth. The consolidated EBITDA for the quarter was INR488 million, showing 13% year-on-year increase, while for the first half it was INR891 million, which was up 31%. The EBITDA margin for the quarter and half year stood at about 13.5%.

Our consolidated profit after tax for the quarter was INR323 million, up 54% year-on-year, and for the first half it was INR570 million, up 83% year-on-year. PAT margin for the quarter stood at 9% and for the first half it was 8.7%. Based on our current order book, we have guided for a revenue of INR1,700 crores to INR1,800 crores for the year and we are very confident of achieving this number. We expect EBITDA to recover during the second half of the year and expect it to close around 15% for FY '24 and PAT we are aiming for a double-digit percentage for FY '24. Net working capital at the end of September was at 119 days on an annualized basis, lower than 121 days, which was the number at the end of the previous quarter.

Our inventory was higher as we have to

make advance purchases keeping in mind the requirements of upcoming quarters. Our net debt at the end of the quarter stood at INR1,224 million compared to INR972 million at the end of the previous quarter. Our ROE and ROCE adjusted for unutilized portion of the proceeds is at 20.4% and 22.4% respectively for the first half of FY '24.

We continue to make progress in our expansion plans and continuously adding newer lines in our existing facility in Manesar, Mysore, Bengaluru, Chennai, which are expected to contribute towards enhanced production in the coming quarters. Additionally, on Chamarajanagar, we have operationalized a few lines and Alpha and Beta buildings work is almost completed. We have commenced production and business from Chamarajanagar. We expect full functionality of the new facility by the coming quarter.

As you are all aware, Kaynes Technology has taken baby steps to get into the Semicon Assembly and packaging and has signed MOUs with state governments. Our first phase of Semicon Assembly is expected to come up in Telangana. We have submitted our formal proposal to the Government of India and are awaiting final approvals. We will be sharing finer details of the projects once we formally receive the approval for the same. We look forward to your continuous support on this journey ahead.

With this, I would request all participants to come up...

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, our first question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

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Rahul Gajare: Good afternoon, gentlemen, and thank you for the opportunity. Sir, in this particular quarter, you had a margin of about 13.5%, which is similar to what you had in the first quarter also. You did guide for a 15% margin for the full year. I want to know from you, based on the order book that you have, what do you think is a sustainable margin in your business? And I remember you talking about looking at expanding the margin as exports pick-up. So in the existing order book, how much is export? So that's the first question.

Jairam Sampath: Yes, Mr. Rahul, thank you. Thank you for attending the call. So as far as our guidance on margin growth, that is still intact. We still think that for the year, we will probably do more than 15% EBITDA margin. Now, coming to the specific question on why Q1 and Q2 are somewhat lower at 13.5%?

In our business, what happens is whenever we on-board a new client, in the first few quarters, whether it is for prototyping work or whether it is for pilot lots, for the first few quarters, we probably incur the expenses and we probably don't get the kind of revenues we expect. So even when we are doing some trials, etcetera. The materials are bought at a little higher price. So this is the effect why you see margins a little bit depressed. But coming to the next quarter and the next, that is Q3 and Q4, we'll recover more than this. And we are confident to end the year with about 15 plus percent EBITDA. So that is the answer to your question, sir.

Moderator: Thank you, sir. Sorry to interrupt, Mr. Gajare. May we request you to re-join the question queue, please? Thank you. Our next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Good afternoon, sir, and thank you for the opportunity. So you spoke about new client additions and servers, medical area, EVs, etcetera. So if you could just talk about what are their order sizes, what will be our wallet share, what is the kind of time frame that we have this order execution for? And alongside that, if you could also comment about where is the railway signalling, smart metering opportunity, defence, etcetera, also scaling up? What is the kind of uptake that we are seeing in those segments? Thank you.

Jairam Sampath: Yes, thank you, Ms. Bhoomika, for attending the call. So with regards to your question on the medical and the IT front. As far as medical front is concerned, we on-boarded two clients actually from Europe. And these clients actually supply equipment which are related to the ICU and operating theatre and all that. So these clients are expected to grow in volume over time, and we expect to complete at least the initial pilot lots during this year. And for this product category, in India, we probably will be the exclusive production facility for this particular medical client.

As far as the IT, high-performance servers, which Mr. Ramesh was mentioning, we have a large client in India. Like we said, we are supporting the national effort at creating the IT backbone. So we have kind of 50% plus market share in this particular business. And then going forward to other areas going into the future, we are on-boarding a lot of new

clients in the EV segment. And both, it's a richer client edition. It's not merely vehicle manufacturers, but also the charging infrastructure people, and also people who specialize in

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component manufacturers specifically focused at EV. So you can see a lot of other developments happening in this area. And these are something which is value-accretive for us. These have been projects on which we have been working in the past for almost last two years. And they have now come around to giving us some good benefits.

As far as railway signalling is concerned, I'm happy to tell you that railway signalling projects have taken off now. And the government is very serious in its investment proposal to upgrade all the -- both electronic interlocking as well as the train collision avoidance systems. And we have started seeing its effect on our order inflow, with the result that percentage of railway signalling was a tad higher compared to the previous quarters. And we expect this to further go up in the coming quarters.

Moderator: Thank you, sir. We move to the next question. Our next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Yes, good afternoon, and thank you for the opportunity, sir. I have two questions. First, you did mention of various DOTs being signed up for technology access on EV chargers, medical equipment, and other segments. So what is the kind of investment that we're targeting through this DOT fee route for the current year and next year? And also aligned with this, if you can also highlight or quantify, while entering into a high-computing server segment, as a high-margin business, in your view, what could be the scalability of revenues from this business coming over the next two years to three years? How large can this business vertical be in terms of our addressable size in market?

Jairam Sampath: All right. Thank you, Ms. Renu. So as far as the technology for new EV products are concerned, there is no significant technology fee, excepting that they have come to us because we have capability to translate their design into proper manufacturing. And most of these, barring one particular company where we'll be exporting components for the EV, the remaining are aimed at Indian markets. So they were looking for manufacturers, and we've been working for over one year and 1.5 years. And these are significant projects.

Until about last year, we had only a four-wheeler, major four-wheeler EV manufacturer as our client. Today, we not only have one four-wheeler, but two four-wheeler EV manufacturers, plus one two-wheeler EV manufacturer, and also one for EV charging infrastructure, which is aimed at commercial vehicles, and one EV components company. So going forward, you can look at it as a significant portion of our industrial EV revenues. And these are being at the early stage of business.

These will be also with a reasonable profit margin.

As far as HPC is concerned, we started with one major, let's say, server entity in India, government entity. And this is to support the IT backbone for the country. And after we completed our pilot lot to them, we were approved for future procurements. And obviously, these future procurement numbers are large, but we think that you will get significant, 1,000 of these kinds of servers each year going forward.

Plus, on the back of it, a multinational company also, who wants to consider Indian companies to manufacture their servers in India. We are almost tying up with that company. And that will

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also be a large company. So to give you a sense, going forward, IT, IoT, and aerospace and medical, all will probably be equal in terms of their composition in our portfolio. And these are all segments and also in railways, we have also acquired some two large contracts.

So going forward, the good news is that the non-automotive sectors are increasing in their presence in our portfolio. Automotive sectors is growing as per the industry expectations. So all-in-all, you will see going forward, a better margin also and better sales numbers too.

Moderator: Thank you. We move to the next question. Our next question is from the line of Kaushik Mohan from Ashika. Please go ahead.

Kaushik Mohan: Hi, sir. Congratulations for the great set of numbers. Sir, my question is on margins being at a higher, superior place compared to our competitors. What makes us so differentiated? Are we low volume and high margin product? Or like only exports has been considered in this?

Jairam Sampath: Kaushik, thank you for attending the call. Welcome to the call. So this, of course, we have

discussed in the past too. This is our thesis. We don't know really too many details about our competitors. But suffice it to say that first is being present in all these sectors. That helps us. For instance, the early stage of our growth last three years came in automotive sector. But today we see the traction of sales coming in all other sectors. And they are obviously marginally superior in terms of their margin profile and so on. So that is one point, which sectors you are in.

Second thing is we specialize in small volume, high-tech, high -- small to medium volume, high-tech, high variety businesses. And so including things like, we have now been qualified for what is known as [Nod 5 0:24:24] for one of the premier space agencies in the country. So these are all very highly profitable businesses for us. And also it allows us to do a huge amount of service to the nation too. They are very high profitable. So we post along, especially in IT sector also, I talked about high performance computing. So we are not into commercial products. We are into servers and those kinds of products. So that also keeps the margin intact.

And the other thing is all the products that we do are critical and complex. So with the new addition of what we call the assets, which are high-tech and new generation, we are able to take up more jobs which require higher complexity and higher technology to do. So these are the things, some things which keep our margin profile higher than some of the industry people. This is our view. Of course, you can confirm from them what their views are.

Kaushik Mohan: Thank you. With this, that means that we have guided for a total revenue of INR1,700 crores to INR1,800 crores. If I even assume INR1,700 crores and minus both the orders, both the quarters, I get around somewhere around per quarter I need to do INR521 crores, so INR522 crores. So in INR522 crores, if I need to make my overall year margins to reach around 15 percentage or greater than that, I need to get 16 percentage margins for the next two quarters?

That means that in our next two quarters, our revenue

is only coming from the non-automotive

segment and majorly on export side. And that is the driver of the growth for the couple of two quarters, which leads us to get more than 15 percentage margins?

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Ramesh Kannan: If you go through our historical data, our historical data says that we do in the first half H1, we do 35% to 40% and H2 we do 65% to 60%. So with that, this achievable number is not a problem.

Now coming to the EBITDA, it is possible because our EBITDAs have today come down because there are a lot of developmental projects which are not in full swing as well as in production.

So unless those projects are converted to production, but without doing that, we will not be able to grow to the next level. So we need to do that and that is why there is a marginal reduction in our EBITDA, which will be taken care of in the coming two quarters.

Jairam Sampath: Just adding to what Rameshji said, you are right, going forward in these two quarters, significantly higher EBITDA numbers are likely.

Moderator: Our next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, basically I wanted to check on this order book, so what will be the EV revenue share for you currently in the current quarter and highlight for the order book also, what will be the share?

Jairam Sampath: Yes, Mr. Siddhartha, good afternoon, welcome. Thank you for this question. See, typically on an yearly basis, we expect the EV revenues, which is part of industrial, to be about between 10% and 20%, okay. Because we are onboarding many more new clients, so that is the kind of number you can expect.

So typically what will happen in the future, if we were to look into future, 30% will be automotive, industrial EV may be about 40%. Out of future, about between 10% and 20% will be EV. And then of course the remaining will be railway signalling, about 15 plus percent. You will have aerospace, defence, etcetera, sub 10%. Even medical will be sub 10%. Maybe IT, IoT will be another 10% or so. So this is the kind of number you can expect.

Moderator: Thank you, sir. Our next question is from the line of Dhananjay from ASK Investments. Please go ahead.

Dhananjay: Yes. Sir, this quarter you all have done a fantastic job on the revenues, but just on the cash flow from operations, it's still negative. Any reason why inventory shot up and what could we do about that going ahead? Because, again, we'll have to raise money sooner than later?

Jairam Sampath: Yes. So thank you, Dhananjayji. Welcome to this call. A very relevant question. But rest assured, in this quarter, the temporary increase in inventory is due on account of some postponement of some of the business that we are doing with an existing customer. Plus, we are also stocking up for the significantly higher number of sales that we are doing in the coming quarter.

And in terms of cash flow from operations, we expect from, like we have said earlier, and now, this year, obviously, it's a year of ramping up sales and so on. So there will be a little bit of tendency to consume cash in favour of inventories. But going forward, we will have certainly

OCF EBITDA number coming up significantly. Maybe in a couple of years' time, we can see

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the OCF EBITDA go between 30% to 50%. That's our target based on whatever internal planning that we have done.

Dhananjay Sure. But then, for OCF EBITDA to be 30% to 50%, which part will see improvement?

Jairam Sampath: Yes, very good question. Inventory will see improvements because we are also, like we have described in the past, we are talking to our suppliers and also, we are improving our production cycles to avoid -- so coming back to where this improvement in OCF will come, primarily by continuing the inventory in

creases.

So hopefully, by next year, we will have better supplier traction in terms of local stocking, etcetera, and also better -balanced production that we are having. And also, most of the businesses which are being onboarded now will get into regular production. So the impact of excess inventories on account of pilot lots, etcetera, will reduce.

We are already on track to do better in terms of receivables. We have shown improvement in receivable days. And payables is something that we are keeping it steady. And at an appropriate time, we might extract some little comfort from there too.

Moderator: Thank you sir. We move to the next question. Our next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So for railway, what kind of opportunity, what opportunity we are getting from Vande Bharat or existing traditional business?

Jairam Sampath: Yes. Sumantji, again, welcome to this call. Essentially, there are three different businesses that are in railways where we can apply. One is called electronic interlocking, which is the one which is driving our current increase in sales. This is the traditional solid state interlocking business. And then there are two other businesses like Vande Bharat. So at this point in time, that is not driving the revenues. But of course, we are preparing some production for Vande Bharat too. And the third part is, of course, the Kavach program for which we are also diligently applying ourselves and working with the railway authorities to develop our solution for Kavach. So currently, it is electronic interlocking which is driving our revenues up.

Moderator: Thank you. Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

Venkatesh B.: Yes. Thank you for the opportunity. Just one simple question. I think it was mentioned that usually in the first half of the year, you do 30% to 35% kind of revenues. And second half, you do 60% to 65% kind of revenues. Now, if I go by that number, and I assume, let's say, 30% to 35%, your first half number is roughly INR658 crores.

And based on that, if I assume 35% has been done, it means you should do 18.1 billion for the full year. And if I assume like you've done only 30%, then it should be 21 billion. So is my assumption correct that actually you can do between 18 to 21 billion, and your guidance of 17 to 18 billion is actually conservative?

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Jairam Sampath: Yes, let me put it this way. 17 to 18 billion is definitely realistic guidance, and we'd love to do anything more. This will be known more surely when we talk about it in the third quarter call.

Because by that time, we would have completed bulk of the INR1,700 crores to INR1,800 crores worth of work.

But there are definitely possibilities to increase it better. It completely depends on our Q3, how much we are able to complete. Because as we go forward, the amount of production to be done on a daily basis increased tremendously. So yes, 1800 is a realistic number. Beyond that, we will confirm in the next quarter.

Moderator: Thank you sir. Our next question is from the line of Navid Virani from Bastion Research, please go ahead.

Navid Virani: So, sir, I just wanted to have a clarification on this OSAT facility. So currently we have a couple of MOUs signed, one with the Telangana government and one with the Karnataka government, right?

Jairam Sampath: Yes.

Navid Virani: And in the opening remarks, you said that the Phase 1 of this OSAT facility will come in Telangana. So are we planning to have a multi-geographic presence in terms of OSAT

manufacturing? Is that the right way to look at it?

Jairam Sampath: Yes, sir. We are going to have Phase 1 in Telangana. Phase 2 will be coming up in Karnataka.

Moderator: Thank you. Our next question is from the line of K

aran from Niveshaay. Please go ahead.

Karan: So my question was, we have experienced an increase in short-term borrowings. It has almost doubled in this quarter if you compared to March 23. So can we see a similar increase in borrowings as we scale up the business? And what would be the sustainable debt to equity that we will be targeting as a company at a consolidated level?

Jairam Sampath: Yes, sir. So, Karanji, it's a good question. We are also kind of working out. We want a healthy debt-equity ratio going forward. But at this point in time, whatever increases that you see is due to the temporary increases in inventories that we see on account of certain things that we talked about. So we will like to keep the debt equity at a reasonable number, not too low, not too high, so that it gives us the advantage of a proper leverage. At the same time, it does not burden the company with interest burdens beyond our capacity to further invest free cash flows. So we are working on that mix. Maybe we'll implement it in the coming year in some way.

Moderator: Thank you. Next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you for the opportunity. Sir, just want to understand at current what is the utilization of our existing plant and all the proposed expansions that you mentioned, timelines for the commissioning and basically what quantum of capex is being done in those facilities and the revenue potential? That is the first question.

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Jairam Sampath: Thank you, Keyurji, for attending the call. So as far as the capacity utilization is concerned, obviously going forward into the third quarter and fourth quarter, our capacity utilizations are going to go up. The good news is that we are going to operationalize the Chamarajanagar facility fully based on the objects of whatever money that we had raised.

So we will roughly have more capacity than what probably we will do sales on a run rate basis.

So the timeline for this is that in this quarter, that is Q3, the beta building will be completely operationalized in terms of machines and all that. And the third building also will be ready in terms of the structure. And by the end of the year, we will have the entire Chamaraj facility firing on all cylinders.

So at that point in time, if you ask me, after installing all the machines, if you take FY'24 numbers as a guideline, about 60%, 70% of capacity utilization will be there. But never mind, because going to FY'25, again, there will be further growth. So I think we are well poised for FY'25 numbers too. By the end of this year, we will have enough capacity to deal with FY'25 numbers also.

Moderator: Thank you. Our next question is from the line of Piyush Khandelwal from Bank Of India Mutual Fund. Please go ahead.

Piyush Khandelwal: Thanks for the opportunity. I just wanted to understand a little bit on this profitability side. If I see our mix, which is on the letter box build side, a box build disk half, which is the first half contributed roughly around 40%, versus 29% in the previous half. Sir, my question is primarily on the profitability side. Well, I understand on the EBITDA margin side, the reasons that you have stated on the lower EBITDA margins in the first half. But if I look at the gross margins, it is also down 55 basis points on a Y-o-Y basis, despite our box builds are increasing, which is 40% in the first half, FY'24 versus 29% in the first half, FY'23. So just trying to understand this mix change and not reflecting on the gross margin side as well?

Jairam Sampath: Yes, Piyushji, again a very insightful question. So essentially whenever we onboard a new customer, so obviously you can conclude that we have some new customer for whom we are doing box build this quarter. So when we start the business with any new

customer, in the initial

lots, the cost of materials are higher and our economies don't come in because we have not fixed the supply chain. But a couple of quarters later, this whole margin goes up.

So the simple explanation for that is having onboarded box build more this year, it will help us to get margins in the future. As far as the current two quarters, first and second quarter numbers are lower, especially second quarter you can see box build is higher. That's because of the initial stage of production.

Moderator: Thank you. Our next question is from the line of Rajesh Vora from Jainmay Venture. Please go ahead.

Rajesh Vora: Good afternoon. Congrats on a decent set of numbers. Rameshji, if you could give a broad idea about the company's rationale to enter into this new area of OSAT and PCB. And how will that

change the complexion of the company over the next three, four, five years? And this being a new area, what are the challenges you foresee and how do you manage them?

Ramesh Kannan: See, your question consists of three points. So let me talk about OSAT first. OSAT, the challenges which I am anticipating is to build up skills in India, to build up a team in India, because so far only very low -end OSAT has been done. And what semicon we are planning, we are planning little mid -size and higher end . So we definitely will have to bring some expatriates from outside. And as well as we have also identified skillset who will come here, train our people, and build a team. This will take one year.

Second is the entire material which goes into the assembly and test consumables will have to be imported. We don't have an ecosystem today in India. I'm sure once many companies come in, this will also be there. And today there is a good ecosystem available in Malaysia, Taiwan, as well as in China. Secondly, we are entering into PCB. We want to make all items which are related to our electronics and our assembly business.

If you look at, if we can create all the three ecosystems in India, we'll become a large player in the EMS, and most of the customer supplier relationship consists of this. So that is one reason we wanted to enter into this business.

In PCB also, we are not going to make the conventional PCB. We are planning to make HDI, which a very small quantity is done by AT&S in Mysuru. So we want to enter, our factory will be around 60% to 70% HDI, and multi -layers with around 40%. So we'll become a company which is making only high -tech, high -mix, mid -size volume. We will not be a commodity company. And that is our vision, and that is why we are entering into these three fields. So all these three put together on a consolidated level, our margins, I am expecting anything between 18% to 20%.

Today, if I enter into the conventional, double -sided PCB, single -sided PCB, there are enough players in the market, and their margins are very lower. So we need to go to the high -end, 3x3 mil, 2.5x3 mil, and something like that which the very high -end market wants. And that is where pricing is also possible. I hope I have answered your question, Rajeshji.

Moderator: Thank you, sir. We move to the next question. Our next question is from the line of Aniruddh Joshi from ICICI Securities. Please go ahead.

Aniruddh Joshi: Yes, sir, thanks for the opportunity. Sir, we have added multiple clients recently, so just wanted to understand whether the working capital requirements of the new customers are also similar, that is around 113 days, or they are lower or higher than that. And secondly, in current quarter, or H1, if you can indicate the PLI amount that has been booked, if any. Yes, thank you.

Jairam Sampath: Yes, thank you. So as far as the working capital profile is concerned, the customers that we are onboarding are very similar to what we have already. The only difference is

that now we have

become a little more learned and intelligent about receivables and all that. So whenever we are onboarding clients, we are taking advantage of either supply chain finance or some kind of

factoring facility, so that the burden on receivables comes down. To that extent, we are benefiting in terms of working capital. So that is a very important difference.

As far as PLI is concerned, we have received two PLIs and one is under consideration. The PLI that we have received earlier is Telecom and White Goods Electronics, on which we are working. And right now we have not realized huge numbers here.

They are still in the works, and we have time until the end of this year to start off the activities.

And we do have some active collaborations happening, both in Telecom as well as in the White Goods Electronics. As far as IT PLI is concerned, we were talking about the three PLIs.

The first two PLIs, what we have received is for White Goods Electronics as well as for Telecom, in which we are in advanced stages of working with collaborators and so on. And by the end of this year, we'll start sporting some revenues. No major claims have been made by us under this PLI.

The third PLI, which is the IT PLI, for which we are shortly getting the approval, we will have some significant business going through this PLI in the second half of the year, especially given that we are qualified for this high -performance computing server supply. And there are also some multinational companies which are tying -up with us. So you can expect some action in the

second half.

Moderator: Thank you. Our next question is from the line of Meet Jain from Motilal Oswal. Please go ahead.

Meet Jain: Yes, Hi, sir. Thanks for the opportunity. I just wanted to get your export mix in order book and the revenue. And on the margin front, how we see the export margins as compared to the domestic one?

Jairam Sampath: Export margins. There are three products that we export. To Europe, it's an industrial product, which is actually in the HVAC area. To UK, we do railway signalling exports. And to US, we again do industrial instrumentation. So we expect in the second half, the business on the railway signalling to go up. So we think that the margins for exports will go up in the second half.

Moderator: Thank you. Our next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thanks for the opportunity again. I just want the clarification, whatever you can disclose regarding the OSAT. The tentative timeline for the first phase, what steps would be required, as you mentioned, that need some help from the tech partners. So what kind of timeline should we expect? And have you already committed or have done some capex or opex for this project already?

Jairam Sampath: Yes, I'll answer. So the project has been approved by our Board and we have acquired the land for the Phase I in Telangana. That's also published in the news items. We acquired 46 acres of land in Telangana near Hyderabad airport. Now, as far as the project timelines are concerned, we expect by end of this year, FY '24, we should have commissioned the first line and be ready

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for starting the trials for all the customers. We have signed MOUs with, to my knowledge, about three customers already, Semicon players.

And so by the first half of FY '25, we would have completed the trials. And by the end of FY '25, we would have commenced, what is known as commercial production. So from this, assuming from today, about one and a half years' time, we would have commenced regular production of this. And then within two years, we would have also installed the final quantum of lines. We are expecting to totally install 12 lines in the OSAT.

The first line would have been there after six months. And thereafter, once we get approvals from our customers, we'll gradually add the capex.

Moderator: Thank you. Our next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead, sir.

Rahul Gajare: Thanks for the follow-up, sir. Sir, could you tell me how much is exports in the total order book right now? And the breakup of that between ODM, OEM, and Box built. And also, given you've laid down your tentative plan for the OSAT, when is the likely fund raise for this that you all are planning? That's it.

Jairam Sampath: Okay. As far as export percentage of our order book is concerned, it's around 15%. And going forward, this is expected to remain similar. There is more traction in the domestic market. About the OSAT and fund raise, etcetera, we'll come back to you appropriately. Yesterday only, the Board has approved the project.

And we have to now discuss about the possible fund raises, which could be equity, debt, or any other means. And very shortly, maybe for the next several weeks, we'll come back with the plan. And obviously, I don't want to sound futuristic, so I will reserve my comments at this point in time.

Moderator: Thank you. Our next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Yes, sir, most of my questions have been answered. Just a small query. If you look at the order backlog today that we have, almost INR3,500 crores. And entry into categories like high-computing IT hardware servers, which are high-value in nature. Does that also mean that next year, the inflows would be much stronger given the average run rate? And we can probably have almost a one, one-and-a-half-time book-to-bill with a similar INR3,000 crores kind of backlog?

Jairam Sampath: Yes, Renuji, you are right. As we go forward, some of the bigger deals that we are actually working this year should also come to fruition. And what we are witnessing now is, like so far since the last year, it was kind of expected revenues that we were talking about and so on. This is -- now we are working on a lot of these kinds of deals, and some of them are large-ish in nature. So, yes, book-to-bill will be 1.5x, certainly.

Moderator: Thank you. Our next question is from the line of Raghunathan, who is an investor. Please go ahead.

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Raghunatan: Sir, thank you for giving me this opportunity. There are two OSAT facilities, one in Telangana and the other one in Karnataka. Why not in one place, sir?

Jairam Sampath: Why not in?

Ramesh Kannan: Why not only in one place?

Raghunatan: Yes.

Jairam Sampath: So it's also... Okay, let me put it this way. OSAT is a business driven by the semiconductor companies, okay? So we do expect that some companies may insist. We don't know. But they may insist on having it. Yes, so we are continuing with two, and we don't know in the future, they may be more required.

So at this point in time, we are talking about and PCB assembly plants also we are contemplating in two states. EMS also is going forward will be in several states. The reason is, as far as Semicon is concerned, in the beginning stage, obviously we will have a few of customers, but at some point, in time, we are likely to get some large deal.

And they may expect an exclusive facility, and they may not like to share that facility with somebody else. So that is the reason why we are giving all. Raghunatan, I think what we are saying is that two different states, because two different facilities for the simple reason that, some customers may require an exclusivity and certain customers may not go.

And we may also segment this activity. This is not just semiconductor assembly, but also compound semiconductor too. And we have actually planned for certain higher-end and high-tech activities.

So that's why second phase we are saying, we'll do it in Karnataka.

And also, we want to evenly keep our manufacturing facilities across several states, because India is an upcoming market. And so going forward you will see us starting not only OSAT and PCB in two states, but also EMS in several other states.

Ramesh Kannan: And our unit 2 on OSAT is on optics. So these are two different plants altogether, though they belong to semiconductor sector.

Jairam Sampath: Is that clear, sir?

Ramesh Kannan: Raghunatan, sir?

Jairam Sampath: Yes, sir. Did you hear what we explained just now, sir?

Raghunatan: Yes, I heard it completely. Thank you for your answer, sir. But I have a request. During the last con call also we faced this audio problem frequently. It is affecting the flow of the con call itself, sir. We are losing track of what is being asked and what is being answered. Can you please fix up this problem at least in the next con call?

Ramesh Kannan: Our apologies, we will get it fixed, sir.

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Raghunatan: Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Jairam Sampath: So thank you everybody for attending this earnings call. And we had quite insightful questions. And I hope our answers are satisfying to you in some manner. And we always stand by and give you any more clarifications. You can reach out to Neerajji or me or anyone else. And then we can have a short call to explain some more details. Thank you very much again for attending this call.

Moderator: Thank you. On behalf of PhilipsCapital India Private Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Jairam Sampath: Thank you.

Ramesh Kannan: Thank you, everyone.

Call: Feb 2024

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23 -25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 February 03, 2024

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Tower s,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Sub.: Intimation of transcript of earnings call for the Financial Results of 3rd quarter and nine months ended December 31, 2023 .

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by JM Financial for the Financial Results of the 3rd quarter and nine months ended December 31, 2023 . The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2031.01.2024.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the earnings call

MANAGEMENT : MRS. SAVITA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAMESH KANNAN – FOUNDER AND MANAGING
DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
MR. NEERAJ VINAYAK -- HEAD OF INVESTOR
RELATIONS -- KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Kaynes Technology India Limited hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Deepak Agarwal. Thank you and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of JM Financial Security Limited, I welcome you all to Kaynes Technology India Limited Q3 FY24 earnings conference.

Today we have with us senior management represented by Mr. Ramesh Kannan, Founder & Managing Director, Mrs. Savita Ramesh, Chairperson, Mr. Jairam Sampath, Whole -Time Director and Chief Financial Officer, Mr. Rajesh Sharma, CEO, and Mr. Neeraj Vinayak, Head of Investor Relations.

Without taking much of time, I would like to hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thanks and over to you, sir.

Ramesh Kannan: Good afternoon, friends. Am I audible? JPS?

Moderator: Yes, sir. Yes, sir. Yes, sir.

Ramesh Kannan: Yes, yes. Good afternoon, friends. I would like to welcome everyone present on the calls from the entire team of Kaynes Technology.

I have along with me on the call Mrs. Savita Ramesh, Chairman of the Board, Mr. Jairam Sampath, CFO, Mr. Rajesh Sharma, our CEO, and Mr. Neeraj Vinayak, our Head of Investor Relations. Firstly, I want to express my heartfelt gratitude to our esteemed investors whose confidence and support played a vital role in companies' successful QIP. We are committed and excited about the roads ahead and look forward to your continuous support.

I am very pleased to share with you all that we have surpassed our FY23-year run rate during the first nine months of FY24. I am confident of delivering on our full -year guidance. Coming to our performance for the quarter ended December 31, 2023, our total revenue was INR5,093 million, registering a growth of 76% year -on-year.

Our growth was largely led by strong demand in the industry, including EV and railway verticals. Our Q3 FY24 EBITDA was INR 699 million compared to INR 412 million last year. PAT for Q3 stood at INR452 million compared to INR 229 million during last year.

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We continue to witness strong demand across verticals, with monthly order inflow reaching INR2,788 million per month from INR2,741 million during Q2 FY24. Our order book as of December 31, 2023 stood at INR 37,890 million. Now coming to major development for the quarter.

To deepen our technology deck, we are making strong strides by getting into manufacturing collaboration of high-complex AI-driven technology products in the cybersecurity, medical, AR/XR space. Some of the recent engagement on this front includes First to enhance our technological bandwidth. We have tied up for manufacturing a clear glass lens under a technology partnership with upcoming technology disruptor in this space. Their platform allows OEMs to create customizable, cost-effective waveguide based on their experiences for both enterprise and consumer applications.

Second, we entered into exclusive partnership with FIDO2 certified Microsoft Compactable biometric security solution provider. FIDO2 is a phishing-proof passwordless authentication protocol defined by the FIDO Alliance and the World Wide Web Consortium. The technology has already been approved by the Public Financial Management System under the Ministry of Finance.

These collaborations

will help the company position itself as a single-stop solution provider, enabling us superior presence in the complex product along with ensuring industry Leading margin profile.

Other achievements are during the quarter, Kaynes became the first company to successfully deliver fourth generation CKD server board for a global OEM. In addition, we have also recently received a large award letter in the aerospace segment. We also got two major order wins on the industrial side, catering to defense, catering to educational robots and UPSs. We have also received orders from a motor controller on the EV side.

In line with our stated policy of having last mile presence in the US, we have done acquisition of Digicom Electronics. The company has a couple of SMT lines and caters to complex product profiles. With this acquisition, Kaynes will be able to target complex and technological advanced product profiles in the North American market too.

Additionally, we have also invested for a significant stake in a US-based tech startup doing revolutionary work in the space of silicon photonics. This strategic investment is also in line with our roadmap of moving up in terms of handling complex semi-con packages to strengthen our capability along with superior profitability.

We are in an interesting phase of evolution of electronic industry taking shape world over and India remains at the center of this technological advancement. We are excited about the opportunities that lie ahead and are confident in our ability to navigate any challenges that come our way.

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With this, I will now hand over the call to Jairam Sampath to take you through our financial performance. Thank you very much.

Jairam Sampath: Thank you, Rameshji. Good day, everyone. Thank you for joining us on this call. I will be presenting the financial performance of our company for the period ending 31st December 2023.

For the quarter ended 31st December 2023, our consolidated total revenue was INR5,093 million, representing a 76% year-on-year growth. For the nine months ended December 2023, the consolidated total revenues were 11,673 million, representing 53% year-on-year growth. The consolidated EBITDA for the quarter was INR699 million, showing a 70% year-on-year increase, while for the first nine months it was INR1,589 million, which was up 46%. EBITDA margins for the quarter and nine-month FY '24 stood at 13.7% and 13.6% respectively. Our consolidated PAT for the quarter was INR452 million, up 98% year-on-year, and for the first nine months it was INR1,022 million, up 89% year-on-year. PAT margin for the quarter stood at 8.9% and for the first nine months it was 8.8%.

We have surpassed our FY '23 revenues during nine-month FY '24. Based on our current auto book, which stands at INR37,890 million, we are very confident of achieving the full year guidance.

Net working capital at the end of December was at 117 days on an annualized basis, lower than the 135 days at the end of the previous quarter. Our inventory was higher as we have to make advance purchases, keeping in mind the requirements of the upcoming quarters. Our net debt stood at the end of the quarter, adjusted for unutilized proceeds, was at about INR2,449 million, compared to INR1,924 million at the end of the previous quarter. Our ROE and ROCE adjusted for unutilized portions of the proceeds, were at 18.6% and 16.8% respectively, for the nine-month FY '24.

We continue to make progress on our expansion plans and continuously adding newer lines across various facilities. In Chamarajanagar we have operationalized alpha and beta blocks and gamma block is getting ready. We have started work on operationalizing our Pune facility which was acquired recently.

All these expansions will help the company ramp up its production significantly over the coming quarters. I would

like to thank our esteemed investors for their tremendous support and faith in the company for the recently concluded QIP.

On OSAT, we have provided Government of India all the requisite details and hopeful of hearing positive outcomes shortly. We have also started preliminary construction work in Telangana and hopeful of meeting the desired timeline for the same. We will be sharing final details as we make further progress on the same. We look forward to your continuous support on this journey ahead. With this, I would request all participants to come in with their questions. I now open the floor for questions.

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Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Nitin Sharma from M.C. Pro Research. Please go ahead.

Nitin Sharma: Hello. Congrats on a good set of numbers. Two questions. First of all, your gross margin has come down compared to the last quarter. Is it because of change in the type of orders on the industrial side? And how should we see it going ahead?

Management: Thank you for the question. Fundamentally, one small change in the way we compute our gross margin was done compared to the last year. Earlier, we used to compute all the consumables which are pertaining to one particular project as part of expenses.

So the gross margin was about 1.5% higher than what it is today. So whatever gross margin we are showing now, we have to add a quantum of 1.5% approximately to make it comparable with the gross margins last year. Having said that, it is still not equal to the gross margins last year.

This is primarily because a lot of new projects have been onboarded. If you notice, we are growing at a very high rate. So all the new orders in the first few quarters, by the time we manage all the materials, supply chain and proper pricing and forecast, etcetera, it takes a bit of time.

And that's why the gross margin appears to be a tad lower.

But fortunately for us, the operating leverage will be better than expected because the sales numbers are higher than what we have been expecting so far. So on an overall basis, I think we will be able to match the numbers on a PAT basis. Thank you.

Nitin Sharma: Understood. Secondly, where do you see your working capital day stabilizing? I think it continues to remain elevated. So some understanding with regards to that would be helpful?

Management: Yes, so in the end of the first two quarters, it was primarily driven by inventories. It was 135 days net working capital at the end of the second quarter, that is half year. And at the end of the third quarter, it has come down to 117. We are confident that we will certainly bring it down below what we saw last year -- last two years have been 98-99 days. We will certainly bring it below these two numbers by the end of March.

Because March quarter we'll do significant amount of sales. Almost 35% to 40% of the annual sales happens in March quarter. So we are quite confident that we can bring down the inventories. And of course, we will also have taken some steps to control receivables. So we are sure that we will bring down the net working capital days much below the numbers that we had for the last year. And going forward, we have put some -- hello?

Moderator: Yes, sir. You can speak, sir.

Nitin Sharma: Yes. So is it possible for you to break it down in terms of inventory days, receivable days, and payable days in current quarter?

Jairam Sampath: Hello. Am I audible?

Moderator: You are audible on the backup phone. And the main...

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Nitin Sharma: Should I repeat the question?

Jairam Sampath: Yes, you could. The first question I had answered. I hope you got the answer.

Nitin Sharma: Yes, sir, I did. Just to add on to that, is it possible for you to break

k down the number of days for inventory, receivables, and payables for the quarter?

Jairam Sampath: I had answered that. I will repeat the answer here. Essentially, from the first half number, the number of net working capital days has come down from 135 to 117 now. By the end of the year, we are confident that both inventory and receivables will be much lower than what we had, because third quarter is also in terms of a larger amount of business. So we expect the net working capital days to come significantly below last year's total number, which was hovering around 98, 99 days. And going forward into FY'25 and '26, we think that we can make further less. Thank you.

Nitin Sharma: Thank you. I'll get back in the queue.

Jairam Sampath: Next question, please.

Moderator: Yes, sir. Our next question is from the line of Rahul from Haitong India. Please go ahead.

Rahul: Hello. Am I audible?

Moderator: Yes, sir.

Rahul: Yes, hi. Good afternoon, sir. Thanks for the opportunity. Sir, in the first nine months, we've seen order backlog improvement. I want to know where the margins are in the first nine months. How is the margin profile of the order book that you have right now with you?

Jairam Sampath: Yes, so there are some new orders which we have executed during the first three quarters, which has pulled down the margins a little compared to what we probably anticipated. But at the end of the year, on a year-on-year basis, I think there will be significant drop in margins. And at that level, we still think that we will hold the numbers that we talked about.

As far as the order book is concerned, it contains the order profile similar to what we have on the sales number. However, one small point that I want to make is that there are orders expected in the railway as well as in the aerospace area, which are not yet locked into the order. So we are awaiting the numbers. And those are going to be a significant part of our sales, especially in FY'25.

So what you see now as order book is at the minimum, whatever current performance is there. And we will continue to get operating leverage. And next year, we will also get cost reductions in our materials, because all these newly onboarded customers will start getting regular supplies from suppliers who can give us lower prices. Broadly, that is the reason why you see quarterly basis some little dips sometimes.

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But we are confident that it's not something very alarming. And next year, certainly, we have these two bigger segments kicking up. And their order confirmations are there. It is just that they have to physically issue the order to us. And so that will happen sometime maybe March, April timeframe. And then you will see probably better performance also in the next year.

Rahul: Okay. So FY'24 margin will be similar to or slightly lower than FY'23 is what you're saying. And '25 and '26, we can see some bit of improvement on that margin. That's what you're saying on the EBITDA level.

Jairam Sampath: Yes, sir. In the long run, it will be similar to what we have been discussing.

Rahul: Okay. Sir, typically, when you are in the process of executing an order, at what percentage of execution do you start booking margins? Is it 10% or is it a simultaneous booking of margin? How do you account for...?

Jairam Sampath: Yes. There is a small clarification. These are all just like production kind of activities. It's not a project. As in, it's not based on milestone completion, but it's based on number shift. The project refers to the customer's terminology, not really what we do. We do actually a simple production. That means, for instance, we enable some such aerospace customer orders from Avionics. So maybe they call it some project X because it is going to some X aircraft. But as far as we are concerned, they will order, let's say, 5,000 units of t

his item and 4,000 units

of that item, etcetera. And they will give us a schedule, do so much in January, so much in February, and so on. So we actually shift. So our revenue recognition is after the item is shipped completely from our factory and based on agreed terms, so in case we have X work, both the 99% of customers, it's always X work, wherein the responsibility for picking up and transportation is with the customer. The moment we ship out of our factory, we recognize the revenue.

Rahul: Okay, fair enough. So margins are stable through the execution, whether it is a one-month execution period or whatever time be. So my last question is on the capex. What is the kind of capex that you have already done? And how do you see the capex happening over the next two or three years? And if you can actually talk about how that OSAT-related capex is also planned, that will give us a good idea of capex over the next maybe five years.

Jairam Sampath: Sure, sure. So we have two sets of businesses here. One is the existing business, which is the

ESDM business. And as I said earlier also, IPO was done last year. And November 22, we completed the IPO. Whatever money we have raised there is sufficient, in our opinion, to support CAGR's about 45% growth over time in the ESDM sector of the business, because we also are expecting some improvements on the working capital and all that. So the OCF and EBITDA percentage will improve. And by FY25 end, we expect that the ESDM part of the business will start generating enough resources to help with capex investment. So we have raised about INR250 or INR260 crores in the IPO. And that has been employed. And by the end of this year, probably we will complete all of those investments. We are also taking a little time to implement, because we also realize that while, of course, we have put in

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the objects in approximate cost, etcetera, but we are trying to squeeze those capex's so that we can deliver the latest machines and also a little more capacity. So our internal thing says that on an annual run rate of about INR3,000 crores, we have enough capacity. And thereafter, we will have enough of operating cash flows to fund any more capex's for this particular business. The second part of the business is OSAT, the new project, which contains OSAT. And then there is, of course, this PC board, which is high-density interconnection. So OSAT and PC board projects, as we have all there in the documents that we have already uploaded, we could take a look at detail and we can always chat later. But suffice it to say that two years it takes to commence the operations meaningfully from the commercial perspective. Already a factory set up, building, land development, all that has started off. And we are – the first building is just coming up. The pillaring, etcetera, has been done. So we are on schedule as far as that project is concerned. And in two years' time, we start commercial commence the production. And that means two years means this is like a FY'26 end. You will start significant revenues coming in from the OSAT business. In '27 and '28, we'll see full-fledged revenues coming in. This is a business where you get a typical asset turnover of about 1 to 1.5. So you can calculate and see what kind of revenues there are. As far as PC board business is concerned, these are high-density interconnection boards. So the factory set up, etcetera, is expected to happen in about one and a half years' time. So in two years' time, again, we'll start getting some commercial production happening. And then again, FY'27 and '28, you can see some good ramp-up. This business also is typically 1 to 1.5 times asset turnover. These are all capital-intensive businesses. But we are happy to tell you that in case of PC board, there's a lot of consumption that we can plan from our existing b

usiness itself because

we do buy almost a large amount of our purchases. And the commodity is PC boards, which we can, of course, feed from our own unit.

So that way, we get double benefits. One is consumption security, and then second is whatever margins that we actually let other companies make, we can flow it into our own company. So it will be a margin-accretive deal as far as PC board is concerned. So the current capital, whatever money we have raised, INR1,400 crores, that contains three parts. One is, of course, the OSAT. Second is the PC board. And third is general corporate purposes.

General corporate purposes broadly will go into, of course, OSAT and PCB majorly. But they will also aim towards some of those contracts that we are having with agreements with other companies, etcetera. So the total package is expected to give us significant revenues in FY'27 and '28 in these two new areas.

Rahul: Okay. So this last number on the export front, how is the export in the order book and the revenue this quarter, nine months, whichever number you can share?

Jairam Sampath: Yes, sir. So as far as the order book and this thing is concerned, the export is anywhere between 15% to 20%. But next year, we expect the export to go up, because especially aerospace and the railways business, some exports will come in, especially in the aerospace business. Strong exports will come in. So next year, we can expect more exports also in our order book.

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Right now, those orders have been confirmed, but not placed with the details. So that's why they don't enter the order book at this point in time. So currently, it's 15%, 20%. Next year, it will be more than that, maybe more like 25%.

Rahul: Okay. Thank you. Thank you very much, sir, and all the very best. Thank you.

Jairam Sampath: Most welcome, sir. Thank you.

Moderator: Our next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Yes, hi. Good afternoon, and congratulations on strong results, sir. My first question is to understand the mix and the impact in gross margins this quarter. If you see industrial segment has seen the sharpest jump, and simultaneously there has been a jump in share of box bill revenues.

Does this corroborate to also indicate that combination of the applications for which we have executed this quarter were carrying significantly lower gross margins? Despite being box billed, it typically tends to have higher margins than conventional PCBA applications.

Jairam Sampath: Yes. So, yes, thank you, Renuji. See, fundamentally, one thing is I explained about 1.5% was hiding in expenses previous year's gross margins. So that gross margin, you must add that to compare it with previous year. That's pertaining to consumer base...

Renu Baid: No, I'm comparing it even on a sequential basis, Q -o-Q basis. Not higher one but...

Jairam Sampath: Sequential, that's not important. The second thing is as far as box billed is concerned, even for any new product that we do, especially in the industrial EV side, which contains a fair bit of percentage of sales currently. In the third quarter, the box bi lled came down a TAD, I think, if I'm not mistaken, a couple of percentage points, if I'm not mistaken, compared to last time. And box billed will be more profitable in the long run.

In the long run, at least for the first two, three quarters, any new product that we onboard will entail more costs, whether it's developing the assembly processes, we may put more cost of materials, etcetera, because we have to get fulfilled short -term or ders, etcetera. So you can expect this, let's say, correlation between box build increase and margin increase sometime in the fourth quarter, you can definitely see this. Hopefully, we will get there now, because we are also getting some reductions in cost, etcetera.

So that wil

I take care of some of the smaller dips which are happening because of new product onboarding. The second thing is also vertical -wise. So obviously, the percentage of railway and aerospace vertical is still lower in the first three quarters tha n what we had anticipated. But we do have confirmations, and I think going forward into fourth quarter, we certainly will improve those numbers. At least currently, it's 11% and 3%, if I'm not mistaken, of the total. So maybe it will go up to about 13% and 5% or so.

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So that will also improve the margin. So broadly, margins will recover in the fourth quarter at gross level, as well as our EBITDA will also be better because we'll have further operating leverage. We're not planning to add any more major costs now.

And revenues will be something like 35%, 40% of the whole year. So from that perspective, I think we can see both gross margin level improvement in Q4 as well as improvement in the EBITDA number, operating EBITDA number in Q4.

Renu Baid: Sure. So secondly, given the recent disruptions in supply chains and trade from the Red Sea, do we anticipate any headwinds on the inventory side of working capital, though you alluded that working capital will come off? So do we see any material impact o n business and margins from this in the near term?

And also aligned with this, if you can also share any business updates on the IT hardware side where we are working for large enterprise clients on localized solutions. Thank you.

Jairam Sampath: Thank you, Renuji. So as far as inventory is concerned, that's what I had actually the first question I had alluded to that. And we are confident that we will make significant reduction in the net working capital, mainly driven by reduction in inventory. S o reduction in inventory in terms of number of days, it has two components. One is the quantum of inventory. Second is the quantum of sale in the quarter.

So when we analyse it, I think net working capital is 1 17. So part of that reduction will be driven by increasing sales. And also we have already stocked up almost all the material for the next quarter because we already have the order book.

And based on order book, the materials have orders have been purchased. So now during this quarter, we'll be purchasing small amount of material for shortage balancing. So I don't expect any headwinds in terms of inventory being going out of control or so mething.

So just that is one of those things which we have to watch in our business because we have two pressures which increases inventory. One is new orders that come in. And second is some supply chain disruptions that sometimes happened in the past. So those a re the two things we have to watch. Otherwise, I expect the net working capital to come down to the expected levels by end of March. And on the IT hardware side, we have – excuse me.

So in addition to working with one of the large government agencies for manufacture of high - performance computing servers, we're also working with one of the governments of India entities

for development of technology within high -performance computing servers. And shortly when that activity is done, we will come out and we'll announce that particular thing. So what we are doing is we are increasing our depth of offering in the entire IT high -performance computing server space.

And we are also using our abilities and investments that are coming up in the Semicon and PCB board and HDI PC board factories so that over the next one or two years, we become let's say a very high value adding company in the area of servers and things like that. And as you know,

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we already have PLI in this. So next year, you can see some good business being done in that area.

Renu Baid: Okay. Thanks so much and best wishes

s, sir. Thank you.

Jairam Sampath: Thank you, Reenuji. Thank you.

Moderator: Thank you. Our next question is from the line of Arafat Saiyed from Incred Research. Please go ahead.

Arafat Saiyed: Yes. Thanks, sir. Am I Audible?

Moderator: Yes, sir. Yes, sir.

Arafat Saiyed: Yes. So thanks for taking the question and congrats on great numbers. So my first question is on industrial EV side. So can you please elaborate which are the key clients and main products you are serving in this segment?

Jairam Sampath: Sorry, could you repeat that, Syedji? Could you repeat that question?

Arafat Saiyed: Yes, sir. Can you please elaborate more about the industrial AV segment? So which are the key clients and key products in this segment?

Jairam Sampath: To the extent that we have concerns, we have already published. So I'm not at liberty to publish names. But of course, in EV, we have all the leaders in those segments who are operating in India. We yet don't have too much of exports in EV. We do have some small component exports in EV to Europe. And we are also working on charging infrastructure EV. So they are all leading people in two -wheeler and four -wheeler category in India.

Arafat Saiyed: Yes, thanks. And so my second question is on OSAT business. Can you please elaborate more about your tie -up with Google?

And again, which sector you are more focused as far as OSAT is concerned?

Jairam Sampath: Yes. So as far as OSAT is concerned, of course, as I've been discussing during our other meetings and so on, we are focused on the branded semiconductor segment. And our approach to OSAT is to start at the regular semiconductor assembly business, which is starting with certain packages which are very popularly used in most of the industrial and critical applications, and then quickly move on to the second stage to what is known as advanced packaging and component semiconductors, etcetera .

So we are preparing in tandem for both the approaches. In the second approach, we require a lot of technology partnerships, which we have already announced a couple of them already, and we are going forward. As far as the first is concerned, the factory construction, which is the long -lead item, has already started.

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And the land development has concluded. Factory construction has started off. So hopefully we will, by end of this year or early April, we will have the factory up and running. And we also kind of made arrangements for the equipment, etcetera , etcetera . So there are a lot of moving parts in this project, so we are quite having all of them under some kind of a control, and obviously a lot of effort is going into managing these. In terms of segments, they are all critical industrial segments, power products, etcetera .

Initial packages will be QFN, BGA, then of course SOT to begin with, and then of course there's stack die, QFN, stack die BGA, etcetera . So these represent essentially critical products, but they are not really low -load semiconductors. So that also works well with our initial intent to learn this entire assembly technology, make sure how we work with the supply chain, work well with customers before making move to advanced packaging.

Arafat Saiyed: That's it from us. Thank you.

Jairam Sampath: Thank you.

Moderator: Thank you. Our next question is from the line of Bhoomika Nair from Dam Capital. Please go

ahead.

Bhoomika Nair: Yes, good afternoon, sir. I just wanted to talk a little more about this DigiLens thing that you've announced. You know, what exactly will we be doing? I mean, we'll be doing the OSAT, the PCB, etcetera, and given that the plants are yet to be operational, do we start the PCB assembly beforehand, if you can just talk about this, and such -- and how large can this client be for us over a period of two, three years?

Jairam Sampath: So DigiLens

partnership represents our foray into a high-tech technology, which the technology leader, DigiLens is a technology leader in that particular technology, has chosen us to represent them in India. And they have also wanted some capacity for their business in the US. So this has got, of course, two components, one which is similar to SEMICON, not really SEMICON, but similar to SEMICON business.

The other is the typical assembly business that we do, which has to be done under clean room conditions and all that. And I'm happy to tell you that both these activities we are pursuing, and we are, I think, in the process of setting up a team jointly to get trained and so on and so forth. The initial stage of tie-up and agreements, etcetera, has been done.

And going forward, we will pursue both the opportunities, one which is in the SEMICON area, which has something to do with the innards of that particular product. It's a licensed technology, obviously, so I can't share more than this at this point in time but suffice it to say that our value footprint will be much higher than a typical manufacturing contract in the MS space.

Bhoomika Nair: Okay. Got it, sir. So the other thing was on OSAT, we were looking to commission the plant in phases between 2Q of this year and 2Q of 2025. Given that the approval is yet pending, how -- by when do we expect the revenues to start kicking in? And if you can also talk about the bare

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PCB plant, whether the land has been allocated, and when does the construction of the plant is expected to begin?

Jairam Sampath: So as far as the bare -- okay, let me answer the first OSAT business. See, OSAT approvals, I think, other than Micron, all other approvals are kind of just getting done now. As I speak to you, a lot of hectic activity is going on this week. I think the department -- I mean, I can't speak on their behalf, but they probably are expecting to clear most of the files this week, and we are quite confident that it should get cleared this week sometime.

And because of the impending political elections, etcetera. So I think it should happen very shortly. We don't expect any major headwinds or any other delays there as far as that is concerned. As far as we are concerned, we always raise the funds one way or the other. In any case, the worst-case scenario is already there with us, the specs for policy and all that.

So there is no need to wait for the exact approval to come in before these stakes. So we are already starting construction and levelling off the ground and development of ground and all that. So as we had earlier discussed during the various meetings and so on, so sometime first week of April, we should have the factory ready, at least the first phase, what we call the POC. And all the machinery manufacturers, etcetera, also we have kind of sounded them out. And so the first set of lines that are expected to be coming, I think we can -- we are ready. And so I don't expect any delay in commencement of this particular project. So as far as on the customer side is concerned, a couple of customers have come and audited us also.

Obviously, the orders will come only after I show the lines, so that will happen sometime in first quarter of next year. But otherwise, the -- all other, let's say, checkbox picking has happened. We have had the senior people visit us and so on. So at least two of the customers we already completed. That's my -- something that I know.

Some more probably are being done as we speak. So, this time, whatever perceived delay by government, etcetera, we'll utilize to get our -- all other activities completed and so on. So we don't expect any major headwind. As far as PCB board is concerned, we have got a couple of options for land, and we are just finalizing it.

Because this needs water and so on and so forth, so there is some little examination

on that is being

done, and we have asked some experts to look at that pieces of land available to us. And we'll very shortly take a decision, and we are already parallelly preparing our contractors for this factory construction.

Layout, etcetera, everything is ready. What machinery to be done, all that is ready. So you will not expect too much delay. We have marked about nine months for construction of this factory. Maybe we have to do it now on eight months. I think that's imminent doable. And then post that, this is being a process plant.

It takes some time for it to become regular production. So we have given ourselves somewhere between one and a half to two years' time to show commercial production from this.

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Bhoomika Nair: So the bare PCB plant will start showing up in terms of revenues only in, towards the end of FY26, per se?

Jairam Sampath: Yes, FY26 second half onwards you can expect. But significant one, FY27 onwards you can expect.

Bhoomika Nair: Okay. And from the OSA T perspective, it would be largely from the end of FY25. We should start seeing some trickling in of revenues and big time or scale up from FY26 onwards.

Jairam Sampath: Yes, the proof -of-concept phase will start from second quarter, that is, H1 of FY25. Thereafter, some revenues will start. But all the other lines being established and then coming, delivering good capacity utilization, yes. Towards the end of FY26, you will see some significant commercial changes.

Bhoomika Nair: Got it, sir. I will come back to the question. Thank you.

Nitin Sharma: Thank you, ma'am. Thank you.

Moderator: Thank you. Our next question is from the line of Harshil Solanki from Equitric Capital. Please go ahead.

Harshil Solanki: Hi, team. Good afternoon. I have just one question on the Kavach technology. So, sir, where are we on the development part of Kavach? And when can we expect the approval and tender participation?

Jairam Sampath: Sir, can you repeat the question and just come closer to the mic, please? I did not understand.

Harshil Solanki: Sir, my question is on the Kavach Technology...

Jairam Sampath: Yes, Kavach, railways. I got it. I got it. So, as far as Kavach is concerned, we are working with the governmental agencies to develop this product. We also – so, maybe this development being a critical product takes anywhere between six months to a year before we can showcase a solution. And then thereafter, the agencies have to take it and then approve it. So, we think commercial production of this Kavach -related activity should happen after maybe 1- and 1.5 - years' time.

So, at this point in time, suffice it to say that we are actively working to put all the resources that's required as committed to the Minister, Honorable Minister. And you can see some results by first quarter of next year in terms of at least protos bei ng developed and made.

Harshil Solanki: Okay, sir. Already there are players who are approved and they are executing the project also. So, how do we plan to compete against them after a year?

Jairam Sampath: Yes. So, yes, yes. No, no. good question, sir. Harshil, the issue here is that we are a non -brand supplier, right? We don't have a case -branded item. So, everywhere our offering is as an ODM to another brand player, essentially. So, the other three players that you are referring to, the y have all been given a trial order only.

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So, they are at a stage where we will get to that stage by maybe third quarter or second quarter of next year. That's all. We're not that far away, actually. So, once the solution -- so, part of the -- we will also leapfrog in terms of timing of approval. The first three players have to probably bear the full burden of full -fledged approval. The design is similar. So, in our ca

se, maybe the approval gets shorter because the future concept would have been done by the railways and so on. So, it's only reliability of the hardware that they will check. The solutions are essentially not different. It is driven by the sa me agency in the government. So, let's say, just to illustrate the thing, if they take X amount of time, we will take X minus delta X amount of time for approval. So, we will really not miss anything.

Obviously, if you come late, we do have to get business late only. So, from that perspective, yes. But on the other hand, we have the additional advantage. We can offer this solution not only as a change player, but we can offer it to many other branded p layers. So, we are focusing on this being an ODM kind of solution. At this point in time.

Harshil Solanki: Okay. So, just a clarification, we will do both OEM as well as ODM for Kavach or just one part of it?

Jairam Sampath: No, we will do ODM and OEM both. Because if somebody, one of these three players, if they think that they want to use our facilities for enhancing their capability, we are always welcome

to do that because we are adding capacities and so on. So, we are open to both OEM as well as ODM for Kavach.

Harshil Solanki: Understood, sir. That was it. Thank you so much.

Jairam Sampath: Thank you, Harshil.

Moderator: Thank you. Our next question is from the line of Lokesh Manik from Vallum Capital. Thank you. Please go ahead.

Lokesh Manik: Yes, Good afternoon, sir. Am I audible?

Jairam Sampath: Yes, sir.

Lokesh Manik: Sir, my question was on employee expenses for this quarter. Is that about 4.9% of sales, which is about 150 bps or 1.5% lower than the average of 6%. So, is this sustainable going forward?

Jairam Sampath: Yes. So, yes. What you are asking about is the operating leverage. So, if you take the... I would like to just explain to you, saying that out of the total INR100 of sales, there is X amount of money available after paying for materials. And out of that, there is an EBITDA if you remove that roughly about 15% -16% is available.

This is in two parts. One is the employee and those kinds of fixed costs, which I can get the operating leverage. And the other part is something called variable costs, which unless I change the scale, it does not alter significantly.

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So, your question is whether I can get operating leverage further? Simple answer, yes. We will get operating leverage further, maybe over this year and even next year. [inaudible]. Yes. We will get the operating leverage. And so, part of the operating leverage comes from employee costs. Other parts come from other fixed costs. So, we will get significant reduction due to operating leverage. Thereafter, again, we will have to increase the quantum of these costs. And again, the sales goes up again.

Lokesh Manik: Okay. Sir, my second question is on the drop in gross margins for the last four quarters now. And that coincides with the contribution, lower contribution from medical and from IoT and consumer products, which used to combine the 20% to the revenue last year. And this quarter, it is at 10% combined, medical, consumer, and IoT products. So, how much of the impact on the gross margin is due to the lower contribution from these segments?

Jairam Sampath: Yes. I will take a step back and say, lower gross contribution is also a function of lower composition from railway and aerospace. You see, aerospace is some 2% -3%, and railway is about 10% -11%. In the fourth quarter, you can expect these numbers to go up at least significantly, 2% -3% in each of these segments. And that will definitely impede any erosion of margin on a blended basis by any other segments like industrial, IoT, etcetera, going up. And as far as the medical is concerned, while medical is a good margin business, but the client onboarding takes

a little longer time. So, we have been working with the client for the last one year, and we expect, if not, I think today probably the client visit is there and so on. So, we will come to know.

Hopefully, we will get some execution clearance in JFM. If not, FY '25, we will start getting medical. So, the contribution of reduction due to medical and IT not working is not very high, but aerospace and railway not picking up to their original level, that does hurt us a little. But I am happy to tell you that that is now fixed, and last quarter and next year full, you will see some good action in that area.

Lokesh Mani: Great. Thank you so much for answering my question.

Jairam Sampath: Thank you, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

V. Balasubramaniam: Yes. Thanks a lot for the opportunity. By the way, the name is Venkatesh Balasubramaniam. Now, coming to the question, we actually heard your TV interview where you mentioned that you are quite confident of your 18 billion kind of revenue guidance for the full year, which basically means [INR6.3 billion] of revenues in the fourth quarter. You also mentioned that 15% plus margins is possible.

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I mean, it will be slightly better than last year. So, last year, actually, you did 14.9%. So, even if I assume 15%, that basically means that in the fourth quarter, you have to do 17.6%, a margin

level which you have historically not achieved. So, is this a number which is feasible?

Jairam Sampath: Thanks, Venkatesh. So, yes, obviously, there are a lot of moving parts to this math, okay? So, of course, I had qualified my thing in the TV interview saying we will try and get some of the next year numbers of orders executed this year, essentially in the aerospace and railway area. So, it's possible to do 17, etcetera, in a quarter if you have a reasonably good proportion of railway electronics and aerospace electronics, okay? If the proportion of business in the other lower margin segments is increasing, then it may not work so much, but certainly it will be much higher. EBITDA is driven by two aspects. One is gross margin; the other is operating leverage. So, like I said to previous analysts, we are likely to get some more benefit of operating leverage during Q4. So, that will give you at least 1% or 2% higher EBITDA numbers by itself, because we will do minimum 1800, and God willing, we can probably work towards more too. And then in terms of the composition of the business, we are likely to – we're trying to make sure that if there are orders for railway and aerospace that we can execute now, then we'll give preference for those orders. So, these factors put together, it looks like it is very feasible to hit the last year's EBITDA number, okay? And probably do more.

It depends on how much we are able to execute. The moment we have confirmation on – see, there is only one thing which is between us and this performance, whether we get confirmation on receipt of all components for all the different orders that we receive in short cycle. So, that's what is right now happening. So, hopefully we – it is – simple answer to your question is certainly feasible. Whether it will happen or not, I can't talk about future, but I think by all different, let's say, factors that affect it, I think it looks like we can get there.

V. Balasubramaniam: Okay, okay. The second question is not related to numbers. It is on the OSAT business. Now, we are already in – January has ended, Feb is starting, you are telling you already started work on your OSAT factories in terms of construction of the factory. We have not got the subsidy approval yet. Anytime now, the election code of conduct – rather the election date might be announced. You know, let's say they say that April

is general election. So, the election code of conduct will immediately kick in.

So, will the India Semiconductor Mission be in a position to even make an announcement, even if you get approved? And so, that is the first part. What happens if the whole thing gets delayed and the decision is actually decided post-general election? So, it is possible that you might – even post-general election, you might have to wait for another two to three months. So, we might be waiting till June. So, is it worth the risk of starting construction on the factory when this kind of delay is possible? That is one thing.

The second part of the question is, is it that given that you will make an application and you will 100% get the subsidy, isn't there any likelihood that the government might say maybe, your JV partner is not okay, I am not comfortable, I need more assurance. So, isn't it too much of a risk

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to start work? Because without the subsidy, I am not sure whether the business is financially very feasible. So, that is one part of the question.

Similarly, on the other subsidies, around 25% subsidy was supposed to come from the state government. In PCB, you are supposed to get 20% and 25% from the central government and state government. Has any of the subsidies come? And if the subsidies have not come, doesn't it make sense to wait for the subsidy before you, the official communication before you start constructing?

Jairam Sampath: Yes, Venkatesh. These are questions that were in our minds for the last three quarters. Okay. Having said that, as far as building expense is concerned, we are not risking. In fact, if you notice, we have also published how much of money we raised in QIP and where it resides. We have already funded it through our earlier general corporate purposes. Of course, now we will shift that expenditure from the previous IPO to this IPO.

So, that's we paid about 56%, INR56 crores, sorry, INR48 crores for the land. Plus this construction starting work, the first shed, is not going to cost you excess of some INR10, INR15 crores, okay. But it gives you huge benefit in terms of lead time because the cement and all this concrete and all of these things and the entire ground levelling, these are all long lead items. They are not very high-cost items. The high-cost items are the machines, actually. So, here, all said and done, we will not spend more than INR100 crores on land and building, actually speaking in the of course, the first POC stage. We are not talking about risking a whole lot of capital here. The second thing is you see the worst-case scenario.

You talked about, of course, there are questions on whether the government will be able to announce, etc. So, whatever little we understand from our interactions is that they would definitely do it in a very short time, even probably within this week or early. But we can't speak

on behalf of somebody without knowing exactly what is on their mind.

So, I leave it to their discretion to do this. But in terms of whatever we understand, the government is interested in pushing this particular agenda, saying that they will approve all of these prior to the announcement of any election, et cetera. Because the moment they announce elections and all of these things correctly set, it gets postponed by 2 -3 months.

So, we are not talking about risking a huge amount of capital here. We are talking about building a building. The worst case, the worst case, supposing we say something dramatic happens, etc. Then also, these buildings are generic buildings. We are not actually putting a clean room right now. The clean room, etc., comes in later. All of those kinds of things come in a little later. So, we probably will, we can use it for other purposes too. It's not that this building will actually become waste or something.

But on the other ha

nd, the possibility of such things is pretty remote, actually speaking. And we are pretty confident that this whole system, all these questions will probably shortly get answered. And the other question about whether if you apply, you will get approval.

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The government is not working in a rejection or acceptance methodology. What we have seen is that supposing there are 10 parameters in the project execution, they take one by one and work with you to get that right. It's not as if you write an application with 10 items and then they say, it may say 5 is not good, so get out.

It's not like that at all. Each and every item they discuss with you. And there's a big semiconductor mission team also.

Some of them are technical experts and so on. They also help us to solve those problems. They also work with us to make sure that if there is some particular agreement, for instance, some foreign partner, how much investment should be there, etc., etc. They work with us. And we have got in every one of those areas, we have got plan B and plan C also in place. So it's not as if we get badly off if they don't accept our point of view in one particular area.

We have and see the biggest proof of the pudding is in eating. So customers' confidence, which we are able to get from some two or three large silicon companies. So that is weighing in our favor.

So all in all, put together, I think it's not a big risk to, yes, it would have been nice if they had announced everything last month itself. We could have gone to the next stage. But nothing is lost because we are covering all the long lead items with a minimal risk.

You know, the land is never a risk. Already the land appreciation there, if you really see, I can't really talk about it, but it's a huge land acquisition already in those places. Right next to our building is a villa, etc.

Those are all going at multiple times what we have paid for and all that. So in real terms, economic terms, no, nothing lost. It is just that it's a little bit irritating to keep waiting and, you know, some of these things.

But I guess what is not in our hands, we have to do whatever best. So we also don't want a situation in which the last moment government approves and says, hey, where is your factory in April, you know, because you put that in DPR. So we don't want to get caught on the wrong foot.

We want to maintain timelines. As far as the state government procedure is concerned, we are in possession of a government order, which is like almost a check being issued. We've got certain conditions that you have to commence operation by this time, etc .

That is why we are in a hurry to make sure that we don't lose time. The last moment somebody gives approval and then after that we are short of one month, then it becomes a big problem.

V. Balasubramanian : Thanks a lot for those detailed answers. I hope you get your approval this week. And also, I hope that you meet not only me, you meet your guidance also. All the very best.

Jairam Sampath : No, no, absolutely. Thanks. Appreciate it. Thank you.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.

Jairam Sampath: Yes. So thank you all for attending this and very nice and value adding questions. We had a very nice discussion and we have noted down all the concerns and all that.

Those have been answered. The remaining, you can always get in touch with myself or Neeraj.

And we'll be happy to take you through details as we are permitted to.

Thank you once again. Have a great evening.

Moderator: Thank you. On behalf of JM Financials, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23 -25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 February 03, 2024

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Tower s,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Sub.: Intimation of transcript of earnings call for the Financial Results of 3rd quarter and nine months ended December 31, 2023 .

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by JM Financial for the Financial Results of the 3rd quarter and nine months ended December 31, 2023 . The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2031.01.2024.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the earnings call

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"Kaynes Technology India Limited

Q3 FY '24 Earnings Conference Call "

January 31, 2024

MANAGEMENT : MRS. SAVITA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAMESH KANNAN – FOUNDER AND MANAGING
DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
MR. NEERAJ VINAYAK -- HEAD OF INVESTOR
RELATIONS -- KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Kaynes Technology India Limited hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Deepak Agarwal. Thank you and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of JM Financial Security Limited, I welcome you all to Kaynes Technology India Limited Q3 FY24 earnings conference.

Today we have with us senior management represented by Mr. Ramesh Kannan, Founder & Managing Director, Mrs. Savita Ramesh, Chairperson, Mr. Jairam Sampath, Whole -Time Director and Chief Financial Officer, Mr. Rajesh Sharma, CEO, and Mr. Neeraj Vinayak, Head of Investor Relations.

Without taking much of time, I would like to hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thanks and over to you, sir.

Ramesh Kannan: Good afternoon, friends. Am I audible? JPS?

Moderator: Yes, sir. Yes, sir. Yes, sir.

Ramesh Kannan: Yes, yes. Good afternoon, friends. I would like to welcome everyone present on the calls from the entire team of Kaynes Technology.

I have along with me on the call Mrs. Savita Ramesh, Chairman of the Board, Mr. Jairam Sampath, CFO, Mr. Rajesh Sharma, our CEO, and Mr. Neeraj Vinayak, our Head of Investor Relations. Firstly, I want to express my heartfelt gratitude to our esteemed investors whose confidence and support played a vital role in companies' successful QIP. We are committed and excited about the roads ahead and look forward to your continuous support.

I am very pleased to share with you all that we have surpassed our FY23-year run rate during the first nine months of FY24. I am confident of delivering on our full -year guidance. Coming to our performance for the quarter ended December 31, 2023, our total revenue was INR5,093 million, registering a growth of 76% year -on-year.

Our growth was largely led by strong demand in the industry, including EV and railway verticals. Our Q3 FY24 EBITDA was INR 699 million compared to INR 412 million last year. PAT for Q3 stood at INR452 million compared to INR 229 million during last year.

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We continue to witness strong demand across verticals, with monthly order inflow reaching INR2,788 million per month from INR2,741 million during Q2 FY24. Our order book as of December 31, 2023 stood at INR 37,890 million. Now coming to major development for the quarter.

To deepen our technology deck, we are making strong strides by getting into manufacturing collaboration of high-complex AI-driven technology products in the cybersecurity, medical, AR/XR space. Some of the recent engagement on this front includes First to enhance our technological bandwidth. We have tied up for manufacturing a clear glass lens under a technology partnership with upcoming technology disruptor in this space. Their platform allows OEMs to create customizable, cost-effective waveguide based on their experiences for both enterprise and consumer applications.

Second, we entered into exclusive partnership with FIDO2 certified Microsoft Compactable biometric security solution provider. FIDO2 is a phishing-proof passwordless authentication protocol defined by the FIDO Alliance and the World Wide Web Consortium. The technology has already been approved by the Public Financial Management System under the Ministry of Finance.

These collaborations

will help the company position itself as a single-stop solution provider, enabling us superior presence in the complex product along with ensuring industry Leading margin profile.

Other achievements are during the quarter, Kaynes became the first company to successfully deliver fourth generation CKD server board for a global OEM. In addition, we have also recently received a large award letter in the aerospace segment. We also got two major order wins on the industrial side, catering to defense, catering to educational robots and UPSs. We have also received orders from a motor controller on the EV side.

In line with our stated policy of having last mile presence in the US, we have done acquisition of Digicom Electronics. The company has a couple of SMT lines and caters to complex product profiles. With this acquisition, Kaynes will be able to target complex and technological advanced product profiles in the North American market too.

Additionally, we have also invested for a significant stake in a US-based tech startup doing revolutionary work in the space of silicon photonics. This strategic investment is also in line with our roadmap of moving up in terms of handling complex semi-con packages to strengthen our capability along with superior profitability.

We are in an interesting phase of evolution of electronic industry taking shape world over and India remains at the center of this technological advancement. We are excited about the opportunities that lie ahead and are confident in our ability to navigate any challenges that come our way.

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With this, I will now hand over the call to Jairam Sampath to take you through our financial performance. Thank you very much.

Jairam Sampath: Thank you, Rameshji. Good day, everyone. Thank you for joining us on this call. I will be presenting the financial performance of our company for the period ending 31st December 2023.

For the quarter ended 31st December 2023, our consolidated total revenue was INR5,093 million, representing a 76% year-on-year growth. For the nine months ended December 2023, the consolidated total revenues were 11,673 million, representing 53% year-on-year growth. The consolidated EBITDA for the quarter was INR699 million, showing a 70% year-on-year increase, while for the first nine months it was INR1,589 million, which was up 46%. EBITDA margins for the quarter and nine-month FY '24 stood at 13.7% and 13.6% respectively. Our consolidated PAT for the quarter was INR452 million, up 98% year-on-year, and for the first nine months it was INR1,022 million, up 89% year-on-year. PAT margin for the quarter stood at 8.9% and for the first nine months it was 8.8%.

We have surpassed our FY '23 revenues during nine-month FY '24. Based on our current auto book, which stands at INR37,890 million, we are very confident of achieving the full year guidance.

Net working capital at the end of December was at 117 days on an annualized basis, lower than the 135 days at the end of the previous quarter. Our inventory was higher as we have to make advance purchases, keeping in mind the requirements of the upcoming quarters. Our net debt stood at the end of the quarter, adjusted for unutilized proceeds, was at about INR2,449 million, compared to INR1,924 million at the end of the previous quarter. Our ROE and ROCE adjusted for unutilized portions of the proceeds, were at 18.6% and 16.8% respectively, for the nine-month FY '24.

We continue to make progress on our expansion plans and continuously adding newer lines across various facilities. In Chamarajanagar we have operationalized alpha and beta blocks and gamma block is getting ready. We have started work on operationalizing our Pune facility which was acquired recently.

All these expansions will help the company ramp up its production significantly over the coming quarters. I would

like to thank our esteemed investors for their tremendous support and faith in the company for the recently concluded QIP.

On OSAT, we have provided Government of India all the requisite details and hopeful of hearing positive outcomes shortly. We have also started preliminary construction work in Telangana and hopeful of meeting the desired timeline for the same. We will be sharing final details as we make further progress on the same. We look forward to your continuous support on this journey ahead. With this, I would request all participants to come in with their questions. I now open the floor for questions.

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Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Nitin Sharma from M.C. Pro Research. Please go ahead.

Nitin Sharma: Hello. Congrats on a good set of numbers. Two questions. First of all, your gross margin has come down compared to the last quarter. Is it because of change in the type of orders on the industrial side? And how should we see it going ahead?

Management: Thank you for the question. Fundamentally, one small change in the way we compute our gross margin was done compared to the last year. Earlier, we used to compute all the consumables which are pertaining to one particular project as part of expenses.

So the gross margin was about 1.5% higher than what it is today. So whatever gross margin we are showing now, we have to add a quantum of 1.5% approximately to make it comparable with the gross margins last year. Having said that, it is still not equal to the gross margins last year.

This is primarily because a lot of new projects have been onboarded. If you notice, we are growing at a very high rate. So all the new orders in the first few quarters, by the time we manage all the materials, supply chain and proper pricing and forecast, etcetera, it takes a bit of time.

And that's why the gross margin appears to be a tad lower.

But fortunately for us, the operating leverage will be better than expected because the sales numbers are higher than what we have been expecting so far. So on an overall basis, I think we will be able to match the numbers on a PAT basis. Thank you.

Nitin Sharma: Understood. Secondly, where do you see your working capital day stabilizing? I think it continues to remain elevated. So some understanding with regards to that would be helpful?

Management: Yes, so in the end of the first two quarters, it was primarily driven by inventories. It was 135 days net working capital at the end of the second quarter, that is half year. And at the end of the third quarter, it has come down to 117. We are confident that we will certainly bring it down below what we saw last year -- last two years have been 98-99 days. We will certainly bring it below these two numbers by the end of March.

Because March quarter we'll do significant amount of sales. Almost 35% to 40% of the annual sales happens in March quarter. So we are quite confident that we can bring down the inventories. And of course, we will also have taken some steps to control receivables. So we are sure that we will bring down the net working capital days much below the numbers that we had for the last year. And going forward, we have put some -- hello?

Moderator: Yes, sir. You can speak, sir.

Nitin Sharma: Yes. So is it possible for you to break it down in terms of inventory days, receivable days, and payable days in current quarter?

Jairam Sampath: Hello. Am I audible?

Moderator: You are audible on the backup phone. And the main...

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Nitin Sharma: Should I repeat the question?

Jairam Sampath: Yes, you could. The first question I had answered. I hope you got the answer.

Nitin Sharma: Yes, sir, I did. Just to add on to that, is it possible for you to break

k down the number of days for inventory, receivables, and payables for the quarter?

Jairam Sampath: I had answered that. I will repeat the answer here. Essentially, from the first half number, the number of net working capital days has come down from 135 to 117 now. By the end of the year, we are confident that both inventory and receivables will be much lower than what we had, because third quarter is also in terms of a larger amount of business. So we expect the net working capital days to come significantly below last year's total number, which was hovering around 98, 99 days. And going forward into FY'25 and '26, we think that we can make further less. Thank you.

Nitin Sharma: Thank you. I'll get back in the queue.

Jairam Sampath: Next question, please.

Moderator: Yes, sir. Our next question is from the line of Rahul from Haitong India. Please go ahead.

Rahul: Hello. Am I audible?

Moderator: Yes, sir.

Rahul: Yes, hi. Good afternoon, sir. Thanks for the opportunity. Sir, in the first nine months, we've seen order backlog improvement. I want to know where the margins are in the first nine months. How is the margin profile of the order book that you have right now with you?

Jairam Sampath: Yes, so there are some new orders which we have executed during the first three quarters, which has pulled down the margins a little compared to what we probably anticipated. But at the end of the year, on a year-on-year basis, I think there will be significant drop in margins. And at that level, we still think that we will hold the numbers that we talked about.

As far as the order book is concerned, it contains the order profile similar to what we have on the sales number. However, one small point that I want to make is that there are orders expected in the railway as well as in the aerospace area, which are not yet locked into the order. So we are awaiting the numbers. And those are going to be a significant part of our sales, especially in FY'25.

So what you see now as order book is at the minimum, whatever current performance is there. And we will continue to get operating leverage. And next year, we will also get cost reductions in our materials, because all these newly onboarded customers will start getting regular supplies from suppliers who can give us lower prices. Broadly, that is the reason why you see quarterly basis some little dips sometimes.

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But we are confident that it's not something very alarming. And next year, certainly, we have these two bigger segments kicking up. And their order confirmations are there. It is just that they have to physically issue the order to us. And so that will happen sometime maybe March, April timeframe. And then you will see probably better performance also in the next year.

Rahul: Okay. So FY'24 margin will be similar to or slightly lower than FY'23 is what you're saying. And '25 and '26, we can see some bit of improvement on that margin. That's what you're saying on the EBITDA level.

Jairam Sampath: Yes, sir. In the long run, it will be similar to what we have been discussing.

Rahul: Okay. Sir, typically, when you are in the process of executing an order, at what percentage of execution do you start booking margins? Is it 10% or is it a simultaneous booking of margin? How do you account for...?

Jairam Sampath: Yes. There is a small clarification. These are all just like production kind of activities. It's not a project. As in, it's not based on milestone completion, but it's based on number shift. The project refers to the customer's terminology, not really what we do. We do actually a simple production. That means, for instance, we enable some such aerospace customer orders from Avionics. So maybe they call it some project X because it is going to some X aircraft. But as far as we are concerned, they will order, let's say, 5,000 units of t

his item and 4,000 units

of that item, etcetera. And they will give us a schedule, do so much in January, so much in February, and so on. So we actually shift. So our revenue recognition is after the item is shipped completely from our factory and based on agreed terms, so in case we have X work, both the 99% of customers, it's always X work, wherein the responsibility for picking up and transportation is with the customer. The moment we ship out of our factory, we recognize the revenue.

Rahul: Okay, fair enough. So margins are stable through the execution, whether it is a one-month execution period or whatever time be. So my last question is on the capex. What is the kind of capex that you have already done? And how do you see the capex happening over the next two or three years? And if you can actually talk about how that OSAT-related capex is also planned, that will give us a good idea of capex over the next maybe five years.

Jairam Sampath: Sure, sure. So we have two sets of businesses here. One is the existing business, which is the

ESDM business. And as I said earlier also, IPO was done last year. And November 22, we completed the IPO. Whatever money we have raised there is sufficient, in our opinion, to support CAGR's about 45% growth over time in the ESDM sector of the business, because we also are expecting some improvements on the working capital and all that. So the OCF and EBITDA percentage will improve. And by FY25 end, we expect that the ESDM part of the business will start generating enough resources to help with capex investment. So we have raised about INR250 or INR260 crores in the IPO. And that has been employed. And by the end of this year, probably we will complete all of those investments. We are also taking a little time to implement, because we also realize that while, of course, we have put in

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the objects in approximate cost, etcetera, but we are trying to squeeze those capex's so that we can deliver the latest machines and also a little more capacity. So our internal thing says that on an annual run rate of about INR3,000 crores, we have enough capacity. And thereafter, we will have enough of operating cash flows to fund any more capex's for this particular business. The second part of the business is OSAT, the new project, which contains OSAT. And then there is, of course, this PC board, which is high-density interconnection. So OSAT and PC board projects, as we have all there in the documents that we have already uploaded, we could take a look at detail and we can always chat later. But suffice it to say that two years it takes to commence the operations meaningfully from the commercial perspective. Already a factory set up, building, land development, all that has started off. And we are – the first building is just coming up. The pillaring, etcetera, has been done. So we are on schedule as far as that project is concerned. And in two years' time, we start commercial commence the production. And that means two years means this is like a FY'26 end. You will start significant revenues coming in from the OSAT business. In '27 and '28, we'll see full-fledged revenues coming in. This is a business where you get a typical asset turnover of about 1 to 1.5. So you can calculate and see what kind of revenues there are. As far as PC board business is concerned, these are high-density interconnection boards. So the factory set up, etcetera, is expected to happen in about one and a half years' time. So in two years' time, again, we'll start getting some commercial production happening. And then again, FY'27 and '28, you can see some good ramp-up. This business also is typically 1 to 1.5 times asset turnover. These are all capital-intensive businesses. But we are happy to tell you that in case of PC board, there's a lot of consumption that we can plan from our existing b

usiness itself because

we do buy almost a large amount of our purchases. And the commodity is PC boards, which we can, of course, feed from our own unit.

So that way, we get double benefits. One is consumption security, and then second is whatever margins that we actually let other companies make, we can flow it into our own company. So it will be a margin-accretive deal as far as PC board is concerned. So the current capital, whatever money we have raised, INR1,400 crores, that contains three parts. One is, of course, the OSAT. Second is the PC board. And third is general corporate purposes.

General corporate purposes broadly will go into, of course, OSAT and PCB majorly. But they will also aim towards some of those contracts that we are having with agreements with other companies, etcetera. So the total package is expected to give us significant revenues in FY'27 and '28 in these two new areas.

Rahul: Okay. So this last number on the export front, how is the export in the order book and the revenue this quarter, nine months, whichever number you can share?

Jairam Sampath: Yes, sir. So as far as the order book and this thing is concerned, the export is anywhere between 15% to 20%. But next year, we expect the export to go up, because especially aerospace and the railways business, some exports will come in, especially in the aerospace business. Strong exports will come in. So next year, we can expect more exports also in our order book.

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Right now, those orders have been confirmed, but not placed with the details. So that's why they don't enter the order book at this point in time. So currently, it's 15%, 20%. Next year, it will be more than that, maybe more like 25%.

Rahul: Okay. Thank you. Thank you very much, sir, and all the very best. Thank you.

Jairam Sampath: Most welcome, sir. Thank you.

Moderator: Our next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Yes, hi. Good afternoon, and congratulations on strong results, sir. My first question is to understand the mix and the impact in gross margins this quarter. If you see industrial segment has seen the sharpest jump, and simultaneously there has been a jump in share of box bill revenues.

Does this corroborate to also indicate that combination of the applications for which we have executed this quarter were carrying significantly lower gross margins? Despite being box billed, it typically tends to have higher margins than conventional PCBA applications.

Jairam Sampath: Yes. So, yes, thank you, Renuji. See, fundamentally, one thing is I explained about 1.5% was hiding in expenses previous year's gross margins. So that gross margin, you must add that to compare it with previous year. That's pertaining to consumer base...

Renu Baid: No, I'm comparing it even on a sequential basis, Q -o-Q basis. Not higher one but...

Jairam Sampath: Sequential, that's not important. The second thing is as far as box billed is concerned, even for any new product that we do, especially in the industrial EV side, which contains a fair bit of percentage of sales currently. In the third quarter, the box bi lled came down a TAD, I think, if I'm not mistaken, a couple of percentage points, if I'm not mistaken, compared to last time. And box billed will be more profitable in the long run.

In the long run, at least for the first two, three quarters, any new product that we onboard will entail more costs, whether it's developing the assembly processes, we may put more cost of materials, etcetera, because we have to get fulfilled short -term or ders, etcetera. So you can expect this, let's say, correlation between box build increase and margin increase sometime in the fourth quarter, you can definitely see this. Hopefully, we will get there now, because we are also getting some reductions in cost, etcetera.

So that wil

I take care of some of the smaller dips which are happening because of new product onboarding. The second thing is also vertical -wise. So obviously, the percentage of railway and aerospace vertical is still lower in the first three quarters tha n what we had anticipated. But we do have confirmations, and I think going forward into fourth quarter, we certainly will improve those numbers. At least currently, it's 11% and 3%, if I'm not mistaken, of the total. So maybe it will go up to about 13% and 5% or so.

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So that will also improve the margin. So broadly, margins will recover in the fourth quarter at gross level, as well as our EBITDA will also be better because we'll have further operating leverage. We're not planning to add any more major costs now.

And revenues will be something like 35%, 40% of the whole year. So from that perspective, I think we can see both gross margin level improvement in Q4 as well as improvement in the EBITDA number, operating EBITDA number in Q4.

Renu Baid: Sure. So secondly, given the recent disruptions in supply chains and trade from the Red Sea, do we anticipate any headwinds on the inventory side of working capital, though you alluded that working capital will come off? So do we see any material impact o n business and margins from this in the near term?

And also aligned with this, if you can also share any business updates on the IT hardware side where we are working for large enterprise clients on localized solutions. Thank you.

Jairam Sampath: Thank you, Renuji. So as far as inventory is concerned, that's what I had actually the first question I had alluded to that. And we are confident that we will make significant reduction in the net working capital, mainly driven by reduction in inventory. S o reduction in inventory in terms of number of days, it has two components. One is the quantum of inventory. Second is the quantum of sale in the quarter.

So when we analyse it, I think net working capital is 1 17. So part of that reduction will be driven by increasing sales. And also we have already stocked up almost all the material for the next quarter because we already have the order book.

And based on order book, the materials have orders have been purchased. So now during this quarter, we'll be purchasing small amount of material for shortage balancing. So I don't expect any headwinds in terms of inventory being going out of control or so mething.

So just that is one of those things which we have to watch in our business because we have two pressures which increases inventory. One is new orders that come in. And second is some supply chain disruptions that sometimes happened in the past. So those a re the two things we have to watch. Otherwise, I expect the net working capital to come down to the expected levels by end of March. And on the IT hardware side, we have – excuse me.

So in addition to working with one of the large government agencies for manufacture of high - performance computing servers, we're also working with one of the governments of India entities

for development of technology within high -performance computing servers. And shortly when that activity is done, we will come out and we'll announce that particular thing. So what we are doing is we are increasing our depth of offering in the entire IT high -performance computing server space.

And we are also using our abilities and investments that are coming up in the Semicon and PCB board and HDI PC board factories so that over the next one or two years, we become let's say a very high value adding company in the area of servers and things like that. And as you know,

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we already have PLI in this. So next year, you can see some good business being done in that area.

Renu Baid: Okay. Thanks so much and best wishes

s, sir. Thank you.

Jairam Sampath: Thank you, Reenuji. Thank you.

Moderator: Thank you. Our next question is from the line of Arafat Saiyed from Incred Research. Please go ahead.

Arafat Saiyed: Yes. Thanks, sir. Am I Audible?

Moderator: Yes, sir. Yes, sir.

Arafat Saiyed: Yes. So thanks for taking the question and congrats on great numbers. So my first question is on industrial EV side. So can you please elaborate which are the key clients and main products you are serving in this segment?

Jairam Sampath: Sorry, could you repeat that, Syedji? Could you repeat that question?

Arafat Saiyed: Yes, sir. Can you please elaborate more about the industrial AV segment? So which are the key clients and key products in this segment?

Jairam Sampath: To the extent that we have concerns, we have already published. So I'm not at liberty to publish names. But of course, in EV, we have all the leaders in those segments who are operating in India. We yet don't have too much of exports in EV. We do have some small component exports in EV to Europe. And we are also working on charging infrastructure EV. So they are all leading people in two -wheeler and four -wheeler category in India.

Arafat Saiyed: Yes, thanks. And so my second question is on OSAT business. Can you please elaborate more about your tie -up with Google?

And again, which sector you are more focused as far as OSAT is concerned?

Jairam Sampath: Yes. So as far as OSAT is concerned, of course, as I've been discussing during our other meetings and so on, we are focused on the branded semiconductor segment. And our approach to OSAT is to start at the regular semiconductor assembly business, which is starting with certain packages which are very popularly used in most of the industrial and critical applications, and then quickly move on to the second stage to what is known as advanced packaging and component semiconductors, etcetera .

So we are preparing in tandem for both the approaches. In the second approach, we require a lot of technology partnerships, which we have already announced a couple of them already, and we are going forward. As far as the first is concerned, the factory construction, which is the long -lead item, has already started.

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And the land development has concluded. Factory construction has started off. So hopefully we will, by end of this year or early April, we will have the factory up and running. And we also kind of made arrangements for the equipment, etcetera , etcetera . So there are a lot of moving parts in this project, so we are quite having all of them under some kind of a control, and obviously a lot of effort is going into managing these. In terms of segments, they are all critical industrial segments, power products, etcetera .

Initial packages will be QFN, BGA, then of course SOT to begin with, and then of course there's stack die, QFN, stack die BGA, etcetera . So these represent essentially critical products, but they are not really low -load semiconductors. So that also works well with our initial intent to learn this entire assembly technology, make sure how we work with the supply chain, work well with customers before making move to advanced packaging.

Arafat Saiyed: That's it from us. Thank you.

Jairam Sampath: Thank you.

Moderator: Thank you. Our next question is from the line of Bhoomika Nair from Dam Capital. Please go

ahead.

Bhoomika Nair: Yes, good afternoon, sir. I just wanted to talk a little more about this DigiLens thing that you've announced. You know, what exactly will we be doing? I mean, we'll be doing the OSAT, the PCB, etcetera, and given that the plants are yet to be operational, do we start the PCB assembly beforehand, if you can just talk about this, and such -- and how large can this client be for us over a period of two, three years?

Jairam Sampath: So DigiLens

partnership represents our foray into a high-tech technology, which the technology leader, DigiLens is a technology leader in that particular technology, has chosen us to represent them in India. And they have also wanted some capacity for their business in the US. So this has got, of course, two components, one which is similar to SEMICON, not really SEMICON, but similar to SEMICON business.

The other is the typical assembly business that we do, which has to be done under clean room conditions and all that. And I'm happy to tell you that both these activities we are pursuing, and we are, I think, in the process of setting up a team jointly to get trained and so on and so forth. The initial stage of tie-up and agreements, etcetera, has been done.

And going forward, we will pursue both the opportunities, one which is in the SEMICON area, which has something to do with the innards of that particular product. It's a licensed technology, obviously, so I can't share more than this at this point in time but suffice it to say that our value footprint will be much higher than a typical manufacturing contract in the MS space.

Bhoomika Nair: Okay. Got it, sir. So the other thing was on OSAT, we were looking to commission the plant in phases between 2Q of this year and 2Q of 2025. Given that the approval is yet pending, how -- by when do we expect the revenues to start kicking in? And if you can also talk about the bare

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PCB plant, whether the land has been allocated, and when does the construction of the plant is expected to begin?

Jairam Sampath: So as far as the bare -- okay, let me answer the first OSAT business. See, OSAT approvals, I think, other than Micron, all other approvals are kind of just getting done now. As I speak to you, a lot of hectic activity is going on this week. I think the department -- I mean, I can't speak on their behalf, but they probably are expecting to clear most of the files this week, and we are quite confident that it should get cleared this week sometime.

And because of the impending political elections, etcetera. So I think it should happen very shortly. We don't expect any major headwinds or any other delays there as far as that is concerned. As far as we are concerned, we always raise the funds one way or the other. In any case, the worst-case scenario is already there with us, the specs for policy and all that.

So there is no need to wait for the exact approval to come in before these stakes. So we are already starting construction and levelling off the ground and development of ground and all that. So as we had earlier discussed during the various meetings and so on, so sometime first week of April, we should have the factory ready, at least the first phase, what we call the POC. And all the machinery manufacturers, etcetera, also we have kind of sounded them out. And so the first set of lines that are expected to be coming, I think we can -- we are ready. And so I don't expect any delay in commencement of this particular project. So as far as on the customer side is concerned, a couple of customers have come and audited us also.

Obviously, the orders will come only after I show the lines, so that will happen sometime in first quarter of next year. But otherwise, the -- all other, let's say, checkbox picking has happened. We have had the senior people visit us and so on. So at least two of the customers we already completed. That's my -- something that I know.

Some more probably are being done as we speak. So, this time, whatever perceived delay by government, etcetera, we'll utilize to get our -- all other activities completed and so on. So we don't expect any major headwind. As far as PCB board is concerned, we have got a couple of options for land, and we are just finalizing it.

Because this needs water and so on and so forth, so there is some little examination

on that is being

done, and we have asked some experts to look at that pieces of land available to us. And we'll very shortly take a decision, and we are already parallelly preparing our contractors for this factory construction.

Layout, etcetera, everything is ready. What machinery to be done, all that is ready. So you will not expect too much delay. We have marked about nine months for construction of this factory. Maybe we have to do it now on eight months. I think that's imminent doable. And then post that, this is being a process plant.

It takes some time for it to become regular production. So we have given ourselves somewhere between one and a half to two years' time to show commercial production from this.

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Bhoomika Nair: So the bare PCB plant will start showing up in terms of revenues only in, towards the end of FY26, per se?

Jairam Sampath: Yes, FY26 second half onwards you can expect. But significant one, FY27 onwards you can expect.

Bhoomika Nair: Okay. And from the OSA T perspective, it would be largely from the end of FY25. We should start seeing some trickling in of revenues and big time or scale up from FY26 onwards.

Jairam Sampath: Yes, the proof -of-concept phase will start from second quarter, that is, H1 of FY25. Thereafter, some revenues will start. But all the other lines being established and then coming, delivering good capacity utilization, yes. Towards the end of FY26, you will see some significant commercial changes.

Bhoomika Nair: Got it, sir. I will come back to the question. Thank you.

Nitin Sharma: Thank you, ma'am. Thank you.

Moderator: Thank you. Our next question is from the line of Harshil Solanki from Equitric Capital. Please go ahead.

Harshil Solanki: Hi, team. Good afternoon. I have just one question on the Kavach technology. So, sir, where are we on the development part of Kavach? And when can we expect the approval and tender participation?

Jairam Sampath: Sir, can you repeat the question and just come closer to the mic, please? I did not understand.

Harshil Solanki: Sir, my question is on the Kavach Technology...

Jairam Sampath: Yes, Kavach, railways. I got it. I got it. So, as far as Kavach is concerned, we are working with the governmental agencies to develop this product. We also – so, maybe this development being a critical product takes anywhere between six months to a year before we can showcase a solution. And then thereafter, the agencies have to take it and then approve it. So, we think commercial production of this Kavach -related activity should happen after maybe 1- and 1.5 - years' time.

So, at this point in time, suffice it to say that we are actively working to put all the resources that's required as committed to the Minister, Honorable Minister. And you can see some results by first quarter of next year in terms of at least prototypes being developed and made.

Harshil Solanki: Okay, sir. Already there are players who are approved and they are executing the project also. So, how do we plan to compete against them after a year?

Jairam Sampath: Yes. So, yes, yes. No, no. good question, sir. Harshil, the issue here is that we are a non -brand supplier, right? We don't have a case -branded item. So, everywhere our offering is as an ODM to another brand player, essentially. So, the other three players that you are referring to, they have all been given a trial order only.

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So, they are at a stage where we will get to that stage by maybe third quarter or second quarter of next year. That's all. We're not that far away, actually. So, once the solution -- so, part of the -- we will also leapfrog in terms of timing of approval. The first three players have to probably bear the full burden of full -fledged approval. The design is similar. So, in our case,

se, maybe the approval gets shorter because the future concept would have been done by the railways and so on. So, it's only reliability of the hardware that they will check. The solutions are essentially not different. It is driven by the same agency in the government. So, let's say, just to illustrate the thing, if they take X amount of time, we will take X minus delta X amount of time for approval. So, we will really not miss anything.

Obviously, if you come late, we do have to get business late only. So, from that perspective, yes. But on the other hand, we have the additional advantage. We can offer this solution not only as a change player, but we can offer it to many other branded players. So, we are focusing on this being an ODM kind of solution. At this point in time.

Harshil Solanki: Okay. So, just a clarification, we will do both OEM as well as ODM for Kavach or just one part of it?

Jairam Sampath: No, we will do ODM and OEM both. Because if somebody, one of these three players, if they think that they want to use our facilities for enhancing their capability, we are always welcome

to do that because we are adding capacities and so on. So, we are open to both OEM as well as ODM for Kavach.

Harshil Solanki: Understood, sir. That was it. Thank you so much.

Jairam Sampath: Thank you, Harshil.

Moderator: Thank you. Our next question is from the line of Lokesh Manik from Vallum Capital. Thank you. Please go ahead.

Lokesh Manik: Yes, Good afternoon, sir. Am I audible?

Jairam Sampath: Yes, sir.

Lokesh Manik: Sir, my question was on employee expenses for this quarter. Is that about 4.9% of sales, which is about 150 bps or 1.5% lower than the average of 6%. So, is this sustainable going forward?

Jairam Sampath: Yes. So, yes. What you are asking about is the operating leverage. So, if you take the... I would like to just explain to you, saying that out of the total INR100 of sales, there is X amount of money available after paying for materials. And out of that, there is an EBITDA if you remove that roughly about 15% -16% is available.

This is in two parts. One is the employee and those kinds of fixed costs, which I can get the operating leverage. And the other part is something called variable costs, which unless I change the scale, it does not alter significantly.

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So, your question is whether I can get operating leverage further? Simple answer, yes. We will get operating leverage further, maybe over this year and even next year. [inaudible]. Yes. We will get the operating leverage. And so, part of the operating leverage comes from employee costs. Other parts come from other fixed costs. So, we will get significant reduction due to operating leverage. Thereafter, again, we will have to increase the quantum of these costs. And again, the sales goes up again.

Lokesh Manik: Okay. Sir, my second question is on the drop in gross margins for the last four quarters now. And that coincides with the contribution, lower contribution from medical and from IoT and consumer products, which used to combine the 20% to the revenue last year. And this quarter, it is at 10% combined, medical, consumer, and IoT products. So, how much of the impact on the gross margin is due to the lower contribution from these segments?

Jairam Sampath: Yes. I will take a step back and say, lower gross contribution is also a function of lower composition from railway and aerospace. You see, aerospace is some 2% -3%, and railway is about 10% -11%. In the fourth quarter, you can expect these numbers to go up at least significantly, 2% -3% in each of these segments. And that will definitely impede any erosion of margin on a blended basis by any other segments like industrial, IoT, etcetera, going up. And as far as the medical is concerned, while medical is a good margin business, but the client onboarding takes

a little longer time. So, we have been working with the client for the last one year, and we expect, if not, I think today probably the client visit is there and so on. So, we will come to know.

Hopefully, we will get some execution clearance in JFM. If not, FY '25, we will start getting medical. So, the contribution of reduction due to medical and IT not working is not very high, but aerospace and railway not picking up to their original level, that does hurt us a little. But I am happy to tell you that that is now fixed, and last quarter and next year full, you will see some good action in that area.

Lokesh Mani: Great. Thank you so much for answering my question.

Jairam Sampath: Thank you, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

V. Balasubramaniam: Yes. Thanks a lot for the opportunity. By the way, the name is Venkatesh Balasubramaniam. Now, coming to the question, we actually heard your TV interview where you mentioned that you are quite confident of your 18 billion kind of revenue guidance for the full year, which basically means [INR6.3 billion] of revenues in the fourth quarter. You also mentioned that 15% plus margins is possible.

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I mean, it will be slightly better than last year. So, last year, actually, you did 14.9%. So, even if I assume 15%, that basically means that in the fourth quarter, you have to do 17.6%, a margin

level which you have historically not achieved. So, is this a number which is feasible?

Jairam Sampath: Thanks, Venkatesh. So, yes, obviously, there are a lot of moving parts to this math, okay? So, of course, I had qualified my thing in the TV interview saying we will try and get some of the next year numbers of orders executed this year, essentially in the aerospace and railway area. So, it's possible to do 17, etcetera, in a quarter if you have a reasonably good proportion of railway electronics and aerospace electronics, okay? If the proportion of business in the other lower margin segments is increasing, then it may not work so much, but certainly it will be much higher. EBITDA is driven by two aspects. One is gross margin; the other is operating leverage. So, like I said to previous analysts, we are likely to get some more benefit of operating leverage during Q4. So, that will give you at least 1% or 2% higher EBITDA numbers by itself, because we will do minimum 1800, and God willing, we can probably work towards more too. And then in terms of the composition of the business, we are likely to – we're trying to make sure that if there are orders for railway and aerospace that we can execute now, then we'll give preference for those orders. So, these factors put together, it looks like it is very feasible to hit the last year's EBITDA number, okay? And probably do more.

It depends on how much we are able to execute. The moment we have confirmation on – see, there is only one thing which is between us and this performance, whether we get confirmation on receipt of all components for all the different orders that we receive in short cycle. So, that's what is right now happening. So, hopefully we – it is – simple answer to your question is certainly feasible. Whether it will happen or not, I can't talk about future, but I think by all different, let's say, factors that affect it, I think it looks like we can get there.

V. Balasubramaniam: Okay, okay. The second question is not related to numbers. It is on the OSAT business. Now, we are already in – January has ended, Feb is starting, you are telling you already started work on your OSAT factories in terms of construction of the factory. We have not got the subsidy approval yet. Anytime now, the election code of conduct – rather the election date might be announced. You know, let's say they say that April

is general election. So, the election code of conduct will immediately kick in.

So, will the India Semiconductor Mission be in a position to even make an announcement, even if you get approved? And so, that is the first part. What happens if the whole thing gets delayed and the decision is actually decided post-general election? So, it is possible that you might – even post-general election, you might have to wait for another two to three months. So, we might be waiting till June. So, is it worth the risk of starting construction on the factory when this kind of delay is possible? That is one thing.

The second part of the question is, is it that given that you will make an application and you will 100% get the subsidy, isn't there any likelihood that the government might say maybe, your JV partner is not okay, I am not comfortable, I need more assurance. So, isn't it too much of a risk

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to start work? Because without the subsidy, I am not sure whether the business is financially very feasible. So, that is one part of the question.

Similarly, on the other subsidies, around 25% subsidy was supposed to come from the state government. In PCB, you are supposed to get 20% and 25% from the central government and state government. Has any of the subsidies come? And if the subsidies have not come, doesn't it make sense to wait for the subsidy before you, the official communication before you start constructing?

Jairam Sampath: Yes, Venkatesh. These are questions that were in our minds for the last three quarters. Okay. Having said that, as far as building expense is concerned, we are not risking. In fact, if you notice, we have also published how much of money we raised in QIP and where it resides. We have already funded it through our earlier general corporate purposes. Of course, now we will shift that expenditure from the previous IPO to this IPO.

So, that's we paid about 56%, INR56 crores, sorry, INR48 crores for the land. Plus this construction starting work, the first shed, is not going to cost you excess of some INR10, INR15 crores, okay. But it gives you huge benefit in terms of lead time because the cement and all this concrete and all of these things and the entire ground levelling, these are all long lead items. They are not very high-cost items. The high-cost items are the machines, actually. So, here, all said and done, we will not spend more than INR100 crores on land and building, actually speaking in the of course, the first POC stage. We are not talking about risking a whole lot of capital here. The second thing is you see the worst-case scenario.

You talked about, of course, there are questions on whether the government will be able to announce, etc. So, whatever little we understand from our interactions is that they would definitely do it in a very short time, even probably within this week or early. But we can't speak

on behalf of somebody without knowing exactly what is on their mind.

So, I leave it to their discretion to do this. But in terms of whatever we understand, the government is interested in pushing this particular agenda, saying that they will approve all of these prior to the announcement of any election, et cetera. Because the moment they announce elections and all of these things correctly set, it gets postponed by 2 -3 months.

So, we are not talking about risking a huge amount of capital here. We are talking about building a building. The worst case, the worst case, supposing we say something dramatic happens, etc. Then also, these buildings are generic buildings. We are not actually putting a clean room right now. The clean room, etc., comes in later. All of those kinds of things come in a little later. So, we probably will, we can use it for other purposes too. It's not that this building will actually become waste or something.

But on the other ha

nd, the possibility of such things is pretty remote, actually speaking. And we are pretty confident that this whole system, all these questions will probably shortly get answered. And the other question about whether if you apply, you will get approval.

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The government is not working in a rejection or acceptance methodology. What we have seen is that supposing there are 10 parameters in the project execution, they take one by one and work with you to get that right. It's not as if you write an application with 10 items and then they say, it may say 5 is not good, so get out.

It's not like that at all. Each and every item they discuss with you. And there's a big semiconductor mission team also.

Some of them are technical experts and so on. They also help us to solve those problems. They also work with us to make sure that if there is some particular agreement, for instance, some foreign partner, how much investment should be there, etc., etc. They work with us. And we have got in every one of those areas, we have got plan B and plan C also in place. So it's not as if we get badly off if they don't accept our point of view in one particular area.

We have and see the biggest proof of the pudding is in eating. So customers' confidence, which we are able to get from some two or three large silicon companies. So that is weighing in our favor.

So all in all, put together, I think it's not a big risk to, yes, it would have been nice if they had announced everything last month itself. We could have gone to the next stage. But nothing is lost because we are covering all the long lead items with a minimal risk.

You know, the land is never a risk. Already the land appreciation there, if you really see, I can't really talk about it, but it's a huge land acquisition already in those places. Right next to our building is a villa, etc.

Those are all going at multiple times what we have paid for and all that. So in real terms, economic terms, no, nothing lost. It is just that it's a little bit irritating to keep waiting and, you know, some of these things.

But I guess what is not in our hands, we have to do whatever best. So we also don't want a situation in which the last moment government approves and says, hey, where is your factory in April, you know, because you put that in DPR. So we don't want to get caught on the wrong foot.

We want to maintain timelines. As far as the state government procedure is concerned, we are in possession of a government order, which is like almost a check being issued. We've got certain conditions that you have to commence operation by this time, etc .

That is why we are in a hurry to make sure that we don't lose time. The last moment somebody gives approval and then after that we are short of one month, then it becomes a big problem.

V. Balasubramanian : Thanks a lot for those detailed answers. I hope you get your approval this week. And also, I hope that you meet not only me, you meet your guidance also. All the very best.

Jairam Sampath : No, no, absolutely. Thanks. Appreciate it. Thank you.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.

Jairam Sampath: Yes. So thank you all for attending this and very nice and value adding questions. We had a very nice discussion and we have noted down all the concerns and all that.

Those have been answered. The remaining, you can always get in touch with myself or Neeraj.

And we'll be happy to take you through details as we are permitted to.

Thank you once again. Have a great evening.

Moderator: Thank you. On behalf of JM Financials, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 May 21, 2024

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Towers,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Sub.: Intimation of transcript of earnings call for the Financial Results of 4th quarter and financial year ended March 31, 2024.

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by JM Financial Institutional Securities Limited for the Financial Results of the 4th Quarter and Financial year ended March 31, 2024. The same is made available on the Company's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Trasnscrip%2017.05.2024.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the earnings call

Page 1 of 16

"Kaynes Technology India Limited Q4 FY'24 Earnings Conference Call"

May 17, 2024

MANAGEMENT : MR. RAMESH KUNHIKANNAN – FOUNDER & MANAGING
DIRECTOR , KAYNES TECHNOLOGY INDIA LIMITED
MRS. SAVITHA RAMESH – CHAIRPERSON , KAYNES
TECHNOLOGY INDIA LIMITED
MR. JAIRAM P SAMPATH – WHOLE -TIME DIRECTOR &
CHIEF FINANCIAL OFFICER , KAYNES TECHNOLOGY INDIA
LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER ,
KAYNES TECHNOLOGY INDIA LIMITED
MR. SUMIT VERMA – INVESTOR RELATIONS , KAYNES
TECHNOLOGY INDIA LIMITED
MODERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL SECURITIES
LIMITED

Kaynes Technology India Limited
May 17, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to Kaynes Technology India Limited Q4 FY'24 Earnings Conference Call hosted by JM Financial Securities Limited.

As a reminder, all participants line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now ha nd the conference over to Mr. Deepak Agarwal. Thank you and ove r to you, sir.

Deepak Agarwal: Thank you. Good afternoon, everyone. On behalf of JM Financial Sec urities Limited, I welcome you all to Kaynes Technology India Limited Q4 FY' 24 Earnings Conference Call.

Today, we have with us senior management represented by Mr. Ramesh Kunhikannan, Founder and Managing Director, Mrs. Savitha Ramesh, Chairperson, Mr. Jairam P Sampath, Whole-time Director and Chief Financial Officer and Mr. Rajesh Sharma, CEO.

Without taking much of the time, I would like to hand over the flo or to the management.

Ramesh Kannan: Good afternoon, everyone. On behalf of Kaynes Technology team, I would like to welcome everyone to the earnings call for Q4 FY'24.

I have along with me Mrs. Savita Ramesh – Chairperson of our board, Jairam Sampath – Whole-time Director and CFO, Mr. Rajesh Sharma – CEO, Mr. Sumit Verma – Inve stor Relationship and Orient Capital, our Investor Relations Partner.

I would like to take this opportunity to express our heartfelt gratitude to each and every one of esteemed investors for the encouragement provided to us during ou r journey so far.

I am happy to inform you that we have been able to achieve a revenue of 18,046 million during the financial year 2024, which represents a strong growth of 60% year- on-year. The operational EBITDA margin for the financial year FY'24 was at 14.1%, the pro fit after tax for the financial year 2024 was at 1,833 million and the PAT margin was at 10.2 %, which represents a growth of 93% year- on-year.

Coming to our performance for the quarter-end March 31st, 2024, ou r total revenue was Rs.6,373 million, registering a growth of 75% year- on-year. Our Q4 FY'2024 operational EBITDA was 952 million, registering a growth of 60% year- on-year with an operational EBITDA margin of 14.9% for the Q4 F Y'2024.

Our growth was led by strong demand across all the verticals, more notably. Industrial and EV Aerospace, Outer Space and Strategic Electronics and Railways vertical.

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We continue to witness strong demand across verticals. The order b ook surged from Rs.37,890 million at the end of Q3 FY'2024 to 41,152 million at the en d of Q4 FY'24. The average order inflow per month increased from 2,788 million per month in Q3 FY'24 to 3,212 million during Q4 FY'2023.

On the operational efficiencies, we have made consistent effort to improving the working capital cycle and I am pleased to inform you that the working capital cycle has reduced to 83-days in FY'24 from 99-days in FY'23. We expect further improvement going forward with sustained action on this front too.

On business side, we have consistently been working to strengthen our company to become an integrated EMS company, which was to serve a higher value share of customer requirements. Towards this goal, we have to incorporate a new subsidiary in the mechatronics area that will focus on new generation of plastics, metal enclosure and also the molds, tools and fixtures. We have a very strong traction in the high-performance computing server manufacturing, where we have won a large order from CDAC. We also have more proposals which are coming to fruition in the areas too. We have also received a substantially large order in the aerospace outer space and strategic vertical

that would improve substantially our overall revenue portfolio during the years to come in.

In the medical electronics area, I am pleased to inform you that we have concluded a contract with a large medical equipment company for both domestic and export area. In the industrial and EV vertical, we have received a breakthrough contract from a smart meter company which will substantially augment our business portfolio.

In railways electronics area, in addition to electronics interlocking, we are working specifically in project onboard electronics, train collision avoidance system. Going forward into the future, this will further augment our valuable portfolio of business.

We are very optimistic going forward for our revenue growth expanding into other key verticals and will not only improve top line but bottom line as well.

For the year 2025, we expect to clock a similar rate of growth in revenue greater than 60% and an improvement in operational EBITDA margin of more than 100 basis points.

Kaynes continues to invest in new initiatives and executing projects in newer higher potential segments. These strategic initiatives will boost to strengthen the company competitive edge and make gains as an integrated EMS company. Many new initiatives are in the planning phase to support this strategy. We continue to expand capabilities across vertical with clear focus on outline strategy of continuous expansion of customer base with focus on large accounts with growing share value added services.

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Semicon assembly, also called as OSAT and traded at the interconnect on PCB project, are critical to our business strategy of being an integrated player.

We are in the final stages of obtaining government approvals for our new investments and expected the approval soon after the model code of conduct is concluded. We feel even there is a delay of 2-3 months, we will be well within the expected plan and we will catch up with the timelines for these projects implementation through preparatory steps, which are already underway.

Thank you all once again and we look forward to exciting times ahead. I will now hand over the call to Jairam Sampath to take you through our Financial Performance. Thank you.

Jairam P Sampath: Thank you, Ramesh ji. Already, I think a lot of financial statement studies we have also published.

First of all, thank you for joining the call today. I'm very excited to share Kaynes Technology's financial results for the period ending March '24. For the quarter-ended 31st March 2024, our consolidated total revenue was INR6,373 million, representing a 74.8% year-on-year growth. For the 12-months ended December '24, the consolidated total revenues was INR18,046 million, representing 60.3% year-on-year growth. The consolidated EBITDA for the quarter was INR952 million, showing a 60.5% year-on-year increase, while for the year it was INR2,542 million, which was up 51%. The EBITDA margin for the quarter and for the full year stood at 14.9% and 14.1% respectively.

Our consolidated profit after tax for the quarter was INR813 million, up 96.8% and for the year was 1,833 million, up 92.5% year-on-year and PAT margin for the quarter stood at 12.8% and for the 12-months it was 10.2% respectively.

Our current order book, which stands at Rs.41,152 million. Net working capital at the end of March was 83-days on an annualized basis, lower than 99-days for the previous year.

Our inventory was a tad higher as we have to make advance purchases keeping in mind the requirements of upcoming quarters.

Our net debt at the end of the quarter adjusted for unutilized proceeds was INR2,177 million compared to INR473 million at the end of March quarter of FY'23.

Our ROE and ROC adjusted for unutilized portion of proceeds is at 22.8% and 22% respectively for FY'24.

We continue to make serious progress in our exp

ansion and continuously adding newer lines across various facilities, especially Chamaraj anagar which is in line to become truly integrated facility. Our Pune facility which was acquired recently also now is operational. Also, we have plan to expand the new regions in India and outside India as well. All these expansions will help
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the company ramp up its production significantly over the coming quarters. On our side, we have provided Government of India with all the requisite details and hopeful of the positive outcome soon after the elections.

We have also started preliminary construction work in Telangana and hopeful of meeting the desired timelines for the same. We will be sharing finer details as we make further progress on the same. We look forward to your continued support on this journey ahead.

With this, I would request all the participants to come in with their questions. I now open the floor for questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: I've got questions. First, I will talk about the financial question that I've got. I just need some clarity over here. One, the gross margin is something which is very important in this particular business. If we see the last couple of years, this number used to be hovering closer to 34% and then stabilize at around 30%. This year we've seen that number drop to about 26%. How do you see the gross margin in the next couple of years? And this is very important given that you are looking for 100 basis points expansion in the EBITDA margin. So that's the first question on the financial gross margin.

Jairam P Sampath: Thank you, Rahul ji. Pleasure as always to interact with you on the calls. So the gross margin is a blended gross margin, which is a function of relative contributions by different industry verticals. As you know, our maximum contribution is coming from automotive and industrial and EV sectors, which is almost close between 60% to 70%. And these are what we call the high volume sectors and the gross margins in these sectors are somewhat lower compared to the aerospace vertical, railways vertical, medical, etc., And so this year, we have seen the orders of the financial year FY'25 and we find that the portfolio balance is coming back to our original expectation, which is like 60:40 and may be eventually it will be 50:50, so 50 of high volume and 50 of high profit making the products will be there in our portfolio. So what started at around 15.5%, 16% came down to say 14% last year. This year we expect it to go up beyond 15%. So this is a kind of a cyclical phenomenon. And on an overall average it will be about 15% operational EBITDA.

Rahul Gajare: I think you also talked about you will have a lower tax rate for some time. How many years will you have that 20% tax rate?

Jairam P Sampath: This 17% is for the KE MPL facility, which is registered under 115AB, it is life-time.

Rahul Gajare: So you're basically saying that your blended tax rate will be in this range only, around 20%, 21%?

Jairam P Sampath: It will be nearer to this number, yes.

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Rahul Gajare: Sir, my second question is in your opening remarks you talked about basically augmenting your manufacturing facilities. You also talked about having overseas manufacturing facility. Can you just throw some light, what are your plans on that front?

Jairam P Sampath: In overseas, we have done an acquisition called Digicom Electronics, which is primarily a player in the low volume and let's say prototyping work and these are the clients which have high volume requirements too. And so our plan is to leverage our presence in the US and get high volume business for our Indian facility. So we do a dual

tandem act. So we are very close to them. So we do their prototyping, new product development sitting in the US, and when it comes to volume production, we do it in India. So we have already received several customer confirmations who are customers who are in the US to use this kind of methodology so that they get good service like a near shore company and they also get good cost like India kind of cost.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Sir, my first question is regarding your order book of about 41 billion. Possible to give us some sense of the segmental split of the order book that we have right now?

Jairam P Sampath: Yes, the segmental split of the order book is similar to what we have on our sales numbers for FY'24 and one notable improvement that is there is that earlier we used to get orders up to two to three years, today, we have orders which are spanning up to 5 to 10 years, especially in aerospace and other sectors. So split will be very similar to our business profile. Maybe the high volume orders get placed not for the long-term, so they come in during the year and the order will be predominantly the things like low volume, high tech, high margin, those kinds of orders will be predominantly in this particular order book. So yes, it is similar to what we have in FY'24.

Sonali Salgaonkar: Secondly, possible to give us a broader sense of the segmental margins, because you have the highest operating margins versus all other EMS players presently, so possible to give us a renewed sense of the segmental margins and also your CAPEX guidance for '25?

Jairam P Sampath: I think I will take the second question first. So we have always been working towards making our company self-sufficient as far as funding this 60% growth with CAPEX, which is generated out of our operating cash flows. So I'm happy to tell you that this year we made a small beginning and we've made a small quantum of positive operating cash flows. And in FY'25 we will certainly do EBITDA of more than about 50%, 60%, with 60% growth on the numbers, and something like 100 basis points improvement in the EBITDA. So it will give about 200 to 250 crores of money which can be invested into CAPEX and that will be sufficient taking a seven or eight times asset turnover eventually. So that will be enough to do the growth for sales revenues in EMS sector. There is a customer confidentiality on all this. So we don't talk about segmental profits. So the segmental profit, we don't report, but I can give you a broad guidance in terms of ranking. So let's say high volume sectors by the name of say something like automotive, industrial, and EV. They are in terms of material cost, lower margins, but in our assessment, after the manufacturing costs, which are significantly lower in the high volume products. In terms of EBITDA, they are not very different. Of course, the high tech sectors and low to medium volume

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sectors like aerospace, outer-space, defense, railways electronics, medical, etc., they are decidedly having a high gross margin at raw material level, but they all have their own importance in our portfolio. The high volume customers give us ability to purchase large volume of electronics and hence get lower price for even the low volume segments. So it's an intertwined, let's say, effect on the portfolio. So broadly, automotive, industrial and EV, they are somewhat moderate in their gross margin expectations at material level, all the other sectors are little higher.

Sonali Salgaonkar: My last question is regarding OSAT/PCB. You did mention in your opening remarks about the state of things right now. The 14 billion QIP proceeds that you have got, will you be utilizing them for deleveraging at all? And secondly, your guidance going forward, does it

that include and

imply revenues from OSAT at this point in time?

Jairam P Sampath: The first question is easy to answer. We raise the funds for specific two projects, one is OSAT and the other is high density interconnection PCB and they will be used for only that. There's a very small delay of a couple of months due to the ongoing elections that have come in. And I think now we are just about a month away from the election process concluding and the model code of conduct going away. So we don't think it's material to do any other let's say utilization of that particular thing. And what was the second question, can you repeat?

Sonali Salgaonkar: Sir, your guidance going forward, does that include revenues any upside from OSAT/PCB manufacturing?

Jairam P Sampath: This year guidance of 60% up is just on EMS and not based on activities in the OSAT and PCB. OSAT and PCB will take one to two years' time to start the initial capacity utilization and you can see them in full form maybe in a span of about three to five years.

Moderator: The next question is from the line of CA Garvit Goyal from Invest Analysis Advisory LLP. Please go ahead.

CA Garvit Goyal: My first question is on our asset turn. So can you comment upon the kind of asset turns that we are enjoying? So what is that basically makes us differentiate from the peers who are comparatively at the lower asset turn?

Jairam P Sampath: Asset turns are dependent on the kind of products that you do. And also in the initial stages, we must understand that when the new facility is getting established, for it to improve its efficiency and for it to utilize all the assets that have been implemented, it takes a bit of time. So, in terms of asset turns in our businesses, the high volume businesses will definitely because of the large batch sizes will have somewhat higher asset turns compared to the lower volume and high tech businesses. Having said that, the value throughput in lower volume and high tech business is also higher. So our asset turns are representative of the mix of clients that we have. So supporting the same assets are used to just for one client asset turns could be a tad higher, but with a large number of clients who provide us diversification and who provide us with stability to our portfolio, our asset turns can grow to about 7 and 8 eventually.

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CA Garvit Goyal: Sir, the order book that we are having in hand, so what is the estimated execution period for the same?

Jairam P Sampath: Yes, this represents about one and a quarter year.

CA Garvit Goyal: 1.25?

Jairam P Sampath: 1.25 yes. Some models are, of course, five years, etc., but I'm just giving you an average.

CA Garvit Goyal: Just a clarification on guidance. Have I heard correctly like sales growth of 60% for FY'25 and

a margin improvement of 100 basis points?

Jairam P Sampath: Yes, that's our plan.

CA Garvit Goyal: Sir, what is the basic target like two to three years down the line, like how the growth momentum is going to sustain, what are the new drivers that will further drive our growth beyond FY' 25, sir?

Ramesh Kunhikannan: We are planning to grow in the similar way with our percentages where automobile will be around 25% and then rest all the ratios will be maintaining more or less in the same way for which we are focusing on our marketing as well as team building, everything towards the same guidance matter. So that is how we are going to retain the margins at anything between 14.5% to 15% EBITDA.

CA Garvit Goyal: So this momentum is going to be there for at least three to five years, is that what you are saying?

Ramesh Kunhikannan: Yes. We are very clear. We have put up a five year plan and we are very clear and confident that the team will achieve this.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional E

quities. Please go ahead.

Deepak Krishnan: Maybe just one sort of question to understand your margin guidance, because you're investing in PCB and OSAT, would that also include any investment impact, could that impact our margin guidance or this is inclusive of whatever little investments that we're doing this year as well?

Jairam P Sampath: So PCB and OSAT business, like I've said earlier, take about 1.5 to 2 years before it becomes operational and start yielding reasonable capacity utilization. So this year guidance is completely based on our EMS business

Deepak Krishnan: I just wanted to understand essentially the margin guidance includes any impact of investments being done for future growth like PCB and OSAT which will not have a negative impact, right, this is a blended margin inclusive of all of this, the 100-basis points improvement?

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Jairam P Sampath: There's no impact.

Deepak Krishnan: Maybe just wanted to understand on the competitive intensity perspective given that we are growing so fast and we've seen a substantial growth as well. How are you seeing the competitive intensity especially in segments like automotive, industrial, aerospace, do you believe that we have a substantial lead over the peers or it's the competitive intensity same as it was over the last couple of years?

Jairam P Sampath: So typically in any industry growth cycle, when the demand far exceeds the supply or installed capacity, in India's case, we can safely take this because we are actually targeting this large amount of imports of electronics which are high tech and high margin electronics which is coming into India, we are targeting to do it in India. So there is still a very big demand and supply gap. So competition intensity will be moderated and it will not be deleterious to our acquisition of businesses and that is what we have seen over the last six months the footfalls that come in. So, everybody is getting orders. All the peers probably are also announcing that we have tie up this, that and the other and we are also getting. So, it's our assessment that next 5 to 10 years will be moderate competition intensity. So having said all of that we still have to be competitive. Obviously no customer is going to accept anything less than world-class performance, both on quality, cost and delivery. So, we are also very mindful of that. So there is no place for complacency. We have a good quality improvement program. We have a good delivery improvement program and also a cost reduction program.

Deepak Krishnan: Given that we are expanding reaching to US, how are we looking at export versus domestic mix 2-3 years down the line, even today, 90% has more towards domestic given strong we are in the domestic market.

Jairam P Sampath: Can you repeat that?

Deepak Krishnan: I just wanted to understand the mix towards exports, how big your exports will be two, years down the line in terms of overall revenue contribution, today it is up to 10%?

Jairam P Sampath: Let's say in EMS portfolio, especially when it comes to aerospace, defense and outer-space and it comes to some of the industrial products, exports will pick up and even in railways we have now got some clients restarting their export activities with us. So going forward, definitely you will see some increase in the growth in the exports, but still the bulk of the business will be driven by domestic in the EMS sector. However, when we come to something like semiconductor assembly that is OSAT or PC board, HDI PC board, they are all export-driven and so another four years' time you will see significant increase in the exports through the new businesses. Otherwise EMS business by and large will be driven by domestic trends and tailwinds in the domestic market.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

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Indrajit Agarwal: My first question is on your medium-term aspiration. If I recall correctly, you had an aspiration of getting to a billion dollar revenue by FY' 28, of which 75% is EMS and 25% is other businesses. Does that timeline still hold or because of the current delays, we could see a year or a couple of years of slippages in that?

Ramesh Kunhikannan: We are very confident that we will be achieving this number in year 2028 because the tailwinds are very good and then entire globe is looking at India. And when they look at India for manufacturing, electronics is the first preference. So we are very confident that we will be able to achieve this.

Indrajit Agarwal: So when we get to this number, our margins will be materially better than this right, because PCB manufacturing and OSAT is significantly better margin business than EMS globally. So do you think that the margins could trend up even more from the current level?

Jairam P Sampath: So at this point in time, we maintain that it will be retained at our current thesis level, which is like we are saying that around 15%-plus EBITDA and 10%-plus PAT. Once we establish the high tech advanced packaging business, etc., yes, there is a possibility to take the margins up further in those growth segments of the business.

Indrajit Agarwal: My last question is on the bare board manufacturing. Is that also hinging on government approvals or that is independent of that and we can start some bit of manufacturing this year?

Ramesh Kunhikannan: We have got approval for that already. We are in the advanced stages of finalizing the orders with all the suppliers, recruitments are going on, and construction is also just starting.

Indrajit Agarwal: So we can see some shipments this year on this?

Ramesh Kunhikannan: Yes, we'll definitely see some shipments this year.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Sir, two questions. First, is just on bookkeeping one. Q4, other expenses is at around 31 crores is almost flat QoQ and lower year-over-year despite very sharp increase in revenue. So is there any one-off in this quarter or any one-off in the previous quarters either last quarter or last year same quarter? Just to complete the related question is that in the backdrop of this increased capacity in EMS business itself and for the new businesses that is PCB and OSAT, what kind of a run rate should we assume, say in FY'25? So these are stable numbers or we should assume some increase in FY'25, how do we think about it?

Jairam P Sampath: I will answer the second question first, that's a bigger one. So as far as the EMS growth is concerned, this was something that we had internally always imagined that will happen and we always saw a strong tailwind. If you remember in all the meetings and all the discussions, we always talk about this huge amount of import of these things getting done in India. So that story
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of 40%, 50%, 60% growth rate will continue for quite some time to come. And as far as the OSAT and high density PCB is concerned, this is in line with our expectation to become an integrated player. As we grow the EMS business, this also becomes important to have our capability here because there will be many clients who require us to do all the three activities, that is high density interconnection PCB, also make modules and high end packaging silicon assembly for them, and then of course, they want us to do EMS also. So we have already seen some customers in this horizon. So as we see it, whatever are the expectations is probably is going to get better than that going forward in the future. Now, on the other expenses activity, I think this has something to do with the classification and not anything

to do with any expense

increasing. So going forward it will be similar to what we have seen in the other expenses in terms of percentages, you can take that. So, there is no one-time expense, just it's a categorization thing. We can probably explain to you later too in detail. We'll be publishing the schedules and all that, so you will get into that.

Keyur Pandya: Basically, year-over-year degrowth in other expense and revenue is growing, so I mean current quarter numbers are sustainable one at around 30 crores. There is no one-off and adjusted, the number should be like it?

Jairam P Sampath: The current quarter numbers in terms of expenses is certainly sustainable and in fact like we have said before also there is some more operating leverage possible in our business if you notice; 15% EBITDA, we have 15% to 18%, 19% of cost and the y can always be leveraged with higher turnover. Of course, some part of them which can be leveraged and some part of it is variable which will be leveraged after scaling up and so you can safely assume that these cost profiles will not adversely change if at all there will be improvements.

Keyur Pandya: Second question is on factoring. What is the number of say receivable discounting factoring for FY'24 versus FY' 23, if you can give that number?

Jairam P Sampath: Sorry, can you repeat that question?

Keyur Pandya: The quantum of factoring or the receivable discounting that you have done for FY'24 and the

same number for '23?

Jairam P Sampath: We can get that data out, but factoring essentially is to customer recourse. So many customers prefer to use their financing agents and what they have is they have an arrangement with their factoring the companies to fund if at all they have a need for credit. So from our side we prefer factoring because that risk of this burden of collecting and then follow up, etc., which also is a problem in relationship management with this thing. So we prefer this, but it's suffice it to say that all large customers would like to enter this route.

Moderator: The next question is from the line of Vipraw Srivastava from InCred Research. Please go ahead.

Vipraw Srivastava: Just had two questions. So first of all, regarding your low volume business, so wanted to understand that what is the right-to-win for Kaynes here, I mean, can your competitors undercut Kaynes Technology India Limited

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you on price, I mean the only differentiator is price, right, so is that a possible scenario in future, can that happen or that's not the case?

Jairam P Sampath: So what is the basis of competition? So like you have to go back to our portfolio. Our portfolio is those of customers. So we are a high involvement supplier. That means all the products that we do, customers most of the time will come and sit with us and help us develop that production, etc., whether it's automotive, whether it's EV, whether it's industrial, aerospace, defense, whether it is medical. So, we are a high involvement supplier and that by definition means that the relationship is not dependent on price, it is dependent on what we deliver in terms of ability to do complex products, ability to do critical products, ability to meet their quality requirements and ability to turn every one of their requests and opportunity for us. Having said that, every buyer has an aspiration to pay to match the value delivered to the price paid. So we also are aware of that. So we don't become complacent in this area. We always have a cost reduction program, both fixed costs, that is manufacturing costs, establishment costs, and all of those, plus we also have a very strong program to work on raw material costs. So let me put it this way. The prices what market can pay and margin is what we can make.

Vipraw Srivastava: Second question is on the gross margin. So just wanted to understand, since you are guiding 100% margin improve

ment that is from gross margins or from operating leverage?

Jairam P Sampath: So the numbers are clear. Obviously, the gross margins have come a tad down. So we have done operating leverage. And like I said, we still have fair amount of operating leverage possibility because we still have middle line which can be leveraged better. So simple answer, we have done operating leverage, we can do more.

Vipraw Srivastava: Your gross margins will remain at this level only, right, or it will also improve?

Jairam P Sampath: So gross margin is a function of the blended gross margin, right? So it's a function of where you get the order. So obviously, this year in FY'25, we expect more from the high margin, low volume, high tech product category. So that way move up a little, yes.

Vipraw Srivastava: So your OSAT partner Globetronics, they're facing some issues currently, so their Apple contract has been cancelled and the stock was also taken a hit. So does that impacting in some way or how do you look at it?

Jairam P Sampath: The issue is once we get the government approval, we have several partnerships lined up and there are several backup also available. One of these can be consummated till we get the government's approval for the subsidy scheme, correct. So there is nothing cancelled, etc., We are in touch with everybody. So there are people going for training and so on and so forth. Only thing is you will not see a factory coming up and production start till that happens, that will happen in June. And so there is no tension from that aspect. It is just that it's taking a couple of months more than what we anticipated.

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Ramesh Kunhikannan: And whatever knowledge we are having, we have no cancellation from any of our partners or anything. All agreements are intact.

Vipraw Srivastava: No, my point was the main client. They are an Apple company. So Apple cancelled their contract. But I just wanted to confirm that.

Moderator: The next question is from the line of Amber Singhania from Nippon India AMC. Please go ahead.

Amber Singhania: So there're two questions from my side. One is on the order book side. We have recently announced the order coming in for servers as well as the smart meters. So could you help us with the size of these orders and what could be the run rate going forward? I believe these servers order are the starting orders or the token orders, later on it can expand significantly. So sustainably what kind of size we can expect in terms of ordering on an annual basis for both smart meter as well as servers.

Jairam P Sampath: You're right, these orders are expected to repeat over the next several years because the demand/supply gap is pretty high indeed. So as far as smart meters are concerned these orders

can get as high as 400, 500, 600 crores per annum and this will continue for the next several years. I'm talking about the conservative estimate. And as far as CDAC order is concerned, of course, is in the public domain, but let's say about 200, 300 crores every year we will do. And in that category of high performance computing servers, we have several other global players and Indian players with whom we are closely working. So that is also likely to add some quantum of business to us. So roughly at a mature level, practical level, the high performance computing can be anywhere between 300 and 500 crores per annum. Smart meters on a steady state will exceed definitely 500 crores per annum, maybe more.

Amber Singhania: And this CDAC orders are also of the similar margin, right?

Ramesh Kunhikannan: So these smart meter orders are actually not part of your 4,152 crores. Smart meter orders have been concluded, especially the large orders been concluded in April and May. So in the next quarter we will add these orders and show you. Yes. So CDAC order is already part of our order book and

and some more will come in.

Amber Singhania: What would be the current order book adding these?

Jairam P Sampath: Sorry, I am not able to hear you.

Amber Singhania: One clarification is on the guidance part which you mentioned 50%, 60% kind of growth on this year number for revenue whereas the order book of 4,100 crores is executable over a period of five quarters. Based on order only, it is around 3,300-odd crores and based on the 50, 60%, 2,800-odd crores.

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Jairam P Sampath: Obviously, our target is a moving target, right? We keep on getting more orders and we try and make capacities available. So it's our assessment that at least 60% growth should be there at the minimum if you have to satisfy the customer requirements because just having the order, not executing also is not a great thing, so that is the basis on which we are seeing 60%-plus of growth. And we will update you once we do two quarters. If once the first half is over, then there will be an actual onboard and then we will also have all the impending orders coming in. So we can talk about that. But it's on the upswing and it's quite let's say quite doable and quite certain. Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Can you talk about opportunity in aerospace, defense and railways for you?

Jairam P Sampath: In railways, we were earlier a major player only in the electronic interlocking. So now we have started developing for the train collision avoidance system, namely the Kavach program. We've also got several RFQs and we are in the process of finalizing contracts for onboard electronics. These are electronics which are fitted onto locomotives and these are electronics which are fitted on to carriages. And then there are other track-related things, etc., where there is a lot of work going on. So in railways we now are in line to do electronics for both the programs. One is the safety improvement program, the other is the signal expansion program. And third program also which is the improvement of carriages, like Vande Bharat and other trains. So, this is a little longish term let's say activity. We are also doing one more thing. Also there are some legacy products which are used by railways. So we also developed some of those things easily and then we can fulfill some of those contracts too because they also fall right in the area of work for us. So as far as railways is concerned we are now enriching our product portfolio and also taking advantage of whatever growth that is coming in. The second question is defense, aerospace, etc., So there we focus currently on avionics and I think that itself will keep us busy for some time now because there's a large customer and then we are having very close relationship with the customers, it's a 10-year program. So we think that as far as aerospace is concerned that will be majority of our business to begin with. So there are other things like outer space. We are a strategic supplier in the Indian Space Research Organization as well as there are some extended enquiries coming in because of our work with the Indian entity. So outer space is another thing which is going to go in a big way. So these are some little more color on these two sectors. And medical is the other sector, that's where we have got a very large client with critical care equipment, both Europe as well as US, these orders are there for the same client. This client has recently acquired one of the largest medical equipment manufacturers in the US too. So we are going to get benefited from this association over the next several years.

Sumant Kumar: So in the last two years we have seen a degrowth in medical segment. So can we expect a growth in this segment going ahead?

Jairam P Sampath: So this year you will see at least medical segment will go to

triple digits, at least 100 crores plus

will be there in the medical sector in FY'25 for sure. I understand in the last two years we've been expecting this to happen, but it takes long time to approve products. We've also said no, it

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takes typically one year to three years for any customer to approve us and especially in critical care products, it takes even longer time. So this year we'll see a triple digit medical number, probably more also going forward.

Moderator: The next question is from the line of Nitin Sharma from MC Pro Research . Please go ahead.

Nitin Sharma: So where do you see your net working capital days by end of FY '25?

Jairam P Sampath: So in FY'24, we have brought it down to about 83-days. Our ambition is to take it to 70-days and then we have to do some improvement in some other technologies that we are using, digitization and all that. So we also believe internally that just because we are working in low volume, high mix segment, it may not be high, so we have come to a realization that we can drop this net working capital days further. So in FY'25 it can come to around 70 , 72 days, yes.

Nitin Sharma: Want to understand, is there a scope for delay in the OSAT approval more than where we are seeing?

Jairam P Sampath: See, the OSAT delay, Ramesh ji pointed out in his initial comments and later on too. See, it is a matter of crashing the schedule by about 2, 2.5 months, which we have already provided for when we originally discussed about the project schedules, we already added a buffer. So we'll have to release those buffers. And also in the meanwhile, we have kept everything ready, including suppliers have been primed and so on. So the moment this approval thing happens, then all the other actions can happen quickly, so acquisition of people and processes and talking to people, etc., talking to collaborators, all that is going at regular pace only. So I think eventually it will not affect the schedule of delivery too much.

Moderator: The next question is from the line of Karan Sanwal from Nivesha ay Investment Advisor. Please go ahead.

Karan Sanwal: Wanted to understand like which sector would have driven the growth for the industrial and EV segment in FY'24 because we see a jump in the contribution in the overall revenue?

Jairam P Sampath: So industrial and EV segment is a key segment for us. It's also a very widely distributed segment. It has things like energy meters, it has things like instrumentation, things like power electronics, it has things like switchgear and EV has got two wheeler EV , four Wheeler EV, we are also having off highway vehicles like golf carts and things like that and then we are having EV charging infrastructure and we are having certain clients of course in the EV component space. So it's a cumulative effect of all of these. So EV , of course, has grown because earlier there was no electric vehicle production in India, so that has grown, so that's a significant growth driver. And in the industrial, it's a combination of all , but going forward, what is relevant to us, I think is that this smart meter numbers will go up and also the power electronics numbers will go up because these two clients have indicated to us a higher forecast. In EV all of the sectors are going up; two wheeler, three wheeler, four wheeler components and infrastructure. And in the other industrial, smart meters and power electronics. These are the two sectors which are showing

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strong improvement. And in the export segment, we are having instrumentation also, taking up its own traction.

Karan Sanwal: And I wanted to understand like you highlighted a growth in smart meter contracts in. What will the proportion of the cost that would be helping the clients, for example the client is making the smart meter , so what would

be our contribution to the overall cost to the smart meters?

Jairam P Sampath: The entire profitability and all the good part of the business is completely dependent on demand/supply gap, right? So if there is more supply and less demand, always there is cost pressures, and if there are more demand than supply, then there is margin relief. So today's smart meter because of the government insistence on going from the older regime of electronic, electric and electromechanical meters to smart meters, is driving the demand much higher than what is the capacity. There is hardly three, four major players who are actually into this area. So we don't expect any major undue margin pressures due to or foray into this activity. And also this is a rich segment. There are not just meters which go to people's homes, there are other equipment especially in the electrical distribution sector wherein we have also got enquiries from a lot of companies and those are all typically lower in volume, but they are also complex products. So all in all this metering segment, especially with the new generation of smart metering is a good segment to be in.

Karan Sanwal: Would it be okay to name the clients of Kavach system and the smart meter?

Jairam P Sampath: So Kavach client is Government Of India and I'm not at liberty to disclose without getting consent from them. But this is in the public domain, so you can find out, it's not very difficult to find out.

Moderator: Since we are heading towards timeline, this can be the last question. We will address the other questions offline. I now hand the conference over to the management for closing comment.

Jairam P Sampath: So thank you, everyone. We had a very enriching session here and all these questions are quite deep and we have noted down all of these questions and we will take appropriate action and also share this information internally. And if anybody wants any information, they can always reach

out to us, so whatever is possible to share, certainly we will be able to share in terms of additional insights, additional view of the markets, etc., Thank you very much for taking your time and encouraging us in this journey to make Keynes Technology a great company.

Ramesh Kunhikannan: Thank you.

Moderator: On behalf of JM Financial Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 July 31, 2024

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Towers,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript for Q1 FY2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements)

Regulations, 2015, please find the link for the transcript of the Q1 FY2025 Earnings Call, conducted on July 27, 2024 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2027.07.2024.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the earnings call

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"Kaynes Technology India Limited

Q1 FY '25 Earnings Conference Call "

July 27, 2024

MANAGEMENT : M R. RAMESH KANNAN – FOUNDER AND MANAGING
DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
M S. SAVITHA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
M R. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
M R. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED

MODERATOR : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Kaynes Technology Limited Q1 FY '25 conference call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference has been recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, sir.

Aniruddha Joshi: Yes, thanks Aditya. On behalf of ICICI Securities, we welcome you all to Q1 FY '25 results conference call of Kaynes Technology India. We have with us senior management represented by Mr. Ramesh Kannan, Founder and Managing Director, Mrs. Savitha Ramesh, Chairperson, Mr. Jairam Sampath, Whole-Time Director and Chief Financial Officer, and Mr. Rajesh Sharma, Chief Executive Officer.

Now I hand over the call to Mr. Ramesh Kannan for his initial comments on the quarterly performance. Then Mr. Jairam Sampath will take over and then we will open the floor for question-and-answer session. Thanks, and over to you, sir.

Ramesh Kannan: Good morning, everyone. On behalf of Kaynes Technology team, I would like to welcome everyone to the earnings call for Quarter 1 2025. I have along with me Savitha Ramesh, Chairperson of our Board, Jairam Sampath, Whole-Time director and CFO, Rajesh Sharma, CEO, and our Investor Relation Partners in the call. We are pleased to share our growth as a company and achievements for the quarter.

I am happy to inform you that we have been able to achieve a revenue of 5,040 million during the quarter 1 FY '25, which represents a strong growth of 70% year-on-year. The operational EBITDA margin, excluding other income for the quarter '25, was at 13.3 and PAT margin was at 10.1%. Our order book surged from INR41,152 million in quarter 4 FY '24 to INR50,386 million in quarter 1 FY '25.

Order book grew sequentially by 22% during the quarter compared to last quarter, representing substantial increase in monthly order inflow. Growth in order book is led by strong demand across all verticals, more notably industrial and EV, aerospace, outer space, and strategic electronics, along with railway segment.

Specifically, the aerospace, outer space, and strategic medical electronics vertical, we have secured a sizable customer that will significantly increase our overall revenue portfolio in the upcoming years. From a business standpoint, we have continuously endeavoured to enhance our organization and transforming into an integrated EMS company, meeting a larger portion of the needs of our clients. Our Telangana facility is almost ready and will be active very soon in order to achieve this goal in the area of smart meters.

As we move ahead in Atmanirbhar Bharat initiative by government, we are working, getting more on the traction in railways, on board electronics, train collision avoidance system. We are making significant investments in developmental activities in this area through leading

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technology providers. Going forward into the future, this will further augment our valuable portfolio of business along with our other strategic initiatives by Government of India in rail safety.

We are very optimistic going forward for our revenue growth, expanding into other key verticals and will not only improve top line but augment the bottom line as well. For the financial year 2025 going ahead, we expect to have a good traction from all the different verticals, and we will meet and exceed our estimates of 30,000 million of revenue and corresponding EBITDA margin targeting at 15% for FY '25. Kaynes is constantly seeking to stay

up to date with the newest

technology advancements, hence eager to invest in or collaborate with such businesses.

We can better serve our current customer base and attract new important clients in India and abroad by maintaining our focus on vertical competency and implementing a continuous improvement plan in quality, delivery, and automation. We are in the final stage of obtaining government approvals for our new investments and expect the approval soon. Now the new government is informed, and budget has already announced.

We have acquired land in the state of Gujarat which will be starting our construction shortly. Meanwhile, we also activated the collaboration and the team formation on onboarding is happening parallelly for our OSAT business. We expect a positive response in the OSAT business in FY '26.

As far as our approval is concerned, it is in the final stage and is expected at any moment.

Regarding the HDI Printed Circuit Board project, we are proceeding as per plan. Having set up the team, we are in the final stages of land acquisition and as indicated earlier, we expect to post revenues in Printed Circuit Board business in FY '26.

We believe that as we take the final steps towards bare board, PCB and OSAT, it will help us become a truly integrated electronic company. This is only possible because of the hard work and dedication of our entire team, and I want to take a moment to express my sincere gratitude for their contribution. I would like to sincerely thank each and every one of our excellent investors for their encouragement so far in our journey and expect continuing support in the future too.

Thank you once again and we look forward to exciting times ahead. I will now hand over the call to Jairam Sampath to take you through our financial performance. Thank you. Over to you, Jairam.

Jairam Sampath: Thank you, Rameshji. Thank you all for joining the call today and as we start the new fiscal year, I am happy to share Kaynes Technologies financial results for the period ending Q1 2025 and share with you the highlights of the same. For the first quarter of 2025, consolidated total revenues were at INR5,040 million, representing a 70% year-on-year growth. The consolidated EBITDA for the quarter was INR699 million*, INR showing a 66% year-on-year increase. The EBITDA margin for the quarter, excluding the other income, was at about 13.3%. Our consolidated profit after tax for the quarter was INR508 million, up by about 106% and the PAT margin for the quarter stood at about 10.1%. Our current order book, which stands now at 50,386

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million, that's about INR5,038 crore Indian rupee. Net working capital at the end of the June quarter was at about 121 days, which is similar to the previous year's same quarter. However, our inventories were higher on an absolute basis as we had to make advanced purchases, keeping in mind the requirements of the upcoming quarters, as we planned to execute revenues in excess of INR30,000 million in FY '25. There was temporary pressure from receivables too with a few customers. We expect this to improve in the coming quarters.

We have planned the net working capital to come back to the expected lines as we progress during the year and will reduce significantly on an average by the end of the year on a year-on-year basis. Consequently, our net debt at the end of the quarter adjusted for unutilized proceeds was at INR5,771 million, compared to INR972 million at the end of the June quarter of FY '24. Our ROE and ROC stood at about 17.4% and 18.8% respectively for Q1 2025.

We continue to make sustained progress on our expansion and continuously adding new lines across various facilities, especially Chamarajanagar, which is in line to become truly integrated facility for EMS. Also, Telangana facility first phase will be up and running by

the end of August

2024. In the new project area, the OSAT as well as HDI PCB board manufacturing, we are likely to start posting revenues by the FY26.

The requisite government approvals are expected at any time now since the new government has taken over and the budget is presented. We will keep all posted on the key developments as we

move ahead in the year. We have also received tremendous support from you all and hope to have the same kind of support going forward into the future.

I would also like to thank ICICI Securities for helping us to arrange this earnings call. With this, I request all participants to comment with their questions and I'll now open the floor for questions. Thank you.

*Note: Management erroneously mentioned EBITDA for the Quarter as INR 699 Million the same stands at INR 669 Million.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Yes, good morning, sir, and congratulations for a good set of numbers. So just wanted to first understand this, 55% acquisition in Austria. If you can just talk about, what is it exactly? What are the revenues? What is the investment for this thing? If you can just elaborate a little bit about that.

Jairam Sampath: Good morning, Bhoomika. Thank you for attending this call on a Saturday. Unfortunately, we didn't have any other time to do this. Anyway, I thank all the other participants also to take time of their personal time and do this. So, we have just taken a board approval for proceeding with the project and some more details are being worked out and at appropriate time, we'll announce these details. It's going to be a significant project, but beyond that, we will come back to you once all the nitty-gritties are worked out, Bhoomika ji.

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Bhoomika Nair: Sure. So the other thing is, you know, we saw a very strong uptick in terms of the order intake, and you said that there were decent orders that came in from outer space, strategic medical customers, etc. Can we get some more light?

I mean, you know, is this like a multi-year contract? How large are the orders from some more details on this will really help us understand how things are moving and whether this kind of order intake that we've seen in the current quarter can continue as well going ahead. So some colour on this, what is the execution timeline, etc.

Jairam Sampath: Sure, Bhoomika ji. See firstly the order comes in chunks, as we have discussed earlier too. So when a large order comes in obviously, the average order inflow per month goes up a tad, much higher than what we actually execute and so on. So but typically, we've got in two major, three major areas, the order inflow. One is, of course, as you correctly pointed out, aerospace, outer space and defence. The second is the industrial area, industrial Navy area.

The third is medical area. And these are multi-year contracts. Obviously, these orders, some of the orders, not all of them, but some of them exceed, probably reach up to about, for the next five years too. So like, for instance, in aerospace and other areas. So and these, going forward, the order of the day will be, yes, every once in a few quarters, we'll have large increases when the customers commit large amounts of business. And typically, in the kind of segments that we work in, the horizon, as I have explained earlier, is longer than, let's say, one year and so on and so forth.

So in any particular order, I'm happy to tell you that this order book probably will suffice for our execution this year almost. There are a few more orders we're expecting. So obviously, that will exceed the kind of targets that we have set for ourselves. So let's see how to manage that. So the horizon of the orders is longer and is getting

increased day by day. And so, that's the good news.

So the order book will keep growing at similar pace. And you can expect some reasonable, after execution of all the orders, you can expect some more increase in the order book at the end of the year.

Bhoomika Nair: So sir, of this INR 5,000 crores, what is the split of a large, longer duration, multi-year kind of thing? What would be the quantum of the order book in that?

Jairam Sampath: So no, I think the question you're asking is, are there, so we have received an order for a two-year timeframe for one of the industrial products. I'm not at liberty to tell you exactly what that product is at this point in time. But suffice it to say that this is significantly, let's say, this constitutes about 10% of the order book, where the execution is expected to be, let's say, one year later than today. So within the next one year, about 10%, another 10% will get executed later than one year, in a timeframe of two years.

Ramesh Kannan: So what normally we do is, whatever we present here, we don't give you more than two years. But 70% of our orders, we have a window period of four to six years of life. That means the contract will be either first year to four years. It will ramp up on the second year onwards, and then it tapers down. Otherwise, it is around six, six and a half years.

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Jairam Sampath: Absolutely.

Bhoomika Nair: Understood, sir. So my second question is on the OSAT business. You know, we're expecting approvals anytime we've identified the land in Gujarat, etc. If you can also talk about how is the progress of the customers, how our relationship with Globetronics, Aptos, etcetera, is kind of moving on? And what is their response to some bit of a delay that we've seen? You know, how is the work progressing with them?

Jairam Sampath: So we have also used the time, intervening time, as you know, during the last one quarter, plus a few months was there during the election time, etc. So we have used the intervening time to strengthen our relationship with the collaborators and also do a little more in terms of augmenting the team with CTOs, operations heads, and so on and so forth. We've also got some more customers in the advanced packaging area.

So the idea is to make sure that we use all the time to develop a good business portfolio in this area, so that once the machines are in place, we do get a good quality of business, too. So it's been used by the team, this intervening time period has been used by the team to augment the relationship with the customers, etcetera, and that part of it is going well. And as expected, and we, I think FY26 end quarter, that is the fourth quarter of FY26, we certainly will have a reasonable and reasonably significant capacity utilization and revenues.

Bhoomika Nair: Okay, sir. I'll have more questions. I'll come back in the question queue. Thank you so much.

Jairam Sampath: Thank you, Bhoomika ji.

Moderator: Thank you. Our next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead, sir.

Ravi Swaminathan: Hi, sir. Thanks a lot for taking my question and congrats on a very good set of numbers once again. My first question is with respect to the industrial segment. Just wanted to get a sense as to how the mix is there in the industrial business with respect to smart meters and other products, and what kind of growth that we can think of with respect to this particular category over the next two to three years? Where does visibility come from in terms of growth across various sub-product categories in this space?

Jairam Sampath: Thank you. Thank you, Ravi, for joining the call and this very important question that you have asked. So see, industrial sector is right now happening sector due to certain products.

Industrially, if you take lots of happening orders out there,

one, of course, is smart meter, both

domestic business as well as international business. So we have some excellent clients acquired in both the areas. And currently, what we have posted as order is for the domestic segment, but we are also likely to get some export orders in this area, which is significant in nature.

So over the next, let's say, two to five-year time frame, we expect probably a tad higher or almost similar growth rate at the company's level. As an overall thing I would say that all the verticals seem to be growing similarly to the company's number. Obviously, industrial may be a little

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higher and something else may be trailing a little bit, but they are broadly at the same level of growth rate.

So we see the same bullishness across all the different vertical categories. So that's why we get a confidence that we will be able to kind of manage the portfolio profitability properly. So what happens in each as the quarters go from first to second third and fourth the amount of sales that is done is also like in a ratio of one, two, three, four kind of number based on last several years of study.

And so there will be in some quarters, some orders will get on boarded and so on. So that sector may look a little higher in terms of execution and all that, but broadly like last year's numbers similar percentages we expect in effect. Maybe a little more exports we can probably factor by the end of the year.

Ravi Swaminathan: Understood, sir. And my second question is with respect to the medical equipment business. So that particular segment has been a bit of soft over the past couple of years in terms of growth and this quarter you had talked about one contract coming from the medical side. Even competitors like Syrna etc they hadn't reported good numbers beyond the point after acquiring the one company. So why is it that this particular segment is not growing as fast as the other segments? We understand that I think it carries better margins etc. How's the outlook for this particular category?

Jairam Sampath: Yes. So while I cannot really comment on businesses of other companies, obviously, they are

working with some strategy which I'm not really privy to, but as a generic comment our increase in order book in medical areas for exports and we know it's a difficult area to work because we have been in the sector for more than two decades.

And so it takes a long time for reputation to build and people to test try you with your orders, but I'm very happy to tell you that one of the world's leading medical equipment providers has qualified us both in Europe as well as in the US business. So we can expect now that to pull up the percentage of medical business.

But on the other hand I would also like to point out that these are extremely high-tech and high critical and highly complex equipment. And so it's not very easy to ramp up these businesses.

The customers do take a long time before they finalize. So we are happy to tell you that we have now on boarded a very large customer. So I think for some time we will start growing the business and delivering to that customer requirement.

Ravi Swaminathan: Understood, sir. Thanks a lot and once again congrats on a very good set of numbers.

Jairam Sampath: Thank you, Ravi.

Moderator: Thank you. Our next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead, sir.

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Deepak Krishnan: Hi sir. I hope I am audible. I just wanted to sort of understand we have given a guidance of 15% for EBITDA margin and 1Q we are sort of flat on flat, is this a large part of increase driven by ramp up in aerospace, medical and those segments. Because at the beginning of the year you had indicated that these segments the percentage share may go up by

200, 300 basis points in the overall mix. Is that understanding, correct? Is it leverage and mix that will sort of get us to 15% EBITDA margin by year end?

Jairam Sampath: Yes, that understanding is correct the mix especially in industrial as well as the aerospace, outer space and strategic electronics that will also drive more margins positively. Of course, we don't really talk about margins by sector, but yes, the mix will favourably change is what we expect, and this is based on our understanding of quality orders that we have received.

Deepak Krishnan: Sure sir. And we just wanted to sort of understand I think Mr. Kannan also sort of indicated something on the Kavach system as well as the progress over there. In terms of our end customer is this RDSO approval already there in place and in terms of execution when are we sort of expecting Kavach to pick up? Do we have anything in orders already or we sort of expect that to come through.

And maybe just one final point it's expected how much of the overall Kavach spend is the content that you kind of contribute because it's expected that the overall Kavach system is about 5 million per kilometer, roof kilometer. So how much of that is what Kaynes does?

Ramesh Kannan: Kavach we are only investing in anticipation of order. India is going to have huge numbers and our relationship with the Tier 1 rail suppliers are also good. So we feel we can get into this business using that. And keeping that in mind we are investing this, we will be investing around INR40 crores of in R&D investment into this project. Proof of concept is what we are being done now and this should be in the market by the first quarter of 2026.

Deepak Krishnan: Sure, sir. Those are all my questions and best of luck for future quarters.

Management: Yes. Thank you.

Moderator: Thank you. Our next question is from the line of Rahul Gajare from Haitong Securities. Please go-ahead sir.

Rahul Gajare: Thanks for the opportunity. And congratulations for yet another strong quarter. Now I think my question is continuing with the earlier question on the margin. Now, I didn't see that the industrial and auto had materially increased in the first quarter. Also the share of Box Build was lower. So I wanted to understand specific reason for why the margin was slightly lower in the first quarter. And also the blended margin of the order book that you have that will be helpful. Also in the existing order book of over 5000 crores, how much of that is coming from Box Build and export I think that's the first question?

Management: So in the first quarter if you notice it is almost "an election quarter" actually. And we are glad that we got to where we actually reached. Because obviously the order book is there, but still the

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offtake of some of the products which end customer is people like rail ways and other

governmental agencies the inspection was not being done and so on and so forth. Employees were on election duty and all that, you know the whole system kind of comes to a standstill on the government side. So that was one reason. So there's a mixed variance obviously. And within the sectors also like for instance, within the different verticals there is different margin, some are higher, some are lower. So within the verticals also there are some products that are higher margin and lower margin. So it so happened that at the orders that we executed where of those where margins are a tad lower, but we have done - our operating team has done an excellent cost control job to make sure that we didn't do any austerity measures to make sure that our EBITDA was still maintained.

Going forward, the leverage will be available better because as you know the sales will increase. First quarter generally 15%, 16% of the total year, second quarter will be 25 years 25%. So you

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will start getting some good leverage going forward. And I think so on is the better mix which will drive gross margin and then better leverage this will drive even better EBITDA. So we are confident that this is a transient phenomenon. And so we think that we'll be fast in the second quarter end at least we'll definitely be better off.

Rahul Gajare: And Box Build and export share in the book?

Jairam Sampath: Yes. So the Box Build, for instance, if you take medical electronics for instance, the new orders are coming in Box Build. So Box Build is a little longer term in terms of development and approvals and all that. So you can see some increase in Box Build by end of the year especially in certain industrial as well as medical, we are going to have more share of Box Build by end of year you will have Box Build share going up and rightly as rightly pointed out it drives also the margins a little higher.

Rahul Gajare: Sir my second question is actually the export also maybe you could just touch upon how much was export in the order book. And given that we are probably in the final leg of the OSAT approvals, etc-. I want to understand how many people will you need to run this operation at peak, and do you see an issue of skilled manpower?

Jairam Sampath: So firstly on the export order book. See typically currently the export portion is exactly similar to what we actually do, which is around 15% kind of number. But going forward, like I said, in industrial area and some other areas like medical and also aerospace, we'll have more export orders coming in. So, let's say in the longer term, I mean, a little longer than this year's this thing, we can see exports climbing up from 15% to about 20% or so by FY'26, 20%-25% kind of time number.

Now, as far as the OSAT is concerned, typically, based on what my studies about the other companies, etcetera, an employee, let's say sales per employee hovers around, let's say, INR1.15 crores to INR1.35 crores per annum. So that's the kind of number you can take as -- so if we plan for, let's say, eventually -- with this capex we plan for, let's just assume that we do INR3,000 crores, then maybe the number of employees will be a tad lower than that, just about, let's say, 15% lower than that. So that's the kind of employee intensity.

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But however, while it is by definition not a labour-intensive job, but it's very people dependent. That means highly skilled manpower is required. So, from that perspective, I think, in India, we do have an edge, provided we overcome the problems of all these ecosystem related, the things which government is actually helping. So, I think you will see the competitive advantage building in the OSAT business shortly, maybe in a matter of a couple of years' time. India also will become a reasonably good source for this.

Rahul Gajare: Thank you very much and all the very best.

Jairam Sampath: Thank you, Rahulji.

Moderator: Thank you. Our next question is from the line of Hardik Rawat from IIFL Securities. Please go ahead, sir.

Hardik Rawat: Thanks for the opportunity and congratulations team on another set of strong results. While all my segment-related questions have broadly been answered, I wanted to understand that we had -- in the 4Q call, we had given a guidance for 70 to 72 days of NWC cycle. The current NWC cycle has come in flat at about 120 days. So are we retaining that guidance? Well, I understand that this was an election quarter, which is why the intensity could have been higher, but could you just touch upon as to what's our guidance for FY'25 in terms of NWC cycle?

Jairam Sampath: Yes. So while I'd not like to say guidance, but last year we did about 83 days of net working capital average for the year. So it will be superior to that this year. See, the first quarter is always a bit of a problem to defend the

net working capital for the simple reason that first quarter is the time when we accumulate a lot of inventories for the future orders.

And this particular quarter was a quarter where the election happened. And so because of this reason, I mean, election happened, of course, the previous quarter, but I would say during this quarter we had the election as well as results coming in, etc-. So that has kind of disturbed the offtake a little bit.

So what happens if the offtake is disturbed? Inventories pile up and a little bit of receivables go up, and that basically affects the networking, so we did take some counteraction and we tried to kind of make sure that we don't onboard too much of inventory, etc-, till we got to where we are. I am quite confident by end of this year; we will reach better than what it was last year. And as we've been indicating, it will be in 70s.

Hardik Rawat: Got it. My second question is with regards to the other income. Now, other income continues to be elevated on the back of your IPO proceeds being unutilized. So how do we see this evolving over the current fiscal, the utilization of funds and how do we see the other income panning out over the next couple of quarters?

Jairam Sampath: So, I think it is like this. See, obviously, we had objects specified for this thing, QIP. So, since the approval was pending and now it's about to happen this year, obviously, we'll utilize a lot of capex and so on. This capex is planned over two to three years' timeframe. To that extent, proportionately, we'll consume this capex and obviously, these and all these things will get

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converted into equipment. So from that perspective, your other income -- but anyway, the EBITDA that we've talked about, operational EBITDA is excluding the other income, the 13.3%. Just wanted to bring that to your notice.

Hardik Rawat: Okay. Thank you so much. I'll get back in the queue.

Jairam Sampath: Thank you, Hardikji.

Moderator: Thank you. Our next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Sir, good afternoon and thank you for the opportunity. Congratulations on a great set of numbers. Sir, my first question is regarding your capex guidance. Is there any change to that FY'25-'26 capex?

Jairam Sampath: Yes. So, as we had declared earlier, we have new capexes, one in the OSAT business, the other in the PC board business. So, it remains exactly similar to what we had planned earlier. It is just that the implementation timeline got delayed by a couple of months because of the election and election results and all that. Otherwise, the capex plan exactly remains the same because there are a lot of back work to be done before we can make any changes. So, these are the two priority projects with us. One is OSAT, the other one is the PC board project. And obviously, we still have some small amount left in the IPO proceeds to complete our capex implementation in Chamarajanagar and Mysore and Manesar plants.

Sonali Salgaonkar: Understood. Sir, my second question is on OSAT. I understand that you are awaiting the final approval from the government side. But when you start the operations, what kind of revenues/EBITDA incremental to your core business do you expect from FY'26?

Jairam Sampath: Yes. So, see, all I can tell you at this point in time is it will be margin accretive to the existing business. Now exactly what, will depend on exactly what orders we receive. And though we have broad MOUs with four customers and so on and so forth, we still have to show them the plant before they can assign a particular product category to us. So, more details shortly, maybe you have to give us a couple of quarters more when we start doing the POC. So, at that point in time, we can work. But all I can say is it will be margin accretive eventually compared to

the
EMS business.

Sonali Salgaonkar: And any sense on the incremental revenues?

Jairam Sampath: Incremental revenues typically in this business, the asset turnover is about 1 to 1.2 or in the best-case scenario, 1.3 or so. So depending on the capexes and the increase in the capacity utilization, we can compute that. And let's say FY'30, we would have done all of this INR3,000 crores of capex in OSAT. So, we should definitely have revenues in excess of INR3,000 crores, maybe 20% more than that, you know, maybe INR3,500 crores by FY '30.

Sonali Salgaonkar: Understood, sir. That's all from my side. Thank you.

Jairam Sampath: Thank you, Sonali.

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Moderator: Thank you. Our next question is from the line of Kaushik Mohan from Ashika Institutional Equities. Please go ahead.

Kaushik Mohan: Hi, sir. Morning. Sir, I just wanted to understand your OSAT business. In one of the interviews, I think one of your managers told that in coming days, like we can see a separate listing for OSAT. Can I understand on the broader terms, how large this OSAT business can be, and how are we geared up for entire thing?

Jairam Sampath: Hi, Kaushikji. Nice hearing your voice. See the thing is, as a company, we have not decided about any listing, etc. Our stand is very simple. Kaynes Technology is the holding company, and all other subsidiaries' results get consolidated into it.

As far as business is concerned, the OSAT business takes anywhere between two to five years for it to start yielding, let's say, 80% capacity utilizations and so on. So, like I said, our OSAT capex is about INR3,000 crores. So by FY'30, we can expect about INR3,500 crores revenues in this. And my estimate is that the margins will be better than our existing business.

But exactly what depends on what kind of products we onboard, and that will depend on customer's decision as to what range of products they want to do with us. But our target is that 25% of business will be in legacy area, legacy semicon assembly area. 75% business, we want to do it in the advanced packaging area. So it looks like this target is achievable. But the only thing is you've got to give it time for implementation of the first POC line, and then do the other approval from customers and so on and so forth.

Kaushik Mohan: Got it. Thanks, sir. And, sir, my second question is on we have spoken about catching \$1 billion on top line by FY'28 as a target. So do we have any contribution of OSAT in these numbers, or this is a separate number?

Jairam Sampath: No, this is a consolidated number. \$1 billion is including OSAT and PC board.

Kaushik Mohan: Okay. So, approximately, what can be the OSAT contribution in this, any backup calculations?

Jairam Sampath: So, this is just an estimate at this point in time. Like I said, OSAT depends on -- we definitely will do consolidated \$1 billion, which is like anywhere between INR8,500 crores to INR9,000 crores kind of number, depending on what the exchange rate is likely to be at that point in time. I would say bulk of the sales will be from the EMS business only. So, it can be close to about 70%-75% will be EMS business at the minimum and the remaining will be new businesses like OSAT and PC board.

Kaushik Mohan: Got it. And how about our capacity utilizations in the current plan, sir?

Jairam Sampath: So, the capacity utilization typically goes through a cycle of low, let's say 40%-50% and then it goes peaks at about 80%-90% when we onboard capacity. So, currently, with the new plant coming up in Hyderabad, so we will have probably capacity utilization reasonably under control. But by the end of the year, we think we will reach more like 80%-90% capacity, 80% capacity utilization, maybe 70%-80%.

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And then, of course, first quarter, we have to augment capacities.

The Chamarajanagar facilities,

Gama building will come up. We are also having plants in Pune and up north in Jammu. So, those capacities will also fire up. So, hopefully, we will be able to manage this. So, end of the year, we'll have maybe 70% utilization. And then, of course, we'll have to add such capacities to cater to the additional business for the next year.

Kaushik Mohan: Got it. And, sir, how about our smart meter business? How big is this opportunity? Because now I see that the government is very cautious on not losing the electricity. And also, there are a lot of reports telling that the focus is going on to hydrogen side to create electricity and different forms of electricity like it might be rooftop solar or it might be wind energy or anything. So, and smart meters plays a very big vital role on this play. So, can I understand where are we getting the clients and what is this entire division will look like?

Jairam Sampath: See, in this smart meter space, broadly out of 250 million units that were planned to be implemented about 10 million units have been already implemented. So, it's a very large, let's say, use case that has been done. Of course, there were a few queries here and there some users said no, etcetera.

Obviously, when you put 1 crore meters, there will be at least a few thousands of people who will protest etc. But broadly, the information from our customers is that this entire thing is working system is working. And so, another 240 million meters at the minimum will be there. Then of course, we are also -- it's a similar technology. So, we do have access to customers who would be also looking at other metering whether it's water whether it's gas and so on and so forth. So, it's an exciting area.

So, with a good, let's say, a business horizon for next at least 5 to 10 years' timeframe. So, 240

million, you can put roughly whatever is the kind of price of a meter anywhere between 2,000 to 5,000 rupees depending on the single case or three cases, etc. So, it's a large amount of business that is coming in and the government talking about a plank. They are promoting only India, Design India made products. And there is also a good export possibilities in this area.

Kaushik Mohan: So, how much money are we locking up for this business in our balance sheet?

Jairam Sampath: This is an EMS kind of thing. Obviously, there's an additional capex for plastics, etc, but nothing significant. This also has an asset balance of anywhere between 6 to 8 and maybe nearer to 8 because this will be a product focused activity. So, it is probably less asset intensive than our existing business itself.

Kaushik Mohan: Got it. So, how about the competition? Because the competition is also very strong in this business, right? Is it sustainable with that internal target of 15% margin that we speak about?

Jairam Sampath: Yes, sir. So, two of the best service solution and service providers are our customers in this area. So, we think that we'll have a significant and steady market share. So, these are proven solution providers across the world. They are global players who are working in India. So, we are confident that at least to the extent that we do the business, it will be a stable business.

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Kaushik Mohan: Sure. Thanks, sir. I'll get back in the queue. It was helpful.

Moderator: Thank you. Our next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Thank you for the opportunity. A couple of questions. First, on the subsidy on OSAT. So, I just want to understand how does it work? Is it like the government spends life for life or you spend majority of that in the government then reimburses at a later date?

Jairam Sampath: Yes. So, there are two subsidies in OSAT. So, one is central government subsidy. The second is state government subsidy.

Both are in the nature of cash subsidies. They are not in kind. That's the first thing. The second thing is both are linked to a certain class of, let's say, total class of investment. Maybe the land is excluded from it. Land, we get a special subsidy separately from the state government. If we are approved OSAT plan, they give us 50% off on the land. As far as the remaining capex is concerned that is the total capex minus the land, they give us – central government gives us 50% subsidy. That 50% subsidy is issued on a pari-passu basis. That would mean that the moment company invests, let's say, X amount of rupees the government also provides the same amount of rupees, and this can be then used to purchase capex. So, this is pari-passu. As far as state government is concerned, similar method works but the only thing is they await the commencement of operations. That means, which would mean that at least the first couple of lines have to be operational and the company has to start doing some invoicing.

So, we have taken a period of two years for this purpose like, let's say, FY '26, but we are confident that much before that we will probably start doing it that we start enjoying the state government subsidy. State government subsidy is anywhere between 20 % and 25% of the total capex and this is contingent on getting approval from the central government subsidy.

Indrajit Agarwal: And there is no tax implication of this, right? So, independent of the tax.

Jairam Sampath: There is no implication of government subsidy. No, there's no implication of tax in this. The only thing is that they want us to work for a period of five years make sure that the assets are productive, and we start doing business, and we onboard some good technology, which then the government can talk about and so on. So, they have been actually very supportive in this and helping us. They are also giving us some contracts, etc, to improve our program.

Indrajit Agarwal: Sure, this is helpful. And second question is on Kavach. So, I understand the proof of concept is still to be done but ultimately, your contract will not be with the government, right? It will be with an ETC player who will have a contract, and you will be a subcontractor. Is that correct? Or you can direct your contract to the government?

Jairam Sampath: Yes. So, while we have not worked out the actual modality, but see, typically, all railway contracts, they say development and manufacturing, okay? They do n't really speak. So, the key to supply to somebody like railways is approval from their side. So, what we are doing is we are working with the technology provider, and making a cost-effective solution for Kavach, and getting it approved by RDSO.

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There are two options. One, of course, we can directly supply, or the other is through other

OEMs. We have all the key OEMs already working with us. And the third option is somebody else's Kavach design also we can manufacture. So, we do have [RFQ's] in all the three areas. So, maybe the first step for us is to demonstrate that we have a Kavach product, which we will do, like Rameshji said in his opening remarks, we will do probably by the end of this year or early next year. And after that, then we will do this business split between these three different methods, you know?

Indrajit Agarwal: So, are your existing railway contractors or customers the same as the Kavach customers, or there will be different set of customers for the OEMs?

Jairam Sampath: They will be similar, because the railway ecosystem is such that the tenders are picked up by implementation contractors who have trained staff. So, they align with one of the big major OEMs, in the signalling system. And these are very same people who will actually implement probably the coverage program also. So, it will be the same ecosystem.

Indrajit

Agarwal: Sure. Thank you. This is helpful. That's all from my side and all that. Thank you.

Jairam Sampath: Thank you so much, Indrajit.

Moderator: Thank you. Our next question is from the line of Karan Sanwal from Niveshaay. Please go ahead.

Karan Sanwal: Yes. So, I wanted to understand, from the product that we manufacture, what would be the major components in terms of, percentage value, which is sourced from the domestic market currently, buyer PCBs, transformers, resistors, if you could highlight the major components?

Management: So, you are talking about, currently, you are talking about our existing EMS business, correct?

Karan Sanwal: Yes.

Jairam Sampath: Yes. So, basically, in existing EMS business, if you say, roughly 60 % of the entire materials are generally imported, 40% is locally manufactured.

Karan Sanwal: Okay. And what would be the major components in those 40%?

Management: So, Karanji, what I was...

Management: Did we get dropped?

Jairam Sampath: No. I will repeat that.

Karan Sanwal: Okay.

Jairam Sampath: Yes. So, he was asking about the import from the EMS business, and I was explaining the, some of the things, like, PC Boards will get indigenized, and some of the OSATs also will probably source will become India, but, again, continue to be imported, because it will go to the global supply chain, which they are also outside of India. And so, yes.

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So, roughly about 60% is imported. Out of that, maybe 10% of sales will probably get indigenized into India, and the remaining 50% will continue to be imported from outside of India.

Karan Sanwal: Okay. And also, if you could state the gross debt level and the average interest cost for the as on date?

Jairam Sampath: I didn't get your question, but can you just repeat it slowly?

Karan Sanwal: Yes. I was asking about gross debt level and the average interest cost?

Jairam Sampath: Okay. Gross debt level. So, like I said, this is a temporary thing. We do have a little bit of increase in inventories, and also, a couple of customers, there was a delay in payments, but we have now figured out how to get that organized. So, going forward, that will come down.

Karan Sanwal: Okay. That's it from my side. Thank you.

Jairam Sampath: Thank you, Karanji.

Moderator: Thank you. Our next question is from the line of Rajesh Vora from JAINMAY VENTURE. Please go ahead.

Rajesh Vora: Good afternoon, gentlemen. Congrats on a strong first quarter. Rameshji, the US \$1 billion revenue aspirational target coming nearer, when are we expecting that to hit?

Jairam Sampath: Yes, Rajeshji, thank you for joining this call, especially on a Saturday. So, this \$1 billion is our aspirational target as of FY '28, sir. And like I said, I was explaining the 75% to 80% will be our existing EMS business. Remaining will be augmented by new businesses in OSAT as well as the PC board area.

Rajesh Vora: At that level, Jayaramji, it would be, the margin would be higher than where we are today. As you stated, OSAT and PCB will have a higher margin.

Jairam Sampath: Yes, sir. By that point, we would have probably worked on the high-density interconnection boards and also the advanced packaging. So we are expecting the new businesses to be value accretive and margin accretive also. So, you are right. It will be, the total consolidated numbers should have higher margins than just the EMS business.

Rajesh Vora: Right. And my second question is, I remember having, discussing with you and Rameshji about Danaher Corp, which is, I believe, one of your customers. And it has a very good basket of

products on the medical devices side. And they've done very well over the years on acquisition side as well. So, are we accumulating anything from that company? or any other EMS company?

Jairam Sampath: Sir, you asked about whether we are getting some busi-

ness from this medical device company

that we have onboarded as a client. Is that the question, sir?

Rajesh Vora: No. I'm saying Danaher Corp, is that one of your clients?

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Jairam Sampath: Yes, one of their subsidiaries is a client of ours. And yes, we are seeing some little uptake in this, but too early to declare victory, sir. But yes, we are qualified by the Danaher Group company. So, as and when their outsourcing spend increases, we will be the beneficiaries.

Rajesh Vora: Yes. And my second part of the question, Jairamji, was about, do we, are we benchmarking our company on any other global EMS or something like Danaher Corp, or is it something that we should be thinking about?

Jairam Sampath: Yes, sir. So, in terms of benchmarking, sir, we have an internal process of what we call best in class. That means, in terms of product portfolio, we should be like somebody like, without prejudice, I would say somebody like a Plexus Corporation, right? They have very cool products, full-built products they make, etc. In terms of margins, we should be like some of the smaller organizations which do EMS across the world in aerospace and all that. These are high margin and protected markets.

When I say protected markets, we are niche players who are very difficult to replace. We have developed intrinsic technology. So, we conceive us to be an integrated EMS player with doing some technology, high-tech products, doing complete value chain for the customer, which would include, of course, blocks build.

And in certain set of our customers, we would like to do what you call the silicon assembly also through our OSAT. And we would also like to do the PC board, which is especially the high-density PC board, so that we become a preferred supplier of people seeking highly complex and highly technology-oriented products, which we believe that the entire electronic assembly is moving in that direction. So, in future, you will see two different types of electronics.

One will be this commercial electronic that will also be high-tech, so there will be high volume. We may not be getting there, the commercial and consumer kind of thing. The other is industrial type of thing, which will be high-tech. So, we think that we will be a good supplier of this high-tech. And volumes may not be necessarily high, but they will be all complex and critical products with new generation of silicon, etc, where in some cases, we'll get some opportunity for silicon assembly also.

Rajesh Vora: Lovely. Makes sense, Jairamji. Thank you very much and wish you all the very best for a billion-dollar target. Thank you.

Jairam Sampath: Thank you, Rajeshji. Thank you so much.

Moderator: Thank you. Our next question is from the line of Nikhil Kale from Investco. Please go ahead.

Nikhil Kale: Yes, hi. Good afternoon, everyone. Thank you for the opportunity. Congrats on a very good set of numbers. So, Jairamji, first question is on the PCB business. So, like you highlighted on the OSAT, we are looking at maybe like a INR3,500-odd crore kind of a target for FY '30. What could be the potential top line that we can achieve on the PCB business? So, I will just maybe talk about that.

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Jairam Sampath: Yes, Nikhilji, thank you for this question. So, the PC Board, originally, we said phase one maybe will be about INR730 crores, but we are now working with state governments to get a little higher subsidy too. So, eventually, by FY '30, I think we would probably have a capex of about excess of INR1,200 to INR1,400 crores.

So, here also you can expect a top line of anywhere between, depending on capacity utilization, anywhere between INR1,000 to INR1,500 crores by FY '30. So, this will be roughly 40% of the business of OSAT itself. OSAT will be, anywhere between INR3,000 to INR3

,500 crores, this

will be about INR1,000 to INR2,500 crores by FY '30.

Nikhil Kale: Got it. So, by FY '30, broadly INR4,500, INR5,000-odd crore from the new businesses. And safe to say that the PAT margins on these businesses would be similar, maybe would be better

than the legacy?

Jairam Sampath: Yes, it will be higher than our US business.

Nikhil Kale: Yes. Got it. And just a second question was on the order book. I think at the start of the call, you mentioned that there are some new orders that you've got where the execution time frame is slightly higher. You talked about a 10% kind of a number. So, just wanted to clarify this. So, out of INR5,000-odd crore, broadly maybe INR500, INR600-odd crore is something which will get executed over two years and the remaining will get executed over the next 12 to 15 months. Is this understanding, correct?

Jairam Sampath: Not really. What I'm saying is, I was talking about the orders added. So, I was trying to explain. I think the question was sudden increase in the order inflow. What does it mean? Does it mean that this year will go beyond 3,000? I was trying to explain that those order inflows are pertaining to some executions which are not in this year. But broadly, 60% to 70% of the order book gets typically executed in the year. So, you can take anywhere, let's say INR5,000 crore is the order book at the end of June. So, 70% of that, 60% of that is about 3,000. We already run 500. So, obviously, we have good coverage.

In fact, there will be a challenge in terms of actually completing the entire thing because of capacity and all related things. So, roughly about 60% at any given point in time for the next 60% to 70% for the next 12 months kind of time frame. So yes, obviously, most of the orders that we'll execute this year are already there with us. Some customers will give six months to a year order. They will keep coming in. And yes, so we will try and make sure that we satisfy the customer to the best possible extent.

Nikhil Kale: Okay, got it. And just last question on the working capital cycle. I think in the past, we've spoken about that we are in discussions with our vendors to maybe set up warehouses in India or maybe suppliers from local kind of regions. So, any progress on that? Because, I mean, the way the order book has been ramping up, we'll constantly be in this phase wherein we'll have to kind of order more inventory for our future orders. So, then how do you kind of look at working capital kind of coming down? So, these initiatives will be important, right?

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Jairam Sampath: Yes. So, the near shoring of inventory is one activity. We couldn't do too much progress last three quarters, last three months, because I think everybody is watching the budget and provisions for providing some benefit in that area. We expect that in another couple of months' time government will also initiate some policies on logistics. So, it'll make it easier for people to near shore inventory. On the other hand, just based on our own stream, we have got positive response from most of the suppliers.

So, we'll try and do something this year where the locally people keep some stocks for us to relieve some of the burden. So, we are working in that direction. More on it maybe by quarter three or so. The remaining improvements that we do in this thing will be based on efficiency improvements and also making sure the shortages are not there and so on and also working in factoring agencies for making sure that the refusals are under control.

Nikhil Kale: Okay. Thank you. Thank you so much.

Jairam Sampath: Thank you, Nikhil.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now end the conference over to management for closing comments.

Jairam Sampath: So, are there any more questions?

Management: No, last question.

Man

agement: That's complete. All right. Thank you very much for attending this on a Saturday. We appreciate the interest shown, probably one of the best attendances on a holiday for an earnings call. And next time around we'll keep it on a working day so that we don't inconvenience you too much. Thank you so much. Bye-bye.

Management: Thank you.

Moderator: Thank you. On behalf of ICICI securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 October 08, 2024

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Towers,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Subject: Intimation of transcript.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements)

Regulations, 2015, please find the link for the transcript of the Conference Call, conducted on October

04, 2024 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2004.10.2024.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the Conference Call

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"Kaynes Technology India Limited

Acquisition Update Conference Call "

October 04, 2024

MANAGEMENT : M R. RAMESH KANNAN – MANAGING DIRECTOR –
KAYNES TECHNOLOGY INDIA LIMITED

M R. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
M R. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED

MODERATOR : M S. BHOOMIKA NAIR -- DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Kaynes Technology Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participants line will be in listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited.

Thank you and over to you ma'am.

Bhoomika Nair: Yes, good morning, everyone and a warm welcome on behalf of DAM Capital. This is a call with Kaynes Technology to discuss the recent acquisition of Iskraemeco. Today we have the management being represented by Mr. Ramesh Kannan, Managing Director, Mr. Jairam P. Sampath, Whole-Time Director and CFO and Mr. Rajesh Sharma, CEO. I'll now hand over the floor to Mr. Sampath for his initial remarks, post which we'll open up the floor for Q&A. Thank you and over to you sir.

Jairam Sampath: Thank you, Bhoomika ji. Just to clarify, I think the announcer said it's earnings call, it is not the earnings call. This is the call to clarify and ask a Q&A, an answer on Iskraemeco acquisition.

So our company has acquired as per our filing, Iskraemeco India Private Limited. The purpose of the acquisition has been to secure our orders in the device area. Our company actually aims to become the largest smart meter manufacturing company in India. So this step is an important step towards the same thing. And going forward, we jointly will be offering our smart meters to all the different AMISPs.

As you know, already 11 crores meters have been awarded and another 11 crores meters yet to be awarded. Out of the meters which have been awarded also, there are many yet to be installed. So the ones which are yet to be installed plus the ones which are not yet awarded, they are the target for the coming future periods.

And so as you also know about the marketplace etc., I'd love to take questions now. So over to you, Bhoomika ji.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of CA Garvit Goyal from Nvest Analytics Advisory, LLP. Please go ahead.

Garvit Goyal: Good morning, sir. My question is on the, like you mentioned in your opening remarks, we are the largest player in the smart meters. So did I hear it right? Because players like Genus Power is having a significant order book in this category. And secondly, what kind of opportunity do you see after this acquisition in this particular sector? Sir.

Jairam Sampath: Sir, could you repeat the second question?

Garvit Goyal: What kind of opportunities do we see in India in this particular category?

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Jairam Sampath: Sure, sure. So as far as the order book is concerned, the orders which have been already decided, which is namely in the PGCIL and in the West Bengal case. So those orders have been already placed on Iskraemeco, which back to back has been placed on us. So that's for three and a half million meters for in the case of Gujarat, which is PGCIL is the AMISP there, and in case of West Bengal.

So that is what has been placed back to back by Iskraemeco India on us, and we'll be executing.

So totally about 11 crores, 110 million have been placed on various AMISPs and AMISPs with device manufacturing capabilities. There are two types.

Approximately about 50% is with AMISPs who don't have a device especially of their own, like IntelliSmart, EDF, Apraava, Monte Carlo, GMR. I think this is in the public domain. You can also find that out. So our objective is to get some share of these players.

Already some

e of them, they have probably decided because they have installed some, and then of course, some are out there. For the balance, about 110 million odd pieces, which are yet to be awarded, we will be working with all of these different AMISPs and offering them our meters so that we become the largest manufacturer or largest EMS for smart meters, and our customers will be these AMISPs who will be providing this product to the different distribution companies. And as far as the potential for this goes, there is domestic potential, of course, in the smart metering area, but we are looking at it as a power distribution products manufacturing. So one is smart meter. There are other things in the grid and other areas, both in India and domestically and abroad. We do have clients outside of India too, which the business is developing, and we are in the stages of the initial RFQ being accepted and contracts being drawn up, etc.

So we'll advise about the business from those companies as soon as we get some firm orders on hand. There are some small pilot orders available. So there is a huge market potential, not only in India, but also outside of India, not only in smart meter, which is in consumer premises, but also in meters which are used in distribution setups.

Garvit Goyal: Understood, sir. I think my question is answered, sir. Thank you.

Moderator: The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Yes. Hi, sir. Thanks for the opportunity.

Moderator: Sorry to interrupt you, sir. I would request you to please use your handset.

Siddhartha Bera: Sure. Okay. So thanks for the opportunity. Sir, first, if you can elaborate a bit more on buying out this entity, what extra advantages gains gets compared to other suppliers and why Iskraemeco

Global [inaudible 0:07:00] and will there be any support you need from the Global parent?

[inaudible 0:07:07] And second is, if we talk about the profitability, how it is compared to, say, directly dealing with Iskraemeco, with PGCIL or compared to any other AMISP where you will

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be supplying the device while they have only won the order. So will there be a difference in the profitability as well for some of the other orders?

Jairam Sampath: Right. Firstly, the advantages to case technology being an acquisition which aids our strategy of increasing manufacturing in the areas which are high yielding areas for us. And this also gives us a new technological edge in the area of smart meters. And we can do other smart meters, not merely in the electricity area, but several other areas are there. Namely, you have gas meters, you have water meters, and all other metering solutions are there. So we will be able to address all of those areas.

Our objective, as I stated, is to become the largest EMS in the smart meter area. As far as profitability is concerned, I cannot give you a forward guidance, but I can tell you this much that this is margin accretive. With our business and we have examined all that very carefully before we took this decision.

Siddhartha Bera: Okay, okay.

Ramesh Kannan: So whatever guidance we have given, we will continue to do.

Siddhartha Bera: Yes. Understood. Got it, sir. So second question is in terms of opportunity or execution. I mean, I do see that generally, I mean, how to understand the execution phase? We have this order book of right now INR35 lakh. Within what period do you see these getting installed? And the remaining orders and execution? How to think about the ramp up over the next few years, if you can just elaborate on that?

Jairam Sampath: Yes. So as far as the execution is concerned, we have put up a new factory in Hyderabad, and that's ramping up. So we think that one and a half to two years time frame, we'll complete this 3.5 million plus whatever West Bengal orders are t

here. And further orders will come almost every month. We are receiving orders from various AMISPs and so in the time in which we execute these orders, by the time we would have already secured orders to fulfill our immediate target of becoming a very large, probably the largest manufacturer in the area of smart meters.

Siddhartha Bera: Okay, sir. Got it. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre: Hi, sir. Good morning. Thank you so much for the opportunity. Sir, currently, what proportion of our total sales comes from the smart meter segment?

Jairam Sampath: Currently, it's about 10%. And going forward, currently, yeah, can be about -- sorry. As of this year, we'll probably have around 10% of this. And going forward in next year, it would depend on what orders we get from other sectors. Yeah, about 10%, 12% probably, maybe at the peak, when we have a lot of execution load, it'll be about 15% of our total.

But this is completely dependent on what is the total growth rate for the entire portfolio plus what orders we get from other sectors. So this year, we'll probably have about 10% of our

business from these smart meters, because we are having only six months now. And yeah, next year onwards, it will increase, the proportion will increase a little bit when we ramp up the production.

Mahesh Bendre: Sure. And sir, by doing this acquisition, what advantage we are getting in terms of business? I mean, what is the benefit we are going to get out of this acquisition?

Jairam Sampath: Yeah, so one is by, see, Iskraemeco is one of the high-tech solution providers. So by acquiring this company, we get access to whatever orders that Iskraemeco would have got, that is first. So it increases our scale. Second thing is they have a lot of other technologies, especially in the other metering area. So we get access to those areas too. And then we can put our strategies in that area also. And also, in terms of profitability, it's a reasonably decent profitability. It's margin accretive. So these are the benefits that we have in terms of acquisition.

Mahesh Bendre: So basically, it's not for manufacturing. Basically, the technology and probably business they are already getting in. So that will accrue us, right, sir?

Jairam Sampath: No, this gives us scale in manufacturing. See, once you start off with the 3.5 million meters, that gives you scale in purchasing, scale in manufacturing, and so on, right? So that is the fundamental advantage. And then, of course, once you are at a different platform, then we can do other products, other products manufacturing too, as and when they are implemented. There will be projects implemented for other type of smart meters. Being a smart company which is making smart meters, it's advantageous to have that company in our fold.

Mahesh Bendre: Sure. Thank you so much, sir.

Jairam Sampath: Thank you.

Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies Group. Please go ahead.

Sonali Salgaonkar: Sir, thank you for the opportunity and congratulations on this acquisition. Sir, firstly, confirming a few numbers. You said that presently you have two customers in smart metering. One is PGCIL, other is West Bengal government. PGCIL, 3.5 million meters. Any number for West Bengal government order?

Jairam Sampath: No, as soon as those orders are logged in, see, West Bengal government has got total plan of about 20 million, INR2 crores they have awarded, out of which there are four AMISPs, if I'm not mistaken. So, we will compute these orders and we will probably let you know a little later once those orders are back-to-back placed on us. It is significant order only.

Sonali Salgaonkar: And out of the four AMISPs?

Jairam S

ampath: First phase, some more than about 1 lakh meters have been implemented also. And I'm happy to tell you that most of the meters which have gone live is actually Iskraemeco meters. So, from that perspective, we have a positive view on West Bengal.

Sonali Salgaonkar: Sure. So, out of the four AMISP awarded, one is this company, right?

Jairam Sampath: Iskraemeco will be like a system integrator there. So, we will do whatever is required in order to fulfill the order conditions.

Sonali Salgaonkar: Understood. Sir, secondly, on the potential of this industry, smart metering industry, you said that balance yet to be awarded is about 11 million meters. Is that right?

Jairam Sampath: No, not 11, 110 million. It's INR11 crores.

Sonali Salgaonkar: Okay. Understood. And this is over how many years?

Jairam Sampath: Yeah. So, this is where the public domain. So, the government wanted to do it as soon as possible. So, now speed is picking up. So, I'm not able to put a timeline on what the government would do, but I think they are going pretty fast now.

Sonali Salgaonkar: Understood. Sir, thirdly, which are the key competitors that you see in this space?

Jairam Sampath: See, device manufacturers, there are some four, five people who are already present. I don't want to name them, but they are already there. As you know, the major players are there already. You can go through the published data also. So, there are about four, five major players in the device area. There are a lot of AMISPs who buy from these four, five players. One of them is, of course, Iskraemeco, who manufactures device. So, yeah, there are about, let's say, totally about five major players. Of course, there are -- if you go to the list of approved meters, there are a large number, but not all of them are actually preferred suppliers. So, they are not even supplying it.

Sonali Salgaonkar: Understood. Sir, and just last question from my side, how is the working capital in this segment and of your present guidance for FY'25, should this be included in or should this be sort of a part of your guidance?

Jairam Sampath: Yeah, it will be within the consolidated guidance that we have given. So, this is not going to increase the working capital cycle in any way.

Sonali Salgaonkar: Understood. Thank you, sir, and all the best.

Moderator: Thank you. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur: Thank you. Hi, team. So, question is on the acquisition in a way that we were already supplying products to Iskraemeco as a client. So, what advantage do we get from the acquisition? This is just India entity, right? So, the technology will remain with the parent, which is based out of India. So, what is the tangible advantage that we get? That is first. And second, with this acquisition, as it becomes system integrator, our scope of work will increase from manufacturing to what extent?

Jairam Sampath: So, we do have an agreement with the parent entity also in terms of support of -- see, the technology remains with Iskraemeco India. It is just the brand name, which is there, which is

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with the parent entity. Iskraemeco brand name is not owned by us. And we have an agreement with the parent entity to use it as long as we require for the purpose of servicing orders within India. And the benefits, like I have listed already, it gives us scale in manufacturing, access to new technologies, and it kind of gives us a firm footing in the area of smart meters. And smart meter not only in electrical smart meters, but there are other electrical grid smart meters, but there are other distribution systems where we can develop products and you know, on an ODM basis and supply to various entities.

Keyur: And in terms of scope of work,

how does that increase?

Jairam Sampath: Scope of work exactly the same as before, where it is manufacture and -- it's manufacturing. It's EMS work actually. So, that's what it is.

Keyur: Does that now also include the installation of meters or no?

Jairam Sampath: No, in the contracts already taken, if that is part of the scope, we'll complete it because the same team is remaining, not a problem. In future, it depends on the kind of contract that AMISPs give us and based on that, we will do. But majority of the revenues, etc., that we are actually computing and we are reckoning is based only on the manufacture and supply of smart meters.

Keyur: Okay, thank you. All the best.

Moderator: Thank you. The next question is from the line of Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale: Thank you for taking my question. So, sir, just to confirm, you mentioned that going ahead if the contract wants you to do installation, you will get involved in it, right? But how would that kind of impact working capital requirements for the business? I mean, manufacturing would be easier to do but when it comes to installation, how would the payments work?

Jairam Sampath: Yes, so the current payment terms, all the three stages of installation, the working capital exposure will not be more than 90 days. It will significantly be less than 90 days and it's not going to change because the same terms all the AMISPs do. So, from that perspective, it's not going to adversely affect any of our existing working capital. Probably, there might even be an improvement if we start doing more volumes here.

Nikhil Kale: Okay, understood. And in terms of capacity, I mean, the new Hyderabad plant, what is the manufacturing capacity there for smart meters? And as part of the acquisition, are we getting any existing capacity from Iskraemeco?

Jairam Sampath: See we have always been the manufacturer or EMS company for Iskraemeco in India. So, they have technical team which can do testing and all of that. But all the manufacturing capacity was being provided by us only. In Hyderabad, specifically, the capacity that is being built up is about 4 million per annum. And we will work on increasing this once the entire system picks up speed. We have enough, let's say, bandwidth and space.

Nikhil Kale: Yes, so that's it for now. Thank you.

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Moderator: Thank you. The next question is from the line of Manikantha Gaire from Franklin Temple in India. Please go ahead.

Manikantha Garre: Thanks for organizing this call. I have two questions. One is on the acquisition. Post this acquisition, any products on the smart meter side that will be manufacturing for Iskraemeco will have what brand? Is it Iskraemeco Kaynes or Iskraemeco-Kaynes? That's my first question.

Jairam Sampath: See, the initial orders that we are processing in Indian market, it will be Iskraemeco. And post that, once we take a decision, we will let you know if there is any change in that strategy. So it will be Iskraemeco.

Manikantha Garre: I'm asking this because now that you are forward integrating into the sector on the smart meter side, will it hinder any of the competitors to Iskraemeco or make them rethink about coming to you for EMS work? That's the key thing which I'm trying to understand here.

Jairam Sampath: Yes, so we still remain an ODM and EMS company. We don't have a Kaynes branded product. And we continue with that strategy as of now.

Manikantha Garre: So, you don't see this as a risk to any incremental orders you may get from the competitors also with Iskraemeco, is what I'm saying.

Jairam Sampath: No because Iskraemeco is an approved product. So, all AMISPs can actually potentially take and supply. We have also given it to many. So, there are many orders in the anvil being decided, etcetera. So, there's no risk.

Manikantha Garre: Sure. Thank

you.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher Capital. Please go ahead.

Praveen Sahay: Yeah, thank you for taking my question, sir. So the first few clarifications, the last year Iskraemeco has done INR65.4 crores of revenue. So the entire manufacturing for that has done by the Kaynes?

Jairam Sampath: Yes.

Praveen Sahay: Okay. And secondly, as you had also mentioned that the servicing order in India with the name of Iskraemeco is going to be done, is there any royalty or a fee company is going to pay in the future orders to the global companies?

Jairam Sampath: No royalty is to be paid to anybody, any entity outside of India. Since we acquired this part of the acquisition deal, that Iskraemeco brand name can be used for a specified period to service all these orders in India for as long as we wish.

Praveen Sahay: Okay. And in that Iskraemeco revenue, it's totally related to the smart meter. And also, is there any export number also included in that?

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Jairam Sampath: No, not yet. There are no export orders logged in yet. And in future, if they come in, then certainly we will log in. But at this point in time, these are all domestic revenues.

Praveen Sahay: Okay. And that's related to the smart meter only?

Jairam Sampath: Yes, sir.

Praveen Sahay: Because you had also mentioned that the water or the gas meter scope of work is there. So that is not there yet to start?

Jairam Sampath: That's a yes. Because that project needs to come up fully and then some approvals have to come up etcetera.

Praveen Sahay: And lastly, sir, can you indicate how much of the margin the Iskraemeco is making? Any indicative numbers would help?

Jairam Sampath: Yes, so this year post integration, we will have no effect on our guidance. It certainly will achieve the 15%. And so obviously, this product is not in any way margin dilutive. It is actually margin accretive.

Praveen Sahay: Okay. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Bank. Please go ahead.

Deepak Krishnan: Just wanted to follow up because in one of the previous participants, all the system integrators will be sort of bidding for contracts, where Iskraemeco will be sort of competing with like a genius or anybody else that is there. And then, whether we win the contract or not, we may directly supply or then we are hoping that the others will also give us the order.

Generally, this is sort of considered conflict of interest, right? So how do you sort of address that? Because while we are just a manufacturer, we are also sort of bidding for the same tender against all the other companies who we could be potentially be supplying to.

Jairam Sampath: Actually, in the past, they were in the market alone. We were not associated with them in any capacity other than as an EMS company. And now once they are in the fold, so our target will be all the AMISPs. And we'll work with the AMISPs in specific deals, okay? So there will be no conflict of interest. We'll not be standing head-to-head against any AMISP in bidding.

Even now, if you take Gujarat, for instance, PGCIL is the AMISP. So, they have always been a

smart working solution provider, always. They are not an EPC company or any of those kinds of responsibilities. So we will not be, standing head to head against any of these various people like Intelli Smart or any of these. In fact, they will be our customers in a new avatar. So there is no conflict of interest.

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Deepak Krishnan: Sure, sir. And maybe just some similar sort of exposure to exports. Are we allowed to sort of export this product as white labels to some other brands in geographies, where Iskraemeco is also present in supplying? Because we are learning...

Jairam Sampath: No, see, any contract with any company, obviously, there is a conflict in the marketplace, we'll have to talk and resolve. So, supposing there's a market where they are also present. So Middle East markets are markets where they have supplied large numbers. But European markets, they are kind of 50-50. So, supposing we obtain some orders on our own marketing strength, then there's no reason why they would not cooperate with us. But if they are already present in some markets and they have a larger share there. So before going there, we'll talk to them and we'll do an amicable settlement.

And in any case, we can always discuss commercials with them as appropriate, right? So depending on what is the cost and benefit, we can always discuss with them and do it. So from that perspective, this is like any other company supplying, its brand name for a particular country. So any other place we want to use this kind of a brand, we'll have to anyway seek their listing. But as far as white label is concerned, I don't think they have any problem. But as good partners, we should kind of keep them informed so that if there is anything that they have to do, they can do themselves.

Deepak Krishnan: Sure sir. And maybe in terms of technical collaboration the products that they make today and the capabilities that they have today we are sort of taking it over, but in future is there sort of a longer term understanding that if they develop any future other technologies be it gas, water or any other sector we can potentially sort of partner with them or is it like what is today?

Jairam Sampath: As in most of the other technology companies, most of the design is done in Iskraemeco India itself. From that perspective, the actual capacities reside here only. So we will definitely and we have an understanding that when a new product comes out with their brand name and we want to use it here or something we can always have an agreement with them on that particular aspect, but it's like a first right of refusal to us. It's not compulsory that we have to take it, but at the same time it's available to us.

Deepak Krishnan: Sure, sir. Those were my questions and thank you for your time.

Jairam Sampath: Thank you, Deepak. Thank you.

Moderator: Thank you. The next question is from the line of Amber Singhania from Nippon Mutual Fund. Please go ahead.

Amber Singhania: Yes, Hi, sir. Good morning. Am I audible?

Moderator: Yes, sir.

Amber Singhania: So just a couple of clarifications a few questions is one what I understand is under AMISP, the bidder or the winner generally do all the installation, procurement and everything and then he gets revenue INR100 per month for the next 19 months that is the ballpark agreement generally

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we are seeing in this scheme. So here what I understand is for Gujarat order, it is PGCIL who will be the main contractor and we will just be limited to supply of meter and giving the technological knowhow to PGCIL. Am I correct on that?

Ramesh Kannan: Sir, our plan is to become a large contract manufacturer to various AMISPs. So existing projects we will run and then parallelly one or two projects we will take, but otherwise we will be generally concentrating on manufacturing of the devices.

Amber Singhania: So basically, we are not subject to that monthly recovery of the investment rather we will be getting our funds upfront, right at the time of installation?

Jairam Sampath: No, we get it like we said with the net worth capital of less than 90 days we will get the entire money in.

Amber Singhania: Okay. Understood. And it is that similar arrangement in West Bengal also or it is different, sir?

Jairam Sampath: It is similar arrangement in West Bengal. See whenever we have this transition from an earlier status to a new status, if there are some previous arrangement

ents that they have made both let's say

explicit and implicit we will support those arrangements so that we are going to be there in the marketplace, but none of them have any major cost implications. It could be in terms of some support here and there.

So that we will do. Whatever is coming to India has made commitments on these orders, this 3.5 million plus some more orders that we have got from West Bengal. We will support those orders, but they have no cost implications as such directly. And also if there are some revenues available in this, we are not taking that into consideration in computing. So those are all as the time goes on we will book them in case something significant.

Amber Singhania: Okay. So in that way, it's not the cash flow impact. It's basically front-ending the revenue as well as installation rather than tail-ending for the next 10 years in terms of revenue, right?

Jairam Sampath: Yes, sir. There is absolutely no blockage of any kind of money.

Amber Singhania: Got it. Secondly sir, if you can just help us out in terms of what was the approximately ballpark per meter revenue we used to book when in case and now when Iskraemeco is a part, what kind of per meter revenue Iskraemeco might be booking?

Jairam Sampath: No. Okay. Let me put it this way. I cannot give you specific numbers because this is part of the customer contract. 65%, 70% of the revenues we used to book earlier now 100% revenues we'll book it in our Iskraemeco and remaining will be intercompany within the same entity. So Iskraemeco will be part of consolidated revenues.

So whatever their bill, out of that the internal revenues in EMS will be about 60%, 70% and yeah so that's what it will be. May be earlier it used to be about 70% odd of whatever they used to invoice.

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Amber Singhania: Got it. And at present sir how much is the firm order with Iskraemeco in terms of number of units meter, number of meters and [inaudible 32:19] you had shared, but firm order is what 3.5 million or more?

Jairam Sampath: 3.5 million from PGCIL and then there are some orders from West Bengal. They are consolidating that and placing orders on us, but the moment it is placed on us meaning now they have to place it on Kaynes Technologies. It's a legally different entity, but part of the same group now. So once that comes in, it's a total target or total available or total allotted orders about sorry, total target orders about 2 crores in West Bengal out of which some have been allotted.

So we will wait for some more time before the allotment takes place, award takes place and then we can, but there will be some significant number. There are about 4 meters being considered there. So we'll be one of them.

Amber Singhania: Got it. And in future we will not be bidding on our own for the entire bidding, right? We will be limiting ourselves to supply of products and the technology bidding?

Jairam Sampath: Yeah. So as of now with this acquisition, we'll be working like an EMS player. Our objective is to be an EMS player or having a large amount of manufacturing smart meters.

Amber Singhania: Understood sir. And that's it from my side. Thank you. Thanks a lot and all the best.

Jairam Sampath: Thank you, Amberji.

Moderator: Thank you. The next question is from the line of Arafat Saiyed from InCred Research. Please go ahead.

Arafat Saiyed: Hi, sir. Thanks for taking our question. So my first question is on to tal time for the smart meters.

So over the next five to six years I believe around 30 crores smart meters will be installed for the next 7 years, 8 years out of which only 15 crores tender has been announced. So can we expect, let's say, a balance of 15 crores smart meter tender to be announced by next year itself or is it like at least two to three years?

Jairam Sampath: Okay Arafat ji the issue here is that we don't know at

what pace the government will work, but

right now the pace of work has increased. So totally, based on whatever is the public data, government publishes the kind of a dashboard on this. About 11 crores has been awarded, another 11 crores to be awarded. So I think they will do it fast only because I think government is committed towards this particular project.

So earlier they have taken 4 years, 5 years time to come to this level, but it will be much faster than that and also the entire capacities have to gear up etc. So it's just the orders coming in is not going to solve their problem. So from that perspective, I think it will be a good delivery challenge once these orders get finalized. And maybe shorter timeframe, then longer timeframe is what I would bet on, but exactly what only government will know.

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Arafat Saiyed: Okay. My next question is again on the pricing of the smart meter. So I believe, let's say, per cost smart meter is around INR8,000 to INR10,000. So you guys also get similar amount to that from the client or you will get some lower amount?

Jairam Sampath: Sir, we get only EMS revenues which is the meter total cost of the device only. So that is anywhere around INR3,000 plus rupees. That is the kind of revenues that companies like us will make who make only devices. The other numbers that you're talking about, I have not computed, but they must be the AMISP revenues on a net present value basis and they actually make monthly charges. They work on something called opex model. So the AMISP should give an opex model to the distribution company. And they would do whatever is required, including -- sourcing and procurement of meters from companies like us. And there are other players too. So there are four other players who are majorly working in this area. So that's how it is actually. So there are three layers. One layer is device maker, other is the AMISP and third is the distribution company. So we are insulated from the value chain or revenue chain of the distribution, company and AMISP. We are contractual with the AMISP, which are like a device supply. Like I said, the net working capital is not expected to exceed 90 days.

Arafat Saiyed: Fine sir. That's it from my side. Thank you, sir.

Jairam Sampath: Thank you sir.

Moderator: Thank you. The next question is from the line of Rahul Modi from Nippon Asset Management Limited. Please go ahead.

Rahul Modi: Sir. Thank you. Just one question. Just one clarification I had in the West Bengal contract, the installation of the meters would be in our scope within the houses in WBS EDCL?

Jairam Sampath: Yes. You see, the WBSEDCL, the installation support is given by us. And for that, the separate money is given. We are not taking any profits out of that into our revenue projection yet. Because this is back to back given to other contractors to see increase whenever a device maker takes up, there are people identified for this job across the states. Every state has got certain electrical contractors who do this thing. So in case of West Bengal too, a similar arrangement could be there.

Like I said before, we are consolidating the orders from West Bengal. I think some more award has to happen. Total meters at stake there is about 20 million. So once all the numbers come through, then we will do an implementation strategy. And at that point in time, accurately, I can tell you. But broadly, if there is a commitment made, we will hold by it. If there is no commitment, then we will ask the AMISP to kind of look at it differently.

Rahul Modi: Sure. Sir just one follow up on this. So the Gujarat order is through PGCIL. And we have bid directly, or Iskraemeco had bid directly in the West Bengal contract as an AMISP.

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Jairam Sampath: Yeah. But see, even in Guj

arat, they are identified as an AMISP/SI. So their role is more like an SI, system integrator role, actually.

Rahul Modi: Right. Which is...

Jairam Sampath: So similar thing we design once all the orders are it is actually not that simple. It's a every tender is a little bit different.

Rahul Modi: Correct.

Jairam Sampath: And so if you go in to the website, there are seven different varieties of tenders, etcetera, they are mentioned. So once we get to know the exact details, then we can share that with you. I mean, I probably know the exact details like once we consolidate the order.

Rahul Modi: Sure. Just, my question was more from a liability assessment in case of delays of implementation in West Bengal. So I believe you would have done the due diligence while taking over Iskraemeco.

Jairam Sampath: Yeah, No, no. Actually, that's why I'm not counting that as an order. See, we go strictly by an order book, right? So in our order book, customer -- so see, even though they are part of the same fold, but they're still a different legal entity. So they have to give us a purchase order. So Iskraemeco will place a purchase order on Kaynes Technology India Limited, maybe in future at the Hyderabad premises. Then we will put it in our system by material and they will give a schedule, etcetera.

So that's why I'm saying that while there are a lot of futuristic expectations in this domain, and we definitely are very bullish and buoyant about it, but as long as they don't come to us, I cannot disclose that to you. So moment it comes, then it will be in our quarterly projections. We'll add that and show it to you. The 3.5 billion* has already come. So we have added last time, because as Iskraemeco had placed on us, certainly in future, we will do for West Bengal also.

*Management Erroneously mentioned as 3.5 billion, the same stands at 3.5 Million

Rahul Modi: Sure, sir. Thank you very much for that.

Jairam Sampath: Thank you, sir.

Moderator: Thank you. The next question is from the line of Neel Mehta from Equirus Securities. Please go ahead.

Neel Mehta: Yeah, thank you, sir. For the opportunity. Sir you mentioned about...

Moderator: Sorry to interrupt you sir

Jairam Sampath: Neel, could you use your handset and speak? Your voice is breaking.

Neel Mehta: Yes. Sir, is it better now?

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Jairam Sampath: Yes, yes.

Neel Mehta: Yes. So my question is that, sir, you mentioned about this property reach per meter. Is it for the single phased meter or the three phased meter? That's my question.

Jairam Sampath: This is single phased. All are single phased right now. We do have some smaller number of three phased meters also. But since the total quantum of three phased meter is not significant, so we're not talking about it. But there are orders for three phased meters too. But the 3.5 million is single phased meter.

Neel Mehta: Okay, thank you so much. Next question is that, is there any...

Moderator: Sorry sir.

Jairam Sampath: Sir there is a difference in the cost. See, three phased meters are much bigger meters because they deal with three phased supply of electricity. So typically, their cost will be 70%-80% more than the single phased meters.

Moderator: Thank you. We have lost the connection of the current participant. We will move on to the next participant. The next question is from the line of Deepak from Sundaram Mutual Funds. Please go ahead.

Deepak: Yes, thanks. So my first question is in continuation to the other participants. So for Iskraemeco, we will be manufacturing only the smart consumer metering or is it that we'll do also ...

Jairam Sampath: Sorry, repeat the last part.

Deepak: So will we be manufacturing or box building only smart consumer meters or would it be also DT metering, distribution transmission meters?

Jairam Sampath: Yeah, any meter that they require for manufacturing,

we'll be making provided they have an

approval for it. Okay, so that's our stand. Right now, most of the meters are smart consumer metering. So DT metering, if we win any orders and if there are designs available with them, we can do that too.

Ramesh Kannan: But we already are making DT meters for a German company. This is part of our export orders.

Deepak: Okay, sir. And my second question is, sir, last year we did some INR64 crores worth of sales, right, in Iskraemeco. So how many smart meters we would have sold in that year?

Jairam Sampath: So fully as smart meters only. So this year it will go up because there's 3.5 million orders are getting executed. So this year, it will become an intercompany sale. So it will come as part of our consolidated revenue.

Deepak: That is fine. Sir I'm asking FY24, how many smart meters would have been supplied for the INR64 crores revenue?

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Jairam Sampath: Anywhere between 2 and 2.5 is the pricing. So INR64 crores, we can divide and find out that number.

Deepak: Okay. So my last question is, since smart meter is a growing market and has a larger TAM, any reason why Iskraemeco decided to sell that entity to you and exit their Indian business?

Jairam Sampath: We wouldn't know their reason. It must be part of their strategic business. They still continue to be a player in Europe and all that. So yeah, this is a company which is, which was bought by LCD Group actually, it's an Egyptian group. And they purchased this entity from Europe. They do have good business in Middle East and other places. So I wouldn't know why, but when this opportunity was available and when we came to know, then we jumped at it because it kind of secured our EMS credentials.

Moderator: Thank you. The next question is from the line of, Vinit Agarwal from Aditya Birla Money. Please go ahead.

Vinit Agarwal: Hi, good morning, sir. Thank you for the opportunity. So I have a couple of questions. So one is on the -- one of the largest player in smart meters is fully backward integrated and starting from assembling PCB or molding, and even they have their own software. And because of which they generate roughly 14% to 15% kind of EBITDA margins. I just wanted to understand post this acquisition where we will be placed?

Jairam Sampath: Sorry, last part of the question? Can you repeat that?

Vinit Agarwal: I just wanted to understand like post this acquisition, where are we placed in terms of smart metering?

Jairam Sampath: Yes, we are fully integrated here. We have our own molding shop. I think those of you who were able to come to the Hyderabad facility would have seen it also. We have got full backup, end-to-end manufacturing of smart meters, full value chain. The software is with the Iskraemeco acquisition. The software is within the Group. The molding is within the Group. The entire PCB assembly is within the Group. Testing is within the Group. So, it's a fully integrated facility. And going forward, of course, once the PCB business sector comes up, we can do the PC boards also.

Vinit Agarwal: Understood And my second one is, correct me if I'm wrong, like the company which you acquire was loss making in terms of EBITDA at EBITDA level till FY '23. So what was the EBITDA numbers in FY '24, if you can give that number?

Jairam Sampath: Yes, see the past EBITDA numbers during development phase, right, they were just bidding for orders and getting things approved and they were getting installed, etcetera.

Ramesh Kannan: Plus, all these global companies, they have their own pricing, their own methods of working. They transfer large funds for corporate account is debited and all those things.

Jairam Sampath: Yes, so suffice it to say that now it's a clean business for us. It's an EBITDA acquisition.

Ramesh Kannan : We will make approximately closer to ours.

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Jairam Sampath: Yes.

Vinit Agarwal: Okay, understood. Thank you so much. Thank you.

Jairam Sampath: Thank you.

Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi, sir. Thank you for the opportunity. Most of my questions have been answered. Just one more question. In Iskraemeco COGS, what proportion would have been supplied by Kaynes in FY '24?

Jairam Sampath: You're asking about their purchase of meters, whether they purchase from anybody else. No, we are fully supplied.

Indrajit Agarwal: No. So, in the sense that what are the other costs other than the purchase from Kaynes? Are there any other costs which are significant?

Jairam Sampath: No, they have R&D team for development of product, project management. Validation is there. Testing support is there.

Indrajit Agarwal: Right

Ramesh Kannan: There are 125 people there. It's a large organization.

Jairam Sampath: It's a large organization, yes.

Indrajit Agarwal: Okay, so other way to put it is you said that for Iskraemeco, the per unit revenue would be 2.2 to 2.5. For similar units, what would have been our revenue?

Jairam Sampath: No, That is the device revenue to Kaynes technology. Their revenue should be larger. Not at liberty to disclose because this order is not in the public domain, but their revenue will be larger on the device also. This is only the EMS revenue that I'm talking about. Once they supply the device to, let's say, PGCIL, their revenues are larger.

Indrajit Agarwal: Okay. Maybe I'll take it offline. Thank you.

Moderator: Thank you. The next question is from the line of Akshay Kaila from CD Integrated Service Limited. Please go ahead.

Akshay Kaila: Yes, sir. So, sir, my question was about guidance for FY '25, which is about more than INR3,000 crores. So, after acquisition of this company, is it still intact or the incremental revenue which will we get from this acquisition will add to this guidance?

Jairam Sampath: Sir, we will retain our whatever guidance we have given, INR3,000 crores on top line and 15% on EBITDA.

Akshay Kaila: Okay, sir. So after this acquisition, so it will add more revenue to this guidance or what?

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Jairam Sampath: Yes, in future, of course.

Akshay Kaila: Okay, sir. Thank you sir

Moderator: Thank you. The next question is from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: Thanks for the opportunity. My first question was, I do understand in the past, the company Iskraemeco had one direct contract with West Bengal, WBSEDCL and there is an article similarly for that. So just wanted to understand what is the rationale behind moving from a EMS, B2B player to a becoming a full-fledged brand here? Any specific logic behind it becoming an AMISP?

Jairam Sampath: The AMISP qualification has been done by many companies. But our objective for a company like Kaynes Technology is to be a device manufacturer, essentially. So we continue to do that. And acquisition of Iskraemeco is to make sure that we get the relevant scale. If you are going to be making small quantities, then we really cannot be cost effective and we cannot do margin acquisition, etcetera, into our existing portfolio. In order to do that, we have acquired this company which has capabilities to offer meters to all AMISPs.

Jalaj: Understood. And then just on to that same question. So of the total revenue of let's assume FY '24, INR64 crores, what was the revenue split between it being a directly AMISP and it being a supplier to others?

Jairam Sampath: No, all of that INR64 crores is supplied to, if I understand correctly, I can ask the diligence team, but it is supplied to PGCIL. So even though we are called an AMISP and SI, but actually supplied through PGCIL, who is actually the AMIS

P in Gujarat?

Jalaj: Got it. And last question, what does the balance sheet?

Moderator: Sorry to interpreting sir I would request you to rejoin the queue for your follow-up question.

Thank you. The next question is from the line of Aditya from Jubilant Bhartia Group. Please go ahead. Mr. Aditya, I would request you to unmute your line and speak, please. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Hi, sir. Thanks for the opportunity. Just wanted to check on the O & M business for the smart meters. So that would now be with, Iskraemeco. So now it will remain with Kaynes. And what would be the portion, if you can send, give us an idea on the O&M business for the scope of work for smart meters?

Jairam Sampath: See, the broad categorization of the revenue is capex and opex. So we are clearly on the capex side. That means we supply the meter, and then we get paid for it. And the next working capital will remain within 90 days. As far as opex is concerned, that is a model which most of the EMS use. And so they obviously bring in investment also. So as far as we are concerned, we don't invest more than this networking capital into this business because we are on a capex mode.

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Harshit Kapadia: So, what about the maintenance of meters? I'm seeing some meters get broken down or there are some issues.

Jairam Sampath: Our responsibility is manufacturing warranty. So within some 6 months or something, so once it is installed, typically these meters also would not fail. But if there is any problem, and it's pointed out that it has something to do with, let's say, the design and manufacturing. Because the device comes under our portfolio now. In this case, we'll have to deal with that respective agencies who have raised that claim, and we'll rectify and give back.

Harshit Kapadia: And last question on the revenue of INR65 crores. Would it be possible for you to give a breakup of how much is the product and how much is the installation and supply side for that?

Jairam Sampath: The installation is actually a small quantum. It's like INR200 to INR250 types. And that is also paid off to a third party for installation. So in a total of around INR3,000, something they would have built to, let's say, PGCIL. It's a small quantum installation. There is some software license legally they are supposed to offer them so that they can utilize that to get data, etc. So some INR300-odd, will be the quantum of software and this installation etc. Around INR3000 plus something will be probably the total quantum of billing. So if you say percentage wise, it will be about 10% of their INR64 crores should be that particular billing. I have not computed this number separately. We have seen broadly, we have verified all these things are there or not there. But other than that, I can give you a sharper answer later.

Harshit Kapadia: Okay, sir. Thank you. Wish me all the best.

Moderator: Thank you. The next question is from the line of Akhilesh Bhandari from Millennium Management. Please go ahead.

Akhilesh Bhandari: Hi, sir. Thank you for taking my question. Can you please comment on the payment milestones? How much money will come post the installation of the meter?

Jairam Sampath: See different distribution companies, different AMISPs will have some small changes in their listing. But suffice it to say that including investment into our stocks and everything else, the net working capital will be limited 90 days. So obviously, the receivables will be lesser than that.

Akhilesh Bhandari: So, what I want to understand is, if there is a potential delay in the actual installation of the meter, you have supplied the meter, but you're not able to install it, then how

much of that how

much money can likely get stuck?

Jairam Sampath: No, nothing. See, this doesn't work like that. Even if they say strictly installation etc., delivery is made, typically those bills are processed. Once they know that the asset is done, they process the bills. So some people treat it in three ways. One is delivery. One is installation. Other is activation. Some people say delivery and installation together and they pay you as soon as it's delivered, and so on.

So it depends on the AMISP and the particular distribution company. So these are not like the contracts which are open-ended. So they are supposed, there is a SLA. Of course, I'm not at

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liberty to talk about exact contractual details, but there's an SLA. So even the AMISP is supposed to clear the bill within some particular time.

They are supposed to do installation within some particular time, etc. So that's why we are so confident that the total working capital will not exceed 90 days. Maybe it will be lower than that.

Akhilesh Bhandari: And for the PGCL contract of 3.5 million meters, the installation is under your scope, right?

Jairam Sampath: It is under Iskraemeco scope, which we will support.

Ramesh Kannan: It is under our scope.

Jairam Sampath: Yes. There is a system available. It doesn't take too much time. There are electrical contractors available. The moment you tell them, they will send people and install it. So it's a few weeks' timeframe that they install it.

Akhilesh Bhandari: Because there have been reports that smart metering installation is facing some challenges in multiple states, including Gujarat?

Jairam Sampath: Yes. See, the thing is, a INR1 crores meter is installed. There are some 500 complaints, obviously, because people who suspect that metering will make them pay might resist it or something. But it's not a significant number. Because INR1 crores has 500, 600 complaints, not a big deal.

It will happen, sir. See, earlier, the system was that people have to go physically. The lineman has to go to remove the fuse etc. So there was always this trouble of removing fuse, because there could be some compromise happening there. With the smart meters, the user will not have any choice. So those users who are probably mala fide or who don't want to pay, they will probably resist. But that's a smaller number.

Akhilesh Bhandari: Got it. Thank you so much.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited, for closing comments.

Bhoomika Nair: Yes. I would like to thank the management for giving us an opportunity to host the call and answering all the queries. Thank you very much, sir. And thank you to all the participants as well.

Jairam Sampath: Thank you, Bhoomika ji. Thank you for organizing the call. Thank you all the participants for patiently listening to our answers. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

KAYNES TECHNOLOGY INDIA LIMITED

(Formerly Kaynes Technology India Private Limited)

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechcs@kaynestechtechnology.net

H.O & Regd Off: 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 8214280270 November 05, 2024

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Stock Code – KAYNES

The Secretary

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Towers,

Dalal Street, Fort

Mumbai - 400 001

Stock Code – 543664

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript for Q2 FY2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements)

Regulations, 2015, please find the link for the transcript of the Q2 FY2025 Earnings Call, conducted

on October 30, 2024 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2030.10.2024.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You

Yours faithfully,

For Kaynes Technology India Limited

S M Adithya Jain

Company Secretary and Compliance Officer

Membership No. A49042

Enclosed:

- Transcript of the earnings call

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"Kaynes Technology India Limited

Q2 FY 25 Earnings Conference Call "

October 30, 2024

MANAGEMENT : MRS. SAVITHA RAMESH – CHAIRPERSON OF THE BOARD
– KAYNES TECHNOLOGY INDIA LIMITED

MR. RAMESH KANNAN – MANAGING DIRECTOR –
KAYNES TECHNOLOGY INDIA LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – KAYNES TECHNOLOGY
INDIA LIMITED
MR. SUMIT VERMA , INVESTOR RELATIONS – KAYNES
TECHNOLOGY INDIA LIMITED
ORIENT CAPITAL TEAM -- INVESTOR RELATIONS
PARTNERS – KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : M S. BHOO MIKA NAIR -- DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Kaynes Techno logy Q2 FY25 Earnings
Conference Call hosted by Dam Capital Advisors Limited. As a reminder, all p articipant lines

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will be in the listen-only mode and there will be an opportunity for you to ask questions after
the presentation concludes. Should you need assistance during the c onference call, please signal
an operator by pressing star then zero on your touch-tone phon e.

Please note that this conference is being recorded. I now hand the con ference over to Ms.
Bhoomika Nair from Dam Capital Advisors. Thank you and over to y ou, ma'am.

Bhoomika Nair: Yes, thanks. Good morning, everyone, and a warm welcome on the Q2 FY25 Earnings Call of
Kaynes Technology. We have the management today being represe nted by Mrs. Savitha
Ramesh, Chairperson of the Board; Mr. Ramesh Kannan, Managing Dire ctor, Mr. Jaia ram P.
Sampath, Whole Time Director and Chief Financial Officer, and Mr. Rajesh Sh arma, Chief
Executive Officer.

At this point, I'll hand over the floor to Mr. Kannan for his initial rema rks, post which we'll open
up the floor for Q&A. Thank you and over to you, sir.

Ramesh Kannan: Good morning, everyone. On behalf of Kaynes Technology team, I would like to welcome
everyone to the earnings call for Quarter 2, FY 2025. I have alo ng with me Mrs. Savitha Ramesh,
our Chairman of our Board; Mr. Jairam Sampath, Whole Time Director an d Chief Financial
Officer; Mr. Rajesh Sharma, Chief Executive Officer, Mr. Sumit Verma, Investo r Relations, and
Orient Capital Team, our Investor Relations Partners.

I am pleased to inform you that we have been able to achieve a reve nue of INR10,661 million*
during the half-year FY25, which represents a strong growth of 64% year-on-year. The
operational EBITDA margin, excluding other income for the half-yea r 2025, was at 13.8%, and
PAT margin was at 10.3%.

*Note: Management Erroneously mentioned revenue as INR 10,661 m illion the same stands at
INR 10,761 million

Coming to our performance for the quarter-ended Q2 financial year 20 25, our total revenue was
INR5,721 million, registering a growth of 59% year-on-year. Our Q2 F Y25 operational
EBITDA was INR821 million, registering a growth of 68% year-on-year, wit h an operational
EBITDA margin of 14.4% for the quarter-to-FY 2025. Our order book s urged from INR 50,386
million in Q1 FY25 to INR54,228 million in Q2 FY25.

As we move forward, we expect an all-round growth in all the busine ss verticals. Our company
is delivering design capabilities, including ODM, in several high-yie ld areas such as Kavach in
rail signalling and Smart Meter. We believe that the second half woul d be showing solid growth
so that our company will cross the milestone of INR3,000 crore s in FY25. With the trend in
EBITDA margin improvement, we believe we will cross the operational EBITDA of 15% this
year.

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Looking back from where we started two years back and where we reached today, makes me immensely happy on what we have been able to capture as a company. We are hopeful that we will continue on the same trajectory of growth as a company.

Today we are on the path of achieving something unique. We will be truly an integrated electronic company, which will be in EMS space, OSAT space, as well as high-density interconnect printed circuit board manufacturing space.

All new initiatives are on track and speed of implementation is gearing up, with revenues charted as Q4 FY26 for both OSAT and HDI PC board. Our first phase of Smart Meter factory is now operational in Telangana. We have also begun construction of our OSAT factory in Sanand, Gujarat. Additionally, we have received and decided to start our HDI PC board factory also. Kaynes Technology acquisition of Iskraemeco has opened up a significant opportunity worth approximately 40 million to 50 million Smart Meters to be executed over several years. These developments are significant steps forward for Kaynes, aligning with our company's strategic

goals.

We are confident in our ability to continue exceeding our stakeholders' expectations. We believe in fostering a diverse and inclusive workspace. We are proud to have a significant number of women on our team and are working to increase women representation as we expand. We are excited about the growth potential in sectors like industrial, IoT and IT, aerospace and railways.

By expanding into these areas, we will increase our revenue and profitability. Our success is a direct result of our team's hard work and our customers' loyalty. The enduring relationships we have built demonstrate our commitment to delivering exceptional value.

With this, I would like to sincerely thank each and every one of our excellent investors for their encouragement so far in our journey and expect continuing support in the future too. Thank you all once again and we look forward to exciting times ahead.

I will now hand over the call to Mr. Jairam Sampath, our Chief Financial Officer, to take you through our financial performances. Thank you.

Jairam Sampath: Thank you, Rameshji. Good morning, everyone. First of all, a big thank you to all of you for joining today's call. I know these are festival times and all of you must be having some activities lined up. So, let me not waste any time and wish you all a good festive season this Deepavali and a beautiful New Year following that.

As we start a new quarter, I'm happy to share with you the Kaynes Technology financial results for the period ending Q2, FY25 and we'll be talking about some highlights here and of course the rest of the details are already published. So, for H125, we have been able to achieve a revenue of 10,761 million, which represents a strong growth of about 64% year-on-year on revenue.

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The operational EBITDA stood at 1,490 million with a year-on-year growth of about 67%. And for Q2, FY25, consolidated total revenues were 5,721 million, representing about 59% year-on-year growth. The consolidated EBITDA for the quarter was about 821 million, showing a 68% year-on-year increase. EBITDA margin for the quarter stood at 14.4%.

Our consolidated PAT for the quarter was 602 million rupees, up by 86%, and the PAT margin for the quarter stood at 10.5%. Consequently, our ROCE and ROE numbers adjusted for unutilized portions of the feeds is at 17.6% and 18.6% respectively for H125.

Our current order book stands at about 54,228 million, compared to 50,386 million in Q1 of FY25. The networking capital base at the end of September quarter was at about 108 days, which is similar to the previous year's same quarter. Our inventory days was at about 107, as we made advanced purchases keeping in mind the requirements of the upcoming quarter, which are expected to be busy and we plan to execute revenues in excess of about INR3,000 crores in FY25.

The temporary pressure from receivables, too, with a few customers in previous quarter was better this quarter. We expect to improve even more in the coming quarters. We have planned that the networking capital to come back to the expected lines as we progress. Last year, we had delivered about 85 days. This year, probably we'll go closer to about 75, 72 days net working capital at the end of the year.

And we'll reduce significantly on average by the end of the year, as just now described. Our OSAT project is underway in Sanand, Gujarat, following government approval for our capital subsidy, both state government as well as central government approval. We will provide regular updates on the construction progress.

We also secured government approval for our HDI PC project, PC board project in Chennai, and

we'll be sharing updates on that as well. Both projects will start yielding significant revenues from the fourth quarter of FY '26. Our Telangana factory phase one for smart meters is up and running, and construction for phase two has also started.

Our acquisition of Iskraemeco, which has opened up a potential revenue opportunity of almost close to about INR6,500 crores over the next several years. This will help secure about 15%, 20% of the smart meter orders awarded by various AMISPs. With this acquisition, it will be also helpful for Kaynes to become one of the largest suppliers of smart meters to the AMISPs in India.

I take this opportunity to thank DAM Capital team for hosting this call. With this, I would request all participants to come in with their questions. I now open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from Ravi Swaminathan from Avendus Spark. Please go ahead.

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Ravi Swaminathan: Hi, sir. Thanks for taking my question. Congrats on a very good set of numbers and wishing you a happy Diwali. My first question is with respect to the industrial and EV segment. Could you give a broad sense on the breakup between how much of that would be from the smart meter side, how much of it would be from the EV side, and how much of it would be from the other industrial business?

Jairam Sampath: Yes. So, the basic construct of business has not changed much compared to last year. Smart meter, while we have acquired the new company and orders have been locked in and we are in the process of doing, but not too much of billing has happened in the first half. And so, we don't see a huge change in our competition of business between verticals. The only thing that will happen is that we start seeing some increase in our railway signaling. Of course, industrial and EV will remain large.

Automotive will grow at the rate at which the company's business is growing. And so, IT, IoT, Yes, that percentage will go up. You will have percentage of industrial going up because of second half smart meters will be coming in, in a larger number. And of course, we expect the railway sector also to kind of start picking up a little bit because all the, I think the first quarter during the election, and then later on, I think the government was firming up its plans on the infrastructure front. So, now that is clear. So, hopefully, in the second half, we will have more traction on railways and other things.

And also, as a preparation for next year, I think we, second and third, third and fourth quarter, we also expect the aerospace business also, which we have been waiting for some time now, to also gear up. Understood. And happy Diwali to you, Ravi.

Ravi Swaminathan: Yes, thanks a lot, sir. And the smart meter, 4 to 5 crore pieces over a period of time you are talking about. So, does this opportunity open up just because, I mean, we have acquired Iskraemeco or it was already there and, I mean, so essentially, this just strengthens the, the acquisition just strengthens the ability for you to acquire more business.

And who would be your typical clients in this? Will it be the state governments or will there be some central agency which produces smart meters? And what would be the kind of profitability in this? Will it be similar to the overall company level profitability?

Jairam Sampath: Yes. So, acquisition of Iskraemeco is synergistic towards our efforts in the smart meter. It definitely aids because the team of Iskraemeco, they are experts in smart meter and all its implementation and so on. So, they can provide a lot of support to the AMISPs. They also have a lot of proprietary technology for not only the smart meter, but associated softwares, etcetera., which can also provide us with a future stream of business, which other smart meter manufacturers can also utilize.

And so, so we think that this entire, so why we say several years is because I think there is a physical limitation to implementation with

hile the government would like to do it, but I think they

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do it in a phased manner. So, like we had said earlier on, I think, early October, we had mentioned that, half the 11 crore meters have been kind of awarded. And we, we probably have about 15%, 20% share of that in various stages of finalization and then the remaining also will get awarded. And we think that 15%, 20% of the total number of smart meters will be ours. Our customers will be people like PGCIL or people like IntelliSmart etc, all the various AMISPs who are there. Of course, we are not these are information that we don't have consent to take exact names, but these are the kind of people who will be our clients.

Of course, prior to [inaudible 16:29] they had also directly bid in some places, etc. So, we will find out some methods of fulfilling those obligations. But bulk of the metering production will be basically like what we call the production and supply of smart meters. There is an auxiliary line available because the Iskraemeco also has software in MDM and HES, etc. So, we'll be offering that to all the other players as and when required and we should not forget that there is an export component also in smart meters.

So, we do have a very big, very large European company which has business interests in North America, South America as well as Europe and India. And they have approved us and that is also likely to kind of pick up sometime in FY26. And so we think that this is not just the domestic play. There's also exports expected here. Thank you.

Ravi Swaminathan: Understood, sir. Sir, can I take one more question I mean, this is on the Kavach side. Jairam Sampath: Go ahead. I'll answer it. Others may also have the same question.

Ravi Swaminathan: Yes. So, with respect to the Kavach side, the Indian government I think they had allocated close to INR1000 crores, INR1200 crores on matrix for this year. From our perspective, what percentage of that would be an addressable market for us? Where will our components go into the entire Kavach system? So, if you can give a broad kind of thought process on that will be great?

Ramesh Kannan: Coming to the Kavach our plan is to be an ODM player. We will be allowing this product, once it is approved to be used by all rail contractors and large OEMs so that we'll get a large portion of business. So, this is similar to our contract manufacturing we're doing it and in some places where railway also directly will be quoting. So, that is our plan of taking this ODM as a product.

Jairam Sampath: And of course, we just add to what Mr. RK said we have a German collaborator with whom this is being developed and it will be available to all the key OEMs, because we are a services company. So, ODM and manufacturing will do for everybody. So, Kavach total 68,000 route kilometers are there, maybe the first half. Half of it is the first broadly the first priority and so that half of it is about 30,000 kilometers or so. So that will lead to about INR15,000 crores, INR20,000 crores of business out of which you have rightly said about 1,500 is budgeted this year. So, we'll see. We are working very hard to get our approvals done.

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Right now, it is in the proof of concept stage. And we hope that at least by when we exit this year, we will have a working product which is approved and then, of course, we can bid for other. We already started bidding for tenders, but we cannot realize billing unless we complete the approval process. So, there are totally 10 people in the fray out of which three have been approved already. So, we are among the remaining and we expect about same, about 15%, 20% of market share in this particular business.

Ravi Swaminathan: Understood, sir. Thanks a lot.

Moderator: Thank you. The

next question is from the line of Aditya Bharti a from Investec. Please go ahead.

Aditya Bharti: Hi, good morning, sir. So, in the last few quarters we have seen a fairly strong growth in the industrial vertical which I guess was driven by EV customers that we had added. How are we looking at this particular vertical in the second half given that we are already having a decent base of EV customers? Is it that smart metering will continue to drive growth for this vertical in the second half as well?

Jairam Sampath: Yes, thanks, Aditya. I think smart metering, of course, will drive the growth of the industrial vertical, but in the industrial vertical we have a couple of other people such as there is a company in the US for whom we manufacture Industry 4.0 equipment. With our acquisition in the US there are also multiple divisions of them have contacted us and we are likely to get enough growth.

So, not only smart meter, but there are many other customers like power electronics, there is a customer then this instrumentation customer is there and so on. So, they will all go at more than 60%. So, we will see a cumulative effect of at least this year there will be a strong growth in the

industrial sector and electric vehicles is kind of a steady growth rate right now because in our case electric vehicle is not just one customer, but all different types of two-wheeler, three-wheeler, there are charging customers, there are component customers and so on. So, we expect the other industrial things like instrumentation, smart meter, power electronics, all this to drive the growth of the industrial sector.

Aditya Bhartia: Understood sir. And sir if we were to be speaking about...

Ramesh Kannan: Added to this, our aerospace and rail business is also taking good shape. The years to come in we will have good business in these areas.

Aditya Bhartia: Perfect sir. And sir if you were to be speaking about margins in different verticals, could you guide us on how margins in automotive and EVs may stack up against some of the other verticals?

Jairam Sampath: See, we don't provide margin by verticals because these are customer confidential information. But see broadly it follows the same thesis that I have described earlier. So, this depends on six

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factors. One is the volume of per batch, the other is criticality, third is complexity, fourth is how much of business horizon we have, etc.

So, obviously, if you were to rank the low-volume, high-tech, high-mix and let's say critical production like the railways or some of the industrial and aerospace etc., and outer space, etc., would tend to have higher margins because there's more work content there. And obviously, on the flip side, the automotive and all these other sectors wherein volume is higher will probably have a little lower margin.

So, we always look forward towards balance between these two because the lower margin verticals will always give us a scale advantage so that we can buy components cheaper in other sectors too. And then, of course, high margin will give us a proper good blend of EBITDA margins. So, that's how we have cultivated our customer list.

So, it's not just a matter of, you know, doing for the year because these things take between two to three years' time to stabilize one single customer. So, we work towards a program, let's say, for instance, right now we're working towards customers who are likely to come in sometime in FY27, FY28 too, as a regular sales, etc.

Aditya Bhatia: Understood, sir. And, sir, one last question for my side.

Moderator: Sorry to interrupt, sir. Please fall back in the queue for further questions.

Aditya Bhatia: Sure. Thanks.

Moderator: Thank you. The next question is on the line of Ankur Sharma from HD FC Life. Please go ahead.

Ankur Sharma: Hi, sir. Good morning. First question on smart meters

. You know, we obviously, we're getting read a lot of articles around, you know, some protests, resistance to installation of smart meters. And that's across a lot of states, including Maharashtra, Chennai, you know, talks of inflated bills, etc. So, we just wanted some sense from you.

I mean, do you think this is only transitory, this initial heating issues and, you know, you don't really expect any slowdown there? You know, what are you hearing from your end customers? You know, like, I know PowerGrid is one of them. So, are things broadly on track? You know, if you could please comment on that.

Jairam Sampath: Sure. Sure. Thanks, Ankurji. See, fundamentally, this program is a long-term program and government has committed and post the elections, there has been acceleration in the program. Certain states have been ahead of the curve, certain states have been lagging behind. And of course, the certain some of the states like Maharashtra, etc., they are also undergoing election and so on. So, obviously, there are maybe mixed signals given by different political parties, etc. So, we wait and see. However, the biggest exposure right now is Gujarat and places like that.

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So, we do have a couple of other states where finalization has happened. And if you see the total amount of installation that have happened is almost a crore of installation has happened, about 10 million meters have been either installed or in the way of getting installation and so on. So,

obviously, when such a large scale installation happens, a few thousand problems could be there. Some of them are, I think, technical in nature. And some of them, of course, are from maybe customers who probably do not prefer this. But all in all, I think, as a precursor to improving our entire power distribution system, I think this is done well. And I think almost half the awards have been done by the government already. For 11 crores meters are done and dusted. The remaining another 14 odd crores meters are expected to be done anytime soon.

So, we do not think – because since our people are in touch with all the AMISPs and all the state entities, so it looks like – and we also come in contact with people who go for installation, etcetera. But there is no big issue. It is just that the entire machinery takes some time. And in between, during elections, there is probably a delay of three, four months. Now, it has again picked up back.

Ankur Sharma: And similarly, on the EV side also, what we are seeing is a clear slowdown on EV sales, especially on the four-wheeler side. And that is across OEMs is what is being seen. So, any color there? Or is it that because we have got a diversified range of customers and we are adding wallet share within those customers is the reason why we think we are relatively insulated?

Jairam Sampath: Yes, I think you have touched upon both the points. So, electric vehicle, if you were to segment that entire electric vehicle business as far as electronics is concerned, we are into four areas. The first area, of course, two-wheeler electric vehicles electronics.

A two-wheeler, if you were to see what is happening inside China, etcetera, that is something which has been for the long haul. And we expect most of the two-wheelers, at least a bulk of the two-wheelers to convert into, at least in the urban areas, into electric vehicle. And we do have a fair amount of business there.

The second is four-wheeler. So, four-wheeler again has got, like you correctly pointed out, there are issues like range anxiety and there are other issues about whether to go for hybrid or this thing, etcetera. But suffice it to say that some portion people do prefer that. And so, we have a limited portfolio right now. We have only two very large customers for whom we are making. So, we continue to do for them and we will wait

to see whether we need to increase our efforts there further.

The third one is components for EV and these are components for a foreign OEM, overseas OEM, which are not only used in EV but also in regular cars. So, we expect that business to anyway take off, but we classify it as EV. And the fourth one is, of course, the charging infrastructure related things.

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So, whether it is two-wheeler or whether it's four-wheeler, the charging infrastructure will go its course. So, we expect that EV as a segment is here to grow. And specifically four-wheeler, yes, we'll have to wait and watch what kind of four-wheelers take off.

Ankur Sharma: And lastly your cash flow OCA, how do we see that shaping up? I understand your comments on the first half negative OCA being because of higher inventory for the second half typically and also slightly higher debtors. But how do you see that shaping up? Can we expect positive cash flows going into end of the year?

Jairam Sampath: We are also very acutely aware of the fact that by end of the year, we have to get into a shorter working capital cycle. And also, we want to also generate some OCF because for the next year, there'll be significant revenues coming up. And then obviously, we need to continue the expansion.

And we've been kind of contemplating that we should be able to self-fund this entire thing as far as EMS is concerned. Of course, the other things we needed to raise funds for OSAT and other things. Now, I think we are still on that track right now.

Second half, almost INR2,000 crores of business will happen. And so, if you see from gross margin perspective, we think that if you were to put a similar number, so about INR600 crores of gross margins will be there. And so, we think that we can probably from EBITDA perspective, second half EBITDA will be a tad higher than whatever we did in the first half because of the other sectors firing up.

So, if you were to say about INR200 odd crores. [inaudible 0:30:31] Yes, yes. Hi. So, Ankush, I was talking about, I think when we lost connection here, talking about the second half. So, we expect about INR200 odd crores of EBITDA to come in. And I think I have understanding from my teams internally that on absolute basis, we'll maintain these numbers of inventories and maybe reduce it further and also the receivables, etc.

We'll try to make some improvements. So, while we exit the year, I think the operating cash

flow should be back on track and should be certainly positive and should also yield enough to invest further into capex for the coming years. So, Yes, it's not unexpected, though it could have been better.

Ankur Sharma: Yes. Okay. Got that. Great. All the best and wish you a very happy Diwali.

Jairam Sampath: Thank you, sir.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you. Congratulations on good results to the team. So, first question is on the industrial and EV segment. So, if I look at that segment, it has grown at a much faster pace than say

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company growth. If you can just break it up for say 1H and the same number for last full financial year, if you categorize broadly in say EV and related businesses, smart meters and other industries, what would be the mix broadly?

Jairam Sampath: So, thank you for the question. See, fundamentally, every year, there is one particular business, which I just want to give a broad color on it so that you understand the numbers in the perspective if we see it. So, fundamentally, every year, one particular business takes off. So, initially, when we listed during that time, the automotive lighting systems and the control systems used to be the ones where we were acquiring

and that is going but that has come to the company's level of 60% growth. And so, that is not making any waves right now. It does not bulge. Then, of course, came EV. EV was a new sector. We were doing nothing in the EV prior to that. And then, suddenly, EV with four-wheeler, two-wheeler all came and then it started getting up. Now, this year, there will be a little color of smart meters too along with the EV. So, industrial and smart meters in the industrial and EV segment, let us say, the total, if I am not mistaken, is about 40 odd percent.

So, three-fourths of that will be, say, one-fourth of that probably will be EV and three-fourths of that will be roughly smart meter and other industrial like instrumentation, power electronics. I am giving you a number, which is like a steady state number. So, in the intermittent stage, what happens is suddenly one order, like now, Iskraemeco order has come in, big order.

So, obviously, we will start executing that and then next year, some Honeywell orders, I mean, some other aerospace orders will come in and so on. So, this entire percentage will keep shifting depending on which customers are onboarded, actually. So, just for your information, either you can say two-third, one-third or three-fourth, as the relative importance of, let us say, smart meter versus EV electronics. But of course, there are other things also. So, it is not all of it is this.

Keyur Pandya: Second question is on the working capital and our equation of Iskraemeco. So, basically, in general, how do you think working capital will be, say, end of the year? I think you answered partially and just to on top of it, with equation of Iskraemeco and with some legacy business of installation as well, will it hurt or will it basically incrementally add to the working capital requirement in the short term?

Jairam Sampath: No, I do not think there is anything significant there. So, obviously, what has -- we believe that the metering business, etc., per se, just the device business is better than our existing business in terms of working capital, because the collections are assured within 90 days of time. And then, of course, this supply chain is also because the large volume of production. So, inventory is also much, much lower. And so, from that perspective, our working capital is not going to get stretched because of this reason.

Yes, as far as the previous commitments are concerned, we are talking to them and we are trying to make sure that we do not get into this area of stretching working capital because we are into

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some other type of business model. But suffice it to say that there is also a good revenue potential here on other software services, etc., which does not have any physical, let us say, either material cost or it does not even have any visits to the field. It is more like supporting offline support, etc. So, we think that that also will generate -- so, in a typical order, we do get, of course, two-thirds

of the order is for meters, etc. One-third of the order is for these kinds of things which have no cost, actually. I am talking purely about the businesses that we have cited. Of course, the other companies will have different business models and they may have a different outlook on this. So, this one-third of the business that we are talking about is actually just accrual of cash on an annual basis.

So, it does not stretch the working capital in any way. Its costs are already covered by the metering overheads. And then meter is, like I said, controlled in terms of its outlook. So, by the end of the year, we still maintain that we will be 72 days net working capital company-wide on an average.

Analyst: Noted. Sir, thanks a lot. All the best. Happy Diwali.

Jairam Sampath: Thank you.

Moderator: Thank you. The next question is from the line of Siddhartha Bera

from Nomura. Please go ahead.

Siddhartha Bera: Yes. Hi, sir. Thanks for the opportunity and congratulations on a good set of results. Sir, my first question is on the margin side. So, on the gross margin side, we have seen continuous improvement every quarter. In the current quarter, can you highlight what particular order led to further improvement sequentially? And how should we think of this going ahead, given the smart meter orders which are going to ramp up in the second half?

Jairam Sampath: You caught me there. See, we can't disclose exactly where the margins are going up. But suffice it to say, sir, that all the various high-yielding sectors are now firing up. We promised last time, once the infrastructure pushed by government starts off and all the different projects take off, which has happened, at least in a small way, in the second quarter.

So, that is yielding to, so, namely in industrial and then a little bit of railway, some little bit of aerospace and so on. So, these are the areas where, and also IT, for instance. So, these are the areas where the gross margin improvements have been seen. And we think that this will further accentuate in the second half.

And, Yes, the sectors where there is volume and the gross margins are a little muted, they, fortunately for us, they are not outstripping the growth of the other sectors, which are high-yielding sectors. And we think that in the second half, we will get a significant increase in our gross margins and also EBITDA. Gross margins because of the mix and EBITDA because of the leverage, because we'll be doing almost twice as much as what we did in the first half. So,

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we'll get a very good leverage also. So, Yes, we think that this year, at least we'll, second half will be far superior in terms of EBITDA margins too.

Siddhartha Bera: And so, how should we think about exports? What is the exports set in the current quarter? And you have your target of about 20% again from exports next year. So, how should we think about the journey? What will be the driver for this?

Jairam Sampath: Yes. So, exports is something which right now, our numbers are driven more by domestic business. And rightly so, because currently the entire plank of growth is based on localization of imports. And so, obviously, the kind of products that are getting imported are the ones which are high-yielding areas, wherein there is good margin available, etc. So, those are the ones which are getting indigenized right now.

From FY '26 onwards, you can see some significant increase in exports, aided by, of course, some revenues in the fourth quarter from both OSAT revenues as well as HDI, high-density interconnection. And also, there are areas like instrumentation and there are areas, other areas in the U.S. that we are working with. So, those also will fire up probably in the second, maybe the first half of FY '26. So, you can see that export again coming back about 20% next year.

And maybe if you're lucky, then it will probably move its journey to -- so, eventually, what we can see is that eventually, at least close to a third of our business could be exports eventually. That is after 4 years kind of time frame. And two-thirds of business will be domestic. And obviously, the growth rate in both sectors should be pretty strong.

Siddhartha Bera: Got it. So, second quarter for export means...

Moderator: Sorry to interrupt, sir. Please call back in the queue for further questions. Thank you. The next question is on the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Hi, sir. Good morning. Thanks for taking my question. So, just sorry for dwelling more on the cash flow side what Ankur and Keyur asked. Given, last year we generated some amount of, I think, INR60 crores, INR70 crores kind of an operating cash flow. But given, I

think we had this discussion earlier also, that given you're growing way faster and your mix is changing a lot and the way you're guiding even arrow comes into play and then the smart meter and the OSAT. So, if we look at just directionally rather than looking at the first half cash flow is not there or second half it would come. But generally, do you think that operating cash would be -- generating operating cash with a higher quantum would be difficult here, because the inherent nature of the business is becoming one in which the growth is very high. And second, the mix is changing a lot because I'm assuming OSAT will also not give you operating cash for the next 1, 1.5 years, given the absolute nature of net worth and equity capital you would put in and the growth. So, can you throw some light that is it advisable not to expect

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too much high kind of an operating cash flow because of the inherent nature of the business given mix changing and as well as growth is very high. Just want a little clarity on that because 1.5 years back, we were very confident that, despite growing at 40%, 50%, I might start not putting a number but we would be generating decent cash flow. But obviously, you're growing fast and the inherent nature you're changing of the business every quarter the mix keeps changing. Just need your clarity on that part directionally. Jairam Sampath: Thank you. This is a question obviously on everybody's mind and more on our mind than anybody else's because the whole fundamental question is that is it self-sustaining business and the answer that we have now come after thinking through a lot is 50%, 60% of growth we should be able to sustain it ourselves through both measures. One, some OCF generation which will be to the tune of about 7% of the total let's say sales number. So, we were contemplating about INR200-odd crores of OCF by end of the year. Maybe we'll get there. We still have INR2000 crores of business to be done. So, by end of the year, probably should be able to generate. If everything is fine, then we should be able to generate about similar to that number maybe INR10 crores, INR20 crores lower. Also, we see some good movements in the receivables area. We see some good improvements in the inventory area also. Of course, our past still kind of drags us down a little bit because earlier we had large number of customers, etc. But now we have kind of a little sharper in our focus towards minimizing inventory and in the newer businesses, etc. And the newer businesses that are coming in also, the growth businesses are all at a slightly better gross margins and also the EBITDA margins. So, broadly, I still maintain 50% plus kind of growth is feasible without having to look outside. So, first source is, of course, our OCF. The second source also, if you notice, we are still at about five to six in terms of asset turnaround. So, actually speaking, in our business, we have done in some limited timeframe, seven, etc. So, we probably should get back into that kind of thing because what happens is, at least right now, there is a huge amount of construction and a huge amount of new factories coming up, etc. So, there is a kind of bunching up of assets. And so, the asset utilization efficiencies probably will now start kicking in from FY '26 onwards. So, you will see some benefit of extra capacity by utilization of assets and, of course, some OCF. So, a short answer to your question, both yours and also Keyur Ji had asked. So, Nitinji, I think we are okay as far as the generation of cash is concerned. And we think that we will be able to fulfill this requirement. So, actually, some of the things which we had been talking about, we haven't done yet, like asking vendors to keep stocks here on the VMI basis. So, why we had not pushed that in the past is that we d

idn't want any effect on our gross margins. People normally would jack up the prices

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if they do that. But now, some people are coming around offering this facility to on their own. So, we wanted that situation to happen. Now that scaling up has happened and they will, for all the new businesses that we are doing, incremental businesses, they are willing to keep stocks right here in either Bangalore or Mysore. So, that will give us some respite. So, that way, I think we believe that. So, that is a big source.

If you see all the peer group, their payables are stretched and the inventories are lower. So, in our case, it's the other way around. Inventories are high and our payables are low, which is a good thing to do. And once they start keeping stocks, I think we will have net. So, we don't want to overstretch any particular methodology here. We want to also do our improvements of efficiency.

At the same time, I think from next year onwards, will start, depending on suppliers, to keep stocks. So, with these two put together, I think we are okay in terms of cash flows and making sure that we are able to fulfil our asset creation needs for EMS. Of course, the OSAT and PC board get to be proven by the FY28 or 29 when we start doing large volumes.

What is the kind of margins we actually deliver? There also, our plan is that we should be able to at least 15% of growth, we should be able to self-fund. So, that's the kind of thinking that we have. And so far, whatever we've encountered, looks like it is going through.

Nitin Arora: And thank you, sir.

Moderator: Sorry to interrupt, sir. Please fall back in the queue for further questions.

Nitin Arora: Thank you.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies, Please go ahead.

Sonali Salgaonkar: Sir, thank you for the opportunity. Congratulations on a good set of numbers and happy Diwali to you Sir, my first two questions are slightly bookkeeping. What is the trend in monthly order flow and the trend in average order value for Q2?

Jairam Sampath: Yes. So, that we need to do the math. So, we started with about INR5,000 crores and we ended up with INR5,400 odd crores. So, then, of course, we've done about INR600 odd crores of sales.

So, average order inflow in Q2 would be around INR340 odd crores per month. Now, the order book has to be seen in the perspective.

So, whenever we get a large order, we book it in, right? So, those large orders may be slated to be executed over time. And some orders come for period of six months, some order comes for a period of nine months, some for a year. And in some exceptional cases, like the aerospace orders, etc., they come for even 5-year and 10-year timeframe.

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So, from that perspective, right now, the order book is a tad ahead of our execution. Because this year, we'll execute about INR3,000 crores, but that 12-month forward order cover will be especially in a lean time like Q2. So, obviously, Q3, Q4, we expect some more push-up to happen.

So, we will be probably looking at a 12-month order book of about anywhere between INR3,600 to INR4,500 crores as of September, as the order booking. And of course, the execution we'll have to see. This year, we will probably end up doing in the second half about INR2,000 crores in the first half of next year. Let's see.

We have not yet computed that number, but we will probably get somewhere there. So, again, the order book will be a tad ahead of our execution. That's what I can say right now, based on the trend.

Ramesh Kannan: And by design, we are getting orders well in time. At least we are covered up for next two, three years.

Jairam Sampath: And there are some orders which are also called the upside book, wherein the I's have not been

done and P's have not been crossed, but they are all orders which we are working on already.

So, Yes, from that perspective, so these are the few numbers. We can say that as of now, the Q2 number was about INR340 crores per month, whereas we executed about INR600 crores. So, obviously, it was ahead. Going forward, it's going to go up to a larger number.

Sonali Salgaonkar: So, the average order value?

Jairam Sampath: Average order value actually is not a good indicator, because supposing you take somebody like PGCIL, it's one, one, let's say, one. That's why we started not, it is not leading to any proper conclusion. Something like a PGCIL, smart meter order, there will be a single letter of allotment, which will be like hundreds of crores, thousands of crores, actually.

Ramesh Kannan: But we don't consider the entire order. We only consider for our order book for 18 months.

Jairam Sampath: So, what we are saying here is that the value of order per order is now no more relevant, because of the nature of businesses. But see, last year, when we last computed, it was about 11 lakhs. So, maybe this year, it will be a little tad higher. But it will look unusually high, because one particular order is 1000 plus crores. So, we thought it is not meaningful to kind of compute that number. That's why we stopped, because there's not much of retail and those kinds of things. So, Yes.

Moderator: Sorry to interrupt. Please fall back in the queue for further questions. Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

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Indrajit Agarwal: Thank you for the opportunity. Most of my questions are answered. Just want to understand on the coverage scheme, of the budget amount that you see or what the government comes out with, what proportion will be your addressable market of the total amount that comes out?

Jairam Sampath: Sir, actually, making some assumptions. Yes, we should be about 10-15% of the total market.

Ramesh Kannan: Now, this is on our assumption.

Jairam Sampath: The government is going to let's say total addressable market is 68,000 kilometers. So, we are thinking that all the trunk lines, all the major routes will be about half of it, about 25,000-30,000 kilometers. And going by, generally going rate about 50 lakhs or something like that. So, about INR15,000 crores anywhere between INR12,500-15,000 crores is the kind of addressable market at this point in time.

And so, we think that about 15% market share. So, Yes. So, we will get about INR2000 crores.

Implementation timeframe for these projects will be a little longer than the signaling projects, because these are all, they require implementation not only on the track side, on the wagon side also. So, put together, I think we can look at about say INR2000 crores of business in four, five years kind of timeframe as something that we can target, you know. Remaining, of course, there are other players too.

Indrajit Agarwal: So, INR50 lakhs per kilometer of that EMS addressable opportunity is about 15%. Is that understanding, correct?

Jairam Sampath: No. our INR50 lakhs is EMS, sir. Full. It is a box-built. It has got all, the fully, it is an electronic fully built product, sir.

Indrajit Agarwal: Okay. Okay. Understood. Thank you, so much and happy Diwali.

Jairam Sampath: Happy Diwali to you, Indrajit. Thank you.

Moderator: Thank you. The next question is on the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Thanks for the opportunity. Congratulations to you on another set of good results. My question was more with regards to the aerospace and defense segment. We are expecting a ramp up in execution for a large plan that we had onboarded sometime in the fourth quarter of last year, first quarter of this year. Will that execution, has that execution begun

firstly and secondly, if not, then that should begin in 3Q?

Jairam Sampath: Yes. So, this large business with that OEM from US, I cannot name it right now, but we have received the orders and also there was a special manufacturing setup to be made. If you ever visit Chyamaraj Nagar, we can show you that one entire building has been constructed now. So,

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Yes. So, firstly, they identified us and then second, we discussed the commercials, etc. Third, they approved our production.

Now, fourth stage is to gear up for serial production, which we expect by end of this year to start off, say, maybe Q4. And maybe it will accelerate in FY26. That's why we are saying that this might be a very large or probably single largest customer in FY26. It required a new production facility to be built, which we have done now.

Hardik Rawat: And the A&D, a large part of the A&D revenue, I am assuming, is going to come from this client?

Jairam Sampath: So, at this point in time, yes. But then in the other areas, you know, strategic electronics also, a lot of government is contemplating on showing up its defense systems and so on. So, there is a good amount of electronics there and we have been approved by most of the people. So, while we don't focus too much on weapons systems, but all defensive systems, we are there, military aircrafts, we are there.

So, hopefully, Yes, FY26, you are right. But then going forward, even the strategic electronics, also, if you take ISRO's program also, I think ISRO is also gearing up to kind of become a

commercially, you know, big in the third-party satellite launch space. So, we expect the outer space also to perform. Yes. So, FY26, you are right. Aerospace will be the largest. But FY27 onward, there will be other things also coming.

Hardik Rawat: Second question is on the high-tech grid.

Moderator: Sorry to interrupt, sir. Please fall back in the queue for more questions. All right. Thank you.

The next question is from the line of Bharat Shah from Ask Investment Managers. Please go ahead.

Bharat Shah: You, Rameshji, had mentioned that general flow of the orders and perception seems to give a view that the business for next two, three years is kind of covered up and is something that you reasonably feel confident about. What I want to know is, therefore, from about INR3,000 crore of business that we will do in 2024-2025? In how many years you believe the business can triple based on the various segments that we are in and the perception of the kind of inquiries and orders which may potentially come by?

Ramesh Kannan: Firstly, good morning, sir, and Happy Diwali to you.

Bharat Shah: Happy Diwali. Shubh Diwali.

Ramesh Kannan: Sir, now, while the confidence comes from the lifetime order which I've got, let us say if Airbus is coming out with a model, they will normally give me a lifetime order of around six, seven years, plus there will be thereafter another six, seven years for spares and service. So, when it comes to automobile model, again the same story.

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So, using that is what I am computing and telling two to three years. When I say two to three years, I had committed, if you remember, I had committed on the day we got listed that we will be doing a billion dollar by FY'28. And so far, as per plan, we are fully ready for that.

And I feel whatever you ask me as three times of my current plus minus, FY '29, we should be there. And it is very clear in the drawing board, all the orders are getting booked, whatever we wanted. So, I've only considered my lifetime orders of products. I hope it is clear.

Bharat Shah: That's very helpful. My second point that I wanted to understand, at the end of the day, our business is B2B. And these are for specific orders, specific projects that the custom

ers may have.

Some part of it may have a little longer-term visibility, like you described, some of the segments like auto and aero and others, where there may be a little longer term six, seven-year visibility. But how much, not all the orders and not all segments are of those type. So, how do we get organic view or granular view of the business that how much of the business we can reasonably feel will kind of sustain and will have replication?

And by replication, I don't mean just this amount of the business that you do, but with the growth over the period of time, and how much of it is kind of one time or short-term fulfilment, which may or may not occur. In other words, how do we see replicability on a long-term basis of our business, or at some point, we suddenly hit a peak and fall off the cliff? Is that something that you would worry about, given the kind of businesses that you are in?

Jairam Sampath: Bharatji, good morning. This is Jairam Sampath here, very nice to talk to you. I would like to take up this question. It's also my favourite topic. Now, see, fundamentally what, right now, the driving plank is the import substitution that is happening. And there are billions of dollars, close to about INR25 billion, which country imports.

And we do believe that at least half of it is worthy of doing here. The other half, let's say INR12- INR13 billion dollars, will still probably eventually get imported in various equipment for various reasons, could be logistical, could be technology, could be some political reason, and so on.

So this INR12, INR13 billion dollars is enough to scale up companies like us and a few other companies, at least in the short run, the medium term, five to 10 years' time frame, all of us, companies who apply themselves to the task will go up. Now, what happens thereafter? So typically, the Indian electronics, if you see, the total electronic grows at about 8%-9%. And as the incomes grow up, maybe there'll be an increase in that, but that increase will be more towards maybe the consumer side, maybe there'll be more devices purchased, maybe more appliances purchased, and so on.

So we think that a 10% growth will certainly happen on the basic business. And as we catch up to the import substitution bandwagon, so what will happen is there'll always be additional

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requirement that keeps coming in. And so there could be two, three effects on this, we have to consider. One is a technology effect.

Over time, what will happen is that they will - the nature of the electronics, even though it is B2B, it is for certain projects, etc., but electronics are getting redesigned and redefined also in their purpose and so on. It is happening faster in the consumer area, but even in the industrial area, we do see a lot of changes that are happening.

People are repurposing electronics, they are also combining circuits together, converting that into a chipsets and so on. So we think that there's a technological impact on the business. And the second impact will also be in terms of people who have these facilities together, like us. So we are also gearing up for the OSAT, as well as the High Density Interconnection Board, because we believe that those two are required for us to get into further higher-tech area. So we are in one kind of high-tech area, which is, I would say, mid-range high-tech area.

The most complex boards that we do, while we are confident of doing any product, there are certain electronics which are still not a big portion of our portfolio, which we will probably come across once we have the other capabilities too, namely, which is making assembly of chips and also high-density boards.

So we think that we will balance out this technological impact of shrinking of electronics, etc., with our additional value creation through presence in those two sectors,

which we are now

investing now, three, four years' time frame. Plus, the import substitution itself will grow us a little bit harder.

And then, obviously, the 10% growth, if a company minds, especially in the B2B, high-tech areas, we'll probably be a premier vendor. So we think that we can probably get a larger than normal share of that particular growth. So it is not probably wrong to say that these growth rates will be sustained over a longer period, maybe even beyond the coming decade.

So that will become organic maybe once the \$12 odd billion worth of production gets done. So people like us probably will start doing about a billion or so, and there'll be other people, etc. So we are looking at a time frame of 5 to 10 years' time frame, sir, when we start seeing organic growth in this business.

And like I described to you, companies which are ready will continue to grow at the same pace as they have grown before, which is like 50%, 40%, those kinds of good numbers. So up to 10 years, everybody will grow. After 10 years, those who are ready will probably grow better. I hope I've thrown some data on this.

Bharat Shah: In other words, you're saying the core business may grow at about 10% as it settles, and there'll be an additional layer of import substitution opportunity, which can take it further ahead. And

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third on that will be the export opportunity and specific projects, which maybe one-off would come by. And all these put together can keep us on an elevated, high growth path for a decade?

Jairam Sampath: Very, very well summarized. In addition to that, there are opportunities in the inorganic area that we don't consider inorganic as a strategy for growth, inorganic more as a synergy, in case we can acquire some customers, in case we acquire some technology, we get some geography footprint. So smaller inorganic growth also will grow the company. But you're right, sir, whatever you summarize is correct

Ramesh Kannan: Yes, your understanding is perfectly right.

Bharat Shah: Sure. Now, thank you. Shubh Deepavali to Rameshji, Jairamji, Savitaji, and Rajeshji as well, Sumit on the line

Jairam Sampath: Thank you, Bharat ji. Thank you so much. Thank you for attending the call.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session.

I would now like to hand the conference over to Ms. Bhoomika Nair for the closing comments.

Bhoomika Nair: Giving us an opportunity to host the call and wishing you all the very best and a Happy Diwali as also to all the participants. Thank you very much, sir.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

Website: www.kaynestechcs.com Email ID: kaynestechcs@kaynestechcs.com

H.O & Regd Office : 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 57001 6, Karnataka, India

Telephone No: +91 8212582595

February 01, 2025

BSE Ltd.

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Scrip Code – 543664 National Stock Exchange of India Ltd.

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex,

Bandra (E),

Mumbai - 400 051

Scrip Symbol – KAYNES

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript for Q3 FY 2024 - 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the link for the transcript of the Q3 FY 2024-2025 Earnings Call, conducted on January 28, 2025 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechcs.com/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2028.01.2025.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,

For Kaynes Technology India Limited.

Jairam Paravastu Sampath

Whole-Time Director & CFO

DIN: 08064368

Enclosed:

- Transcript of the earnings call

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"Kaynes Technology India Limited
Q3 FY 25 Earnings Conference Call "
January 28, 2025

MANAGEMENT : M RS. SAVITHA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
M R. RAMESH KANNAN – MANAGING DIRECTOR –
KAYNES TECHNOLOGY INDIA LIMITED
M R. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
M R. JAIRAM P SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
M R. SUMIT VERMA – INVESTOR RELATIONS – KAYNES
TECHNOLOGY INDIA LIMITED
O RIENT CAPITAL TEAM – INVESTOR RELATIONS
PARTNERS – KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : M S. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kaynes Technology' s Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the c onference call, please signal an operator by pressing star then zero on your touch-tone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capita l Advisors Limited.
Thank you, and over to you, Ma'am.

Bhoomika Nair: Yes. Good morning, everyone, and a warm welcome to the Q3 FY'2 5 Earnings Call of Kaynes Technology. We have the management today being represented by Ms. Savitha Ramesh, Chairperson; Mr. Ramesh Kannan, Managing Director; Mr. Jairam P. Sampath , Whole-Time Director and CFO; and Mr. Rajesh Sharma, Chief Executive Officer.

At this point, I'll hand over the floor to Mr. Kannan for his initial rem arks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Ramesh Kannan: Good morning, everyone. On behalf of Kaynes Technology team, I would like to welcome everyone to this earnings call for quarter 3 FY '25 results. I hav e along with me Mrs. Savitha Ramesh, Chairperson of our Board; Mr. Jairam Sampath, Whole-Time Director a nd CFO; Mr. Rajesh Sharma, CEO; Mr. Sumit Verma, Investor Relations; and Orient Capital, ou r Investor Relations partner.

I am pleased to inform you all that we have been able to achieve an operating revenue of INR17,373 million during the first 3 quarters of the year FY '25, which represents a strong growth of 49% year-on-year. The operational EBITDA margin, excludi ng other income for the first 3 quarters of the year FY '25, was at 14.2% and PAT margin was at 1 0.1%, which were higher by 50 basis points and 120 basis points, respectively, on year- on-year basis.

Coming to our performance for quarter ended Q3 FY '25. Our total rev enue was INR6,612 million, which signifies a growth of 30% on year-on-year basis. Ou r Q3 FY '25 operational EBITDA was INR940 million at 14.2%, signifying an increase in EBITDA of 50 basis points over corresponding quarter of last year. Similarly, the PAT was INR665 mil lion at 10.1%, signifying an increase in PAT percentage of 120 basis points over corres ponding quarter of last year.

In the coming quarter of this year, we expect to pick up the revenu e growth rates such that the annual operating revenue growth would exceed 55% on year-on -year basis and an expansion in terms of profitability for year FY '25. There is a robust growth in business outlook with the order book growth in keeping with our expectation.

Our order book surged from INR54,228 million at the end of Q2 FY '25 to INR60,471 million at the end of Q3 FY '25, industrial and EV, aerospace, medical and a utomotive, where the key verticals of growth in the order book were several large orders were booke d. This is in line with Kaynes Technology India Limited

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our expectation of a robustly growing profitable and a diversified business p ortfolio. All new

initiatives are on track and speed of implementation is gearing up with revenue start target as Q4 FY '26 for both OSAT and HDI PC boards.

We have taken position of land and started construction activities of the OSAT factory at Sanand in Gujarat and of the HDI PCB factory in Oragadam in Tamil Nadu. We have made significant growth and progress in developing and onboarding the team and customers for OSAT facility. Integration of Iskraemeco India into our fold is underway and proceeding smoothly. The smart meter factory at Hyderabad is in series production and we are happy to inform you that several lakhs of meters have been supplied and robust and growing order book makes it mandatory to

increase capacities, which we are working on vigorously.

We have acquired majority stake in an AI-based railway network safety solution company, called Sensonic, which operates globally. We believe in fostering a diverse and inclusive workplace. We are proud to have a significant number of women on our team. And now we have a couple of our large factories headed by women team members. Our success is a direct result of our team's hard work and our customers' loyalty. The enduring relationships we have built demonstrate our commitment to delivering exceptional value.

As we go forward towards our cherished goal of growing our revenues at a high CAGR, thereby becoming a large, fully integrated ESDM company. We are working on strategies to operationalize additional beachheads in terms of geographical presence, ODM capability and deepening of our technology footprints. These are critical initiatives that will take us from -- from millions of U.S. dollar revenues to billions of U.S. dollar profitability in the future.

With this, I would like to sincerely thank each and every one of our excellent investors for their encouragement so far in our journey and expect continuing support in the future too. Thank you all once again, and we look forward to exciting times ahead.

I will now hand over the call to Jairam Sampath to take you through our financial performance. Thank you. Jairam, over to you.

Jairam Sampath: Thank you, Ramesh Kannan. And first of all, thanks to all the participants for joining today's call. As we start the new quarter, I'm happy to share Kaynes Technology's financial results for the period ending Q3 FY '25 and share with you the highlights of the same.

For the first 3 quarters on FY '25, we have been able to achieve a revenue of about INR17,373 million, which represents a strong growth of 49% year-on-year. The operational EBITDA stood at INR2,431 million with a year-on-year growth of 53%.

For Q3 FY '25 consolidated total revenues were INR6,612 million, representing 30% year-on-year, and consolidated EBITDA for the quarter was INR940 million, showing a 35% increase in the year-on-year. The EBITDA margin for the quarter stood at 14.2%. Our consolidated PAT
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for the quarter was INR665 million, up by 47% year-on-year and PAT margin for the quarter stood at 10.1%. Consequently, our ROE and ROCE adjusted for unutilized portions of proceeds is at 17.3% and 17.7%, respectively, for the first 3 quarters of FY '25.

Our order book surged from INR54,228 million at the end of Q2 FY '25 to INR60,471 million at the end of Q3 FY '25. We have monthly order inflow grew from INR3,188 million in Q2 FY '25 to INR4,285 million in Q3 FY '25.

Net working capital days at the end of December quarter was 107 days, which is smaller than the previous year same quarter figure of 117 days. Our inventory days was 117 as we have made advanced purchases, keeping in mind the requirements of the upcoming quarters as we plan to execute revenue as per the expectations in FY '25.

With the expected ramp up of our revenues in the coming quarter of FY '25, we are confident of making good improvements in the average net working capital days for the end of year FY '25. Our OSAT project is underway in Sanand, Gujarat following government approvals for capital subsidy. We have provided regular updates on the construction progress, we'll provide -- having completed the ground-breaking other developments already. We've also secured government approval for our HDI PC board project in Tamil Nadu, and we'll be sharing updates on that as well. Both projects are -- will start yielding significant revenues from the Q4 of FY '26 as planned.

Before I end the call, I would like to thank DAM Capital for hosting this earnings call, and we'd like to thank all the participants for

committing their valuable time for attending this call.

Now I leave the floor open for questions. Thank you.

Moderator: Thank you very much. The first question is from the line of Sanidhya from Unicorn Assets. Please go ahead.

Sanidhya: Good set of numbers. So first question would be on the margins front. So what makes us

confident that going forward, we will have a better margin in terms of net margins as well as the operating margins? So if we see that regularly going forward, our expenses would definitely increase based on our new contracts with the clients that we are acquiring as well as the new talent that we need to acquire for the purpose and also our interest costs and other depreciations would also increase. So what makes us confident?

Jairam Sampath: Yes. So thank you for this question. So essentially, the margins have 2 drivers. One driver is, of course, the gross margins, which is depending on blend of business. And as we talked about it during our Managing Director's initial remarks, the order inflow has been in the areas like industrial, aerospace, IT, medical, etcetera. So those are high-yielding areas. So that pushes up the gross margins better than what has happened in the past.

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The other source of margins is also the operating leverage, which has actually deleveraged in the last quarter, but we've added newer teams. We are adding newer teams into our fold, mainly we had an acquisition in the U.S., we had some acquisitions in India and so on and so forth. So these teams revenue will start ramping up from the fourth quarter onwards. So we'll start seeing some better operating leverage to coming up. So we are confident that our EBITDA margins will definitely be better than what we had projected. And for the year, we are confident of exceeding 15% EBITDA based on these 2 trends.

As far as the employee cost is concerned, I have already broadly explained to you the construct because we have onboarded newer businesses. And there, the costs have kicked in, but the revenues yet to kick in, and that's likely to happen in the fourth quarter. So we are confident that this -- from now on, you'll start seeing some better operating leverage with the revenues going up.

Sanidhya: You want to highlight some -- share some highlights on what are the bifurcations in terms of order book? Or should we assume that the...

Jairam Sampath: No, I can tell you broad -- I'm not at liberty to share exact numbers, but our order books have significantly come in the area of aerospace and defense, the smart meters, then automotive, especially exports and the medical and then IT. And these are large orders, each order is in excess of -- each of them is in excess of INR300 crores to INR500 crores execution. Of course, execution is spread over a time frame, depending on the kind of business that we do with them.

Moderator: Sorry to interrupt Mr. Sanidhya, I would request you to rejoin the queue for your follow-up question. The next question is from the line of Ankur from HDFC Life.

Ankur: Two questions. One was on the Rail segment, where we see this decline both 9 months and also for the quarter. So if you could just help us understand what's the reason behind that? I would assume there's been some delays and offtakes there. So if you could just help us what's happening on the rail side.

And similarly, on the industrial business, also, if I understand right, there were some delays on shipments of smart meters. So if you could just help us understand, is that a one-off or what's really happening there? And how are we seeing Q4?

Ramesh Kannan: JPS, I will take this question. Ramesh here. So what is happening is the impact of earlier delays of ordering and then projects went on slow during election time is being seen slowly in the last quarter. And in the coming quarter, I'm sure it will get picked

up, but definitely, in the next 2

quarters because order inflow has increased. So that is a pattern of expansions are happening. But earlier, there was a slowdown. But at that time, we had enough projects under approval stage and completion stage, so we could ship it out. Today, there is -- offtake has come down slowly.

Then in our meter side also, we are new company. We have just started manufacturing. So there are some small delays in the factory doing productions and then shipments going out and all. So

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these are all one-off cases. It will catch up in the next 2 quarters, this quarter and the coming quarter. Hope, I have answered your question.

Ankur: Sure. I get it. So now that with orders picking up, execution will also start picking up and...

Ramesh Kannan: Exactly. If you see my order book has really grown up. So this is a one-off case only.

Moderator: The next question is from the line of Dhananjai from ASK Investment Managers.

Dhananjai: Sir, I wanted to understand, apart from automotive and industrial, how are we looking at the other segment scale up in terms of medical, IoT? How are they scaling up? And (b), regarding our capex for the next few projects, how would the IRRs look on those because there would be some mismatch in terms of payment and collection from the government for the same, right?

Jairam Sampath: Yes. So Dhananjai, so broadly, you're looking at the order inflow from the non-traditional sectors that is things like medical, etcetera. So I'm happy to tell you that in medical, we have acquired a large client and we are having successive RFQs coming in. And so this is a European-based company, which has acquired some companies in the U.S. too. And so these are large businesses. We were lacking this large client deal in medical, which has been fulfilled. On the IoT and IT front, the business is coming as we expected. One of the largest government customers is with us, and we are likely to see some good expansion in this business in the coming year too. In terms of -- if I understand correctly, you're talking about government support and subsidies, etcetera. We don't depend so much on production-linked incentives at this point in time. Of course, we do get some benefit in the IT sector as we are PLI holders there. But our help comes more in the capital subsidy front, and we have seen absolutely no trouble in terms of getting our papers through, etcetera.

And since we got our semicon assembly approvals a tad later, that is post-election, so the process has got maybe delayed about 2, 3 months, but then that has nothing to do with the government's process. And we find that all the agreements and processing, etcetera is pretty much on time. So we don't expect any major delays in the capital subsidy front as of now.

Dhananjai: Sir, but there would be a mismatch, we will have to do a capex first and then the capital subsidy would come in later. Is that correct understanding?

Jairam Sampath: Yes. So there are 2 different projects. There is a project in semicon, wherein there is a capital subsidy from the central government, it's about 50%, and it comes in *pari passu*, that means comes in advance of investment. As soon as we put in money, government also puts in money.

There is a small portion, which is 20%, 25%, which is state government, which comes post commencement of operations. So that is somewhat like a reinvestment, but that's also a cash subsidy only. So the delay is only in the first series of implementation of capex. And thereafter, Kaynes Technology India Limited

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it's a cyclical. So central government subsidy in semicon comes in advance and the state government subsidy comes as a post of commencement of operation.

As far as the PC board is concerned, both of them are linked to commencement of operation, which is

like 9 months from the start of projects, typically. And so both central government and state government subsidies will come in 9 months. So we manage the, let's say, implementation projects through our equity and some small amount of debt that we will take and which will be kind of paid back by these government subsidies that come in post commencement of operation, which is like a 9-month delay, basically.

Dhananjai: Okay. There will be a delay. And sir, finally, just how much capex are we going to do over the next 2 years? And could you break it up by segments, so we have an idea?

Jairam Sampath: Yes. So as far as the EMS business is concerned, I think it's a kind of self-funded now, and we expect at least capex anywhere between the range of INR200 crores, INR300 crores per annum coming in because that has to help in terms of doing the additional volumes that we expect in the FY '26 and '27, etcetera.

As far as the capex for semicon is concerned, the total capex is about INR3,300 crores, out of which 70%, 75% comes from central and state government, remaining is our equity, and so that's semicon. And then that will probably get consumed by FY '28-'29 time frame. And similarly, for HDI PC board, we have a capex of about INR1,400 crores. And that is also will consume fully by about FY '28-'29. And here also close to about 50%, 60% is the state and central government's share in terms of capital subsidy. The remaining is what we put up.

So over the next -- almost INR4,800 crores of capex is likely to be coming up till about FY '28-'29, starting from this year, in the newer projects, which is the semicon assembly as well as PC board. But the bulk of it is -- in terms of 60% to 70% is -- 60% to 75% is about government subsidy. So the cash outflow from the company will be much lower.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first question is on the smart meter side. We have seen a couple of new states also sort of giving orders, I think Bihar and Rajasthan. So if you can just guide us about order book in smart meters, how much are we planning to execute over the next 1 year, if you have got anything more?

And second is, basically on this guidance cut also for this year, is it more of pushback to next year because you said that you're going to catch up the lost cut of revenues in the current quarter in a couple of -- in the coming quarters. So some sense there, the reason for the cut and how should we think about next year?

Jairam Sampath: Yes. Thank you, Siddharthaji. See, fundamentally, let me answer the second question first. So this guidance cut is more like time frame is not available. See first 2 quarters, we probably should Kaynes Technology India Limited

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have done a little more in -- in a regular year, we should have done more in the railways and all those sectors, which obviously due to elections, etcetera, got tad delayed.

And as we now move -- we have completed 3 quarters and pretty much very near the year-end, right, January is almost complete now. So we find that physical time availability for the execution of all those orders, it will be putting too much pressure into the system, trying to maintain the original number. So the order still remain on our book. If you see the order increase is there every month, INR415 crores, INR420 crores per month of order inflow compared to INR360-odd crores last quarter, which is a significant increase. So these will get executed. It's a continuum, right? So we continue to execute this quarter, that is last quarter of this year and next quarter, too.

The other question that you had on the smart meter, we started getting -- of course, I'm not at liberty to tell you exactly where, but we -- earlier, we started with mainly PGCIL-based orders. And now 3 more states' orders have been added and also some AML SPs orders al

so have been

added. So these have been -- so let's say, 4 new set of large orders have been added post acquisition of Iskraemeco. And we can definitely, on our next running 12-month period, do almost INR1,000 crores kind of number in the smart meters alone, that's a clear possibility. Let's see where we get there.

Siddhartha Bera: Understood, sir. And in the other segments like probably aerospace as well as railways, I think the execution has been a lot slower. So we were expecting some stronger ramp up in the next year in FY '26. So some thought process there, where are we in terms of the execution and seeing the benefits in the order book and revenues?

Jairam Sampath: Yes. So as far as aerospace is concerned, now we have secured orders and aerospace, I think, is coming back to its expected numbers. So we can get to a larger number on an annual basis.

Maybe in FY '26, we can expect some significantly higher numbers than what we have seen in the past.

As far as railway is concerned, I think we're just starting up. This quarter, we have cited some orders, and I'm sure post budget, which is going to be announced sometime in a short while, so post that we will get clarity on exactly when the government plans spend. But it's our expectation that next 4 years' time frame, I think with all the election troubles and all the other U.S. trouble is also behind us, hopefully, government will get on to its job of infrastructure building.

And then railway is a key part. It's almost got delayed by 2 years now. And so we expect in FY '26 also significant resurgence in our railway business too. With also our Kavach program coming in, so this year, we will complete the POC and next year, we'll probably start delivering revenues on Kavach too.

Ramesh Kannan: As far as -- no, one minute, I also wanted to add on this. As far as aerospace orders are concerned, we are well within what we have projected, and you will see a real good remarkable execution in the year '26 onwards.

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Moderator: The next question is from the line of Rahul from Haitong Securities Private Limited.

Rahul: Many of my questions are answered. I just have 2 small clarifications. One, if you are confident, I mean, in your guidance, you've indicated of 15% margin. This gross margin of 30%, you're confident of that number also or that will be volatile based on the mix?

Jairam Sampath: Actually -- yes, Rahulji, thank you for your question. So like I said, the profitability get determined mainly is gross margin and then operating leverage. So the good news is that this year, we have come back towards the kind of gross margins that we normally deliver in our business. And that is based on the blend of business, which is based on the order book of about INR6,000 crores.

So it won't materially change all of a sudden. It will slowly improve with more and more orders coming in the higher-yielding sectors. They could be medical. They could be aerospace, railways and all of these kinds of industrial, etcetera, etcetera. So you can see stability in the margin, if not an improvement, gross margin levels.

Ramesh Kannan: Yes. Our team exercises orders only within whatever our range of orders. So our gross margin will be upward north of 30-plus.

Rahul: Okay. The second question is in your order book, which -- where we've seen a significant jump.

Can you tell us how much is export? And if possible, the U.S. share, if there is anything that you all are doing for the U.S. market?

Jairam Sampath: There is -- okay, these are international exports, part of it could be U.S. So roughly in a INR6,000

crores order book, recently, we've got about INR800 crores worth of exports locked in, which is in addition to whatever earlier 10%, 15% used to be exports. So you can see in the order book perspective, also it's increasing. And next year, by fourth quarter, the

other 2 businesses, which

is PC board and semicon assembly is also start-up, which will primarily have exports. So from that perspective, next year for FY '26, you can expect 20%, 25% of business being export.

Moderator: The next question is from the line of Renu Pugalía from IIFL Securities .

Renu Pugalía: Just 2 short questions. One on the revenue guidance, just want to -- on the annual guidance, I just want to reiterate, you mentioned 15% margins, that's for the quarter or on an annualized basis for the full financial year?

Jairam Sampath: Yes. So revenue guidance will be somewhere between INR2,800 crores and INR2,900 crores. And the margins will be 15% plus for the year.

Renu Pugalía: For the year. And basis, your comments on the mix of order book, do you think these margin profiles are comfortable and maintainable in the next fiscal year as well going ahead?

Jairam Sampath: Yes, yes, they are imminently feasible based on whatever orders have been set for execution. We also completed 1 month. So we are quite confident what we are saying now.

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Ramesh Kannan: We have done our sensitivity analysis, and it is very clear that we will have this margin.

Renu Pugalía: Perfect. Secondly would be on the QIP. There are quite a few queries here. Recently, there were some announcements. So can you help us understand what are the kind of funding requirements we have for the business? And to what extent these will be met through the external funding that we are planning? And any time lines do we have for these external funding?

Jairam Sampath: Yes. So Renuji, basically, we are right now getting an approval from EGM, so that we can execute the QIP in a short, let's say, time frame. The QIP essentially is being done for the future in mind and not for the current businesses. Current businesses like ES DM, semicon assembly and PC board assembly, they are now funded enough for next, let's say, up to about FY '28-'29 time frame. And then thereafter, we will look at -- and some of it will start turning in cash and then they probably will be on their own growth path.

So this -- as far as this potential QIP that we talked about is concerned, is to help our strategy. There are three-pronged strategy that we have, which is in aid of preparing for future. So come FY '28, we have a nice target of about \$1 billion, etcetera. But beyond that to grow we needed additional beachhead. So first is the geographical beachhead.

That means we want to extend our footprint into bigger geographies like U.S., etcetera, North America, so -- and that's not possible by organic growth and starting up. So we need to acquire some good companies with reasonable profitability and similar businesses and maybe a good price point. So that is one use for the funds that we are talking about.

The other one, of course, we have worded the entire QIP in a generic form, but inorganic acquisition and those kinds of things are some of the major, let's say, uses. The other uses could be something like an ODM. We are enthused by investment into companies like Sensonic, etcetera. So that opens out the whole new range of solutions for us, where rein design becomes our key focus area, and that helps us to shore up the margins also. So as part of growth, we have geography. As part of margins, we have ODM.

And the third one is we also believe that in the areas such as, say, semicon and all other areas, we should also have some technology footprint deepening. That means we should be in a position to strengthen our credentials in certain niche areas, which are -- now we are getting access to.

And so you'll be happy to know that in the newer areas like high-density PC board and the semicon assembly, we've been able to, let's say, in advanced talks with some very good clients. And so it's even better than what we thought earlier. So in that thing, we

need to also extend

that, let's say, trend and make some inorganic investments in areas which can strengthen our credentials in those new technology areas.

So our QIP, with the potential QIP, is going to be used for strategically shoring up, A, additional geographies, which could be North America, Europe and South Asia; B, it could be ODM; and C, it could be technology footprint deepening.

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Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for a good set of numbers. I have 2 questions. One is on broad macroeconomic environment. So our company caters to various end industries like auto industrial, aerospace, including railways and semiconductor as well. Can you please honestly guide on like based on whatever discussions happening with the respective ministries like we all know that it's all capex story.

And we all know our government is expected to play a great role here. So do you see budget cut at their end? Or are they looking to take back step here and mobilizing the funds from growth of the nation to any other area? Or are they looking to do it to control the fiscal deficit? So what's your take on this?

Jairam Sampath: Yes. So there are 2 parts to your question, I think. One part is on the commitment of money in terms of subsidiaries, etcetera. So those are done and dusted through government orders already. So we don't see any variance in that. As far as government purchases are concerned, I think there have been sectors which have been carved out of these purchases while they were very important for the country like safety of railway network, improvements in the power infrastructure, telecom and all of that.

And so we think that over the next 4-year time frame, government will definitely make steps to make these investments come through. And as is the government's policy of Atmanirbhar Bharat, they are going to give prominence and they're going to give preference to Indian companies to do both design and manufacturing.

So we think that, that augurs well for all of us. So our take is that government will get back into this entire infrastructure push and especially which requires electronic components like the 3 areas that I mentioned. And also the other area of which our Honorable Prime Minister has also mentioned of using more and more PARAM Rudra to the supercomputer-based server to improve the, let's say, technical capabilities of our R&D science and administration networks.

Garvit Goyal: So in the upcoming budget, you are very much posting towards our end industries, right?

Jairam Sampath: If I understand the sense of the question, in the current budget, we will see some beginnings of government's intention towards investing into electronic infrastructure in many areas.

Garvit Goyal: Understood. Understood. And sir, like China has unveiled DeepSeek, right, a new AI that is more efficient and cost effective as well as compared to the existing GPTs and we are also like entering to the chip manufacturing. So is it going to in any way impact our plans or our projections in the terms of lower chip prices going ahead?

Jairam Sampath: So as far as the semiconductor manufacturing is concerned, we work with a global supply chain. So most of our customers are also global. So most customers have presence in manufacturing in Taiwan, China and Malaysia, Thailand, U.S., etcetera. So we don't see any changes in that.

However, the implication of DeepSeek, the way it has been construed is from a different

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perspective than manufacturing. I think it's more in terms of technological leadership and security-related concerns that countries seem to have.

But it's -- of course, we really don't know which way this will pan out, but I don't think it will change the landscape of manufacturing as such. We'll still require good advanced packaging

capabilities and India would still require capacities in semiconductor manufacturing, PC boards, etcetera. And like I made the initial remarks, we talked about -- we have now cited good customers who are now talking to us in terms of fine-tuning the capex so that they can give us the orders, etcetera.

So from a manufacturing perspective, it will only improve the amount of, let's say, technology production. Yes, from political and other constructs, it may cause some little, let's say, anxiety in the short term.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: I just wanted to sort of understand how much of -- so we've sort of given a revenue guidance of INR4,500 crores for next year in one of the television interviews. Just wanted to sort of understand, does that include any of these future M&A that you are sort of thinking of? And this related part two that is what is sort of the revenue potential that we are seeing from some of these M&As and tuck-in acquisitions that we sort of announced?

Jairam Sampath: Yes. So whatever projections we talked about for FY '26, right now it does not have any of the acquisitions, etcetera, because we have not earmarked for these acquisitions. We have some, let's say, in the pipeline, we are evaluating them, okay? So we are talking about our existing ESDM business plus PC board business and plus semiconductor business, yielding revenues and then going to whatever number that we talked about. So these -- also the profitability projections and everything else is also based on the existing set of projects and business.

Deepak Krishnan: Sure, sir. And maybe just wanted to sort of understand, obviously, we've sort of seen a minor deferral this particular quarter, largely linked to smart meters and some of those products. But

anything else that we have kind of seen from a hiccup perspective, given that we've expanded rapidly from isolated Chamarajanagar now to Hyderabad and all these new facilities. From a capability perspective, how are we sort of positioned that in terms of team, in terms of size such that these kind of hiccups, there is a lower probability of that sort of happening in the future?

Jairam Sampath: Yes. So Deepakji, we must, first of all, understand that this production and all of these things are continuum, right? So we set up capacity. We expect them to fire up a little earlier. Sometimes it takes a little longer, especially if there are significantly different, let's say, larger capacity like Hyderabad factory was a new factory. And so a lots -- now, of course, this is running full steam. It took a little bit of time when you implement a new factory. So these kind of hiccups will happen probably in the future too, but they will not be significant in nature to, let's say, change the cumulative business potential or cumulative business delivery.

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So yes, maybe 1 quarter, some little less and 1 quarter a little more will be there, but that's the nature of how expansion happens. Like now we're going to have semiconductor assembly coming in. So now we are taking lessons from the previous new projects to see to it that we don't get into similar situations and delay our revenue delivery. So we are kind of pulling in a little bit the plans for revenue delivery in semiconductor and in PC board, etcetera. So that even if there is a practical delay, it does not affect the commitment to our customers or market success.

So we are taking those lessons and building in some little buffers. But this is a continuum. So if you miss something now, it continues and it gets delivered later. So yes, there will be, obviously, as we go along, challenges in execution. But now we have also onboarded a lot of people. You will notice

that employee costs have gone up and so on. So we have onboarded newer companies, new top management, new, let's say, technical management, etcetera. So we are honestly looking at making sure that we have enough of bandwidth in the manpower so that we can address all of these emerging businesses.

Moderator: The next question is from the line of Bharat from ASK Investment Managers.

Bharat: For the current year, when you talk about margins exceeding 15 %, I suppose you mean operating margins without counting other income, right?

Jairam Sampath: Yes, sir. This is just your operating EBITDA.

Bharat: So other income is in addition to that?

Jairam Sampath: Yes, other income will be in addition to that because that is -- does not require us to do anything, so yes.

Bharat: And over recent quarters, our other income seems to have increased sharply. So anything special there?

Jairam Sampath: No, sir. Actually, when the year-on-year basis, if you see, so the last year, same quarter, we had not got the QIP proceeds. This year, we have the QIP proceeds. So whatever income comes out of unused QIP proceeds is showing up as other income here, essentially. Otherwise, there's nothing different. So operating income also has shown an increase, at least I think if I recall correctly, about 40 basis points compared to last year.

So that, of course, the operating income increase is driven by gross margin increase. And of course, we had a little bit of increase in employee costs and other costs. But despite that, we are able to deliver and then maybe next quarter onwards, this will also get leveraged. So hopefully, we'll be able to do this 15% plus of operating EBITDA for the whole year.

Bharat: And for the years of '25-'26, we are talking of operating margins without other income of 16%?

Jairam Sampath: Yes, that's the target, 15% minimum, 15% is the standard margin that we talked about. We are hoping that some more leverage of expenses will happen. And so some percentage of expenses

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will come down because all of these new businesses that we have acquired will start also firing up on revenues. So yes, we are thinking of between 15% and 16% of EBITDA, which is on operating income basis.

Moderator: The next question is from the line of Akshay from CD Integrated Services Limited.

Akshay: Sir, my first question is regarding the electric vehicles. So this year, EV models is expected to surpass the ICE models. And we have seen many new launches of the EVs in the Bharat Expo as well. So how do we see our EV business picking up in the FY '26 and in the coming years?

Jairam Sampath: Sorry, I didn't get it clearly. Can you just repeat the gist of your question please, if you don't mind?

Akshay: Is it better now?

Jairam Sampath: Yes, better, sir. Kindly repeat, sorry I couldn't get it.

Akshay: Yes, yes, yes, not an issue. Sir, I just wanted to ask about the EV. So in Bharat Expo, we have seen many new model launches in the EV and it is expected to surpass ICE model. So how do we see our EV business picking up? And can you give us some color on our customer fronts as well?

Jairam Sampath: Excellent, excellent. So basically, EV business, of course, 1 year ago -- 1, 1.5 years ago, we used to do only four-wheeler EV. Last year, we added two-wheelers. So now we have added three-wheeler EVs too and also EV infrastructure chargers, etcetera and some EV components. So what we have done as a company is that we have added a richer portfolio of EV production into our fold, and -- so we are ready to deal with whatever orders that they are there.

Obviously, as we go forward, EV business will depend on marketplace, maybe the two-wheeler is already stabilized, and it's getting into some kind of a regular business. Four-wheeler, of course, a lot of experimentation, a lot of new models coming in. And infrastructure, yes, it's o

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there, significant investments probably will be made in the coming years. So we are geared up to deliver whatever EV business requires both in terms of two-wheeler, four-wheeler, components and infrastructure. So we have clients in each of these areas. So whichever fires up, I think we stand to benefit.

Akshay: Okay, sir. And sir, my second question is regarding the OSAT facility. So how confident we are to commercialize our OSAT facility in Sanand from the half 2 of FY '26? And a follow-up on that would be that margins we have said earlier, we have said that OSAT facilities margin would be higher in excess of 20%. So can our blended margin, what we have guided for 15% can be that increased in FY '26 and the ongoing FY '27, FY '28?

Jairam Sampath: Yes. So I'll answer your second question first. The blended margins in FY '26 will not be significantly altered because only fourth quarter we will kick in. And also the initial stage of production, we may not be able to maximize the margins. But yes, going forward FY '27, '28, Kaynes Technology India Limited
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etcetera, our margins will be significantly higher in the OSAT area, which we have mentioned, will be similar or even better.

So as far as the project progress is concerned, we have already acquired the land. Bhumi puja is done. Development is happening right now. And maybe the first building is under construction. So probably by the first half of next year, we should have the factory running, and we also want to target to kind of onboard some customers by that. But our real revenues will start in the fourth quarter of FY '26.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited.

Keyur Pandya: Sir, just one accounting question. So what is the cash flow from operations for 9 months? And related question is that the kind of growth guidance that you are giving for core business, INR4,500 crores of revenue next year, that incremental INR1,500 crores of revenue would require ballpark INR500 crores of working capital requirement. So I mean, looking at our balance sheet from net cash to net debt because of our growth journey, so how this net cash, net debt position and OCF would look, say, in FY '26?

Jairam Sampath: So firstly, FY '25 itself, we had earlier talked about an OCF which was a significant portion of our EBITDA supposed to be. For some reason, up to third quarter, we have not been able to, but I'm confident that by fourth quarter, we will have definitely positive cash flows. OCF will be certainly positive.

How much percentage of EBITDA will be OCF positive, we will have to see depending on how the working capital numbers fall in. So we had also projected an increase in net working capital days from last year's 85 days to average net working capital to a smaller number. We are attempting to do that. I don't know exactly how -- where we will reach, how much, let's say, money will get speed up by reducing the net working capital because also next year's numbers have to be done and so there will be some, let's say, pressure towards increasing inventory for April, May, June execution, etcetera.

But having said all of these things, see fundamentally for the FY '25-'26, if you were to look at, the additional revenues, at least 2/3 of it comes from our business in EMS business and then maybe 1/3 or less than 1/3, a little more than 3/4 and 1/4, let's say, additional comes from newer businesses and 3/4 comes from the existing businesses. And so they would require some additional, let's say, working capital support.

So we are going to make sure that we work with our suppliers. Already we have talked to them. This program is a bit, let's say, delayed right now. We probably should have done it by now, but anyway, it is taking some time to keep local stock so that our inventory days can be controlled so that we

don't have to invest so much into working capital.

Second thing is we're also talking to many customers in terms of recourse- less financing from their side. So they also have strong balance sheets and so on. So with these together, hopefully, Kaynes Technology India Limited
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next year, we may not have -- we have less than proportional increase in our borrowings, etcetera, and make sure that we are able to improve the ROCE much better than what we have this year.

Keyur Pandya: Okay. Just one follow-up. These 2 projects, PCB and OSATs are part of investment by what -- I mean, what are the time lines for, say, deployment of cash for, say, FY -- I mean, by what time you will deploy entire planned capex for these 2 projects?

Jairam Sampath: Yes. So the total -- let me take the semicon project first. For semicon project, total capex is INR3,300 crores. And as we said, barring some land and building, etcetera -- land, building and certain types of these things, there's an eligible capex. And out of that, central government gives 50% and state government between 20% and 25%. We're discussing with them about 25%, but at least 20% will be there.

So 70% of the eligible capex comes from the central government -- from the government. And the central government's share of 50% comes on pari-passu basis, which is like in advance of the expenditure. The 20% or 25% of the state government comes in as reimbursement post commencement of operation. So that comes with -- let's say, if the central government gives it today, that will likely to come between 6 to 8 months later. And so that's the way in which it will happen.

Of course, we have to bring in our equity portion along with the central government's money.

So our money, central government's subsidy act together and then 9 months -- 6 to 9 months later, the state government subsidy comes in.

As far as the PC board is concerned, there are INR1,400 crores of total capex. And we've been able to secure close to about 60%, let's say, government subsidy, both central and state put together. In this case, they are not coming in advance, but they all come within a year, and they all come on commencement of operations. So there is 6 to 9 months. So we put in our money first, our share and start getting the government's this thing after 6 to 9 months. That is commencement of operation, but they are also cash subsidies, they are not in kind.

Moderator: The next question is from the line of Aniruddha Joshi: from ICICI Securities.

Aniruddha Joshi: Congrats for good set of numbers. Sir, if we look at the guidance of INR2,800 crores and 9 months results versus last year Q4, so we are looking at roughly 67% to 70% revenue growth in Q4 and to maintain 15% margin for the full year, we are looking at a 16% plus margin in Q4.

So is this understanding correct?

Jairam Sampath: Yes, it is correct.

Ramesh Kannan: You are right because we are going to -- this is Ramesh Kannan here. We are going to exercise orders of our aerospace and defense, which had actually pushed out for the last quarter. So we have calculated this. So your calculation is right.

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Aniruddha Joshi: Okay. Sure, sir. This is very helpful. And second and last question. Now we are seeing a massive amount of consumption slowdown. And in order to boost the consumption back, the government is coming out with various schemes like Ladki Bahin in Maharashtra or even in Delhi, we are seeing some promises, etcetera. So with that, do you think that there might be some slowdown in the investment-related projects as government may prioritize consumption-related themes a bit more. So any broad understanding on that will help.

Jairam Sampath: I'll just answer this question. So see, so far, we have seen a "consumption starved" market already. And so whatever revenue growth we are showing

is on the face of not very high

government investment into infrastructure and all that. So it can only go up because there are certain essential investments that government has to do, like it has to do with railway safety.

Railway is one of the primary modes of the transportation for citizens of the country. And so almost 2 years have been -- kind of 2 years have passed since government themselves made a determination that they have to upgrade 6,000 stations, and they have to put Kavach, etcetera. So we are hoping that this budget will make a beginning. So we don't see any risk. In fact, we see an acceleration. And also the other projects like telecom, etcetera will become very important for national security. As you know, the telecom infrastructure is what it is using all different types of nationalities of equipment.

And I think government has a program to make it completely indigenous-driven technology to -

- for our safety security. So the kind of areas which help us are essential areas. So even if there is a pressure, it will be non-essential areas investment that may get cut and not really essential areas, and we work on the essential areas.

Moderator: Mr. Aniruddha, does that answer your question? Due to no response, we will move on to the next question. The last question is from the line of Indrajit Agarwal from CLS A.

Indrajit Agarwal: I have a couple of questions. In the TV interview and over here also, you talked about U.S. acquisition. So just to understand what kind of ticket size, what business profile are you looking at? Is it more on the downstream or similar EMS business?

Jairam Sampath: Yes. We target low ticket size, anywhere between INR35 million to INR50 million a piece. We target companies which are similar or better in terms of profitability. And we target companies which are working in areas which are -- where we don't have ourselves a good portfolio of business. And we are also working for companies which can culturally be entwined into our own system. The basic idea is that in respective geographies, we must have footprint there itself to grow the business. So it gives us some good starting, let's say, quantum of business, which we can -- so that's the kind of criteria for acquisitions that we are talking about.

Indrajit Agarwal: Sure. My second question is at the current gross block level of the EMS business, what kind of revenue can we clock?

Jairam Sampath: So current gross clock, see, the assumption embedded in that is that post-IPO, already, I think there's still about INR40-odd crores left to be invested out of those funds. So let's say, that will

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give us this year, let's say, anywhere between INR2,800 crores, INR2,900 crores plus that INR40-odd crores can give us another INR300 crores.

So let's say, about INR3,100 crores we are good for. And there will be investments also. By end of the year, some cash generation also will be there. So we'll probably invest another -- on an ongoing basis, about INR200-odd crores of investment. So we can say that roughly the EMS business is good to grow anywhere between 40% to 50% on its own by generating its own revenues and then implementing capex.

Indrajit Agarwal: Sure. And lastly, it's been a while -- almost quite some time that you have acquired Iskraemeco. So any difference in the working capital days over there versus your existing business?

Jairam Sampath: Iskraemeco. No, no, actually, it's exactly the way we thought and also slowly the complexion of business is also changing for Iskraemeco. So the problem that we face is not because of that. In fact, that is helping us actually in terms of quick turnaround because they are all simpler businesses to do in the sense the variety is lower and it's a technology-driven business. So we don't see any negative effects of that.

Moderator: Ladies and gentlemen, we

will take this as the last question. I would now like to hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited, for closing comments.

Bhoomika Nair: I would like to thank everyone for participating in the call and particularly the management for giving us an opportunity to host. Wishing you all the very best, sir. And any closing remarks from your end?

Jairam Sampath: Thank you.

Ramesh Kannan: Thank you for everybody in participating. JPS, you want to add anything?

Jairam Sampath: No, that's all. Thank you. Thank you very much. It was a good set of questions, and we are also available for any -- now that we are out of the silent period, so you could contact us and we can give you further explanations on any of these numbers that we have put.

Ramesh Kannan: Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

Website: www.kaynestechcs.co.in Email ID: kaynestechcs@kaynestechcs.co.in

H.O & Regd Office : 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 , Karnataka, India

Telephone No: +91 821 2582595

May 21, 2025

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Scrip Code – 543664 National Stock Exchange of India Limited

Exchange Plaza, Plot no. C/1, G Block,

Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

Scrip Symbol – KAYNES

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript for Q 4 FY 2024 - 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the link for the transcript of Earnings Call for Q4 FY 2024 -2025 , conducted on May 16, 2025 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechcs.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2016.05.2025.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,

For Kaynes Technology India Limited

Anuj Mehtha

Company Secretary & Compliance Officer

ICSI Membership No. A62542

Enclosed:

- Transcript of the earnings call

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"Kaynes Technology India Limited
Q4 FY '25 Earnings Conference Call "
May 16, 2025

MANAGEMENT : M RS. SAVITHA RAMESH – CHAIRPERSON OF THE
BOARD – KAYNES TECHNOLOGY INDIA LIMITED
M R. RAMESH KANNAN – MANAGING DIRECTOR –
KAYNES TECHNOLOGY INDIA LIMITED
M R. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
M R. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
M R. SUMIT VERMA – INVESTOR RELATIONS – KAYNES
TECHNOLOGY INDIA LIMITED

MODERATOR : M R. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Kaynes Technology India Limited hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chirag Jain from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Chirag Jain: Thank you, Elarik. Good morning, everyone. On behalf of Emkay Global, I would like to welcome you all to the Q4 and FY '25 Earnings Conference Call of Kaynes Technology India Limited. We have the management today being represented by Ms. Savitha Ramesh, Chairperson of the Board; Mr. Ramesh Kannan, Managing Director; Mr. Jairam P. Sampath, Whole-Time Director and Chief Financial Officer; Mr. Rajesh Sharma, Chief Executive Officer. At this point, I will hand over the floor to the management for their opening remarks, post which we will open the floor for Q&A. Thank you, and over to you, sir.

Ramesh Kannan: Good morning. I am Ramesh Kannan, Managing Director, Kaynes Technology India Limited. Good morning, everyone, once again. On behalf of Kaynes Technology team, I would like to welcome everyone to the earnings call for Q4 FY '25. I have along with me Mrs. Savitha Ramesh, our Chairperson of Board; Mr. Jairam Sampath, our Whole-Time Director and CFO; Mr. Rajesh Sharma, our CEO; and Mr. Sumit Verma, our Investment Relations Head; and MUFG Capital, our Investor Relations partners.

I am pleased to inform you that we have been able to achieve a consolidated revenue of INR27,218 million for FY '25, which represents a strong growth of 51% year-on-year. The consolidated EBITDA of INR4,107 million for FY '25 and EBITDA margin, excluding other income for the year FY '25 was at 15.1% and PAT margin was at 10.8%, which were higher by 101 basis points and 62 basis points, respectively, on a year-on-basis.

Coming to our performance for the quarter end Q4 FY '25. Our total revenue was INR9,845 million, which signifies a growth of 54% year-on-year basis. Our Q4 FY '25 operational EBITDA was INR1,679 million at 76% year-on-year corresponding quarter of the last year. Similarly, the PAT was INR1,162 million at 43% year-on-year basis.

We are projecting a significant acceleration in revenue growth in the coming years, as mentioned in our previous quarter earnings call, positioning us to be a leader in the industry growth. The same can be reaffirmed from our consistent order book growth from INR41,152 million in Q4 FY '24 to INR65,969 million in quarter 4 FY '25.

We expect to sustain this profitable growth and continue to work towards improving efficiencies. As we move forward, we expect on all-round growth in all business verticals, especially with Kaynes Technology India Limited
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newer clients in EV and aerospace vertical. This reflects our commitment to a business portfolio with robust growth, profitability and diversification.
Our construction for OSAT plant in Sanand, Gujarat has already started along with construction

for HDI PCB plant in Chennai. Both the plants' construction is in full swing, and we are in line with meeting the deadlines of completing the construction by year-end. Our majority stake in Sensonic, a global AI-based rail network safety solution company, positioned us to capitalize on the electronics and technology upgrade in the railway sector. Kavach development program is on schedule with POC completion expected by midyear. With our recent acquisition of August Electronics in Canada, we have strengthened our North

American footprint, added manufacturing capability in Canada and large high-margin customers.

Following this acquisition, we are well positioned to present a compelling opportunity to these customers more comprehensively, positioning the Canada-India alliance as a strategic alternative to China-based sourcing. We are continuously looking to add new capability and geographies through a mix of organic and inorganic strategies.

With this, I would like to sincerely thank each and every one of our excellent investors for their encouragement so far in our journey and expect continuing support in the future, too. Thank you all once again, and we look forward to exciting times ahead.

I will now hand over the call to Mr. Jairam Sampath to take you through our financial performance. Thank you once again. Jairam, over to you.

Jairam Sampath: Yes. Thank you, Rameshji. This is Jairam Sampath here, Whole-Time Director and CFO of Kaynes Technology. Thank you all for joining today's call as we start a new quarter. I'm quite excited to share Kaynes Technologies' financial results for the period ending FY '25 and share with you the highlights of the same.

For the quarter ended March '25, our consolidated total revenues from operations were INR9,845 million, representing a 54% year-on-year growth. For the 12 months ended March 2025, consolidated total revenues from operations were INR27,218 million, representing a 51% year-on-year growth.

The consolidated EBITDA at the end of Q4 FY '25 was INR1,679 million, showing a 76% year-on-year increase, while for the full year FY '25, it was INR4,107 million, which was up 62%.

The EBITDA margin for Q4 '25 quarter and FY '25 stood at 17.1% and 15.1%, respectively.

This trajectory of expansion in margins is expected to continue during the coming years, too.

Our consolidated profit after tax for the quarter was INR1,162 million, up by 43% year-on-year.

And the PAT margin at the end of the quarter stood at 11.8%. Our consolidated ROE --

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consequently, our ROE and ROCE adjusted for unutilized portions of proceeds of Q4 FY '25 is at 19.4% and 19.2%, respectively.

Our order book surged from INR41,152 million at the end of Q4 of FY '24 to INR65,969 million at the end of Q4 FY '25. On a sequential basis, the order book grew from INR60,471 million in Q3 FY '25 to INR65,969 million in Q4 FY '25. The average monthly order inflow has grown handsomely from INR4,285 million per month in Q3 FY '25 to INR5,114 million per month in Q4 FY '25.

Net working capital days for the year 2025 were at 87 days, while the inventory days improved from 97 to 91 days. We are committed to improve the net working capital this year with a long-term plan to work with our suppliers to have lower inventory days. We are working with different long-term strategies like supplier-managed inventory, resource -- recourse-free factoring and better production planning and scheduling, and we hope to improve the working capital days significantly during FY '26.

The construction of our OSAT project in Sanand, Gujarat and our HDI PCB project in Chennai is in full swing, and we are projecting for the construction to get completed by the end of 2025 calendar year so that this year, we will have some revenues coming in from both the new investments.

We are also signing up clients for significant capacity utilizations in both of these subsidiary entities. Also, our acquisition of companies like Sensonic, and our new subsidiary, Kaynes Space Tech are a few steps by our company to lead the sector into newer technologies from electronic space. We will continue to identify opportunities which can keep Kaynes evolve as a global player in electronic sector.

Our key strategies include growth in new geographies through organic acquisition, strengthening our ODM capabilities and deepening o

ur technology footprint in manufacturing. During the year

FY '25, we have taken significant steps to further our strategy implementation. We once again place on record our deep appreciation for the support of our customers, shareholders, analysts and governmental agencies for providing us with a good growth platform.

We would like to thank Emkay for hosting this earnings call and would like to thank all the participants for committing their valuable time for attending this call. Now I hand over the mic so that we can ask questions. Thank you.

Moderator: The first question comes from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Sir, firstly, on the cash flow from operations side, the one line item, which is other non-current assets has gone up, and that's why CFO has become negative. What's that line item dealing with specifically? And how do you plan to tackle it in next year?

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Jairam Sampath: Yes. So if you noticed our working capital, net working capital also has gone up from I mean, it has not come down as much as we expected despite reduction in inventory. So this is a business that we acquired in our subsidiary in the industrial area, and they had orders with pre-agreed contract conditions, which we have to honor.

So this total quantum of this is not very significant. Future orders in that subsidiary are all going on a full payment basis. So this particular thing has got delayed payment. So the way we have found a way for funding this through annuity funding through some of the banks, which we'll implement in the coming quarter.

So going forward, the effect of this will slowly reduce. And over time, I think by the end of the year, this will not be any significant number. Yes. Why at the current assets? Because the payment term itself is deferred for this particular order. So over time, when we start getting newer orders, which will have clear payment terms, which are within, let's say, 90 and 120 days. So in which case, this quantum will keep reducing as a percentage of total.

Vipraw Srivastava: Right, sir. And sir, a follow-up on that. So this payment we have made were made to the DISCOMs or to whom you have made these payments?

Jairam Sampath: No, no. These are all AMISP payments only. The terms were different. Once we took over this company, we have now started -- yes, we don't any more work as AMISP, but as a device manufacturer. So this transition has taken a little bit of time, and we have to honor all the orders that are already there. So I think from that perspective, I was talking.

Vipraw Srivastava: Right, sir. Secondly, sir...

Moderator: I'm sorry to interrupt, Vipraw, that was your question. If you have any more, please rejoin the queue. The next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Many congratulations on good set of numbers. My question is related to the order book. So order book has increased to around INR66 billion. If you can give some indication from which segment the order flow intake were on the higher side. And secondly, that's the sustainability of the high margin, which you reported this year or this quarter, how that will be with the new order flow?

Jairam Sampath: No, absolutely. So this INR6,500 crores odd of orders, which is staying in the order book, the increment has come in aerospace, industrial and automotive. And these are margin-accretive orders. I'm unable to give you exact details, but suffice it to say that the order book today contains orders which are higher margin than what we are delivering right now.

Only thing to note is that this order book will get executed over 1.5- year time frame. So not all of the orders will get executed in the coming FY '26. So the order inflow to tell you honestly, is very, very healthy. And most of the orders that come in are at a margin accretive

kind of situation.

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Praveen Sahay: Okay. So margin, whatever you delivered is going to continue or improve from here, the type of orders basically?

Jairam Sampath: Yes. We have already made our operating plan for the coming year. And we hopefully will grow from last year in terms of growth rate. And we also completed the kind of margins that are likely to be there. So we are going to have also margin expansion.

Moderator: The next question comes from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: I hope I am audible. Just wanted to check two things. On the PCB front, we are going for the expansion on our own. Will we also participate in the component PLF of this? And the second thing, if you could sort of highlight the financials of August Electronics, what you've acquired as well as your venture into space, what is the thought process be getting into payloads and all of those aspects?

Jairam Sampath: Yes, yes, sure. So as far as the high-density PCB is concerned, we have applied into the ex 2.0 as it were, and we are likely to get the PLI there. But we depend more on the capital subsidy.

And as far as PC board business is concerned, our profitability does not depend on the PLI, but on the kind of quality of customers that we have.

And we already have at least five customers who are in serious talks and one of them has given RFP, which we are responding to. And a significant portion of our capacity once it is formed, will be already booked by the time the plants come on stream.

So as far as August Electronics is concerned, without giving you an actual breakdown, the margins are better than -- in terms of EBITDA are better than our consolidated margin. And we have a business which is quite large, say, about CAD 57 million or so is the kind of business, and we're likely to grow also very well. We are one of the premier vendors in Canada.

And Canada itself has got a huge potential to grow this particular business. So we expect that the growth will be margin accretive and also significant, and it will strengthen our presence in the North American geography. As you know, a lot of, let's say, encouragement is given by government -- local governments there in North America to do production in North America. And also, this is adding to our ability to get orders either to going to China because of these kind of connections. And these set of customers that we will be serving are completely new, and there are no common customers at this point in time.

Deepak Krishnan: Just on the kaynes space tech subsidiary.

Jairam Sampath: Yes, space. This is -- so we've been a strategic partner for ISRO for more than a decade, and we have participated in most of their prestigious missions and all that. So there are 2 parts to this.

One is our ambition to really be part of the technology evolution that ISRO is bringing. And as you know, even in recent defense technologies and other things, ISRO is at the forefront. So we wanted to strengthen the partnership.

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Second, the space by itself offers huge opportunities in terms of satellites, which can be micro, mini or regular satellites and even launch vehicles and so on and components thereof. We've also set up significant capacity and a subsidiary called Kaynes Mechatronics. So our objective is to make sure that the space tech will become a premier vendor for supply of all the parts. And also, we probably can also attempt to launch satellites into the space. But we restrict ourselves to high-tech manufacturing, which is our area of interest. And we think that this will also grow at a high rate, and these are, of course, a reasonably good margin compared to the current consolidated EBITDA.

Moderator: The next question comes from the line of Siddhartha Bera from

Nomura.

Siddhartha Bera: Congrats on a good set of numbers. Sir, first question is on the given the very strong traction in the order book, would it be possible to highlight given this traction, what is the sort of numbers you are targeting now for the next 2 years for the EMS business as of now? And what segment will be the key driver? Will it be again smart meters? And what will be the contribution, if you can share?

Jairam Sampath: Yes, yes. Siddharthaji, thank you for your question. So in terms of growth numbers for our consolidated numbers this year, we can safely say that minimum 60% growth will be there in operating revenues. And we also expect about 50 basis points expansion in our EBITDA numbers, too.

Now the basic reason for this is that the orders that are coming in are in areas such as industrial, which is, of course, smart meter, then aerospace and then also areas like automotive. Especially we now have orders from some of the top 3 Tier 1 companies and a significant amount of export is also likely to happen.

So over the next 2 years, you will see quality of our portfolio increasing. And the bulk of the order book that today has, has an EBITDA profile likely to beat our consolidated EBITDA what we have done this year. So hopefully, the trend will continue.

As you know, over last quarter to this quarter, there has been a significant improvement in the monthly run rate of orders being booked. So we think this trend will continue to. There are many orders which are there in the pipeline. So answering your question, I think we can expect a strong growth in business over the next several years.

Siddhartha Bera: Got it, sir. And second, sir, on the capex side, we are doing close to INR950 crores last year. So what is the capex you're looking at for this year? And within this, what will be for the EMS business and what will be for the OSAT and PCB segments, if you can just break it down?

Jairam Sampath: Sure. So for EMS business, I think we will do whatever the maintenance capex that's required, and there are a few lines which have to be completed, etcetera. We already have all the capacity.

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It's just a matter of making them work more efficiently and so that we can have better asset turns, and we are aiming to do that.

As far as the bulk of the capex is concerned, it is going into new projects, which is our semicon and HDI PCB. And so without putting a specific number, I think we will try and finish the first phase in both the areas. It will be a significant amount of capex. We will probably share that separately.

And so this year's planned capex we'll make sure that we start doing business in PC -- HDI PCB board in the last quarter as well as the semicon in the last quarter of this year. So that's how we are thinking. And then, of course, FY '27, we will do -- we'll complete all the capex for semicon and PC board.

So just to remind you, the total capex for semicon is like INR3,400 crores and total capex for PC board is about INR1,400 crores. So between this year and next year and maybe some little spillover will be there. We will complete this capex. And then so that by FY '28, we can have significant capacity utilization in the newer businesses. As far as EMS is concerned, I think it's almost now on a self-sufficient mode.

And whatever we generate from the operations that is sufficient. This year, we will, of course, squeeze out more sales out of the assets already established. And for the coming year, we will, probably in the second half, add some little thing. And then, of course, there are subsidiaries which have been added and so on. So I think in terms of capacities, I think we are somewhat ahead of the demand so that we will not have trouble in execution.

Moderator: The next question comes from the line of Nitin Arora from Axis Mutual Funds.

Nitin Arora: Sir, ju

st one question on the recent acquisition what you did. Can you throw some light how scalable this business is? What are you thinking about the potential of revenue and profitability from this business? And also, if you can talk about any further acquisitions, what you are articulating in this space.

Jairam Sampath: Nitinji, thank you for your question. So as far as the August Electronics acquisition is concerned, this is one of the premier vendors and quite healthy order won. EBITDA margins are numbers are better than in terms of our consolidated as of now. And we have seen their future plans for the next 5 years, and they are likely to grow at about 15%, 20% on their own.

And with us taking over and putting our sight into it, we might get a spillover business from Chinese business transfer to India because most of the customers who do business with August Electronics, they have significant purchases from China, too. And already, some of the customers have looked at our facility and so on, and they are quite convinced that we can be a good supplier for them.

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So broadly, upwards of 20%, 25% of growth. You can expect 20% growth, at least you can expect in the geography there itself and another 5%, 10% of spillover effect to our business in India. And these are all customers qualitatively pretty good margin and large customers, global players.

They belong to areas like petrochemical, energy, medical, instrumentation and those areas where we don't have huge customer base. So they are going to be both, in terms of quality of business, revenue accretive as well as the margin accretive in their approach. So this is what we expect.

What was the second question, Nitin?

Nitin Arora: Any further acquisitions you are looking at it? And given this acquisition, you think you'll be able to fund internally? And for the further acquisitions, how are you thinking about it? And one comment on the OSAT, if you can also talk about what are the developments there?

Jairam Sampath: Sure, sure. So as far as first acquisitions are concerned, it's our stated position that we have a 3-pronged strategy. One is geography expansion with local basis of production. And then, of course, we take whatever collateral benefits into India, wherever those customers have some manufacturing going in China, too. So this is like China plus U.S. will become India plus U.S. kind of strategy, and we will certainly acquire.

Financing, we don't have any intention right now. We also announced our approval from our shareholders for the QIP. So some of those proceeds can be also used. So we are looking at what we can, let's say, synergize, ensue and digest. So that's an important part of our business. So whichever gets straightaway added synergies to our business is what we are taking. So some of these acquisitions will be short gestation period and they'll start yielding revenue and profits immediately.

As far as the OSAT business is concerned, we -- I think the building construction is going on. We've got signed all the agreements with our collaborators, etcetera. And very shortly, the agreement with the government also gets signed. And of course, approvals have been also in

place. And so we will have probably the first chip coming out sometime, if I'm not mistaken, in the second quarter or at least early third quarter.

Third quarter, I think you can fairly expect the first production to happen. And then fourth quarter, we'll have reasonable production happening. We have a couple of customers who have committed capacities too. So when we exit this year, we will have significant amount of capacity committed by some reasonably good customers.

Moderator: The next question comes from the line of Aditya Bhartia from Investec India.

Aditya Bhartia: Sir, my first question is on capex, wherein we have spent almost INR8 billion in the sta

nd-alone

entity itself, which compares to roughly INR1.3 billion last year. So just wanted to understand what was the nature of this investment? Where exactly was it spent? And how much

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incrementally would have gotten spent on OSAT and PCB given that out of the QIP proceeds, it appears that quite a bit is remaining unutilized.

Jairam Sampath: Correct. So fundamentally, for OSAT and PCB, we basically bought the land and then some initial building work was done, land development, etcetera. So that's the extent of money that went into that. Of course, you have committed some more money in terms of ordering, etcetera, of the things.

As far as the existing business is concerned, we have completed our Chamarajanagar facility, which is a fairly global facility, wherein we have got a couple of exclusive zones for some large customers. So they had made some specifications because they are looking at us for \$1 billion-plus kind of businesses over the next 5 to 10 years' time frame. So we have completed that. The bulk of it has gone into basically developing customer-exclusive EMS facilities.

So they are fungible facilities, but there will be a higher grade because most of these customers deal with aerospace and some other high-tech sensor electronics and so on and so forth. And we also probably this year will further augment it by adding one more very large global client, which we have acquired -- which we are in the process of acquiring as a result of our acquisition in Canada, too. So -- yes, so these are all going into EMS business, traditional EMS business with high-value, high-tech, high-margin products.

Aditya Bhartia: Sir, does that mean that the initial capacity that we had planned at Chamarajanagar for which we had raised around 1.5 billion at the time of the IPO, the current shape is much, much larger than what was initially envisaged. And does that also mean that incrementally, our asset turns are going to be lower given that if we look historically, we used to have a fairly small gross fixed asset base and asset turns used to be extremely high.

Jairam Sampath: Yes, yes. So as far as the original IPO money was concerned, that part of it went into clearing debt and so on and so forth. Not all of it tied to the gross block actually. So answering your question, yes, earlier, we were very efficiently using because we lacked the capacity, let's say, capital to actually deal with large clients.

So the way in the large client business works is that you discuss with them and then make the facility work and then they come and audit the facility and then they satisfy themselves that they can build all their global purchases, they can build it here. And that's what we have done. And all of those are all targeted investments. And since now that we do have a slightly easier access to funds right now.

So that's why we are able to cater to larger clients, larger clients with more high tech, more long-standing businesses and better margins, too. So in the interim, maybe a couple of years, the asset turns will appear to be lower, but then that's cost of business, right? As you see, the order book is increasing. So this order book increase is primarily due to the fact that we are now getting recognized by a lot of large guys who give us long-term business.

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In fact, the order book that we have published is only 5 years order book, and we do have significant amount of orders beyond 5 years, but we don't normally publish beyond 5 years. So beyond 5 years also, we have confirmed orders from customers. So obviously, when customers start taking a long-term view of you as a supplier, then you also need to reciprocate by building capacities and then those specific things that they require. Suffice it to say that in EMS, most of the infrastru

cture, 90% is fungible.

But they still need to see it available for them because then they shift significant capacities from

places like China, etcetera, these are all, let's say, hundreds of millions and billions of dollars of contracts. So obviously, they would like to be sure that we do have the -- not only the intent and not only the ability, but actually the competence and the capacity on ground. So that's when they will shift them.

Aditya Bhartia: Understood, sir. That's helpful. Just one last question, if I may. When you had acquired the smart metering business, you had indicated that, that should be contributing roughly 10% of revenues. And from that context, the increase in other current assets that we have seen appears to be fairly large. So how is the accounting being done? Is it in respect of some of the revenues that have been recorded in the past as well that we have assets that are recognized on the books?

Jairam Sampath: Yes. So basically, the other current assets are those receivables, which are termed to be received later. They are not overdue, which we have agreed for a later -- so when we acquired this subsidiary company, we had two parts of business. One was the metering business, the device business, and then there was something like AMISP business, wherein the installation, etcetera. And also one more part of the business, which we've not talked about yet, but then that is going to add margins to us is software because these companies -- this company has a significant amount of software solutions in both meter data management as well as high-end software, wherein there is no cost associated.

So we made a reckoning in thinking that, yes, when we acquire an order, they already -- we have to service those orders and those orders had certain clauses of money being collected over extended periods. But future orders, we are making sure that we become more device-centric and our orders will be like 90 to 120 days kind of collection period. So we don't think that this will balloon up significantly.

And for whatever amount for the current that we are talking about, we are also trying to fund annuity funding. So looking at if we can do it without -- by factoring it on the customer because our contracts are clear and clean. So we will let you know maybe second quarter or so if we are working with a few banks and NBFCs. So let's see when we will get there. So this is not going to cause us any distress, but this is necessary part of the acquisition.

Moderator: The next question comes from the line of Keyur Pandya from ICICI Prudential Life Insurance.

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Keyur Pandya: Sir, two questions. First on the PCB and OSAT business, you talked about OSAT first in Q3.

When should we see for both of this business, say, more commercial kind of revenue flowing through, if not full utilization, but say, 25%, 30% kind of utilization, when should we see that?

So what are the time lines? I just want to understand for both of this business.

And second question on the core business, FY '25 gross block ballpark should be around INR650 crores. Now in that backdrop, this around INR700 crores plus kind of capex in the stand-alone entity. So is it at a more higher cost or it is going to increase your capacity by 2x? Just want to understand basically in the core business, what would be our gross block, say, by end of or mid of FY '26 and what kind of revenue it can generate? Any change in asset turn, etcetera?

Jairam Sampath: Yes. So as far as FY '26 is concerned, even if we did not add any further...

Ramesh Kannan: The first question, I will take. The second question you take.

Jairam Sampath: Rameshji, please. Yes.

Ramesh Kannan: Yes. The first question, let me answer, Keyur. What we are planning to do is get all the validation that the real building start from next financial year. Why? Because for v

alidation itself, they will

take around 3 to 4 months. Our plan is to do the trials in the pilot lot building by July, August.

From there, one after the other, one semiconductor at the time we wanted to do. And then this year, we are planning to take around 6 models.

Towards the end of the year, there is a likely chance of some building happen. But otherwise, the next year will be a full year for building. When it comes to PCB, same problem. These boards after doing our trials and everything, this factory should be ready somewhere in November, December for full production. And then we need to do all the trials. So it will take 2 to 3 months.

So basically, the large portion of the building we can get only next year. Considering all the timing required for validation, we have scheduled it like that.

Jairam Sampath: And regarding the gross block, I think this year, we will improve our asset turns because most of the facilities like the Chamarajanagar 1 will all start working at much higher capacity. So even if we did not add any more capacity, this year's numbers, we can very easily do FY '26 numbers. And by actioning this, we will have some spare capacity. As you know, earlier also we have said, the moment we reach a 70% kind of capacity utilization, you need time to go for newer capacities because global players would like to see free capacity for any business that they transfer from other places.

So this is good news only. A little bit of lower asset turn is good news in this business because that means that we have committed customers who are likely to give us business. And that's

when we keep it. Earlier, we run it chock-a-block, almost 6 or 7 turns of assets we should do. So maybe 3, 4 years' time frame, we will get to that number, a little higher number, let's say, 5 or 6 the assets are.

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Till that time, we'll do some minor capacity additions every year. So in this business, about 7% of turnover of EMS typically can give us the kind of number to grow at about 50%. Maybe so FY '27 onwards, 7% of turnover, so whatever that number is, let's say, four, three or whatever, so about INR300 crores, INR400 crores of investments we do within FY '26, second half and first half of FY '27. So that will grow at about 60% the EMS business and so on.

Keyur Pandya: Okay. Just one question, if I can squeeze in...

Moderator: I'm sorry to interrupt, Keyur. Those were two questions. I would request you to join the queue back. The next question comes from the line of Akshay from Ask Investment.

Akshay: Sir, what led to our shortfall of -- some shortfall of our previously stated revised guidance of INR2,800 crores? And are we confident of achieving INR4,500 crores in the current fiscal year? And also our other expenses in this quarter jumped up sharply from INR31 crores to INR101 crores, and it was INR52 crores in the previous quarter. So what led to the sharp jump in other expenses?

Jairam Sampath: Yes. So I'll answer your first question first. So fundamentally, I think in our Q3 call also we had explained that there was a delay in execution of our smart meter business because we had a large number of orders, and this is a new facility in Hyderabad. Now we have overcome that, and we are quite confident.

What we are saying is 60% minimum. So 60% minimum growth will take us to about INR4,350 crores or so. And if everything goes well, we'll certainly exceed that number with a much expanded at least 50 basis point expansion in our EBITDA numbers. That's the kind of planning that we have for FY '26.

Now what was the second question that you asked? You asked about other expenses, if I am not mistaken. Yes. So some of the other expenses could be due to reclassification of certain consumables and so on and so forth. So maybe over next -- last 4 quarters, some reclassification of consumables, which normally

should be part of bill of material was not like it was shown separately and so on and so forth.

More detailed one, I can probably ask somebody from finance to share with you because it has more to do with reclassification than to increase in cost. Yes, of course, employee costs have fared higher because we -- like we said, we are currently buffering up the capacity, preparing for some 2 or 3 global engagements in the FY '26. So in terms of other costs, there are no major cost increases. It is just some reclassification.

Akshay: Sure, sir. And sir, recently, government ordered some fast track deployment of new satellites after the India-Pakistan conflict. So does it provide some opportunity for us because the timeline was 3 to 4 years, but now they have reduced to just 1 year?

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Jairam Sampath: Yes, sir. So we have, of course, formed a space tech venture, and we'll keenly look at in what way we can contribute towards nation security and abilities in that space. And we have got some very good scientists who have worked earlier in government ISRO, etcetera, to spearhead this thing. So keep yourself tuned to our announcements. I think we are working very hard to make sure that we participate in the next generation of technology development for the country.

Moderator: The next question comes from the line of Deepak from Sundaram Mutual Funds.

Akshay: Jairam, sir, my question is regarding your margins. So what would be our core EMS margin, let's say, for Q4 FY '25 and for the whole year FY '25? Because if my understanding is correct, there would be some employee expense and other expenses, which will be related to OSAT and base PCB business as we're expanding that too. So I just wanted to understand what is our core EBITDA margin for FY '25 and Q4 for base PCB business?

Jairam Sampath: So our core margins are reflected in our consol only. See, the expenses which are incurred in development of the project, etcetera, pre-op etcetera, they get capitalized actually, okay? So a major amount -- of course, the corporate level expenses, supposing we do have some people joining at the corporate level. So that increase is there. And like I said, I think in answer to some of the questions earlier, we do build capacities ahead of time.

So constantly, we'll have a quarter worth of additional capacity before the work starts because global players don't want to risk giving orders to a company which does not have ready capacities

because for them \$100 million, \$200 million, \$300 million kind of businesses, they don't want to take any risk with the new supplier. So to that extent, this year, FY '26, we are saying that core business will yield another 50 basis points, so about 15.6% EBITDA.

So maybe the seat number is somewhere there, maybe another 40, 50 basis points over time. But I'm afraid that we'll keep building capacities and incurring slightly higher expenditure for future growth of business. So you can take around 15.5% to 16% as the kind of number in the core business. And of course, the subsidiaries, etcetera, which we acquire, yes, they may add -- we are making sure that we take an augmentative kind of addition and not any business which is lower than our existing EBITDA. So they may also pull the vector upwards in 3, 4 years' time frame and the quantum of business is significant.

Akshay: Okay. So 15% to 16%...

Moderator: Sorry to interrupt, Deepak, that was your question. I would request you to rejoin the queue. The next question comes from the line of Sumant Kumar from Motilal Oswal Financial Services Limited.

Sumant Kumar: So assuming current scenario, global scenario, can you talk on export opportunities? How is the inquiries currently?

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Jairam Sampath: Yes. I think we have talked about this in earlier calls, too. So fundamentally

ally, the aerospace

business and some of the automotive, etcetera, now we've got global clients. So they do not only take requirements for the Indian requirements, but also requirements for production outside of that. So we think that -- so let's say, we have now three businesses fired up.

One is EMS, the other one is OSAT and PCB. So OSAT and PCB, significant amount of business will be in export. Maybe from FY '27, we'll start seeing its impact. FY '26 primarily these 3 sectors like automotive, aerospace and some portion of industrial would see some increase in exports. So maybe out of the total of, let's say, INR4,350 crores, maybe you can expect at least 15%, roughly, if I hazard a guess at this point in time of exports.

And the other thing is we must remember that we are also doing a geography strategy. So we are not considered export, but as a business done within that country. So for instance, the Canadian entity will be shipping in Canada itself. So we can take that as an export in which case, over time, 4, 5 years' time frame, 20%, 25% minimum of our businesses will come from outside, let's say, clients.

So some will be exported, some will be done there itself in the geography where we have. So we have this 3-pronged strategy of acquisition and so on. So Sumantji, basically export orientation will increase. Some of it will look like exports, others will look like a subsidiary billing.

Sumant Kumar: Yes. So current scenario is the tariff war, we are getting some inquiries and more engagement with the client, I'm asking.

Jairam Sampath: Yes, sir. No, no, Sumantji, actually, what we are getting is a lot of big OEMs are seriously considering alternative to China. In the sense, they may not replace the entire thing. Obviously, that's a little difficult. But all the new products, etcetera, they will bring to places like India because I think U.S. is very much cautious in providing new technology to Chinese vendors. So they know that, that gets compromised. So I think we can look forward. See, tariff war will also kind of cool off at some point in time. And India has played that middle part very well. So -- and also, we are also having a geography strategy. We are going to have places in North America producing. So from that perspective, I think tariff war will benefit our company.

Moderator: The next question comes from the line of Girish Achhipalia from Morgan Stanley.

Girish Achhipalia: Sir, I just wanted to understand the rationale of the Canadian acquisition more better. And -- is it also having some ODM capability? Or is it more just a geographical and business diversification. And just in terms of working capital intensity of that business and profit margins, if at all, if you can just help us with that.

Jairam Sampath: Sure, sure. So like in answer to the previous question, I had mentioned that it's margin accretive, the EBITDA numbers are higher than what we have at consol level at this point in time. The

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rationale for acquisition was that they have global customers, which we don't have access to right now. They do somewhat larger electronics in the area of instrumentation, in the area of energy, energy means petroleum sector, then, of course, medical and then IT, etcetera. Telecom also is one of those areas. So these are all high value-addition areas, which are generally

the province of companies sitting right in the North American geography to serve their customers for whatever reason, maybe it's a reason of proximity, it's a reason of strategy. So we will benefit, and we have looked at their business plan, 20% growth organically is feasible. And this Canadian entity has got expertise in refurbishment in other areas. And they also are ready to expand into, let's say, other geographies like other countries like U.S., etcetera. As you know, Texas and other areas are

having a huge amount of business in oil, etcetera. Of course, they have some interest in Europe, too. So with Keynes' help, we will probably do the collateral benefit of helping this company expand and maybe increase their business a little beyond this 20% that they are currently planning.

Plus they also -- their clients have significant purchases from China. In addition to what they purchase from August Electronics, they purchase things from China, too. So it is we are that portion of the business, too. And then a couple of clients have already visited us and they are happy to help us with new RFQs.

So that, A, India is safer haven especially for newer products; and B, it is also nearer than China is for their general acquisition and so on. So we will have collateral benefits at Keynes here for local business. We will have some at least seeding of growth in North American geography, possibly an additional facility in the U.S. in addition to already we have Digicom.

So we can combine all of these and then a critical mass will be there. And so that by FY '28, when the company does \$1 billion, we want a significant number to come from these areas, too.

So that is the -- so the rationale, to put it plainly, new customers, new geography and new business areas.

Girish Achhipalia: And just a clarification, the 60% growth is including the Canadian part, right? Or is it only the core business?

Jairam Sampath: Right now, we are saying consol because we'll have to see the entire year cannot be consolidated. They work on Jan to December. But yes, broadly, we'll make sure that we attempt to do this in the existing business itself.

Moderator: The next question comes from the line of Meet Jain from Motilal Oswal Financial Services Limited.

Meet Jain: Sir, my question is regarding this quarter and last quarter as well. We have seen an increasing flow of our ODM business and the mix has increased significantly to almost 18%, including the product engineering business. And that also resulted in a better margin. So can you throw some

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light on which kind of products are we manufacturing in that on which segment? Also, we can see the IoT part of the business, IoT consumer has seen a very strong jump. Can you throw some light on that?

Jairam Sampath: Sure. In terms of ODM, our ability is in the area of industrial, is in the area of railways, with Kavach program and other things. And so those are the -- and of course, IT IoT is another area where we have significant amount of ODM activity. So that is definitely going to go up going into the future. As far as the IT, IoT is concerned, because of server production taking off. So that's why we don't do commercial laptops, etcetera, but we do high-performance computing servers. So that's something that we continue to do.

And we have a few more clients in the pipeline. So that business will also increase. So in terms of our, let's say, trajectory of composition of our business, aerospace is on the up. Obviously, automotive will remain very strong with global clients and so on. And industrial will also be very strong, etcetera. Medical, we've been talking about an overseas client.

So that is also shaping up well. And of course, the defense business, once the government finalizes strategy, we will get a good -- fair share of business for the defense production in India. Right now, it represents a very small portion of our business. IT, of course, will keep growing. Aerospace will, I think, become much larger than what it is today in our portfolio.

Meet Jain: Just a follow-up on that. So how much delta in terms of margin can we see if the ODM -- because ODMs are in the high-margin business. So the mix is going up. So what kind of delta can we see on our margins down the line in the core EMS business?

Jairam Sampath: Yes. So see, margin is a mix of a lot of blend

of customers and different areas, etcetera. So this year, we estimate safely that at least 50 basis points increase in margins will be there on a consol basis. And this is in existing businesses. If there are new businesses acquired, we make sure that it is at least minimum, it gives you this kind of a margin. So short term, at 50 basis points, yes, maybe 200 basis points are feasible over time.

Meet Jain: So because high-margin businesses generally carry some kind of working capital with it. So -- and we target to reduce that. So can you throw some light how is it possible...

Moderator: I'm sorry, interrupt, Meet. You're done with your two questions. I would request you to rejoin the queue. Ladies and gentlemen, in the interest of time, we'll take the last question from Indrajit Agarwal from CLSA.

Indrajit Agarwal: Congratulations on a good set of numbers. I have just one question. Of the capex that you announced or highlighted for OSAT and PCB, INR3,400 crores and INR1,400 crores, how much will come from the government? And what will be the time line of receipt of that amount? So is it that we pay out the initial amount totally by ourselves and there's a lag in when we get it from the government?

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Jairam Sampath: Yes. So the policy is anyway published by government. So in case of, let's say, OSAT Indian Semiconductor Mission, which has published this policy, 50% of eligible capex, which is excluding land and some parts of buildings. So in INR3,400 crores, about INR2,700 crores, we will get 50% from central government and another 20%, 25% from state government, okay, of INR2,700 crores.

Remaining we have to provide ourselves. It contains land building, plus it contains also some high-tech investments, which in government's opinion does not require a subsidy because it's a high-tech area and wherein there are already plants and so on. As far as the PC Board is concerned, INR1,400 -- and the central government money comes *pari passu*. That means when we pay the supplier, at the same time government does its contribution. State government comes with a lag of about 6 months when the machines come here and then we install.

And then what is known as start-up of operations is the kind of thing. So first, let's say, few tranches will be 6 months period. After that, it will become a routine cycle. So that's as far as the OSAT is concerned.

As far as PC Board is concerned, we get significant amount, about 40% plus 25% roughly. So about 65% capital subsidy. These all come after the machines come here and we start up the operations. And -- but within the year, the state government, which is 40% roughly, they will disburse within the year. So there will be no major lag. There will be, you can say, an average 6 months lag.

And central government will come again with the same 6 months lag. So we may use certain bridge loans for this, which are self-extinguishing the moment the subsidies come, we can pay them off. So out of INR1,400 crores, roughly 65% is something which is capital subsidy.

Remaining, we have to put the bills

Moderator: Ladies and gentlemen, in the interest of time, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Jairam Sampath: Yes. Thank you, everyone, for joining this call. And we meet you all on good tidings and strong business growth. And like we discussed in detail about what our plans are and so on and so forth, look forward to meeting you next quarter with some more good news. So in the meanwhile, have a good time, and see you later sometime.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

Website: www.kaynestechcs.co.in Email ID: kaynestechcs@kaynestechcs.co.in

H.O & Regd Office : 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 , Karnataka, India

Telephone No: +91 821 2582595

August 05, 2025

BSE Limited
Corporate Relationship Dept.,
14th floor, P. J. Tower,
Dalal Street, Fort
Mumbai - 400 001

Scrip Code – 543664 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1, G Block,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051

Scrip Symbol – KAYNES

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript for Q1 FY 2025- 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the link for the transcript of Earnings Call for Q1 FY 2025-2026, conducted on Thursday July 31, 2025 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechcs.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2031.07.2025.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,
For Kaynes Technology India Limited

Anuj Mehtha
Company Secretary & Compliance Officer
ICSI Membership No. A62542

Enclosed:

- Transcript of the Earnings Call

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"Kaynes Technology India Limited
Q1 FY '26 Earnings Conference Call "
July 31, 2025

MANAGEMENT : MS. SAVITHA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAMESH KANNAN – MANAGING DIRECTOR –
KAYNES TECHNOLOGY INDIA LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER –
KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
MR. SUMIT VERMA – INVESTOR RELATIONS – KAYNES
TECHNOLOGY INDIA LIMITED
MUFG – INVESTOR RELATIONS PARTNER

MODERATOR : MR. NIKHIL KANDOI – AXIS CAPITAL LIMITED

Kaynes Technology India Limited
July 31, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Kaynes Technology India Limited Q1 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kandoi. Thank you, and over to you, sir.

Nikhil Kandoi: Thank you, Anshuka. Good morning, everyone. On behalf of Axis Capital, I would like to welcome you all to the Q1 FY '26 Earnings Conference Call of Kaynes Technology India Limited. We have with us the management today being represented by Mrs. Savitha Ramesh, Chairperson of the Board; Mr. Ramesh Kannan, Managing Director; Mr. Jairam Sampath, Whole -Time Director and Chief Financial Officer; Mr. Rajesh Sharma, Chief Executive Officer.

Now I'll hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thank you, and over to you, sir.

Ramesh Kannan : I am Ramesh Kannan, Managing Director, Kaynes Technology India Limited. Good morning, everyone. On behalf of Kaynes Technology team, I would like to welcome everyone to the earnings call for Quarter 1 FY '26. I have along with me, Mrs. Savitha Ramesh, Chairperson of our Board; Mr. Jairam Sampath, Whole -Time Director and CFO; Mr. Rajesh Sharma, CEO; Mr. Sumit Verma, Investor Relationship; and MUFG IR, our Investor Relationship partners.

Let me now walk you through our present performance for Q1 of FY '26. Our total revenue stood at INR6,735 million, reflecting a year-on-year growth of 34% Operational EBITDA for the quarter was INR1,130 million, marking a strong growth of 69% compared to same period last year. This translates into EBITDA margin expansion of 350 basis points over Quarter 1 FY '25. Similarly, our profit after tax came in at INR746 million, representing a PAT margin of 11.1%, which is an improvement of 100 basis points year-on-year. Our order book continues to show steady and healthy growth, increasing from INR50,386 million in Q1 FY '25 to INR74,011 million in Q1 FY '26, reaffirming the strength and visibility of our business pipeline.

Our projected acceleration in revenue growth reinforces our trajectory as a resilient long-term value creator and a consistently high-performing company in the industry. With a solid foundation and clear strategic direction, we are confident in our ability to sustain this performance and deliver predictable long-term growth, positioning Kaynes as a company that all our stakeholders can rely on well into the future.

This year, our performance has not only been strong in absolute terms, but is also setting industry benchmarks for the growth of EMS companies in India. Despite facing macroeconomic headwinds and global uncertainties, Kaynes has stood resilient, consistently delivering on our strategic priorities.

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This underlines the strength of our diversified business model, deep customer relationships and relentless focus on execution. We continue to sustain profitable growth, while driving efficiencies across operations. Our growth momentum spans across all business verticals with

particularly strong traction from new clients in the electric vehicle industries and aerospace sector, industrial sector and rail sector.

This underscores our vision to build a future -ready, robust and profitable business portfolio. We are also witnessing a strategic shift from being a pure EMS company to becoming an integrated ESDM company. This revolution positions us to serve high -volume customers across se

ctors ,

which enhanced ownership of product life cycle and deeper strategic engagements. Our international expansion strategy is yielding results.

With the acquisition of August Electronics in Canada, we have scaled our EMS capabilities in North America, gaining a manufacturing footprint and access to large high -margin customers. This strengthens the Canada India value proposition, as a reliable and strategic alternate to China -based sourcing, offering global clients both proximity and flexibility.

On the infrastructure front, we are pleased to share that our OSAT facility in Sanand is almost there with proto products for AOS and is on track to be fully operational for commercial production by December '25.

Similarly, the multilayer HDI PCB plant in Chennai has also reached the final stages with building construction complete and operational readiness expected by January 2026. These projects are critical in advancing our vertical integration and enabling end -to-end solution within India.

The Kavach development program is progressing well and is currently nearing pilot implementation. We are hopeful of receiving the necessary clearances shortly and beginning commercial operations soon thereafter. We continue to explore new geographies and capabilities through a well -balanced approach of organic expansion and strategic acquisitions.

Expanding into new regions is critical for any company's global growth. It allows us to tap into diverse customer bases, reduce market concentration risk, assess local talent and supply chains, strengthen our ability to serve global clients more efficiently. This multi -market presence also enhances resilience and position us to capitalize on emerging opportunities across different economies.

Before I conclude, I want to thank all our investors for their continued trust in our vision. We remain committed to delivering on your expectations, driving innovation and building a resilient future -ready enterprise.

With that, now I hand over the call to Mr. Jairam Sampath to walk you through our financial performance. Jairam, over to you. Thank you.

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Jairam Sampath: Thank you, Ramesh, ji. Good morning to all the participants here. My name is Jairam Sampath. I'm Whole -Time Director and CFO at Kaynes Technology. Thank you all for joining today's call as we start a new quarter.

I'm extremely happy to share Kaynes Technology's financial results for the first quarter of FY '26 and we'll present some of the highlights. And then, of course, there is a PPT available, which has been uploaded, and you could refer them for more information. For the first quarter FY '26, our consolidated total revenues were at INR6,735 million, representing a 34% year -on-year growth. The consolidated EBITDA for the Q1 FY '26 was at INR1,130 million, showing a 69% year-on-year increase. EBITDA margin for Q1 FY '26 stood at 16.8%.

Our consolidated PAT for the quarter was INR746 million, up 47% year -on-year and PAT margin for the quarter stood at 11.1%. Consequently, our ROE and ROCE for the Q1 FY '26 is at 15.4% and 13.7%, respectively. Our order book has grown substantially on a year -on-year basis. Last year same quarter end , it was INR50,386 million and Q1 FY '26 end, the order book stood at INR74,011 million. Net working capital days for Q1 FY '26 stood at about 132 days with inventory going up from 113 to 115.

The increase in receivables contributed to increase in net working capital, which was based on the profile of sales during the quarter. We remain focused on further optimizing our working capital with a clear long -term plan to collaborate closely with our suppliers and bring down inventory levels as part of this effort.

We are also implementing strategic initiatives such as supplier manage inventory, collaborative forecasting, demand planning, enhanced production planning a

nd scheduling. And also, we're

working with our customers to make sure that we are able to collect monies on time. These measures are expected to bring meaningful improvements to our capital efficiency by the end of FY '26.

As far as the new plant projects are concerned, OSAT plant in Sanand, Gujarat and the PCB

plant, the HDI multilayer PCB plant in Chennai are in full swing of construction. And as Rameshji, explained to you, we'll see some significant progress in terms of their ability to start operational and get customer approvals during this fiscal.

And we will start doing some billing for the OSAT business this year. and the PCB business will start commencement of operations from early next year. Recent acquisition of August Electronics Canada marks a significant step in our journey of inorganic growth.

This acquisition not only strengthens our presence in North America, but also enables us to build synergies in capabilities and customer segments, where Kaynes had limited presence earlier. It opened doors to high-margin customers and enhance our ability to serve global clients, especially the North American clients more comprehensively.

For a fast-growing company like Kaynes, inorganic expansion is a strategic necessity, and it allows us to accelerate our entry into new markets, diversify our portfolio and access critical technologies and talent. All of this increased the scope of our sales, and also improve the

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profitability. We remain committed to identifying and executing such value-accretive opportunities as we continue to evolve as a global player in the electronics sector.

The Indian EMS industry is entering a new phase, transitioning from being a pure-play manufacturing service provider to an integrated ESDM company. This evolution is vital for India to enhance its position in the global electronics value chain, enabling the country to move beyond cost competitiveness to become a hub of engineering and product innovation. Kaynes is proud to be at the forefront of this transformation and we are leading this transformation in many areas.

We are not just participating in industry shift, we're helping to lead it.

We're building deep capabilities in embedded systems design, prototyping, high-end electronics, system integration, and we are evolving, as I have indicated earlier, from an EMS provider to a strategic thought partner to our customers. This allows us to co-create the next generation of products and offer end-to-end solutions from concept to production.

With this, I complete my initial remarks, and I would like to place on record my heartfelt thanks to Axis Capital for hosting this earnings call. I would like to thank all the participants committing their valuable time for attending this call.

Moderator: We take the first question from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: The first question is on the revenue side is we started on a 34% growth. And I just wanted to gauge your confidence on meeting your guidance, which is about INR4,500 crores. How -- because it's like achieving about 65% growth for the next 9 months to 9 months last year. How is the progress panning out?

How confident are you that eventually these orders will get executed? And when you give your guidance of INR4,500 crores, it is purely organic or inorganic, what you have done is also a part of it? So that's my first question, and then I'll come on the second question.

Jairam Sampath: Thank you, Nitin ji, for your question and also time for attending this call. So firstly, this INR4,500 crores was the kind of number that we had projected. It has three components in it. INR4,250 crores was the component, which is our traditional EMS business, ESDM business. And then about INR100 crores we are projected for our OSAT business because we'll probably start operations and the

commencement of operations by the last quarter.

And about INR175 crores is supposed to come in from our business acquisition in Canada. So from the perspective of the EMS business, we hopefully will catch up by the end of second quarter. We probably exceed another INR1,000 crores of EMS business in the second quarter. And then, of course, we -- I'm happy to tell you that we'll also integrate the business from August Electronics from our second quarter itself. And by all accounts, the business of OSAT seems to be on schedule.

So we maintain our what I call the guidance of INR4,500 crores plus on a consol basis. And we've also seen an upward movement in the EBITDA number. As you know, from first quarter

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itself, we probably are having a product profile, which is leading us to a higher EBITDA. So we could expect a similar thing going forward for the entire year.

Nitin Arora: So what you're trying to say, the margins, what you have reported about 17%, 16.8% or 17%, do you think this mix will continue because your guidance to margin is 15 plus 50 basis points

-- so this and efficiency will continue. That's what you're trying to say over the next 9 months?

Jairam Sampath: Yes, yes. Yes, yes. So for the remaining 9 months, you can expect an EBITDA similar to the first quarter, if not more. And we'll update that sometime during the first half or maybe the third quarter when the actuals will be on the board. Yes.

Nitin Arora: Okay. Sir, just last part on the cash flow. I understand company is growing very fast and also improving the profitability. But I think all investors asked to you even at the time of QIP was when do we see the cash flows emerging in the P&L and the cash flows coming. So can you throw some light from which quarter or from rather which direction one should look that the company will start generating cash flow part as well, which is a big ask rate from all the investors to you? That's my last question.

Jairam Sampath: Yes, Nitin, ji. So fundamentally, like I had explained earlier, too, so there were some receivables, which we had acquired, which were receivables but not due. And we are trying to convert them into collections and had taken time until the first half. So hopefully, we will do that during the first half. So you can expect in FY '26, a positive OCF and significantly positive OCF, not just barely crossing the threshold.

And the current small spike in the working capital days is in preparation for the second quarter. Like I said, second quarter is about INR1,000 crores significantly higher than our first quarter number. And as we go forward, the third quarter will also increase and so on. So this is a natural ramp-up process. So in between the quarters in our -- especially in our industry because of cyclicity, the first quarter is small, second quarter is a little larger, third quarter, even larger and the fourth is the largest.

So by the time we reach the end of the year, I think we would probably perform on the expectations in terms of both OCF and as well as the working capital days, let's say, coming sub-70. So that has been our objective. So that on a steady basis, if we can keep it there. then we would have excellent ROCE and ROE too. So we are on track from whatever we see operationally, and we have taken some steps, etcetera.

Yes, there's been a delay of a couple of months in implementing certain strategies, but then we need to balance out our effort on business development and also on operational improvement. So you can expect some good improvement maybe in the first half, one tranche of improvement. And by the end of the year, you will see significant improvement.

Moderator: The next question is from the line of Ankur from HDFC Life.

Ankur : This is Ankur. Just following up on Nitin's question on the cash flow. So while I understand on the inventory

side, the buildup is for Q2, could you also help us understand what's happening on

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the debtors because there's a big jump both Y-o-Y and on a Q-on-Q basis on the debtor side in terms of number of days. And I think you mentioned something about a change in mix driving that, if I heard it right. So if you could please help us there?

Jairam Sampath: Yes. So fundamentally, what happens is the debtors, as you know, the April typically is a very muted quarter. So first quarter, May, always, you'll see a bit of a spike, especially on a growth trajectory, a bit of a spike in the working capital because a lot of billing -- so April is smaller month than May, May is smaller than June. June is a fantastic month, then you'll see July is bigger than June. So all through the year, from April to the next March, every month-on-month, there is an increase.

So obviously, quarter end results will reflect that position. And I had explained earlier, as I explained earlier, there was this other current assets, which is basically essentially (21:51) receivables that we had received as part of the acquisition. And I had taken time till the first quarter to get some resolution on that so that the abnormal spike that is shown on debtors because of this particular reason is about INR350 crores. So once that goes out of the reckoning, then I think we are quite good. In fact, we have made a lot of improvements in efficiencies, too.

So like I explained to Nitin ji, you can see an improvement in first half, one tranche. And by end of the year, significant OCF positive will be there. And the good news is that we also probably by the end of the year, we will improve the asset utilization, too. So from the point of view of having to put in more money to support next year's business, etcetera, I think you will see less propensity towards that, and the company will start improving efficiency, also generate resources for any further investments.

Ramesh Kannan : In this area, we have been working closely -- my name is Ramesh Kannan. In this area, we are very closely -- working closely working on the inventory side also. So a combination of inventory and receivables should help us to achieve what we want to do. Whatever engineering and homework we have done on the engineering side has started producing results.

Jairam Sampath: And also just to add to Rameshji, the effort has been earlier to make sure that we get the cost

profile right because that's a long -term thing. And the other working capital -related improvements can be done on an ongoing basis. That's what we have been foc used on. So you've seen the result of one effort, which is the cost reductions. So you'll see the effort of -- effect of other results by, like I said, first half end and then more fully during the year. Thanks, Ankur.

Ankur: Okay. Got that, sir. Second question on the P&L. One was on the top line, where clearly at 34% growth is much lower than what typically we've guided to, especially on the automobile segment, where I think the growth is now down to more like 24%, 25% for th e quarter. So one, if you could help us understand why the slower than guided growth?

Were there any customer -specific issues? Just trying to understand, while you are saying full year, it will pick up, any reason for Q1 being soft? And also, what is driving this big jump in margins on a Y -o-Y basis?

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Jairam Sampath: Yes, Ankur. So our assessment is, of course, the -- I mean, I'm sure you get numbers from other peer companies and other automotive sector companies, and you know the reality of the automotive sector too. But ours is a diversified portfolio. So one particu lar sector dimming does not dim our total -- let's say, it takes about a quarter to kind of readjust our execution direction. And so,

that's why we are pretty confident with the order book coming in, etcetera .

And also automotive also, we see now some good traction. I think some destocking has happened in the pipeline perhaps. I'm just guessing here. And I think we will surely be back on track with a good, let's say, better growth than what you have seen in first quarter. The good news there is that the margin expansion has been across all sectors.

It has not just been driven by one or the other, beyond just industrial. Across all sectors, evenly, we have seen at least 200 basis point improvement in gross margin level. And that is what has helped us to kind of post these numbers, and that's why we ar e pretty confident based on the order book profile that we have with us, we're pretty confident that this margin expansion is here to stay for at least medium term until some significant changes happen in our portfolio.

As you know, it says third -- second, third and fourth quarter, we start executing some more of aerospace and some railway products and so on. And so, that will also probably be a more healthier growth of our profitability, etcetera . If this answers the question, we can move to the next line of question.

Moderator: Yes, sir. Actually, the participant is out of the queue. We'll proceed with the next participant. The next participant is Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: Congratulations on a great margin again this quarter. Sir, my first question would be an update on OSAT in terms of how much capex has been utilized? When will you -- when are we sort of targeting commencement of the operations at what utilizations? Probably anything you would like to share with in case of customers? And also, what kind of sales you expect in FY '27 - '28?

Jairam Sampath: Thank you, Sonali ji, for your time and nice question. So we already have explained to you that we have 2 major clients. One is an American client. I think most of you know, who they are, [QAS 0:27:28] and the other is our own Indian client, who has acquired the Japanese business. And we have a third client, which has been lined up now.

And it's a German client. And so from the perspective of business, I think we now have a good, let's say, mix of businesses from 3 different countries. And so, this is pretty much better than what we had expected. The construction is well on its way. And b y the first week of August, at least the first building will be ready, along with the design office and so on.

And by, let's say, September or so, we'll have operational the, let's say, Phase 0.09, if you will. We'll start shipping commercial as we have promised in the fourth quarter, but maybe it will happen sooner than that. So as far as OSAT is concerned, now we have three good major clients. And these are clients, which any company would be proud to have in their portfolio. And of course, we do have M oUs signed with another four clients.

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So by end of FY '27 or so when we -- the bulk of the, let's say, almost 50% plus of our total capex of 3,400 will be consumed by FY '27, we would probably have those clients also on board. And some of those clients with whom we are working also very well rated, especially in silicon photonics and so on and so forth. They are unlisted companies, but they have got a very good, let's say, investments into those companies. They have a large number of clients. So on the

advanced packaging side also, we are having excellent traction.

And so -- it's going the way we anticipated and probably is a little better because now we have 3 good clients, at least in the first phase, still half of the capex gets implemented by end of FY '27, we'd have excellent capacity utilization. And since these clients are all global clients and they are all leaders in their area, we also expect the yields to be good because the clients have come

mitted to help us to set the process for their respective products. So it's a kind of a technology transfer and business transfer activity.

Sonali Salgaonkar: Understood. Sir, just confirming one thing. Right now, as a company in our core EMS business, we are hardly exporting anything, probably 10% of our overall sales. But are we aiming to majorly export the OSAT output? Or will it be used equally for domestic import substitution and for exports as well?

Jairam Sampath: Yes. So finally, it will get targeted as an import substitution. But being a semiconductor, it goes into semiconductor supply chain, which is outside of India typically. And as you know, this is also semiconductors are generally outside the purview of most of the tariffs, etcetera, because of cross dependence. There are 72 countries, which have to work together to make a semiconductor work.

So whether it's US, whether it's China, everybody is careful about putting semi -- not putting semiconductors under the purview of these things. So from that perspective, we think that it will increase technically the exports, but all the consumption will be -- bulk of it will be driven by India because India is going to become a large consumer, electric vehicles, industrial production and so on. So going forward, I think you can see a huge amount of indigenously produced chips being consumed in India.

Sonali Salgaonkar: Okay. So initially, you are going to export it, but ultimately, that product will again be probably after some add-ons imported in India. Is that a fair understanding?

Jairam Sampath: Yes, either with add-ons or even it may be supplied just as a chip to Indian manufacturers.

Sonali Salgaonkar: Got it, sir. Very clear. And my second question is again on your guidance. Just wanted to confirm what you said in to the earlier participant's query. You are as of now retaining your FY '26 guidance, right, on the sales and margins because you are expecting to catch up in the coming quarters?

Okay. And in terms of the working capital days, are we targeting to reduce them at about 100 - odd days by the end of the year? Or do you think it will be slightly elevated given the first quarter was about at 132 days?

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Jairam Sampath: No, no, it will be lower than that. Actually, effectively speaking, it's already lower than that. It's just that there was one extra item, which was due to our acquisition of one company, an wholly owned subsidiary. So that amounted to about INR350 crores, and we are finding some solutions, financial solutions for it, financing solutions for it. So which we think that we can probably complete it by the first half.

Once we do that, we -- if that portion of the receivables is INR350 crores removed, then we are already around -- somewhere around 70 days on an average in net working capital. So we think that -- and also, Ramesh ji, explained that we are working with suppliers also so that we can ask them to keep inventory locally. And then, so that the burden on us to fund the inventory, at least bulk of the inventory till it gets balanced out, etcetera, will be lower. So you can expect even better than 100 days, etcetera. Obviously, by end of the year, if this extraordinary item of INR350 crores is dealt with, we probably will be around 70 days and lower.

Sonali Salgaonkar: Got it, sir. Very clear. And just one last question from my side on the order book. Sir, order book...

Moderator: Sorry to interrupt Ms. Sonali, I request you to go back to...

Jairam Sampath: Yes, we can go ahead. If it's a short question, you can go ahead, Sonaliji, about the order book.

Sonali Salgaonkar: Yes. Order book. Thank you, sir accommodating this. On the order book, year-on-year growth has been definitely very strong, but Q-o-Q, we have seen about this 12% order book growth. Is that because of the high base catching up?

Or do you think that sequentially as well, order book will start accelerating from the coming quarters? That's it from my side.

Jairam Sampath: Yes, yes. No, no. Actually, even earlier, if you see the monthly order inflow, sometimes it comes down, sometimes it goes up. It is more like timing of the order placement rather than any trend. But if you see broadly, if you take a moving average of 3 months or something, you will always see a significant increase. So opening at INR7,400 is not a bad thing because now bulk of the orders in the other sectors are also coming in. So our assessment is that this is a strong order

book. It's still growing.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal: Good set of numbers given the macroeconomic conditions globally and locally. My question on the recently raised capital. So can you talk about in terms of area of future investment in terms of category, organic or inorganic, where we see the investments the company will be making?

Jairam Sampath: Yes. So as, of course, the objects state all the possibilities in terms of investments that we can do, including debt reduction. There are some things like inorganic, et cetera. So we have taken an omnibus kind of, let's say, definition for our investments. But broadly, we would like to go more and more into the area of inorganic acquisitions.

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They are on three fronts. One is in the geography front. And then the second is, of course, we want to strengthen our design portfolio. We have done some small, small investments like we have talked about it earlier also. We always do a small investment first as a test and then we probably add more to it.

It's more like a nibble, a small morsel and then big meal. So that we have done in geography expansion. So you can see some significant acquisition in perhaps North America geography going forward. Europe is a continent of talent for design. So we are going to strengthen our design play, especially ODM play in places like railway, industrial, etcetera.

So next level of investments will go into that. And then, of course, the third one is to deepen the technology footprint by suitably adding backward integration into some of the niche areas, so that we can reduce cost in our total consolidated portfolio. So all of these efforts, whatever money that we have raised is to add fresh initiatives, so that we can increase the scope of our sales by adding geographies. We can increase the value addition by adding ODM and then we can reduce cost by doing backward integration.

Manish Ostwal: Yes, sir. The second question on the -- I just confused with your comment on the working capital side. Earlier you shared the sub 70 is the number we will achieve by F '26 versus 87 reported in F '25 and the current quarter is 132. So -- and then you said sub 100, it is better than the 100 days. So can you just clarify what is the actual aim to achieve the working capital side for F '26 by the management?

Jairam Sampath: Yes. Sir, our target is 70 days without any extraordinary items. So the extraordinary items, as you have studied last year's balance sheet also. So there's a INR350 crores, which we have got it from acquisition receivable, which is receivable but not due. So we are trying to find financing solutions for it. And most probably in the first half, you will find it out. So once the INR350 crores goes away because it's a definite item, which has nothing to do with our regular operations.

So once that goes away, we are already consistently at about less than 70 days of net working capital. And in order to keep it there, we will also work with some of the supplier partners so that some of the inventory burdens, especially the balancing inventory burdens can be transferred. So our target is 70 days without

this extraordinary item. Hopefully, we'll find a solution for it before the second half starts.

Manish Ostwal: And all the best for delivering the cash flow outcome for this particular year.

Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital

Vipraw Srivastava: First of all the margin side. So if I heard correctly, you were saying that you would be maintaining this level of gross margin in coming quarters. So is the understanding correct that you end up higher than your guidance which you guided for in Q4? -- you're upgrading your margin guidance is understanding correct?

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Jairam Sampath: Yes. So okay, let me put it this way. We had guided for about INR4,500 crores on a consol basis, including all our subsidiaries and so on. And we had said that 15.6% or so was the EBITDA expected. We are saying that looking at the first quarter, the EBITDA might exceed the guidance of 15.6%.

Now how much exactly it will exceed, you can probably make a better estimate by the first half yearly results. As far as the guidance numbers are concerned, we maintain the guidance that we have given, and you will see a significant acceleration in the second quarter.

Vipraw Srivastava: Got it, sir. And sir, secondly, if you can give some color, what's the reason for this margin expansion? Why has it happened after Q4? What has changed? Any color on that, it will be very helpful.

Jairam Sampath: Yes, yes. So the margin expansion is a direct consequence of two factors. One factor is the gross margin, which has something to do with the material cost reduction vis-a-vis the pricing. And the second one is what is called operating leverage. So you will see both of these in action. We have -- like I said, there are, of course, more business in portfolios, where there is better margins. That is a significant contribution to increase in EBITDA number. But in addition to that, we have seen increase in gross margins across the board. That means all the 6 verticals, the orders have anywhere between 50 basis point to 200 basis point increase in the gross margin level. And going forward from first quarter to second quarter, obviously, the sales will keep going up.

So we will -- we can see an effect of better operating leverage, too. So that's why we are confident that whatever estimate that we had made on the margin because of these two factors, one is gross margin across different sectors going up, certain sectors doing well where margin is good, plus operating leverage. So we think that we can have a significant increase in our EBITDA number by the end of the year two compared to the guidance.

Moderator: The next question is from the line of Nikhil Kale from Invesco.

Nikhil Kale: Just one clarification I wanted, sir. Can you just help me with the absolute receivable number that you have as of end of Q1, including the onetime thing that you talked about, the acquisition-related receivable that you got?

Jairam Sampath: Can you repeat that question?

Nikhil Kale: Just wanted your absolute receivable number in rupees million as of end of Q1, which is days you have given, but if you can help me with the absolute number?

Jairam Sampath: Yes. Just one second hold on. Yes. So the other noncurrent items, which is INR390-odd crores, plus INR858 crores is our regular receivables, which is based on our regular business and a tad higher because the profile of sales keeps going up. So April sales is lower than May, May is lower than June, June is lower than July like that.

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So March is normally the highest. So as we go up, there will be some impact. But hopefully, the noncurrent portion, other noncurrent assets portion, we'll deal with it by end of first half so that the INR300 whatever crores is there, that will get address

ed in which case, then the numbers significantly come down. And I think we are also working with some of the newer customers in terms of factoring without recourse, and they have their own financing companies. So that's why we are confident that we can probably keep this under check.

But of course, as the business grows, the absolute number keeps going up.

Nikhil Kale: Understood. But sir, then even if you exclude that, your receivable days would have gone up, right? Even if you exclude this...

Jairam Sampath: Like I said, June sales were a little higher. April sales were lower. So this happens always in the first quarter. For whatever reason, I am not able to say why it should happen logically, it should not. But what happens is March is a big quarter, right?

So most customers would take a little more than what they require in March just so that their ability to exceed their numbers is not impacted for lack of material. And then sometimes they would adjust the April number. And also on top of it, April numbers also, the industry-related things also will play up. So all of this has played up. But by the time we adjusted our delivery schedules, etcetera, it was June.

So hopefully, now you will start seeing a routine -- so June numbers, June billings will get paid up between July, August, etcetera. So if you add 1 more month, we could have probably been lower. But anyway, that's how the sales profile is. And that's the reason why you see a little more than expected receivables, which, in our opinion, is a good thing because it shows that there is traction in the marketplace.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, my first question is on gross margins again. If we look at stand-alone gross margins, those have not moved up dramatically. On INR450 crores of revenues, we have somewhat a similar gross margin of 28%. It is subsidiaries with roughly INR220 crores of revenues, wherein we appear to be making almost INR150 crores of gross profit, which is almost 68% gross margin. So just trying to understand why is it that margin bump up has been so sharp on the subsidiary side? And what is the change in product profile versus, let's say, the preceding quarter, which is kind of contributing to such a sharp jump? That's my first question.

And maybe I can go ahead with my second question as well. So these deferred receivables of

INR350 crores that you are speaking about are not included in this INR858 crores, right? This INR858 crores is pure receivables, which at the end of March used to be, I think, somewhere around INR570 crores. So there is a significant increase in base receivables also, and that's something that I would like to understand what is really contributing to that?

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Jairam Sampath: Sure. Last question first. So obviously, I had explained that the June sales were pretty high. And as we go forward, every month of sale is higher than the previous month. That's the nature of the business profile here.

And also, we -- like I said, the other special item of receivables will somehow deal with it in the first half. And then going forward, we are also working with some of the newer clients, especially in the aerospace and all the other more remunerative areas also. We are working with them on -- without recourse factoring. And hopefully, we will get that successfully done.

So what will happen is the additional accrual of sales that happens will not always increase the number of days of receivables. That's one point. The second point is the margin that you talked about on stand-alone, etcetera. So we have several entities sometimes participating in one particular company's -- one particular product sales. So there are companies which are some portion of the year, one company might have manufactured and then supplied to another company

and so on. So after elimination, margins will fall where they do.

But you should look at consolidated and let me explain to you one by one. In automotive, the gross margins have gone up by about 2%. And in electric vehicles, we have a stable profile, maybe 1% or so increase. Industrial, of course, there is a significant increase contributed by certain product profiles. I cannot pinpoint which product profile for obvious reasons. But otherwise, industrial is one area where we are having a good increase.

And going forward, you will see increases in railways, you will see increase in aerospace, especially when the quantum of sales increases. So that's why we are confident that this number is not driven by one product, but by across the different verticals, a series of products, not just one product.

So within -- so just to explain to you how this entire blended margin works. So the consolidated margin is a blend of all the subsidiary businesses, not really subsidiary legal entities, but businesses. So there will be EMS margin, going forward into the future, there will be margins from semiconductor assembly and there will be margins from PC board. And most probably, those margins will be higher than what we do in EMS. But of course, there are other things in those businesses. They are capital intensive, etcetera.

So when you come to EMS business, EMS business is a blended margin of different verticals, right? You have automotive, you have industrial, you have electric vehicles, you have four other places like railway electronics, medical, we have aerospace, defense and outer space and then, of course, IT, IoT and others. And within each of these, there are different product categories that contribute to margins.

So if you take automotive, there are switches and control systems, there are dashboards, there are lamps, etcetera. So similarly, in industrial, there are power products, there are energy meters, there are various other things like control equipment, instrumentation and so on and so forth. In electric vehicles, there are 2-wheeler, 4-wheeler etcetera.

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So just not to confuse you further -- but this is a blended margin. It's not just that one item that we do has done well, so we've increased the margins. But it's my -- since I have -- I am privy to all the information, but I'm unable to share it by customer. But I can tell you that across the board, we have increased in margins. And that is -- if you ask me why it has happened now because last 2 years, ever since we listed, I think one of the strategies was to work on cost reductions.

So slowly, those cost reduction efforts are also giving us some, let's say, results. And also, if you see the amount of ODM in our portfolio, earlier, it used to be 10%, now it's 20%. That means we do have more control on the bill of material on 10% -- additional 10% of our sales. So there also, the margins are better. So the ODM, that means our own design, cost reduction with suppliers, different blended products within vertical and different blend of verticals within the total portfolio is contributing to the positive, let's say, tailwind on the margins this year.

And going forward, obviously, the other two businesses will kick in. So you'll have multilayer HVPC board, they come at a much higher margins, and you'll have semiconductor assemblies and so on and so forth. And then, of course, add to it the margins or other geographies like decidedly better margins are there in America, especially for technology products and lower volume products, et cetera. I cannot go deeper than this on this topic right now.

Aditya Bhartia: Sure, sir. And sir, if you could just also tell us the 10% stake that is being given to US Tech India Private Limited and 8.25% to AOS in the OSAT subsidiary. What exactly is the agreement like? Do we have some offtake arrangement

with technology partners as well? Who are all our technology partners on the OSAT side? Anything on that would be very helpful.

Jairam Sampath: Yes, yes. So Aditya, we fundamentally, the partnership is like a marriage, right? You need to cement it with some economic benefits flowing to each of the parties, right? So in some cases, if you have noticed when we acquired the business from this L&T and Fujitsu, we purchased their equipment so that we make sure that they have to come to us as far as that particular product category is concerned. So we invested some money.

Similarly, for the others, they are supplying us material, but they are supplying us with the critical equipment, which is a bottleneck equipment from their point of view. And we want to cement the relationship, so we offer them skin in the game. But in any case, we will limit the total skin in the game to less than 20%.

The idea is that when we have more and more customers and more and more technology partners on your side, then there is also effort from their side to improve the business prospects. So that's the broad -- this thing. And then, of course, they do come in at a valuation, which is low at this point in time, but not lower than what we have invested.

And then going forward, they also benefit and there is a lot of interest in them to move businesses to us and probably even profitable businesses because then they also stand to gain as their investment value also goes up in the company. And so this is to give them an economic incentive to partner with us and also to give them a slightly better control in the relationship with us.

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So an untethered relationship generally also means that he can go to somebody else, but a relationship which is borne by investments and borne by some other arrangements is likely to be long term.

Aditya Bhartia: Understood, sir. And they will also be infusing equity?

Jairam Sampath: Sorry.

Aditya Bhartia: Sir, I was just asking, they'll also be infusing equity because you mentioned that valuation would not be lower than what Kaynes has invested.

Jairam Sampath: One of them has infused some equity by UST Global or something. And so that equity, whatever they infuse is much lower than what eventually the valuation of this percentage will be. So our intention is to -- for them to use us as a technology -- manufacturing partner for bulk of their activity, especially the newer generation of activity.

So let me explain to you, I think since this question is very relevant, we're invested into a company called Mixx Technologies. Obviously, it's a minority investment in some of the rounds, we picked up some stakes. That company is worth a lot more today. And they are very near to getting their products out and so on, and they work with large companies like NVIDIA, Meta, Google, et cetera. So now from that perspective, so that investment, which we did about more than a year ago, has now paid dividends in terms of strengthening our business portfolio for advanced packaging.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, I had some queries on the revenue subsegments, for example, how is the ramp-up in smart meter happening current quarter and going ahead over the next couple of years? And second is on the EVs as well as on the aerospace and railways because we haven't seen much there happening at least in the current quarter in aerospace and railways. So if you can just highlight some of these subsegments, how should we think about the ramp-up for the year?

Jairam Sampath: So thank you for your question. So smart meter, like we said, we are aiming at about 15% of the total market. And every year, we definitely minimum INR1,000 crores to INR1,200 crores of business we should probably end up doing in that area because there is also

a limitation to field

implementation and so on and so forth. So -- and also, we don't want it to be a huge portion of our total revenues.

So smart meter will now probably it is going at the speed and smart meter is not a cyclical thing, right? Once you have the orders every quarter, you have a fixed amount of implementation,

installation and go -live and so on. So that goes by a different thi s thing.

So as far as electric vehicle is concerned, we've got significantly -- we've got one of the largest 2-wheeler manufacturers as a client now and the evaluation phase is completed last year, and now we're getting some very good orders in the 2 -wheeler segmen t. And already existing clients

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are there. And even in 4 -wheeler segment, we are working with some of the upcoming model launches, etcetera .

So you will -- so this quarter, we have worked a lot in terms of getting new customers on board.

So you will start seeing some traction in EV. Obviously, EV 2 -wheeler is a stronger segment and at this point in time. And 4 -wheeler when it becomes standardiz ed, in the country, we probably will also have reasonable traction there.

As far as aerospace is concerned, lots of new orders have come in. In fact, from one large client of aerospace, we have got referrals. So we work with 3 divisions, one in the automotive components area, the other one will be in some one of their US-based businesses. And third is, of course, aerospace. So this -- you can call the first quarter as a quarter where we have got a lot of clients on board.

In aerospace, other than this large OEM client, we have got one more big client. I'm unable to give you the name because I don't have the consent, but they are all \$10 million initial orders and so on. So aerospace, in fact, the biggest business growth has happened in aerospace this year, even though we have not done billing because billing will start off probably second quarter, third quarter, fourth quarter.

As far as railway is concerned, with Kavach project, Rameshji mentioned, we are into pilot phase. And hopefully, maybe it takes a few months. And after that, we start getting routine orders. And our design is, of course, based on German technology. There a re two German partners for this design.

And we have also acquired companies like Sensonic in the railway area. And another recent acquisition was also announced. We invested about INR40 crores of money into another company, which is into railway ODM.

So going forward, you will start seeing more and more business as a percentage of total. First quarter, of course, was predominated by automotive, industrial and EV segments. Second quarter, aerospace will increase. So that for the year, you can see aerosp ace to be about maybe around 8% or so of the total and the railway also should exceed about 10%, 10% -12% of the total sales by the end of the year. It also depends on how well the other segments do.

Siddhartha Bera: Got it, sir. And sir, on the capex , sir, if you can highlight what is the planâ€¦

Moderator: I would request you to go back to the queue as there are several participants waiting for their turn.

Jairam Sampath: Yes. So those who are unable to get clarification now, you could set up a call with us, and we can definitely come back to you later.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

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Praveen Sahay: Sir, can you give so far how much of the capex in the OSAT and the PCB we had done? Just like you had given for the QIP money around INR313 crores is already utilized in the OSAT or INR114 crores for the PCB. So how much of the total capex you have done in these 2 businesses?

Jairam Sampath: Just one second. Yes. For OSAT, actual spend so far is about INR313 crores. We have another INR443 crores ba

lance, which we have raised in the QIP. Similarly, for PC board, about INR114 crores have been spent. And of course, we have -- we will have some left this year.

But going forward what will happen is, this is a running account, right? So every day, there will be some thing or the other happening. The QIP, which funded these was the previous QIP, QIP number one , we have raised about INR1,400 crores.

Praveen Sahay: Yes. Right, sir. Those things are there. I just wanted to know that there is no government funding so far you had received related to the OSAT. These ar e the only QIP money?

Jairam Sampath: So what happens is in the land and buildings, the government funding is not too much. It's all the plant and machinery normally. And so plant and machinery orders have been placed. The moment they come, we'll start getting government funding. It's already a proven case.

I think the other peer groups, if you refer to the other awardees of the subsidies, they all started

receiving it. And that is the central government subsidy is pari -passu. So that means when we raise the order at that point in time, the funding is done. And the state government one is, of course, based on commencement of production. So that comes with a delay of about 6 months. So that process seems to be working for others and yes, yes. There's no reason why it should not work.

Praveen Sahay: Got it, sir. And one small question, sir, related to the Tranzmeo...

Moderator: Hello?

Jairam Sampath: We could get into another call later. Please check with Sumit and then we can fix a clarifying call. It's all there in the public domain, but anyway, we can point those information to you.

Moderator: Ladies and gentlemen, due to time constraints, we take that as the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Jairam Sampath: Yes. Thank you very much, and thank you for attending this particular earnings call. And also, I would like to place on record my thanks to Axis Capital team also for enabling so many of key investors and analysts to attend this particular call. And if any body has -- most of the information is already published, if there are any clarifications you require on those, you could reach out to us and then we can set up a call or a meeting so that we can then explain to you what has happened, okay? So thank you very much, and all the very best to all of you.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

Website: www.kaynestechcs.co.in Email ID: kaynestechcs@kaynestechcs.co.in

H.O & Regd Office : 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 , Karnataka, India

Telephone No: +91 821 2582595

November 08 , 2025

BSE Limited
Corporate Relationship Dept.,
14th floor, P. J. Tower,
Dalal Street, Fort
Mumbai - 400 001

Scrip Code – 543664 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1, G Block,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051

Scrip Symbol – KAYNES

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript of Q2 FY2025-26

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the link for the transcript of Earnings Call for Q2 FY2025-26, conducted on Wednesday November 05 , 2025 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechcs.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2005.11.2025.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,
For Kaynes Technology India Limited

Anuj Mehtha
Company Secretary & Compliance Officer
ICSI Membership No. FCS 13802

Enclosed:

- Transcript of the Earnings Call

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"Kaynes Technology India Limited
Q2 & H1 FY '26 Earnings Conference Call "
November 05 , 2025

MANAGEMENT : MRS. SAVITHA RAMESH – CHAIRPERSON – KAYNES TECHNOLOGY INDIA LIMITED
MR. RAMESH KANNAN – EXECUTIVE VICE CHAIRMAN – KAYNES TECHNOLOGY INDIA LIMITED
DR. MUTHUKUMAR NARAYANASWAMY – MANAGING DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. RAJESH SHARMA – CHIEF EXECUTIVE OFFICER – KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM P SAMPATH – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – KAYNES TECHNOLOGY INDIA LIMITED
MR. SUMIT VERMA – INVESTOR RELATIONS – KAYNES TECHNOLOGY INDIA LIMITED
MUFG – INVESTOR RELATIONS PARTNER

MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kaynes Technology Q2 and H1 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there is an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Deepak Agarwal from Axis Capital Limited. Thank you, and over to you, sir.

Deepak Agarwal: Thank you, Iqra. Good morning, everyone. On behalf of Axis Capital, I would like to welcome you all to the Q2 FY '26 Earnings con call of Kaynes Technology India Limited. We have with us the management today being represented by Mrs. Savitha Ramesh, Chairperson; Mr. Ramesh Kannan, Executive Vice Chairman; Dr. Muthukumar Narayanaswamy, Managing Director; Mr. Rajesh Sharma, Chief Executive Officer; Mr. Jairam Sampath, Whole -Time Director and Chief Financial Officer.

Now I'll hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thank you, and over to you, sir.

Ramesh Kannan: Good morning, everyone. This is Ramesh Kannan here. On behalf of Kaynes Technology Team , I would like to welcome everyone to the earnings call for quarter 2 FY '26. Mrs. Savitha Ramesh, Chairperson of our Board; Dr. Muthukumar Narayanaswamy, our Managing Director; Mr. Jairam Sampath, our Whole -Time Director and CFO; Mr. Rajesh Sharma, our CEO; Mr. Sumit Verma, Investor Relationship; and MUFG IR, our Investor Relationship partner.

Let me begin with a brief overview of our financial performance for Q2 FY '26. Our total revenue stood at INR9,062 million, reflecting a year -on-year growth of 58%. Operational EBITDA for the quarter was INR1,480 million, registering a growth of 80% over the same period last year. This translates into an EBITDA margin of 16.3%, an -- expansion of 190 basis points year -on-year.

Profit after tax came in at INR1,214 million, representing a PAT margin of 13.4%. These results reaffirm that meaningful growth comes from the alignment of vision, strategy and disciplined execution, a balance that enables us to build capabilities, deepens partnerships and shape the future of electronics manufacturing.

As we are successfully transforming from being an electronic manufacturing service, EMS player to a fully integrated electronic system design and manufacturing, ESDM company with enhanced ownership across the product lifecycle. This integrated approach allows us to build deeper, longer -term relationships with global customers and deliver differentiated values. This quarter was a defining one for Kaynes Semicon and for India's semiconductor ambitions. At our Sanand OSAT facility, we reached an important milestone by successfully delivering India's first commercially manufactured multichip module, IPM5 in collaboration with Alpha &

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Omega Semiconductor and Mitsui & Company. This achievement is not just a technical breakthrough. It symbolizes India's coming of age in high -value semiconductor manufacturing. Our anchor customers, AOS and L&T Semiconductor represents the trust and confidence global and domestic leaders have placed in Kaynes' capability to deliver world -class solution at scale from India. These partnerships span multiple geographies and business ecosystem underscoring our role as a bridge between global innovation and India's manufacturing strength.

Further, our strategic collaboration with Infineon marks Kaynes' entry into MEMS -based true wireless stereo packaging, strengthening our participation in the fast -growing consumer and IoT

electronics segment. Together with Infineon, AOS, L&T Semiconductor and Mitsui, we are creating a powerful collaborative ecosystem that combines technology leadership, operational excellence and trusted global relationship.

Such partnerships are not just commercial alliances, they are building blocks of a new semiconductor ecosystem in India. They position Kaynes at the forefront of this transformation, enabling us to play a central role in making India a creditable, competitive and sustainable semiconductor hub of the world.

With the Sanand OSAT facility now operational and ramping up capacity, Kaynes is not only contributing to India's goal of semiconductor self -reliance, but also helping shape its journey to becoming a new global leader in advanced electronic manufacturing.

In continuation with our semiconductor journey, I did like to highlight the equally strategic progress we are making in the PCB manufacturing, the next cornerstone of India's electronics value chain. The recent government of India approval for our advanced PCB manufacturing projects, including Kaynes marks a watershed moment for nation's industrial and technological ambitions. It signifies not only policy support, but also India's readiness to lead the high -value manufacturing of critical electronic components.

Globally, the PCB market is projected to cross USD 100 billion by 2030, and India's domestic market alone is expected to grow at a 20% CAGR, driven by demand from EVs, industrial automation, defense and telecom sector. Within this landscape, Kaynes' upcoming multilayer HDI PCB facility in Chennai will position us to capture a meaningful share of its growth.

This expansion will not only reduce India's dependence on inputs, but also enable domestic value addition across the entire electronics chain from chip packaging to system assembly. The PCB often referred to as the backbone of electronics determines the reliability, efficiency and life of every device from a medical monitor to a satellite system. By localizing this capability, Kaynes is directly contributing to India's self -reliance and global competition in advanced electronic manufacturing.

As we stand at this inflection point, it is important to acknowledge that India's manufacturing journey has never been without challenges. There were times when global supply chains moved faster than our own, when policy and infrastructure were still catching up and when the world looked at India as a market, not yet as a manufacturing power.

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But time and again, India has proven its ability to adapt, innovate and rise stronger. Today, India is not only following the global trends, we are shaping it. We are moving from being participants in the global value chain to become architects of it, powered by policy support, engineering excellence and the new generation of companies that believe in India's potential.

At Kaynes, we see the transformation not just an opportunity, but as a responsibility to prove that world -class innovation and manufacturing can thrive in India at scale with global quality standards. The India story is no longer a promise. It is a performance and its momentum is only beginning.

As we reflect on another strong quarter, it is clear that growth becomes meaningful only when guided by vision and purpose. At Kaynes, our journey is driven by a single ambition to build a globally respected technology enterprises that powers India's transformation into a deep tech and manufacturing leader.

Before I conclude, I extend my heartfelt thanks to our investors, partners, employees and customers for their trust and support.

With that, I would like to hand over the call to Dr. Muthukumar Narayanaswamy, our Managing Director, to express his vision for the company. Thank you.

Muthukumar N. : Thank you, Mr. Ramesh, and good morning, everyone. I

It's really my privilege to join the Q2

earnings call on the back of yet another stellar performance by the company under the leadership

of our Executive Vice Chairman, Mr. Ramesh Kannan and the Kaynes team. I wish to brief about some of the important acts, initiatives that we have undertaken to bolster performance of Kaynes Technology as an excellent organization.

Our focus will be driving the company's transition from a service-led EMS model to a product-led ESDM-driven enterprise, as indicated by our Vice Chairman. As we look ahead, our focus will be on strengthening the execution backbone of the company through enterprise-wide systems, process harmonization and transformation frameworks that enable scale, agility and consistency across every Kaynes facilities. We are entering a phase where execution excellence will define leadership and Kaynes is poised to lead from the front.

Our priorities are clear, to drive significant improvements in productivity, cost and delivery while embedding a culture of total predictive maintenance across all sites. This will not only enhance asset reliability, but will also instill mindset of ownership, discipline and continuous improvement at every level of the organization. TPM is not just a process initiative. It's a way of thinking. It's a culture that ensures operational precision and sustainability.

In parallel, we'll undertake a structure program of business process restructuring and digital transformation, redesigning the workflows, integrating systems and leveraging the data to build a truly connected enterprise. The next frontier for Kaynes lies in IoT 4.0, a low-cost automation and advanced quality management system where real-time insights drive smarter, faster and more consistent decision-making process.

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As the cost of employee continues to rise, automation and data-driven optimization will be the key to maintain the competitiveness of our organization. Our approach will combine digitalization, predictive maintenance and process visibility to deliver better productivity, quality, cost, delivery, safety, morale and environmental performance, the 7 pillars of sustainable operations.

Importantly, quality today is no longer a differentiator with the base and being given taken for granted. What will set Kaynes apart is our ability to deliver quality with speed, reliability, cost efficiency and intelligence. We'll continue to invest in next-generation information systems, enabling better integration between manufacturing, supply chain and ensure agile customer delivery.

And as we advance this transformation journey, our aspiration is clear, to make Kaynes synonymous with operational excellence and execution leadership, setting the standards that others in the industry aspire to reach.

People define the strength of any organization. At Kaynes, we will focus on developing our talent pipeline and enabling more individuals to take on the leadership roles that shape the company's future. As the Chairperson and Vice Chairman continues to tell, Kaynes' focus will continue to be on customer. We'll stand as a customer-focused company.

We'll continue to focus on innovation and make sure that we constantly make improvements in every process, people and product. And of course, people are our key. So focus on customers, focus on innovation and focus on people will make this truly a world-class organization. I'm confident with our talented team, shared purpose and commitment to excel, Kaynes will continue to define the future of Indian manufacturing on the global stage.

With this, I'd like to hand over the call to Mr. Jairam Sampath to take you through the detailed financial performance. Over to you, Mr. Jairam.

Jairam Sampath: Thank you, Dr. Muthukumar, and thanks to everyone for joining today's call. As we start the new quarter, I'm happy to

share Kaynes Technology's financial results for second quarter of FY '26, and I will share with you the highlights of the same.

Our revenue stood at INR9,062 million, reflecting a year-on-year growth of about 58%.

Operational EBITDA for the quarter was INR1,480 million, registering a growth of about 80% over the same period last year. This translates into an EBITDA margin of about 16.3%, an expansion of 190 basis points year-on-year.

Profit after tax came in at about INR1,214 million, representing a PAT margin of 13.4%. Our current order book for Q2 FY '26, which stands at INR80,994 million compared to INR54,228 million in Q2 of FY '25.

Also, let me take you through our robust half yearly financial performance for the first half of FY '26. The total revenue for H1 FY '26 stood at INR15,797 million, demonstrating a year-on-year growth of 47%. Operating EBITDA came in at INR2,610 million, making it an increase of

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75% year -on-year and resulting in an EBITDA margin of 16.5%, an expansion of 270 basis points over last year for the first half. Profit after tax reached INR1,960 million, corresponding to a PAT margin of 12.4%.

These results underscores Kaynes' unwavering focus on maintaining industry -leading growth rates and best -in-class margins. Efficient working capital management, strategic supplier collaboration continue to drive the cash flow improvements and operational resilience, keeping us ahead in a dynamic industry.

Kaynes' journey in Q2 of FY '26 is marked by powerful synergies we continue to unlock through our backward integration into high -density interconnection PCB manufacturing and parallel integration into OSAT and semiconductor packaging. These moves not only streamline our production process and enhance the supply chain control, but also create margin accretive opportunities and deliver sustainable value to our stakeholders.

By connecting PCB and OSAT capabilities, we amplify innovation, operational efficiency and product quality, yielding cost advantages and enabling Kaynes to serve end -to-end requirements for high -growth verticals.

Inorganic expansion continues to be part of our strategic toolkit. Our integration of global businesses, especially August Electronics further adds synergy, accessing new talent pools, customer bases and high -margin markets. Kaynes is envisioning the future of the Indian EMS and ESDM industry, positioning itself not only as a leading manufacturer, but also as a core innovation partner driving technology transformation.

We are building capabilities that extend beyond traditional manufacturing to encompass embedded systems design, advanced prototyping and seamless integration across electronic systems. This forward -looking approach enables us to co -create next generation of products with customers, delivering holistic end -to-end solutions that are agile, scalable and innovation -led. With our expanding expertise and technological depth, Kaynes is set to shape the future landscape of India's electronics sector, empowering it to be a global hub of engineering excellence and product innovation.

With this, I complete my initial remarks, and I would like to place on record my heartfelt thanks to the Axis Capital team for hosting this earnings call. I'd like to thank all the participants for committing their valuable time; on a holiday, especially; for attending this call.

So I hand it over to the team for -- to the Axis Capital team for creating the question list, and then we are all here to answer them. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Deepak Krishnan from Kotak IE.

Deepak Krishnan : This is Deepak Krishnan from Kotak. Maybe just a couple of questions from the cash flow perspective. We still see receivables are up

, say, INR600 crores. And in the other current assets,

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we've not seen a major decrease. So just wanted your thought process in terms of how do you see operating cash flow by the year -end and also the status of the INR300 crores smart meter receivables?

And maybe just 2 other bookkeeping questions. We've seen a substantial jump in other income this quarter and other expense going down. So we understand part of the other income is the QIP income. But other than that, are there any gains in other income or any sort of reversals in other expenses, if you can sort of clarify all these 3 points?

Jairam Sampath: Sure, Deepak. Thank you for attending the call. So firstly, regarding the cash flow, we're completely aware. One, we made a small breakthrough of -- which we have been talking about whenever we have met you all, which is the other noncurrent assets which represents receivables not due, but to be paid over a longer timeframe by the customer.

So we have done experimentally about INR60 crores of such discounting this quarter. And we've been successfully able to do that in documentation, etc. So that's off our books right now. So we hopefully, next 6 months, we will remove the remaining old legacy receivable, which is not due and we will take it off the balance sheet. So that's one thing which will give us a good -- close to about INR300 crores of money into the system.

And if you see the operating cash flow is negative at about INR180 crores or so, could have been perhaps mitigated if we had done this exercise this quarter itself. And we are pretty confident that as the second half goes by the volumes also will increase dramatically, more than 50%, 60% of the first half volumes. And so we think that we'll be able to give you a -- significant positive

OCF by the year -end.

As far as the other income is concerned, -- these are the QIP proceeds that are yielding some interest. And other expenses, there are no major things to report by. It is just a part of normal course of business. So these are the few clarifications to your questions. And...

Deepak Krishnan : Yes, just on the copper clad laminate, if you could sort of help us with the unit economics of that? How much of that would be sort of captively used? How much are we looking to sell external...

Moderator: Sorry to interrupt Deepak , if you have a follow -up question, please rejoin the queue.

Jairam Sampath: Okay. We will come back to you, Deepak. Anyway, thanks for the question. Next question.

Moderator: The next question is from the line of Saksham Mongia from Dymon Asia.

Saksham Mongia: Sir, I have just one question. We were not able to maintain the guidance for this quarter and the same situation occurred in one of the previous quarter last fiscal year as well. So could you please share the full year guidance and what gives the company the confidence to achieve it?

And also what are the strategic steps that are being taken to ensure that we meet our guidance?

This is for Jairam, sir?

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Jairam Sampath: Thank you for this question. It's an important question. See, fundamentally, we look at -- ultimately, at the end of the day, what matters to us is long -term sustainable profit. And that is driven by long -term sustainable profitability of all products across all verticals and also a good healthy order book.

Yes, -- between quarters, there are some small, let's say, ups and downs in the execution of orders, which is driven more by some supply chain -related problems and so on and so forth, which we are also nailing down.

But if you look at our order inflow, see the total order stood at about INR8,000 crores or so. And the monthly order inflow has gone up compared to the first quarter, which is what defines actually the health of the business. And so

an upswing in that essentially means that there is a good strong reaction from the customers.

So if there are some small tweaks to be done with our supply chain and all that and make sure that we start delivery. So quarterly basis, you might see some little dips here and there, but we are pretty confident that we will hit the annual number for our profits as well as operating EBITDA and broadly reach the revenue targets also that we have mentioned.

As you know, this quarter, we have also integrated August Electronics. And I'm happy to tell you that they also have quite, as expected, a robust business with profitable customers. And as I speak to you today, one of the very large companies in the world, they are visiting our facility in Chamarajanagar to qualify us. And those of you whom I have met earlier, I have mentioned to you that we will do Industry 4.0 equipment, the RF testing equipment for these chaps.

So the business is pretty strong. Profitability is on the upswing, it is not nearly in one particular area, it is in all the areas. In fact, across the verticals, we have had gross margins sustaining up and showing up. In fact, this year, this particular quarter, we had a somewhat smaller percentage of industrial and still the total profits went up because of operating leverage. So we continue to do that. And in the second half also, you can expect this trend to continue. Next question.

Moderator: The next question is from the line of Pranjal from Morgan Stanley.

Pranjal: Sir, my question is on the recent projects that we have won on the bare board PCB. So if you could just kind of highlight in terms of are we looking for any technology collaboration here and what the indicative equity proportion could be with the tech partner? And any ballpark margin guidance that you could kind of elaborate in terms for the HDI capacity that we are kind of setting up?

Jairam Sampath: Yes. So firstly, margin guidance, I cannot give you at this point in time, just the factory is just coming up. But suffice it to say that it's definitely going to be higher in terms of whatever the total consolidated margins there are. In fact, significantly higher than this. And also the approval that we have got is for the second phase of our expansion into the PCB for which we are in the process of -- we have received the government order for the , capital subsidy.

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So the first phase of this particular thing, we are doing it in Chennai, Oragadam; and the second phase for the balance for which the Honorable Minister for Information Technology and

Railways had issued us the government order. So that is being done down South. And we do think that -- this has been done after scrutiny of our proposal by the government, both in terms of technology as well as in terms of its ability to deliver fast. And we are happy to tell you that on both counts, it has worked very well.

We are attempting the largest scope in the PC board, especially in tune with the PCB requirements of the future, which are likely to be high -density multilayer flex boards and so on. So from that perspective, we have put together a capex for the first plant. Firstly, we will start with multilayer boards. We are attempting to do up to about 76 layer boards.

And then secondly, -- concurrently, we'll implement the flex board and then, of course, the high -density interconnection. So there are many customers. We have about 16 customers who are having strong interest. And we think that by the end of this year, the plant should be ready and at least the Phase 1 in the Oragadam area.

And once that is ready, then maybe some customers approvals also will be there, and we'll start shipping like I have communicated earlier from the month of April onwards. And we are also covered under, as you know, PLI scheme. So we'll have a clear 6 years of coverage unde

r the

PLI.

And as we get a little more confident and the capacity ramp up in the Oragadam Phase 1 plant, we will start off the Phase 2 plant. We have about 3 years' timeframe to complete that activity, and we are pretty confident that we will do that. And so with this, what happens is we hold, let's say, the distinction of being able to be self -sufficient on copper clad laminates, prepreg as well as the PC boards, especially in the high -tech area.

And as you know, Kaynes Technology is also a user of PC boards, almost 10% of our total sales money is spent on PC boards. So we hope to get some important cost down because of being able to manufacture the high -tech PCBs ourselves.

And as far as the collaborators are concerned, there are 2 ways in which we are handling this.

One, the machinery manufacturers already, we have placed orders on the machines, and they are setting up the line.

So it is pretty much like we set up the line, we achieve the process parameters off -site at the machinery manufacturers premises in whichever country they are in, and then we just tranship this entire thing. So we don't do a development of the process here. We do development of process and the high -tech conditions with the experts, material science experts and machinery experts .

What we focus here right now is to do the design and all of those things. And the once we become experts in reading the customers' drawings and making sure that we can make the value additions as required, all the machinery is getting transplanted here to Oragadam in the Phase 1. And then

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-- from the day 1, we are pretty confident that we'll have a very high yield and we -- capability - wise, it will not require several years to actually develop.

So this is the method that we are using, developing the technology with the experts and then transplanting the technology. Also in the process, we are also making sure that we do the software part of it. Sorry about the long -ish explanation, but this is a technical subject, so I didn't want to miss out on any details here.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life Mutual Fund.

Naushad Chaudhary: Just one clarification, sir. This quarter, margin has gone up. But at the same time, we can see the working capital parallelly has gone up for us. And given the nature of the business, should we see this going forward, if we try to push or optimize working capital, we have to compromise on the margin as well. So this is the clarification I just wanted?

Jairam Sampath: Thank you, Naushad ji. Thank you for the question. This is the question that all of us after the call will actually be addressing 24/7, we look at this particular issue. But it's good news also because most of the inventories have been acquired during the latter half of the quarter. As you know, the order book is also kind of filling up quite fast.

So we need to make sure that because of supply chain glitches, we don't miss on delivery. So we are going a little more cautious here. We do more than required amount of inventories somewhat, and we don't curtail. But of course, we try to look at the optimization through vendor -managed inventory for which our President of Supply Chain has been tasked with this job.

And this quarter, he'll come out with a definitive plan. I've been talking about it, I think last time I met some of you and you also -- I have mentioned to you. So we have not taken any benefit of the vendor -managed inventory, which is basically the distributors keeping stock on our behalf in India so that we can rid the burden of us for at least a reasonable period of time, 2, 3 months

kind of thing.

So hopefully, we'll succeed there. So we are quite pleased with this thing and the increase in inventory is a reflection of strength of the business actually at

this point in time. And hopefully,

by end of this year, we will bring it down to the kind of numbers that we are talking about in terms of working capital days, net working capital days.

So we have 2 items which we focus on, of course, inventory and receivables and answer to the first question from Mr. Deepak, I had mentioned to you that some small portion about INR300 crores, we'll try and get rid of by discounting and getting off the books.

And so that plus this VMI vendor managed inventory nearby, you will see a significant improvement by the end of this year on our working capital performance, which has been of concern to a lot of people saying that, are you consuming more resources than generating the cash? So we will have positive OCF, and we'll have lower net working capital by the end of this year.

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Naushad Chaudhary: Without compromising on margin?

Jairam Sampath: No, no, of course, not. Of course, not. We ultimately have to make money, yes.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first question is on the order book. So this close to INR8,000 crore's order book, does it include any orders from the OSAT and PCB segment as well? or this is purely EMS? So first clarification on that?

And second, sir, on the investments on the OSAT and PCB side, would you probably broadly highlight how should we expect the investments to be over the next 3 years? And by when is the subsidy element expected to be sort of received, both from center and state?

Jairam Sampath: Yes, Siddhartha ji, thank you for the question. See, firstly, this order book does not yet contain the orders that we have the LOIs and orders and contracts that we have executed in OSAT. Once we start commencement of operations there, we'll certainly start maintaining that and start reporting that too.

But suffice it to say that almost 60% of the capacity is already committed by large players, and they have actually gone on record in public itself to say that. There are people like Alpha & Omega Semiconductor, Larsen & Toubro Semiconductor, also Infineon. And like I said, there is a list of another 14 people who probably want to work with us.

We are being a little selective because as I have been explaining earlier, we want our product portfolio to be profitable. So we don't want to fill it up with just the legacy or low-end work. We want to also add a medium range of advanced packaging as well as the cutting-edge or leading-edge technology of silicon photonics, co-packaged optics and things like that.

So that's the thing. We'll add the order book maybe by the end of the year, we'll probably talk about the order book on this business. As far as PC board is concerned, the INR1,400 crores was taken care of by the QIP 1. And then the expansion of that basically will lead to copper clad laminates and prepreg plus one more PCB factory down South near Tuticorin.

And so for that, we are preparing the detailed project report right now because now we are clear about the government incentive and the government's capital subsidy that is coming in. So we should probably shortly have that ready.

But it's our as a broad guidance, I can tell you that the PC board factory in Chennai will start generating cash in a couple of years' time, and that cash will be sufficient to start our equity infusion into this particular project. And with some small bridge loans, I think we should be able to complete this project unless we increase the scope further.

That is as is government has given us approval of about INR3,700-odd crores of capex. So I think we should be able to do this on our own steam with a mix of internal generation of cash as well as some small bridge debt. And so that's how we look at it, Siddhartha ji.

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Moderator: The next question is from the line of Bhavik Mehta from JP Morgan.

Bhavik Mehta: One question I'm asking that is capex of around INR840 crores in 1H. So how should we think about the full year capex this year and next year? And just a clarification on that, is this a gross capex or does this include the subsidies issued by the government also this is like a net number?

Jairam Sampath: Yes. So the subsidiary the subsidies issued by the government for the ECMS scheme, as you know, this is about 25% and state government also gives state government number is broadly it is confidential between us and the state government because we enter into an agreement with them.

But let me put it this way, total equity that we have to bring in is about 30% of the total capex only. And so for INR1,400 crores, we have already done the finance planning. For the remaining INR2,300 -odd crores, and perhaps there could be scope increases later. So we have to bring in about INR600 crores to INR800 crores of money from an equity perspective, which we are quite confident that from year 3 onwards of our Kaynes circuits. every year, we do about, let's say, about 15% of our sale as probably the operating cash flow, if not more.

And because these are mostly large customers, export customers and high -yielding products. So we should be able to finish our equity contribution in 2 to 3 years' timeframe at about INR250 crores, INR300 crores per annum. And so that will give us also compliance with the government's requirement that we should complete the project in, let's say, start with the next 3 years and then complete it in the next 3 years thereafter.

So from that perspective, we don't see any challenge in terms of being able to fund this. Of course, this is all assuming that the scope remains the same, suppose if scope considerably improves, then we'll have to think about how to do this further because the demand is pretty strong.

We have not yet completed full assessment of what customers require. Many of our customers by themselves are willing to underwrite the entire capacity. So we are continuing with a different type of an issue. But on an as -is basis, we don't have any financial issues at this point in time.

Moderator: The next question is from the line of Sameet Sinha from Macquarie.

Sameet Sinha: So I just wanted to put a near -term get a near -term perspective, you're talking about INR4,500 crores in revenue for the year. Can you talk about the interplay between the different verticals? It seems like autos were probably a little lower than what we had expected. How do you think about railway? Where does that play? We saw some new stories yesterday about some rollout of Indian Railway, Vande Bharat trains being slowed potentially. And then if you can also, in that same context, talk about smart meters and aerospace, which is supposed to be a big second half driver?

Jairam Sampath: Thank you. Sorry, So the post listing, our growth was driven by automotive and electric vehicles and industrial now. And as we prepare to start serving customers in aerospace, defense and also our own products in railways, so the quantum of, let's say, business in these 2 segments

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will go up, the railway electronics as well as the Kavach program has already been announced by government and they cannot not do it.

So that's, as you know, 68,000 kilometers are there. And the TAM, if I were to make an estimate of TAM, it's about INR50 lakh per kilometer. So it's about INR34,000 crores of business out there. Not all of it will get done immediately. It may take 5 to 7 years' timeframe for the government to identify the priority sectors, trunk lines based on passenger movement, etc . So we expect Kavach, our own product actually has been made and then we have supplied, it's

approved and so on. So hopefully, we'll do some reasonable amount of business this year itself. And then there are other things like we are working on the railway network safety, etc. That has also made some good progress, and we'll probably get some traction there.

And also our traditional business, which is the electronic interlocking through our major clients has also seen an uptick during this quarter. So we think that, that will continue further. So we don't see any slowdown. In fact, as a percentage of total revenues, the railway percentage will be much higher this year compared to last year.

Similarly, for aerospace defense also, we have made just a small beginning in terms of getting approvals, etc. So hopefully, by the end of this year, when the final approval comes from our major customer in the U.S., so we should probably that percentage also will see an upward trend this year. And next year, it will be a significant increase.

Similar thing has happened in the IT space, wherein we are getting more orders on the high -performance computing servers. And so that is also likely to be a bigger chunk of business. And as you know, in the industrial area, we do have smart meters, but smart meters is kind of a steady run rate business.

So in terms of percentages, the other businesses, once they start picking up, the smart meter will kind of remain steady. And we do have a fairly good, let's say, order coverage in this area. So over the next 5 to 10 years' timeframe, of course, we plan to do significant amount of business in this particular area.

But suffice it to say that -- and the automotive, as you rightly pointed out, automotive sectors are sectors which let's say, they respond to the cyclicality in the market. And so -- but we have not fortunately, for us, due to the rationalization of GST and all that and that fillip that was given by the government recently, so we got benefited. And in fact, now there is a lot of traction and there's a lot of push and most of the customers here at our doorstep trying to make us supply material. And as you know, we had acquired one of the largest, I think biggest Top 10, maybe third largest Tier 1 in the world. I had talked about it earlier on. And so, we have now very good demand from that particular company. Similarly, there are new companies with whom we work in the areas, domestic companies also. The other advantages I want to bring to attention of people is that many of these companies are also asking us capacities for indigenous component manufacturing, starting with PC boards and

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so on. So as I see, there is a dual benefit here. One, let's say, bonding with the customer in terms of larger value addition and then also better profitability for us because we go deeper into the value chain.

So as we go forward, we expect automotive to grow at the rate of growth of our company's growth rate, which will be anywhere around 50% plus/minus, you can take. Similarly, industrial will also grow, but in the industrial segment, there are other segments other than merely the industrial and EV, there are other things than the smart meters, etc. So they will also start growing. We have started getting orders in those areas, too.

But suffice it to say that I think that will also remain a primary sector, around 40% -ish of our total. Similarly, our automotive is about 26% of our total. And we hope to get into 2 -digit number for railways, electronics and then, of course, for the aerospace, defense, we will come nearer to this 10% number in a couple of years' timeframe.

We already are about 12% in the IT and IoT and space. And of course, we are also doing some high-end consumer work, which is not the appliances of like the TVs, etc., but something else, something a little different, which is more high-tech for export markets.

So we t

think that this portfolio is reforming itself back to the original number so that the combined profitability or the blended profitability will also get an upward trend in addition to getting operating leverages. So we are pretty confident that we should be able to match not only revenue growth, but also the profit.

Moderator: The next question is from the line of Akhilesh Bhandari from North Rock Capital.

Akhilesh Bhandari: So firstly, on the receivable part. So even if I adjust for the INR300 crores of the financing, which you're looking to do, on a trailing 12 -month basis, still the receivable days would have increased by around 15 to 20 days. So even ex of that, we are seeing a receivable increase. So any thoughts on this, please?

Jairam Sampath: You're right. There is a skew of billing towards the end of the quarter typically. And it's like 1, 2, 3, so is the billing within a quarter and then 1, 2, 3, 4 is within the year for the respective quarters. These are affected by 2 things. One is cyclicity of business and orders, etc., and also push by our customers.

So everybody wants to achieve quarter end numbers and so on. So a lot of business gets done in the last month. So we are trying to work on 2 fronts. One front is, of course, taking care of the older numbers so that we free up some cash.

And then the second one is we are also working with the customers themselves for some kind of an invoice assignment and discounting so that the burden of the customer and company comes down. That means the moment we deliver, we would like to collect that. So this also helps us in terms of making sure that all monies are collected and there are no troubles.

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So we are aware of this. We are trying to get rid of this extra 10, 15 days. But there will still be cyclicality always quarter end, especially as we go forward, the March end will be probably pretty strong billing. So you will see this a little bit of trend for the next couple of years or so.

But having said all of that, we still want to bring down the net working capital. So we'll make sure that we will have financing solutions, plus also we'll make sure that the vendors chip in so that we can control the inventory. So that as a bucket inventory receivables can be controlled. And then payables, I think we are maximum whatever we can extract is there.

We don't want to do an additional, let's say, extraction of number of days from our suppliers because, as you know, price sensitivity comes into picture. So whereas many of our peer group companies, et c., they all talk about 6 months payables, et c., but we don't do that.

So yes, so we are sure that even though there are these increases in receivables, we will compensate by reducing inventory. And by the end of the year, we will make sure that we get to a lower number than even FY '25 number, much lower number in terms of net working capital days.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, just following up on the question on receivables. So I understand that the receivables that we are seeing on the balance sheet are not including this INR300 crores, INR350 crores of deferred receivables because that's residing in other noncurrent assets. In that context, there's been almost like INR550 crores, INR600 crores of increase in receivables, even higher than the revenue increase that we have seen.

So just wanted to get your take on that? And how should we think about it going forward? And also just a related question that in the cash flow, we can see that there appears to be a provision for doubtful debts of around INR55-odd crores. So what is that in respect of? And if we adjust for it, then margins look even better. So how should we think about margins as well?

Jairam Sampath: So see, about receivables, I gave a kind of detailed

qualitative approach to the previous question

itself. So like I said, the last month of any quarter is a bit heavy. So what happens is most of the customers give us 60 days and plus 60 to 90 days kind of payment term. Some are 30 days, of course. So 30 to 90 days payment term.

And so the profile of customers we are billing in the last month of the quarter is towards 90 days, then you will have a larger than usual amount of receivables coming in. But 2 methods we are using. One method is, like I said, all the new customers which are coming in, which are larger customers, whether it's a large Tier 1 or large U.S. customer or something, they have already designated bank

Jairam Sampath: Okay. So like I said, all the large customers and large businesses going forward, we will make sure that discounted with the customers' bank or customers' financing agency. So we have registered with JPMorgan, we have registered with other banks, et c. And hopefully, by the time

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FY '26 is completed, I think we will have onboard at least 20%, 30% of very large customers whose receivables will probably not stretch up.

So one is and then second is, of course, the legacy receivable of which is receivable but not due, which is sitting on other noncurrent assets. We are trying to make sure that we have found a method now. So we should probably by end of the year discount it off and get it off the balance sheet.

So these are the 2 methods we are making sure that we and on the improvement front, what happens is if we ship to the customer evenly, so that has something to do with improvements in terms of our ability to ship evenly. So even within a month, first week to fourth week, there is an increase, right?

So we are trying to see whether from day 1, we can ship material, which is, let's say, required by the customer rather than wait for the end of the month. So these kinds of things will probably reduce our receivables and also inventory directly by about 5 to 10 days net.

And in addition to that, of course, the other methods of VMI plus a customer-led bank discount and then, of course, factoring of our books. So these 3, 4 methods we have to make sure that by the end of the year, you will probably see some reasonable improvement in this front.

Aditya Bhartia: Sure, sir. And provision for doubtful debt that we are having of INR55 crores?

Jairam Sampath: Yes. So what was the question on the provision? I missed that

Aditya Bhartia: So sir, on the cash flow side, in the cash flow statement, we can see that there is a provision of doubtful debts of around INR55-odd crores that we have created in this first half. So I wanted to understand what is that in respect of? And if we adjust that, then it means that margins could have possibly been higher by even another 3%-odd? So just wanted to get your perspective on margins as well?

Jairam Sampath: Yes, yes. No, no. Obviously, the conclusions are right. They are arithmetically correct. But the fundamental thing is the provision is driven by accounting policies, okay? Whereas just because we provide for it doesn't mean that we don't go and collect it. So we have done a lot of old collections and so on, too, though we may have provided for it and so on. But our auditors will have us provide for debts which are aged and for some reason, uncollected debts, et c. So that's the thing.

And going forward, we'll reduce this also. See, the improvement in receivables means that

essentially current collections should be highest and the old collection should not be there at all. Old collections should have been collected. So that's possible, I like I said, through systemic method. One method is, of course, you improve the evenness of billing. The second method is you make sure that you discount it with the customers' agency because then there is nothing it just

goes off the books. He received the material, he pays us the money. Of course, we have to provide for some little cost of that in our costing, which we are able to do.

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And third is, of course, some of these things odd cases like the other one, which was there, we have to approach some financing agencies and which we have done. We have done about INR60 crores of such, such discounting and it is off the books right now. So similarly, we will do that for the remaining "legacy" which is receivables not due, but sitting in other noncurrent assets. So that also we will do.

So yes, you are right. I mean, it's like an accounting treatment, let me put it this way. So once we collect anyway, we write back the provision. So instead of getting the profit today, we'll get the profit tomorrow. There's no loss because of that.

Aditya Bhartia: I completely understand that.

Moderator: The next question is from the line of Nirranish Jain from BNP Paribas.

Nirranish Jain: Sir, one clarification. So the document said that we have fully utilized the INR850 crores QIP proceeds for the debt repayment. But sir, why is it not getting reflected in our debt reduction in the balance sheet and cash flow? And secondly, I wanted to check on the revenue guidance. Do we still hold at \$1 billion revenue guidance by F Y '28 and \$2 billion by FY '30? And if you can give a rough breakup of this incremental \$1 billion we expect over 2 years in FY '29 and '30?

Jairam Sampath: Yes. The second question is easier to answer. There is good traction and there is good momentum in the business. So \$1 billion by FY '28, certainly visibility is there, and we are sure we'll do it. And you and I will discuss of course, the profile, et c., I can't tell you without I mean, there are lots of confidential agreements, et c., but you can look at the way in which the order inflow is there. So, we really think that yes,

Jairam Sampath: Okay. And so that's the first second question. The first question is whether debt reduction, et c., what has happened, etc., why it's not reflecting. I can probably write you, Nirranish, the full math and share it and it's all there actually, but I just probably need to point out point to you exactly where it is and so on.

So there is a reduction in debt. And of course, the increase in debt is corresponding to the increase in inventory. That's what we are saying that we will make sure that the inventory increase does not happen at our end, but we ask the supplier to keep it so that we don't have to borrow and fund it. So that's something that we are working with our President of Supply Chain, and he has promised that this year -end, we will have a significant amount of material being kept by suppliers. But otherwise, there's nothing untoward, we will probably send you a calculation on this, not a problem at all.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question for today. I now hand the conference over to the management for closing comments.

Jairam Sampath: Yes. Thank you very much. Very nice questions. And so we'll get back to you. You can always call us me, Sumit. And if there are some substantive issues, questions, some calculations, we can always share with you. Of course, those in the published domain only I can share. So we'll try and explain to you through data which you already have.

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Thank you, everybody, for taking time off during the holiday time and look forward to meeting all of you sometime during this quarter. Thank you. Bye -bye.

Ramesh Kannan: Thank you.

Moderator: Thank you very much, sir. On behalf of Kaynes Technology, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Dec 2025

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

Website: www.kaynestechcs.com Email ID: kaynestechcs@kaynestechcs.com

H.O & Regd Office : 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 , Karnataka, India

Telephone No: +91 821 2582595

December 12 , 2025

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Scrip Code – 543664 National Stock Exchange of India Limited

Exchange Plaza, Plot no. C/1, G Block,

Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

Scrip Symbol – KAYNES

Dear Sir/Madam,

Subject: Business Update Conference call transcript of December 08, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Business Update Conference Call, conducted on Monday, December 08 , 2025 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechcs.com/doc/Regulation-46-of-sebi-lodr-regulation/Business%20Update%20call%20transcript-%2008.12.2025.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,

For Kaynes Technology India Limited

Anuj Mehtha

Company Secretary & Compliance Officer

ICSI Membership No. FCS 13802

Enclosed:

- Transcript of the Business Update Conference Call

December 08, 2025

MANAGEMENT : MS. SAVITHA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAMESH KUNHIK ANNAN – EXECUTIVE VICE
CHAIRMAN – KAYNES TECHNOLOGY INDIA LIMITED
MR. MUTHUKUMAR NARAYANASWAMY – MANAGING
DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED

MODERATOR : MR. NIKHIL KANDOI – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Kaynes Technology Business Update Conference Call hosted by Axis Capital. As a reminder, all participant lines should be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nikhil Kandoi. Thank you and over to you, Mr. Kandoi.

Nikhil Kandoi: Thank you, Re nj. Good morning, everyone. On behalf of Axis Capital, I would like to welcome you all to the Business Update con call of Kaynes Technology India Limited. We have with us the management today, being represented by Ms. Savitha Ramesh, Chairperson, Mr. Ramesh Kannan, Executive Vice Chairman, Mr. Muthukumar Narayanaswamy, Managing Director, Mr. Jairam Sampath, Whole -Time Director and CFO.

Now, I'll hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thank you and over to you, sir.

Ramesh Kunhikannan : Good morning, everyone. On behalf of Kaynes Technology team, I'd like to address certain observations that have been raised around our disclosure and accounting presentations. I wish to address all our stakeholders, shareholders directly and unambiguously.

We acknowledge that a few disclosures required clearer clarification and articulation. These were errors in reporting of disclosure in notes to accounts and not lapse of intent, governance or conduct. The management acted immediately.

We issued a detailed clarification addressing every point raised. And we have already begun strengthening our internal compliances, audit review processes and disclosure checks to ensure such instances do not reoccur. Let me reiterate this firmly that there are no governance concerns and no underlying deterioration in business.

Kaynes has always operated within a framework of strong ethics, transparency and accountability. And this remains non -negotiable. At the same time, the company continues to be deeply focused on its long -term growth roadmap.

Our OS AT initiatives is progressing well and position s India meaningfully in the global semiconductor value chain. Our high -end PCB program strengthens domestic manufacturing in a largely imported independent category. Working capital normalization measures are already underway and expected to show visible improvement going forward.

Kaynes remains a structurally strong story with significant headroom for value creation. Our growth drivers, strategic directions and execution momentum remains solidly intact. From here onwards, my team will present the detailed clarification and all observations.

Jairam Sampath : Thank you. A very good morning to all participants. Thank you for joining in so early on a Monday morning. So there were some observations made for which we have already published

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some of the answers on top questions. And then I would like to just quickly focus on those which we thought we require reiteration.

So one of the first items was that Iskraemeco's high contribution revenue profit is noteworthy. So Kaynes reported FY25 revenues of 27.2 billion, 51% year -on-year increase. And he has put some exhibit.

This gentleman who has done the analysis and slightly below the guidance, I did by consideration of Iskraemeco smart metering business for six months and so on. I'm sure you have this report already available with you. So one of the first implication, now these are not facts, but these are implications made by the analysts.

It says my 28% net margin, second half FY '25, which looks high for smart metering business.

Now the H2 FY '25 net margin is only 9% actually, the revenues of INR5,327 million and PAT of INR489 million. So the 28% margin cited appears incorrect.

The second question, the second observation, second implication, because he's only said this implies INR483 million loss in first half reconciled with the full year profit of INR6 million.

This is context of a profitable FY '24, no evident cost drivers in first half FY '25 for such a swing. We should understand that the H1 FY '25 loss is driven by a combination of factors.

First is significantly lower revenue, which is about INR85 crores or INR851 million, while fixed costs have been remaining largely unchanged. Second thing is provision arising from Kaynes due diligence, including inventory write-offs. And third thing is broader corporate cleanup and other adjustments.

So if these questions were probably asked to us in advance, and then the implications that the analyst has actually written were stated, then we could have made this correction. But unfortunately, I think these implications were stated without full understanding of the facts. A payback period of less than six months for Iskraemeco acquisition.

Yes, the erstwhile parent was a global enterprise that chose to exit India as a part of its strategic shift to other regions. Since they were unable to set up full-fledged operations in India incurring significant losses, they were unable to commence metering delivery in large scale. Kaynes had always been a supplier partner since Iskraemeco's India entity, and hence Kaynes was able to strike a bilateral deal and negotiated the same at an attractive price.

Goodwill recognition and reserve adjustment acquisition ambiguous. Now, the word ambiguous is written by the report. There is nothing ambiguous about it, though. Kaynes, the report goes on to say Kaynes acquired Iskraemeco in Sensonic in FY 2025 on a consideration of INR883 million, recognizing a goodwill of INR1,140 million or INR114 crores. And he's put some exhibit there. We observe that the consolidated balance sheet does not show a corresponding increase in goodwill.

Instead, it reflects a net negative adjustment of some amount in net capital reserve, etc. So you've seen these comments. So she notes, so the response to this is in FY 2025, the company made

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two acquisitions, namely Iskraemeco and Sensonic, which resulted in capital reserve of goodwill and goodwill respectively on these transactions after assigning values to the net identifiable, identified assets as part of the purchase price allocation exercise carried out as required under the Ind AS 103.

As far as the acquisition of Iskraemeco is concerned, the identified intangible asset customer contract was an amount of INR115 crores or INR1,150 million, which is recognized under the block technical know-how as a significant factor for design, implementation know-how, hosting, and communication package for smart meter. Further, the table below provides a detailed goodwill and intangible assets recognition. We'll be publishing this particular thing post this call. But broadly, it says net assets, I'll take column by column and then the total so that you will get to know the actual calculation. So, let's say for Iskraemeco, the net assets were minus INR198.65 million. Consideration was plus INR429.86 million. So, the total amount was plus INR628.51 million. Intangible assets recognized were INR1,150 million. So net goodwill or capital reserve in consolidation was minus INR521.49 million. The same for Sensonic was net assets were minus INR58.22 million. Consideration was INR452.95 million plus. So total amount of INR511.18 million, which flows directly to net goodwill or capital reserve in consolidation. So, when we total these two lines, the net amount for net assets is minus 256.87 million.

Cons

ideration was INR882.81 million. The total amount stands at INR1,139.69 million.

Intangible assets recognized were INR1,150. We have already described earlier what these are

meant for. So the net goodwill stroke capital reserve in consolidation was about minus INR 10.31 million.

In the acquisition of Iskraemeco, the difference between consideration paid and the net assets acquired was credited to capital reserve. And this was due to the fact that we recognized intangible assets, that is, customer contracts, as part of the acquisition as permitted by the paragraph 13 of the Ind AS 103, business combinations.

In the acquisition of Sensonic, there was no specific intangible asset acquired. And hence, the difference between the consideration paid and the net assets acquired was accounted as goodwill.

The paragraph 17 of Ind AS 1 states that the entities shall present information including accounting policies in a manner that presents relevant, reliable, comparative information.

It was felt that there is only one applicable accounting standard for acquisition, and it would not have been relevant to present capital reserve as part of one acquisition and goodwill as part of another. Due to this, these have been netted off to present the financial statement in a relevant and reliable manner.

The second observation that has come out in the report is no corresponding value adjustment disclosed on acquisition and is cited from Exhibit number 5 or something. To that, our assertion from the company side is the comparison basically is incorrect. The payment of acquisition of subsidiaries is disclosed on a separate line item in the stand-alone financial statements only. The consolidated financial statement, all assets and liabilities acquired are included in their respective categories during the consolidation process and reflected within the corresponding

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movement in the net cash flows. And then there are some mentions of reports and significant additions in tangible assets for technical know-how in FY '25.

This is just an observation which says Kaynes capitalized INR1.8 billion, that is 6.5 % of revenue as additions under technical know-how and including designs and prototypes of FY 2025. He cited some exhibits, INR141 million was R&D expense, etc etc. Balance in our view is likely to be prototyping costs. So, we can't comment on his view because this is not based on facts, but we can clarify here from our side, company's side.

Intangible assets recognized in FY '25 comprise the following. One, INR1,150 million of customer contracts arising from the Iskraemeco acquisition classified under technical know-how as the key component related to design implementation know-how, hosting and communication package for smart metering. INR260 million for development and costs related to the acquisition. And then remaining capitalization attributable to in-house R&D for the development of proprietary products. It would not be appropriate to compare intangible assets arising from a business combination with recurring R&D capitalization.

Then the report published by Kotak Securities talk about disclosures for related party transactions balance inconsistent. And as they have said, we have observed inconsistencies in disclosure made by stand-alone entities and various subsidiaries, etc etc. So, this related -- our response is as follows.

The related party transactions were appropriately eliminated and consolidated financial statements in accordance with Ind AS. The oversight pertains solely to the notes to the stand-alone financial statements in one of the companies, but the disclosure was inadvertently omitted.

The underlying financial statement and schedules themselves were correct. So, there is no inconsistency actually speaking. It was just a small error of typographical nature in one of the

subsidiary financials.

The disclosure has since been rectified and noted for future compliance. Transaction was recorded in both the entities. The observation on aged receivables pertain to dues between parent and subsidiary firm. Given that these are intercompany receivables and payables, the standard credit periods are strictly adhered to as these balances do not have any impact on the consolidated balance sheet as these are eliminated during the consolidation process.

Then there is a comment on rising CCC, dense OCF, cash conversion cycle, dense OCF post interest, high capex for OSAT, PCB, raise on FCF. Now he's talked about Kaynes operating costs, cash flow post interest stood negative at 0.9 billion in FY '25, primarily due to working capital requirements and he's talked about some Exhibit, etc etc. The consolidated cash conversion cycle increased by 22 days to 157 days, etc etc.

So our response is as follows. Firstly, the working capital intensity is typical to the EMS industry and multiple initiatives are underway to improve it, including collaborating with onboarding large customers into supply chain finance program, leveraging factoring and bill discounting and driving inventory optimization. The second aspect is capex requirements are long-term in nature

and are only adequately funded through equity with capital subsidies expected to start flowing for capex is already incurred.

And third one is the, our response is the net working capital cycle inventory days plus receivable minus payable days calculated as per ICA I guideline. Note that guidance note is 87 days in F Y '25, up from 83 days in F Y '24, increase of four days year -on-year. Traditionally, the inventory days calculated report appear to be based on cost of sales, whereas the report stated definition is based on revenue.

Then there's a comment on elevated capex plan spending , grant timelines may influence funding and capital allocation strategy. And then , of course, he's written a few things. Some of them could be facts based on published data.

Our response is as follows. First balance requirement for OSA T INR10.3 billion will be funded through QIP and spent amount of about 3.8 billion and balance internal accruals capex spread over five years and some transitory debt. Second thing is that with regard to PCB, the current plan includes only capex of 14 billion for which the balance requirement is 3.2 billion and up central government subsidy of about 3 billion.

The same will be funded through QIP and spend amount of 1.6 billion internal accruals and debt. The feasibility of planning expansion to PCB business will be evaluated after discussion with the state governments on the subsidies and after due process inter nally. Further , while calculating interest cost on the average borrowings, we need to consider bill discounting. The interest cost will work out approximately 10% including all bills discounted.

Then there is a comment on receivables, discounting and provisioning could impact profitability margins. And of course, he has described something that he has read from the statements. Our response is that discounting cost in the long term , smart metering receivables is already embedded in the contract pricing and bill discounting is undertaken judiciously based on the cost benefit assessment. With respect to receivables provisioning, all provisions are made strictly in accordance with the c ompany's ECL , or expected credit loss policy.

Then he's talking about variations in cash flow statement versus asset additions. And he says Kaynes F Y '25 cash flow statement report purchase of fixed assets of 9.5 billion. It does not fully reconcile the 7.7 additions of PPE, CWIP, intangibles, intangib le assets under development, etcetera. After adjusting the capital advances payable to the capital goods and

he's spent some

two pages on this Exhibit 35, 36, etcetera.

Our response is the purchase of fixed assets in the cash flow statements amounting to 9.5 billion includes 7.8 billion of PPE, CWIP, Capital WIP that is , intangibles after adjusting for capital advances and payable of capital goods. INR1.7 billion of right of use assets, ROU assets, net of subsidy. The purchase of fixed assets in the cash flow statement disclosing cash flow from investing activities. I hope this clarifies this particular question on cash flow.

Contingent liability is a net foreign exposure price. Contingent liability is increased to 5.2 billion, 18% of net worth and from F Y '24 of 2.7 billion, 11% of net worth , is fairly due to

increase in bank corporate is what the report from Kotak Securit ies said. The key increases relate to -- from our point of view and based on our facts, the key increases relate to 1.9 billion of performance bank guarantees issued to Iskraemeco projects.

Then 1.3 billion of corporate guarantees issued to subsidiary companies, K aynes Electronics Manufacturing Private Limited, INR1.2 billion and Iskraemeco 0.1 billion. These guarantees are necessitated by funding requirements of the subsidiaries for ongoing businesses. So, these are our major clarifications to some of those exhibits and a large report that was made.

So, some total of this is that factually speaking, there is only one small error of not mentioning in the notes to accounts of a disclosure of a related party transaction, which you've taken note of and we'll make sure that in future, such misses don't happen. Otherwise, there are absolutely no inconsistencies, ambiguities, whether intended or actual. And most of the conclusions and implications made actually are not valid.

Ramesh Kunhikannan : You can ask the questions.

Jairam Sampath : If you have any clarifications further, you can ask. We'll be publishing this in the stock exchange also, for those of you who may not have noted down fully. After some time, before the end of the day, we will publish this entire thing in the stock exchang e.

Moderator: Should I go ahead and ask for questions, speakers?

Ramesh Kunhikannan : Yes.

Moderator: All right. Thank you. We will now begin the question -and-answer session. The first question comes to the line of Siddhartha Bera with Nomura . Please go ahead.

Siddhartha Bera: Yes. Hi, sir. Thanks for the opportunity and thanks for clarifying many of these queries. First question is basically, initially Ramesh sir highlighted that we are in the process of taking more steps to address and see that some of these issues don't get reported in or don't recur in the future. So if you can just highlight a few of these things, what are we planning to do to see that some of these things don't recur in the future?

Second thing to Ja iram sir , will be on the receivable side. If you can sort of break up the entire receivable of close to 11 billion plus 3 billion of older receivable of 14 billion customer wise and how does the sort of smart meter order book change in terms of customers going ahead? If you can sort of talk about some of these things.

Management: Yes, yes. So firstly, we cannot actually give very detailed granular information about customer wise receivables and so on, because this has got business confidentiality linked to it. But however, broadly I can tell you that the Iskra emeco's business, which is smart meter business, has got two types of receivables.

One which is sitting in current receivables, which are of the nature of device supply and then received from device supply. The other is the nature of business caught through the contract that

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we acquired from one of the customers of Iskraemeco . And some portion of those receivables sit under other no

n -current assets.

And we have taken some simple steps in the earnings call also we mentioned to make sure that this is not a recurring portion of receivables, but this is a part of the business that we have actually acquired. So going forward, we will make sure that before this year is over, we get rid of these receivables with appropriate financing so that it's not in our books, because these pertain to almost like the annuity type of payments, which are like home loan payments and similar to that. There is no performance link to these particular receivables, which is sitting under other non - current assets.

Now, as of September, I think the total receivables is about – yes, of the total receivables, about INR687 crores pertains to business of smart meters, which includes also the other non -current assets portion.

So, we are quite confident that INR240 crores , approximately INR240 crores of such receivables will anyway get discounted and it'll reduce the amount. There will be further billing based on our business plan. And we will endeavor to make sure that these do not cross collection periods of 90 days, etc.

So, there have been improvements. We are still working on further improvements to be done.

As far as the notes to accounts missing is concerned, we have taken note of this particular activity. The reason, the cause why it happened is that Iskraemeco was earlier a customer and a supplier and see in the one portion of our last year, FY '25.

And in the second portion of the last year, it was a related party. So while this was captured in the related party transaction notes in Iskraemeco , in one of our subsidiaries, since this flip happened, somehow this probably got missed out in mentioning.

However, the accounting has been done properly. In future, we will do, for a related party transaction, we are going to use some software to make sure that the contra entries of notes to accounts are fully done. And so that we don't have this situation of any repeats. Because we have, we do have a large number of subsidiaries. And so, we'll make sure that this does not re-occur. Next question.

Siddhartha Bera: And sir, in terms of the order book, a smart meter, how big will be the existing customer now within that. And also, in Iskraemeco FY '25 statements, there was a INR45 crore s sort of overdue or more than 1 year pending receivable. If you have some more color on why it is pending and by when do you expect to recover or is there any risk of provisions in that?

Jairam Sampath : Yes, so this INR45 crores and the reconciliation will get closed. This is not really material to the business, actually. It's more like a consolidation related activity, which probably will close it before the year end.

As far as the specific order number for this, we don't normally publish order book by customer for the sake of confidentiality. We need their consent before we can actually give this. But suffice

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it to say that the percentage of total business of smart meter as a percentage of total business is trending down for the simple reason that other businesses also showing some strong growth rates in the other verticals.

So going forward, the reliance on this particular thing will certainly come down. And then, of course, it's getting replaced by equally good and worthy businesses. And so we hope that this trend continues over the next decade or so.

Ramesh Kunhikannan : We are also planning to exit from day one. When we took over this company, we wanted only to become a device manufacturer. So, we will no longer be an AMISP company. We will be only device company to various AMISPs. And our software, we will also sell it to them as a service.

Jairam Sampath : Yes, it's more like a product solution manufacturing rather than full project implementation. And we already are well on our way. And there are

many orders, significant orders that we have actually received for devices too, with many customers other than Iskraemeco also.

Moderator: Thank you. Mr. Bera , please rejoin the queue for more questions. Next question comes in the line of Sameet Sinha with Macquarie. Please go ahead.

Sameet Sinha: Yes, thank you very much. So, my first question is about the organic growth rate. Can you provide some clarifications on what's the proposed, what was said in the report about the organic growth rate in the first half?

And then can you also kind of look forward and talk about how you plan on growing the business? Obviously, the metering business is probably a fixed revenue contribution every year. I think that's what Jairam you mentioned . How about the other businesses? What are the growth catalysts moving forward? And then I will have a follow -up?

Jairam Sampath : Thank you, Sameet ji. So, you're right. The metering business is more like a run-rate business. And we know that this is broadly driven by the RDSS program of the government, wherein about 250 million homes will have smart meters, etc. So, it's got a limited cycle of 10 to 12 years' timeframe. And so, we are dealing with it in the same manner.

As far as the other verticals are concerned, there is strong growth in automotive, there is strong growth in industrial other than smart meters, there is strong growth in electric vehicles. Also, now the resurgence of strong sectors like railways, electronics, as well as aerospace, outer space and defense, and also in IT field. So, we see a resurgence of growth in most of those areas to more than compensate for any reduction in the composition of business from the smart meter perspective.

Now, just a small comment compared to last year to this year. Actually, if you were to, we have done an internal match. Without disclosing what I am not supposed to disclose, but then the growth rate in other parts of business compared to FY '25 to FY '26 projected plan, the growth rate of other businesses other than Iskraemeco is fairly strong.

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It's almost a little tad higher than the company's total growth rate. So from that perspective, I think we should take -- we should be happy about the conclusion that other businesses are also showing some strong performance.

Sameet Sinha : Got it. Thank you. The second question, as it relates to the various plans that you have in place, bill discounting, factoring, all of these, all of these have associated costs with them. Can you give us an idea about how do you counter this cost so that your margins don't suffer?

Jairam Sampath : Yes. So, the supply chain finance, mostly especially, let me take the first one receivable . They are funded by foreign banks with decidedly lower rate of interest than what we actually get from our banks here. So, to that extent, keeping it in our books rather than this thing, maybe there's an improvement.

The only thing is the cost line item goes from one below EBITDA to above EBITDA. So earlier, if we were to borrow in India and then pay for it, then it will be shown as an interest. Whereas if I discount it, it goes into the cost. But at the net profit level, I don't see any adverse impact of these steps that we are taking, including the ones which we are trying to do, factoring and these things. We have done the math and it's not significantly altering the financials.

Sameet Sinha : Got it. Thank you very much.

Jairam Sampath : Thank you, Sameet ji.

Moderator: Thank you. Next question comes from the line of Harinder Singh with Blackstone. Please go ahead.

Harinder Singh: Thanks for the clarification. So, I think I got answer to all the questions. Only one question is,

since now you are open to sell the 20% of the promoter stake, so any plans to reduce the stake for going forward?

Jairam Sampath : At this point in

time, we have not been informed by the promoters of any further dilution of the stakes or anything. Promoter stakes today, of course, we have complied with the requirements of RBI, etcetera, when SEBI, etcetera. So, promoter stakes today stand at around 52%, 53%. They continue to remain this over the horizon that we can see and there is also no requirement to do that dilution by even any fundraise of that nature, at least in the near term.

Harinder Singh: Thanks for the clarification.

Moderator: Thank you. Next question comes from the line of Keshav Lahoti with HDFC Securities. Please go ahead.

Keshav Lahoti: Hello. I thank you for the opportunity. I just wanted a bit of thought. There was a small omission as you highlighted. Any thoughts or possibly as the company is growing big, maybe possibly get some bigger auditors once the current auditor tenure ends?

Jairam Sampath : Yes. So obviously, whatever, see, including additions to the team, strengthening all our resources, etcetera, these are all things which are constantly being discussed. And we have taken

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note of, it is not because of this particular report that we have to do, but as a part of growing up, we need to strengthen the partners in every age, each and every area.

This is a matter which is to be considered by our board and then appropriate decisions will be taken. We'll make sure that on this front, we don't lack, but at the same time, the entire report is based on one small error. So we just want to be mindful of the fact that the confirmation for this is to make sure that we get a software to do the contra entries of notes to accounts for the RPTs, which you have taken into account.

And whatever else measures that are required, including taking help for analytics and some of these international firms, etcetera, we will do. We are also doing it in some small way and then we will definitely increase the, let's say, engagement on that front.

Keshav Lahoti: Understood. Got it. Last question from my side. If we see your R&D expense, most of that it is capitalized. So what is that and how you -- which expense you charge in P&L and which you capitalize? And lastly, if we see your bad debt provision, that is 3.5% of sales in H1, why the bad debt has increased and should we expect any increase in bad debts in upcoming times?

Jairam Sampath : Could you repeat the first part of the question? I just missed it due to error...

Keshav Lahoti: If we see your R&D expense, so majority of it is capitalized. So how you decide what should be capitalized and what should be charged off and what it was got into?

Jairam Sampath : I will. Yes. So, Mr. Lahoti there were two questions. One question was regarding the research and development -related policies and the second part of the question was on...

Keshav Lahoti: Bad debts that was 3.5% of sales in H1 was very high?

Jairam Sampath : Okay. I will address the second part of the question first. A bad debt provision does not mean it's a bad debt written off. It's a provision for write off as per the accounting policies and the ECL that we discover. And then obviously, it's also advised by the auditors. Now, fundamentally, our efforts to collect our money continues, even after the provision is made for a particular bill.

And whenever we collect that particular relevant invoice, then we can write back that into our P&L. So, provision is not equal to write off. And in our businesses, because it's a custom -built business, the write offs, etcetera are generally very small in nature because we undertake projects and production only on the basis of what the customer wants.

As far as research and development is concerned, I just want to point out as an answer to this is that we have developed something called Kavach program, which others have probably, there are other pla

yers who had a lot of trouble in developing, but we have developed using German technology and all that.

So, in our case, what happens is, whenever we do research, that means there is no specific product that is being developed, but the engineers are just experimenting with new concepts and POCs, etcetera. Those are all generally expensed off and they are not capitalized.

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Only when we identify a particular product with a revenue stream possibility, we take it as development and that is capitalized. And until the time when we start the revenue cycle, the moment revenue cycle comes, then amortization will start. So, it's a very practical way of not recognizing things which are experimental in nature and recognizing things which are actually developmental in nature.

Keshav Lahoti: Got it. Thank you, sir. Quite helpful.

Moderator: Thank you. Next question comes from the line of Vijay Sarthy T S with Subhkam ventures. Please go ahead.

Vijay Sarthy T S: Good morning, sir. Thanks for the opportunity and thanks for this clarification. Just one question, sir. Could you give us the breakup of consolidated PAT among subsidiaries for the second quarter and first half, sir?

Jairam Sampath : Breakup of consolidated PAT among subsidiaries?

Vijay Sarthy T S: Among subsidiaries, yes?

Jairam Sampath : Yes, it is there in the financials , it's published in the financials standalone for subsidiaries is already and consolidation is also published. If you want, we can reiterate that today. We'll be anyway publishing Q&A there. So, we will put that there. Not a problem. Take a bit of time for the holding subsidiaries.

Vijay Sarthy T S: Yes, sure. Thanks a lot. Thanks. That's it. Thank you.

Moderator: Thank you. Next question comes from the line of Sudheer Guntupalli with Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Yes. Hi, team. Firstly, I missed the question by one of the previous participants on the promoter stake sale. So, Jairam, what exactly is it about and the line was not very clear?

Jairam Sampath: No, he asked whether promoter stake will get diluted in the future. There are two ways in which promoter stake is diluted. One, if they sell directly as a block to a third party. Two, if we raise funds into the company, then also promoter stake will get diluted. I said in both cases, there is no plan in the near term that we have contemplated.

Sudheer Guntupalli: Fair enough. And secondly, in the research report that we are talking about, some of the data points which were very central to building a chain of seemingly speculative interpretations, like the 2.8% net margin Iskraemeco in H2 FY '25, the way capitalization amount is calculated by the analyst, including that assets from acquisition, tangible assets from acquisition, borrowing cost of 17% odd that was mentioned, etc etc etc., all seem to be factually incorrect. So, did you guys make an attempt to reach out to the concerned analysts and maybe getting an erratum note published?

Jairam Sampath : Yes. So, though the one particular list of things indirectly sent to us by the concerned analyst through some known channels to us, which we answered. Of course, there was a small delay of

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5 days, 10 days before we could answer because people were traveling and we needed to verify all the facts, etcetera, but then this was shared well before they published the report. And so, specifically, nobody really asked questions on any of these kinds of things.

So, as a part of Q&A, we have answered these actually. Perhaps the analyst felt that he was not satisfied, so he anyway went ahead and published it. But anyway, we have clarified it and today we'll reiterate. See, our job is to make sure that we are more transparent as a company and then

we explain exactly what we meant.

And in the entire episode, if you really see, there's only one item which has caused this entire flood of speculation. So, we will make sure that next time even that small opportunity is not given. So, I don't want to, I don't wish to comment on why or there are many wrong assertions he has made.

So, I would rather focus on informing our valued investors about what exactly the facts are and then also do our businesses. So, that's the stand we have taken and we'll be publishing this Q&A so that this can be in record too.

Sudheer Guntupalli: Fair enough. And my second question is, from a pure accounting standpoint, if I look at it, I think a booking, when an acquisition is done during purchase price allocation, booking something as intangible is a much better way and much more conservative accounting approach than a booking goodwill. Because obviously, intangible has a predetermined amortization schedule while goodwill is only tested for impairment on a periodic basis.

Now, from that standpoint, I think you have taken a more conservative approach. And also, one of the points that the previous participant mentioned that there was a receivable which is aged for more than a year. Again, if I understand it right, before Iskraemeco was acquired, this is actually a payable from our end. Is that understanding, correct? It was a payable from Kaynes' end to Iskraemeco before it was acquired. And this only reflects in terms of better payable

management.

So, my question to your team is, if you have done a good job in being conservative on accounting in some aspects and in better payable management, so why is your investor relations team not so proactive in terms of clearing out these misinterpretations or misunderstandings? Ideally, they should have been much more proactive in terms of going to the market and clearing these misperceptions by the market participants. So, why is your Investor Relations team not so...

Jairam Sampath : The point is well taken. And internally also, we were given very little time when we put out our first -- so, we have just covered some skeletal information on those six points which were conclusions in the report.

So, in future, we will probably take a day and then make sure that the detailed response is given, including those tables, etc etc , so that we can set the speculation at rest quickly. Your point is well taken. We are also internally counseling our people internally to make sure that they take these points more in a detailed fashion, seriously and more factually.

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And then, where there is a rebuttal required, we should rebut. Where there is clarification required, we should clarify. And where there is an acceptance required and correction, we should do that. Point well taken, sir. We will do that.

Sudheer Guntupalli: Fair enough, Ja iram. Thanks, and all the best.

Moderator: Thank you. Next question comes on the line of Indrajit Agarwal with CLSA. Please go ahead.

Indrajit Agarwal : Hi, sir. Thank you for this call. It clarifies a lot of things. Couple of questions. One is more a factual question. In 1H FY '26, how much R&D we have spent and how much of that is expense and how much is capitalized?

Jairam Sampath : Which period you are pertaining to, sir?

Indrajit Agarwal: 1H FY '2 6. So, for the half year...

Jairam Sampath : First half FY '26, sir. We will have to pull out those statements. And we were only prepared for answers to the FY '25 numbers. So, we will pull that out and give it to you, sir. It is not very majorly different from our trend, actually. And there are a lot of ongoing ODM projects, etc etc , wherein, like I said, once the research phase is over and then we get into a targeted development of the product, the solution, then we start capitalizing those. And we will probably come to

--

we will publish this information, sir. Just give us some time.

Ramesh Kunhikannan : ODM is a part of our main core business, EMS. So, this will be a continuous activity. We have to give solutions, upgrades to people. That becomes a major business for the next four to five years. So, in our EMS, our type of industry in aerospace, defense, railways...

Jairam Sampath : Industry, so on.

Ramesh Kunhikannan : This will continue, and then we need to do that. If you see, this company has come out in an 11 - month period and full -fledged Kavach. And we have got approval as well as we have got orders from the railways.

Jairam Sampath : So, we will publish this number separately. It is part of the chart of accounts that we have published, but we will point it out and give it to you.

Indrajit Agarwal: Sure, this is helpful. Second, on the overall internal control issue, again in March, we had some scrutiny from SEBI on some disclosure of SD D, etcetera . So, how are we? Because we are now a large company with a sizable market cap, sizable top line, much more ambitious growth going ahead.

So, do you think there is something that structurally needs to change, one, in the way you manage things, and second, in the way you communicate things, as the previous participant mentioned?

So, is it more of a structural reform that you need, or what we are doing currently, we will continue to work with?

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Ramesh Kunhikannan : I fully understand what you are saying. Structurally, we are continuously working and improving, because we started as a small company, and from there we grew up, and then continuously we are growing. Our pace of growth is very high.

EMS is a deeply involved type of industry, but world over it is, all are in billions of dollars. So, we also need to scale up. Having said that, structurally, we will take somebody's advice and we'll start working with people to structurally improve, as we ll as we will also get into our communication a little better . If this has taught us a lesson, we will get there.

Indrajit Agarwal: Thank you. That's all from my side.

Moderator: Thank you. Next question comes from the line of Achal Lohade with Nu vama Wealth Management Limited. Please go ahead.

Achal Lohade : Good morning, sir. Thank you for the opportunity. Just two questions. First, if you could clarify, with respect to receivables, Iskraemeco is our 100% subsidiary . So, I don't see a challenge in terms of disclosing what exactly their revenue and the profits were for the first half of FY '26, and how much is the receivable as of 30th September 2025. If you could talk about that, and then I'll ask a follow -up question, sir.

Jairam Sampath : Well, we had answered this question. I think the very first question was on this topic. We can tell you, H1 receivables, how much is Iskraemeco and, smart meter. So, the Iskraemeco current receivables plus, there are certain receivables which are beyond, not due within the year, but due after the year, including that is about INR687 crores of the total receivables.

Out of which, we had also talked about making sure that this approximately INR240 crores which pertains to these other non -current assets , we'll try and get it discounted off our books.

And the remaining one, whatever gets added will get added, and then collection cycle also, we're trying to see to it that from the current slightly elevated numbers, with some efficiency improvements in installations and all that.

And also, I think the overall RDSS program performance is also improving. So, we will try and collect it within a reasonable amount of time, not later than what we already have on our books.

Achal Lohade: Understood. And what about the first half of FY '26 in terms of revenue and profit?

Jairam Sampath : Yes, we had talked about it, sir. As of end of September, the total receivables, including other

non-current assets, INR687. Revenues will be of the order of about INR500 -odd crores in the first half. Exact number, I'm not able to disclose that to you. And then, of course, in the second half, we also plan some execution, which will be of the nature of about INR300-odd crores. So, these are the numbers as far as the smart metering business is concerned.

Mind you, this contains not only the erstwhile contracts of Iskraemeco , but also the newer ones which we have received as non - AMISPs business, which is the device and solutions.

Achal Lohade: So, just to clarify, INR500 crores odd is recognized in first half, and another INR300 crores would happen in second half . Have I understood right, sir?

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Jairam Sampath : Yes, this is approximately correct. I'm not able to give you sharp answers ...

Achal Lohade: Yes, broadly. And this INR500 crores, whatever revenue is booked in first half will get collected in the second half. Would that be a fair assessment? I'm coming to the next question with respect to receivables. Obviously, by 31st March, 26th ? Yes, sir.

Jairam Sampath : Yes, sir. Our endeavor is to collect that. There would be a small portion of it. We will – will probably go into the other non -current assets because this is still a bulk of the revenues pertaining to the revenue from the previous contract that we got on our hand after acquisition. So, you're right.

Broadly, that's the direction for all the current receivables, and that there could be a quantum of INR100 crores -INR200-odd crores, which we may have to do some documentation before we can, say, quote, unquote, collect it in our books. So, you're right. Directionally, we should do that. Maybe about INR100 crores -INR200 crores would still require some work from our side.

Achal Lohade: Got it. And second question, would there be a free cash flow generation out of your EMS business over the next couple of years, given the kind of growth rate that we are talking about, the asset turns, what this EMS business requires? Is it fair to say that most of the cash generated will get consummated for the EMS capex itself? Or next 2 years?

Jairam Sampath : Yes. So, from EMS business, we don't contemplate that there'll be any free cash flow, operating cash flow for sure. Then there'll be investing activities, which will basically lead to assets adding. So, part of the efficiency improvement we will do by adding, I know, improving our asset turns in the EMS business itself by debottlenecking and by starting off clients which are already onboarded and client -specific assets which have been made.

In addition to that, we'll also add, because we slated for a fairly reasonable amount of growth . If you take last several 4 years CAGR, the next few years CAGR also will be thereabouts. So, that would, at some point in time, by the next year or so, we'll have to add the assets. And that will come from our EMS business itself. So, OCF positive, yes. FCF, I'm not sure in the near-term that will happen because we'll have to reinvest for growth.

Moderator: Thank you. Mr. Lohade , please rejoin the queue for more questions. Next question comes in the line of Renu Baid Pugalia with IIFL Capital. Please go ahead.

Renu Baid Pugalia: Yes, hi. Good morning, team. I have three questions. First, in Iskraemeco , while you did highlight the performance of first half . Overall fiscal '25, which is a gross margin, looked fairly

elevated or soft because of the impairment that has taken. So, can you quantify what was the impairment done by the erstwhile management before the acquisition was closed, which has deflated the gross margins for full year to just about 10% in Iskraemeco ?
Second, you did suggest in the previous question that you can have revenues from Iskraemeco business would just be about INR300 crores, while overall

revenue growth will accelerate. So,
from a general investor concern on growth in core EMS, can you highlight that after 42 billion

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kind of revenue guidance that we have seen in second half, which other segments in EMS do you expect ramp up?

Some more color in terms of how has been the performance for autos, aerospace, defense, IT, rail, EVs will be helpful. And lastly, on OSAT, can you give us a milestone while update in terms of while we have done the investment from our end, how is the capital subsidy from central government expected over the next 12 months till we expect the full -fledged commissioning of our OSAT facilities?

Jairam Sampath : Thank you, Renu ji. I think quite good questions. So, firstly, the Iskraemeco 's first half last year, first half meaning I'm just calling it half, but the first portion of standalone financial last year, we had instructed them to take a write -off of inventory which are not usable in the new generation of products, etcetera.

They had done a lot of experimentation over 3-4 years ' timeframe, so that led to about INR44 crores of write -off of inventory on their books. And these are not pertaining to current businesses, but these are pertaining to items which they have acquired to do different types of design. As you know, with the acquisition of Iskraemeco , we got our own design solution for smart meters.

And of course, there was a small quantum about other expenses, roughly about INR6 crores. So this put together was about INR50 crores, whereas they did business of about INR85 crores. So in that business, they actually made a turn that profit of two, but then this was minus 50 plus two, so it became minus 48.

The second half, obviously, without this burden, the company could turn around a good profit, I think around INR530-odd crores of the sale after consolidation, revenues after consolidation. And then we did turn around about INR49-odd crores of profits in that. So the net for the year stood at whatever number it did.

The second thing is the relative impact of, let's say, in the short run of any particular vertical. I'll broadly take this question. Firstly, as of now, you'll be happy to note that in the second half, out of the remaining amount that we are going to do, guidance, Iskraemeco is not going to be significantly higher.

In fact, in terms of percentage, it will keep coming lower. And this is how it happens. Actually, if you see about 3 years ago, our growth was led by automotive sector generally, then for some time, there was electric vehicles that grew the business. At some point in time, the business has grown by, let's say, smart metering business.

And then this year, the notable segments are there is a good growth in automotive. There's good growth in other industrial, other than smart meter. There is good growth in electric vehicles too. A few marquee customers, I can't disclose the name, but very good marquee customers have been acquired. And they have also kind of put new plans, increasing their volumes, etcetera.

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Then there is railway -- one major resurgence of railways, we call it. 4 years ago, railway used to be about 30% of our business. And then over time, of course, it is dependent on a lot of other factors. But we kept on our work with the result that we have now developed probably countries, one of the most comprehensive coverage programs.

So, we have got approval and orders, etcetera. And then, of course, the last one is aerospace, which we have acquired a sizable amount of orders from one of the OEMs abroad. And this is increasing also from their own statements in the media. Also, you can find out that they are, and our facilities also kind of completely come to completion and it's approved also. So, second half, you can see fairly good

growth with respect to these areas.

Now, as far as the question on OSAT is concerned, we'll be happy to note that we have acquired three clients. They all of them have themselves come out and given press statements, actually, because we are not allowed to talk about it unless we get consent. But they have, so these are Alpha Omega Semiconductor, Infineon, and the Larsen and Toubro's business takeover of one portion of Fujitsu General's Semiconductor business.

And all three of them, one of them, we were the first in the country to actually ship out the chipsets, even though we got this thing the last, the approvals the last. And so, the samples have been shipped out, so in some sense, technically, the commercial production has started. But of course, we are focusing on trying to get the sample approval from all of these customers before we do a significant amount of business.

So, this year, while we did put a small target on us for revenues, but I'm not very sure whether we'll be pursuing the target more than pursuing approval from these three customers, because the approval from these three customers will help us to do good revenues, starting from FY '27 onwards.

Now, as far as the flow of subsidy, etc etc, is concerned, whatever little we have spent, and wherever there was dues from the government have been fulfilled within one week's time. Like, for instance, we got the land related discount subsidies within one week of approval from the central government.

So, from the central government side, there is absolutely no delay. From our side, we had redone the list of collaborators to reflect the correct reality, and that has been done. So anytime soon, we'll start getting the, whatever capex we have done from our side, eligible capex, and that we'll get reimbursements.

And then, pari passu basis, escrow account will be opened. So, we don't foresee any trouble. Just for your information, we also put together a small team with a very qualified person to head this particular subsidy management process within the company, so that it does not get, since the subsidies are in thousands of crores, so we don't want it to be locked in the regular routine activities. So we are making sure that there is a specific team working on it for documentation, for complying with the requirements of the subsidy, etc etc.

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Renu Baid Pugalia: So at least from your end, because of a likely lag in the daily of capital subsidy from central government, there would be no bloat on the working capital, or no bloat on the leverage on books, or delay of the project. It will be managed within the given timeline?

Jairam Sampath: Yes, yes, yes. And also, see, one of the things that we must note is that in the DPR, we normally don't take too much of credit terms from suppliers, but most of the capex suppliers do give credit. So, we will manage that judiciously to make sure that we not fall short of money, and there'll be no, let's say, reliance on our parent entity for doing the OSAT project. Other than the fact that, of course, the corporate related activities, other than that, money-wise, I think they are self-sufficient.

Moderator: Thank you. Ms. Pugalia, please reject the queue for more questions. Next question comes on the line of Manikantha Garre with Franklin Templeton India. Please go ahead.

Manikantha Garre: Thanks for the opportunity. Just a clarification and another question. In answer to the previous participant, you mentioned about the inventory write-off clarity from the inventory that was taken in H1 of Iskraemeco '25. In your commentary to one of the questions you mentioned, there are drawbacks.

Moderator: Sorry for interfering. Your voice is breaking. Can you just come in the range and talk?

Manikantha Garre: How is it now? Yes, sir. So what I was trying to check was on the H1 FY '25

write-offs that you

have already clarified on, you gave a number. But to one of the questions, there are some broader corporate cleanups as well. Could you also quantify that? And secondly, related to this, if I look at Iskraemeco's standalone P&L, all these one-offs are not mentioned in the P&L. I don't see any number as the exceptional items. Would you have any color on that? That's the first question.

Jairam Sampath: Sure. So fundamentally, like I said, this is provision for write-off and not really write-off. And second thing is, I think in the Iskraemeco's books, we are talking about the old receivables of about some INR45 odd crores.

That is more a reconciliation with our company, which is happening. Once the reconciliation results are there, then we'll reflect it in the individual standalone as well as consolidated numbers. But we don't expect any major negative impact on a consolidated basis. But then there would be some inter-subsidiary related transactions that we may have to recognize.

Manikantha Garre: Sorry, sir. I was asking about H1 FY '25 Iskraemeco numbers, where you mentioned about inventory write-offs and corporate cleanup. Firstly, these are not mentioned in Iskraemeco's P&L, FY '25 P&L. I don't see -- any number as the exceptional item.

Jairam Sampath : Yes, that's because we acquired the company. It happened when the company was outside this. So as per accounting standards, we have made all the disclosures required. And I've also abundantly clarified that in the call, we'll put out as an FAQ too, so that it's factual in nature.
Manikantha Garre: Right, sir. And if I have to assume that the

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Jairam Sampath : The inventory write -off will be found in the COGS line, sir. That's why the cost of goods sold has increased and the profits have come down.

Manikantha Garre: Got it. And secondly, on the receivables for Iskraemeco in FY '2 5, there is an aging schedule that was given. I would assume that the less than six months is pertaining to H2 , and six months to one year is pertaining to H1. I'm just trying to understand with such huge difference in revenues for H1 and H2 of Iskraemeco financials, why the receivables difference is not showing that much variance? See Iskraemeco H1 is significantly lower than H2.

Jairam Sampath : No Broadly, I will tell you. Broadly, I'll tell you numbers my friend , Senthil can quantify.

Senthil: See b roadly, the first half, whatever receivables are there pertaining to things that have happened in the past. Now, this is not necessarily one ha lf or one period's result.

And so when we acquired the company, we got a balance sheet while acquisition of the company and then we just consolidated that into our total standalone for Iskraemeco for the last year.

Second half, I mean, it's not really half but a second portion of the year, which is where we purportedly did about INR532 odd crores of business.

So that contains all the itemized details and they are pertaining only to the current business. The previous ones would have a lot of items that need to be reconciled actually. And so that's why you may not see a like -to-like comparison in the receivable p rofile with reference to the business profile.

Manikantha Garre: Right, sir. And when have you moved from AMISP to completely providing product as a solution ?

Ramesh Kunhikannan : No, no, no. We are working on AMISP model.

Jairam Sampath : Sir, we have already an existing contract with PGC IL. Bulk of it has been already done. Close to about 60 -70% of that is completed. There is a small portion remaining. This is contractual in nature. We cannot get away from it.

But all the other ones are all based on our EMS type of model wherein there is a definitive period for payment. It is not extended beyond one year. So other than PGCIL contract, all o

ther

contracts are all non -AMISP, which you can say that after we have taken over many new orders that have come in all from non -PGCIL book direction is all non -AMISP type of.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to the management for closing comments.

Jairam Sampath : Yes, sir. So I would like to thank all the participants who take a time on early morning. And I'll request our Executive Vice Chairman, Mr. Ramesh Kannan , to just make some closing remarks , so that we can close the session.

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Ramesh Kunhikannan : Actually, our plan is to more and more concentrate on our main business that is EMS. We have worked very hard in the last eight months and we have acquired a lot of aerospace customers, defense customers. We have got railway new products. Earlier, we were only in signaling in railway.

Today, we have got into rolling stock. Then Kavach, we have added. So, our main concentration will never move out from EMS , and we are committed to that. And this will help us to get more and more orders and march towards our mission on whatever guidance we have given you in the past.

Regarding structural improvement, we have added more people on the taxation side, more people on finance, manufacturing, and brought more leadership into the company. And we are committed. We'll also re -examine, revisit our structural as well as communication models. And we will improve from this. This, I thought I should add as a total thing. Since our auditor, Mr. Mohan Lavi, is also there in the call. Mr. Mohan, you would like to add something?

Mohan Lavi: No, sir. Generally, I think I agreed with most of the points mentioned, nothing specific. But just to assure all of you all that , yes, we are seized of the note which has been given and the company

has proactively taken measures to actually strengthen their internal control process.

In fact, most of the data will now flow from the ERP system itself so that manual intervention is minimized. So, I'm sure that going forward, we will be able to sort of get into a better transparency, better disclosure, and ensure that things are all correct.

Ramesh Kunhikannan : Thank you, Mr. Mohan, and thank you all parties interested in Kaynes as well as invested in Kaynes , our stakeholders. Thank you very much.

Jairam Sampath : Thank you very much.

Moderator: Thank you. On behalf of Kaynes Technology India Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

www.kaynestechtechnology.co.in email ID: kaynestechnics@kaynestechtechnology.net

H.O & Regd Off: 23 -25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 India

Telephone No: +91 821 2582595

February 12, 2026

BSE Limited

Corporate Relationship Dept.,

14th floor, P. J. Tower,

Dalal Street, Fort

Mumbai - 400 001

Scrip Code – 543664

National Stock Exchange of India Limited

Exchange Plaza, Plot no. C/1, G Block,

Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

Scrip Symbol – KAYNES

Subject: Earnings call transcript.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings call , conducted on, Friday February 06 , 202 6 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechtechnology.co.in/doc/Regulation-46-of-sebi-lodr-regulation/Earnings%20Call%20Transcript%2005.02.2026.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,

For Kaynes Technology India Limited

Anuj Mehtha

Company Secretary & Compliance Officer

ICSI Membership No. FCS 13802

Enclosed:

- Transcript of Earnings Call

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Q3 FY '26 Investors Conference Call"

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MANAGEMENT : MRS. SAVITHA RAMESH – CHAIRPERSON – KAYNES
TECHNOLOGY INDIA LIMITED
MR. RAMESH KUNHIKANNAN – EXECUTIVE VICE
CHAIRMAN – KAYNES TECHNOLOGY INDIA LIMITED
DR. MUTHUKUMAR NARAYANASWAMY – MANAGING
DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. JAIRAM SAMPATH – WHOLE -TIME DIRECTOR
AND CHIEF FINANCIAL OFFICER – KAYNES
TECHNOLOGY INDIA LIMITED
MR. SUMIT VERMA – INVESTOR RELATIONSHIP –
KAYNES TECHNOLOGY INDIA LIMITED
MUFG IR – INVESTOR RELATIONSHIP PARTNERS –
KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kaynes Technology Q3 FY '26 Investors Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal. Thank you, and over to you, sir.

Deepak Agarwal: Thank you, Huda . Good afternoon, everyone. On behalf of Axis Capital, I would like to welcome you all to the Q3 FY '26 Earnings Conference Call of Kaynes Technology India Limited. We have with us the management today represented by Mr s. Savitha Ramesh, Chairperson; Mr. Ramesh Kunhikannan, Executive Vice Chairman; Mr. Muthukumar Narayanaswamy, Managing Director; and Mr. Jairam Sampath, Whole Time Director and Chief Financial Officer.

Now I'll hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thank you, and over to you, sir.

Ramesh Kunhikannan: Good afternoon, everyone. On behalf of Kaynes Technology team, I would like to welcome everyone to the earnings call for quarter 3 FY '26. Mrs. Savitha Ramesh, Chairperson of our Board; our Managing Director, Dr. Muthukumar Narayanaswamy; our CFO, Mr. Jairam Sampath and Whole -Time Director; Mr. Sumit Verma, our Investor Relationship; and MUFG IR, our Investor Relationship Partners.

Let me begin with a brief overview of our financial performances for 9 months period ended December '25. Our total revenue stood at INR23,837 million, reflecting a year -on-year growth of 37%. Operational EBITDA for the quarter was INR3,778 million, registering a growth of 55% over the same period last year. This translates into an EBITDA margin of 15.9%, an expansion of 190 basis points year -on-year.

Profit after tax came in at INR2,726 million, representing a PAT margin of 11.4%. We have an order book of around INR90,000 million, which is pending with us. As reflected in the numbers, this quarter represents a phase of consolidation as we strengthen execution and prepare for the next phase of accelerated growth.

Before I move ahead, I want to reiterate something that is fundamental to us at Kaynes, which is our deep commitment to our investors and shareholders and our responsibility to deliver outcomes that align with the confidence you place in us. Over the last few years, as we understood strategic initiatives with investments in background and parallel integration and building platforms for the future. There have been phases where the translation of strategy into near-term outcomes has taken longer in core EMS than anticipated.

We recognize that this has tested patience, particularly in an environment where expectations are understandably high. What is important however, is that this phase is behind us. The actions
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required to realign execution with ambition have been taken and the organization today is operating with far sharper focus, strong discipline and highest accountability across all levels. I am encouraged by the fact that the building blocks of our long-term strategy are now firmly in place and progressing meaningfully. Our semiconductor journey has moved decisively from intent to execution.

The OSAT facility at Sanand is now operational and steadily ramping up. A key area of concern for many stakeholders have been the approval of the FSA under the ISM framework for OSAT. I am pleased to confirm that this approval is now in place.

In parallel, our PCB manufacturing initiative, a critical element of our backward integration strategy would significantly strengthen our con

trol and position with customers over the

electronics value chain. Unlike most companies, in our HDI PCB business, we are strategically focusing on high-end complex and multilayer PCBs for industries such as defense, aerospace, complex industrial segments, strategic electronics.

This requires us to closely work with our customers right from the early design and development stages. This would help us as a group to have an edge and already be well positioned and entrance with the customers to tap into the full business potential of the PCB manufacturing plus PCB assembly with our strategic investment in the HDI PCB manufacturing.

As we enter this next phase of our journey, we are focused on pairing our strategic relationships and leadership with consistent delivery excellence and sustained efficiency improvements.

While this is a crucial transition phase for the near term. The directions ahead is far clearer. The execution engine is firmly engaged, and we remain confident in our ability to deliver sustained value for our investors and shareholders going forward.

With that, I would like to hand over the call to Mr. Jairam Sampath. Thank you.

Jairam Sampath: Thank you, Rameshji, and good afternoon, everyone. Thanks for joining this call today. As we start the new quarter, I'm happy to share Kaynes Technologies financial results for the third quarter of FY '26, and I will share with you the highlights of the same.

For the 9 months ended December 2025, the total revenue stood at about INR23,837 million, demonstrating a year-on-year growth of about 37%. Our operating EBITDA for the period came in at about INR3,778 million, making it an increase of about 55% year-on-year and resulting in an EBITDA margin of 15.9%, an expansion of 190 basis points over last year.

Profit after tax reached INR2,726 million, corresponding to a PAT margin of 11.4%. Growth from the North American market through August Electronics integration is steadily building by unlocking specialized talent in the high-margin segments, including RF microwave assemblies, broadening our North American customer footprint and bringing proven capabilities.

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Accelerating the global EMS leadership by synergizing seamlessly with the OSAT for comprehensive end-to-end value creation. At Sanand, as indicated by our Executive Vice Chairman, the FSA approval is received. This milestone meaningfully improves the visibility, especially with respect to capital subsidy from the central and state governments, it reduces uncertainty on cash flows and reinforces confidence in both our road map and its financial underpinnings.

The new PCB HDI multilayer PCB facility coming up at Chennai gives us a strategic advantage. This would mean a business potential of about INR15,000 crores for the group from the customers from our current investment of INR1,500 crores in the HDI PCB manufacturing operations, assuming the general thumb rule of PCB to PCBA of 10% based on our own data. From the same clients, INR1,500 crores of PCB revenues and INR13,500 crores of EMS revenues are likely.

At Kaynes, we remain committed to expanding our capabilities and geographic reach through strategic investments, amplifying innovation efficiency and holistic solutions for verticals like aerospace, industrial, automotive and airways.

With this, I complete my initial remarks and would like to place on record my thanks to Axis Capital team for hosting this earnings call. I'd like to thank all the participants for committing their valuable time in attending this call.

Now, I hand over the proceedings to the Axis Capital team to moderate the discussion. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, first question is on the revenue side. I mean, we have cons

istently sort of been able to get a

lot of good orders in terms of inflows and order book. But the gap in terms of execution seems

to have widened a bit in terms of the growth in the revenues. So, can you just talk us through some of these things? How long does the current order book get executed? And where have you seen some delays? And how do you expect this to translate into revenues in the next few years?

Ramesh Kunhikannan: If you look at it, our order books are not cancellable. These order books, we have lead times, but customers don't take our products unless their entire project is aligned. So in a project when there is a slight alignment problem, then they hold certain inventories. So that is where the catch is. Then there are occasions where we have not yet got approvals from various agencies for starting deliveries and things like that. That is why against our plan, there is a shortfall of around 20%. But otherwise, we are still there, and there should not be any problem.

Siddhartha Bera: Got it, sir. And in terms of the execution for the next few years, given this order book, how should we think about the ramp-up in revenues?

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Jairam Sampath: So the ramp-up in revenues, if you notice, the order book, monthly order inflow has grown at about 11.5% for the quarter. That means the order book itself is growing at about 50%. And mainly all the orders that are locked in right now are all EMS orders. There aren't other orders like PC Board and OSAT, etcetera. So those orders will also probably get added. And so, you will start seeing the execution pipeline with orders a little better than what are already on hand. And the fundamentals have not changed.

Our order book represents typically a 12-month rolling forward basis, it represents about 1.5 years' worth of orders, which continues to be valid even now. And as we go forward, maybe some more orders will be available for future. So, the order book may grow at a rate higher than the actual sales growth because we will start covering the ground for a longer period than 1.5 years.

Moderator: The next question is from the line of Sonali from Jefferies India.

Sonali Salgaonkar: Sir, my first question is regarding to the working capital. Now we understand that this quarter, the working capital was elevated even sequentially, about 23 days higher as compared to September '25. So firstly, what is the reason for this? And secondly, we maintain our guidance of bringing down the net working capital to 85 days by March '26. So, could you help us understand exactly what journey or what steps will be embarked upon to bring that down because this seems like a sizable shift from 139 to 85 days within a quarter?

Jairam Sampath: Yes. So Sonaliji, thank you for joining this call and then your question. See, fundamentally, the number of days calculation is based on revenues, which are generally recognized during that period. So, when you go to the end of the year, generally, the revenues, especially in the last quarter are much higher. So, in terms of leverage you will get in terms of number of days itself will be significant because last quarter, we do almost 35%, 40% of our entire sale. So that's one reason why the number of days would improve on their own.

The second thing like our Executive Vice Chairman mentioned, most of these orders are custom-built orders. They are bespoke orders. And we do acquire materials because especially the environment is a little uncertain. So, we make sure that we give priority for execution of orders rather than just efficiency alone, because the customers depend on us to deliver the PC board. So, we sometimes deliberately keep a little higher amount of inventory. And that evens out in the last quarter when the throughput from the company will be much higher. And so, we'll end up number of days improvement

in terms of net working capital will show up just based on inventory alone. plus, of course, we are also taking some steps in the receivables area. And a lot of execution will happen in the fourth quarter, which is in the supply chain finance-based execution. So, we will have lower receivables. So, your total net working capital in terms of number of days, especially when the denominator is also larger, will improve compared to the intervening quarter.

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So typically, what we expect is about between 70 to 85 days. Last year, it was 85 days. We have not made significant improvements, because we have to contend with our delivery schedule for customers and be ready to deliver sometimes a little more inefficiently. But we are getting there in terms of improving this efficiency, too.

So, you can expect about 85 days and better net working capital. And that is fueled by a number of days, which is based on a larger sales base and then, of course, inventories which will get consumed because we execute more business.

Sonali Salgaonkar: Sir, just an extension of this one. The spike this quarter is mainly because of the higher receivable

days, same as last quarter. So, if you could help us understand as to exactly what you have in mind to bring down the receivable days ? That would be helpful.

And secondly, the orders which are deferred, you mentioned in your television interview this morning that there is a deferral in the railways Kavach order worth INR3 billion, which is why you have brought down your revenue guidance as well. Sir, is Kavach the only order which has been deferred or there have been any more orders which we can expect in Q4?

Jairam Sampath: Yes. Thank you. So, there are many customers. We have almost close to 300 -plus active customers. And of course, the top several customers, like 25, 30 customers bring in the most of the revenue. So obviously, something or the other keeps changing. This is a dynamic environment that we work in. So, we do have this problem to contend with every quarter. We have got our own method of dealing with it, too.

So at this point in time, it happens to be Kavach because it's a safety critical item, and we have just made sure that the design that we put out doesn't need to have any upgrades, etcetera. The design we have is already approved, but we have decided to go for the next revision, which will give us better field performance, too. So that's one reason.

And in terms of receivables, there are 2 ways in which we improve that. One is to discount at the customer's limit, which is like supply chain finance. And a lot of banks have come forward along with the customers and who have spare limits to allow us to discount.

So, we are reducing the receivable days by going for a supply chain finance. The second thing is we are improving also the collection efficiency. And so, as we exit this year, we hopefully will have net working capital under control as well as the cash flows at the operating level turn positive.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Two questions. First, if you could help us with the absolute value of the inventory receivable and payable. Because I'm just wondering how the days are calculated. Are you annualizing the quarter? Are you taking trailing 12 months

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Jairam Sampath: We put a small note on this because this would take up time just explaining how we calculate. But in terms of number of days, at the end of the year, it is the entire year's opening and closing divided by 2. And for the period also, it's opening plus closing divided by 2. And it's there in the public domain. So, if you want, we can send you this calculation actually.

Achal Lohade: Sure. By any chance, the D

ecember numbers are handy with you, sir, receivable, payable and inventories, the absolute value?

Jairam Sampath: Yes, special review report has been made as per the SEBI guidelines. So, these are not audited numbers. Yes. So, inventories are at about INR1,226 crores and receivables are at about INR1,249 crores and corresponding payables are at about INR970 crores.

Achal Lohade: Understood. And this receivable includes the noncurrent receivable as well, right?

Jairam Sampath: Yes, Receivables means current period receivables remaining will appear in the other noncurrent assets.

Achal Lohade: And how much would that contribution?

Jairam Sampath: That will be about INR250 crores.

Moderator: The next question is from the line of Renu Baid from IIFL Capital.

Renu Baid: First, can you help us understand what were the numbers of revenues coming in from the metering business? And how was the revenue growth ex metering for 9 months FY '26 and expected numbers for fiscal '26 overall? And also, in terms of our initiative to reduce overall net working capital, what is being done to reduce the long-term debtors from the metering business that we were carrying forward from Iskraemeco?

Jairam Sampath: Yes. Thank you, Renuji, for joining the call. So, in terms of revenue, I think last quarter is going to be a busy quarter for us, and including the last quarter for FY '26, we'll cross about INR4,000 crores minimum and mainly driven by EMS revenues. As you know, the newer projects will take some time to settle down.

Ramesh Kunhikannan: INR300 crores will be metering...

Jairam Sampath: And maybe about INR300 crores will be metering revenues out of this. And see, fundamentally, in terms of receivables reduction, we have identified a bank with whom we will do funding that is funding the annuities payments, which are sitting in other noncurrent assets. And so that process is on. We have done experimental discounting of about INR60-odd crores. And the remaining also, we will attempt to do that. It has taken a little time more than what we anticipated, but I think we are getting there. So, this one particular bank will help us to at least get rid of this thing.

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And also, you'll be happy to note that most of the metering revenues, we are now converting it into a device business, wherein we don't have to actually put up these kinds of annuity payments. So going forward, the quantum of these payments will be much lower once we are done with the Gujarat project. And all the other projects are all based on device model, wherein we actually become like an EMS player or ODM player for devices.

Renu Baid: What is the revenue growth ex of the metering segment or the line of business for 9 months FY '26?

Jairam Sampath: It will be, by and large, around 40% actually. So, as you know, the growth has not come in metering segment. Growth has come in all other segments. So, we are getting back to our original diversified portfolio. So last year, we did about INR500 crores, INR600 crores of this business. And this year, not much more than that. So, I'm talking about the metering business. So, in terms of growth for the other products, it's pretty strong. And as we go forward, you will see more and more of all the other revenues coming in.

Renu Baid: Got it. So just clarifying again, for first half, CMS growth ex metering was approximately 10% range. And you're suggesting for 9 months FY '26, it's about 40% Y -o-Y. I got the numbers right?

Jairam Sampath: Yes, you've got the numbers right.

Moderator: The next question is from the line of Sameet Sinha from Macquarie Capital.

Sameet Sinha: My question was primarily longer term. I mean, you reiterated your \$1 billion guidance for fiscal '28. So basically doubling from where you are right now, slightly more than double. Can you break it up for us? Obviously, t

hings have changed a lot in the la st 9 months since you initially gave guidance. But how much of that is the core EMS, August, smart meters? Can you bridge that for us? Because I'm getting like a number like a 30% organic growth rate. So, if you can shed some light on that, I like what are the key drivers of that growth?

Ramesh Kunhikannan: See, on the growth, what we have projected \$1 billion, we are still sticking on to that because for us, from our bare board, from our OSAT, additional buildings are going to take place. And for us, from our EMS, which is by the time going to be a lot of in digenization taking place because of the government compulsion. So, I am very certain and seeing the way the order inflow is happening, we are definitely going to reach there for those numbers. And there is no doubt we are having.

If you see our order pending on the aerospace, defense, then railways, then segments like Kavach, which is taking place. If you see many Kavach businesses are getting disqualified and Kavach, they are strengthening all the technological needs. So, we stand to gain a lot out of that. And I'm very certain we achieving a number of \$1 billion will definitely be achieved.

Sameet Sinha: Can you specify how much , has any projections changed for your OSAT PCB business within that context?

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Jairam Sampath: Yes, Sameetji , thank you for joining this call and the question. See, essentially, we don't plan in such a way that we exactly cut -to-cut planning. That means the total is equal to A plus B plus C. So, when we conversationally talk about plans, individual plans are str etched beyond what they ultimately will contribute. So, by that, what we mean is these 2 new projects, which are OSAT and PC Board, they are in the stage of final implementation of the first phase of factories. And our focus ri ght now is to get them going.

So, at the minimum, you can expect INR1,500 crores from our OSAT business. Similarly, you can expect about INR1,000 crores from PC Board business. Now beyond just fine -tuning at this point in time, when they start delivering, then we can probably fine -tune these when we start managing the order book, et cetera.

Right now, we have agreements in place for OSAT 3 clients. So, we are looking at, at least INR2,500 crores coming in. That does not mean that the EMS business is not going to grow. It also means that there will be similar pressure on EMS business. And we are just making sure that we don't overcommit and build expectations, due to even environmental reasons, sometimes don't get fulfilled. So that's why you will have the plans of A and B and C, that is EMS, OSAT and PCB.

Individually, if you total up, it will show you a different picture. But actually speaking, there's an interplay and then at some point in time, we'll call out the actual number maybe closer to FY '28, which is like another 3 quarters, hence, we'll have mo re clarity on how these numbers will be. But what I have told you for both OSAT and PCB, that's a target given to those companies, those subsidiaries and also the EMS is at the minimum balance and then there could be other

additions too. So, at this point in time, I would not like to comment on how better it can be. But we'll do that 3 quarters later.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: A couple of questions. First, the industrial revenues look to have fallen this quarter Y-o-Y if you do a back of the envelope calculation. So, what has driven that? And second, just a clarification.

Of the INR1,700 crores top line expected in 4Q, INR300 crores is smart metering. Is that correct?

Jairam Sampath: Yes. So that is correct. And also, the industrial down because of less reliance on smart meter does not mean that we don't want to deliver those, but it's just that it so happened that

other

businesses also fired up. So, we are getting back to our old, let's say, diversified portfolio approach, wherein we have almost 4 to 5 verticals individually firing up.

So hopefully, the fourth quarter we'll have INR300 crores of smart meter, but the remaining will come from our traditional businesses, which includes railways, aerospace, automotive and other industrial, non-smart meter-based industrial, electric vehicles and so on.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

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Praveen Sahay: My question is related to the order book of INR9,000 crores. Can you give some color on the segment-wise, how is the order book? Is there any concentration on any particular sector?

Ramesh Kunhikannan: No concentration at all. If you see how the pattern is, it is the same way because we supply to customers who are regularly doing production. So, we don't have a concentration of any, if you see our top customer is not more than even 6% of the overall turnover. And the trend is also like that only going forward also as of now.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities.

Manish Ostwal: I have only one question. Sir, last year also, we have guided INR3,000 crores of revenue and end up INR2,700 crores. And in the beginning of the year, we guided at INR4,400 crores, now we are targeting INR4,100 crores. So, when you say the \$1 billion revenue, what are the risks we are seeing which will hurt not to achieve those things? So, can you elaborate those things? It will be quite helpful to give the right expectation for the growth?

Jairam Sampath: No, we understand. So, while we have guided numbers for any particular period, we also said that our is not a quarterly basis. It's not as if the demand goes away and the orders are carried in the order book and then we plan for these orders anywhere between 6 months to 5 years time frame, we get the orders in.

So what happens is the orders get rescheduled. And on that, we don't have too much of control.

While we can prognosticate, we can probably forecast such things. As we see current trend, I think there is a fair bit of -- let's say, it's evened out now. It's come to normalcy. And there are no postponements getting received from major customer groups. So that's why the guidance for quarterly number is not the appropriate way. There are 2 ways of looking at the company's performance.

One is a leading indicator, other is the lagging indicator. Lagging indicator is the actual billing.

Leading indicator is the order book. And order book health has been good. We are growing at about 50% per annum basis, and that's the monthly order inflow. So, which is what you should consider. And at the end of the year, like we said, there's a railway product which got postponed. And being a new product, we don't want to aggressively push this through. We want to give time to all our designers to put their best foot forward so that we can get a bigger share of the business. Earlier, we were talking about 15% of total business of things like covers. We might do better if you put a better product in the field. And it's a matter of just a couple of months, while it may look like a big sales drop, but actually speaking, no. It is just that we are taking our time to make sure that the correct product is supplied, correct solution is supplied to the customer so that we can, in future, look forward to a bigger share of the market.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund.

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Naushad Chaudhary: Sir, 2 data points. I want in the order book, what is the percentage of order book is from the ODM and product engineering? What would be that percentage? And what is the absolute

revenue

of Iskra and August in 3Q?

Jairam Sampath: Yes. So, the order book, ODM, as you know, smart meter is our ODM as a device, smart metering solution is an ODM product. So broadly, you can take it as about 20% of our order

book contains ODM products, which are like you may expect better margin products, and they help us to do better. So that's the -- what was the second question, sir?

Naushad Chaudhary: Revenue share from the Iskra and August in 3Q, absolute revenue?

Jairam Sampath: Yes. So yes, like Rameshji had pointed out, last quarter, we do about INR300 crores of metering business. So, like we have been always saying that the percentage of, let's say, composition in terms of any particular product category like smart meter or anything else is going to stabilize at a level which does not increase the concentration or reliance on one particular product group. It is just that every year, there is a new product, a new vertical, which comes up as a, let's say, major influence for growth.

So earlier, it used to be automotive, then it became electric vehicles, then it became smart meter and next year, will be certainly a year of where we do aerospace and railways and so on. So, from the perspective of percentage of sales for the last quarter, you will have about INR300 crores of this business coming in, which will total up to about between INR700 crores and INR800 crores of smart metering business for the year.

Moderator: The next question is from the line of Santhosh Seshadri from Avendus Spark.

Santhosh Seshadri: So my question is whether are you consciously targeting away from the smart metering business given the working capital cycle there? Is there a way to realign this business to target export markets by utilizing the existing capacity?

Jairam Sampath: No. So, Mr. Seshadri, we are not targeting away from any particular business. We are only changing our role into a device maker, which is our primary role. That is ODM solution maker wherein we design the product and we own the software and then we supply the device.

Ramesh Kunhikannan: We are only saying that we will be away from the AMISP business.

Jairam Sampath: AMISP -- these kind of business.

Ramesh Kunhikannan: But meter as a product, which we were doing it for the last 5, 6 years, we are continuing to do. We'll continue to do.

Jairam Sampath: And you can look forward to newer type of measurements and meters, et cetera, also in the future once we complete our trials and testing, et cetera, we will come back to and come back to you guys and inform.

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Moderator: The next question is from the line of Meet Jain from Motilal Oswal.

Meet Jain: Just one question. Just to understand this lower growth in 3Q. Is there any spillover and if it's regarding to which project or which segment of our business?

Jairam Sampath: Yes, Meetji. So, like I said, the railway ramp-up did not happen. And as you know, railway, we have about 2 different distinct set of products. One is manufacturing, the other is ODM business. And there's a bit of a lag in both of them. So, we can look forward to this thing coming up in the fourth quarter and quarter later.

And like Rameshji said some time back, our orders are not momentary in nature. They are part of a project. So, what happens is this gets postponed. So, we don't want to comment on specific project because we make in a year about 6,000 different products for 300-plus customers.

So obviously, there is a kind of a mix that keeps going up and down. What we can tell you, Meetji, is that there is no significant, let's say, concentration of something which has happened, which is like a trend. So, this is a normal thing that happens in our business. That's why we always say ours is not a quarterly business. Ours is an order book business.

And like I explained earlier, the leading

indicator is the order book itself and the lagging

indicator is the actual billing. Both are important, I know, but then that's how to look at this particular product. So, it's not one specific thing which has got postponed. And there's a bunch of things which got postponed, but I'm happy to tell you that all of those orders are still intact, and we'll probably do some of it in quarter 4 and a lot of it in the coming year.

Meet Jain: Understood. So, our guidance of this around INR40 billion kind of -- so this implies almost more than 70% growth in our 4Q numbers. So how comfortable are we in this number? Or this also includes some spillover, right?

Jairam Sampath: Yes, sir. So, if you ask me comfort, it is not very comfortable to grow at high rates. But then organization, which is growing and come to a stage like we have come, it does involve some little bit of pain, but it is doable.

Ramesh Kunhikannan: Also, there is a pressure from existing customers. Once they have allotted a vendor core, they would not like to have multiple vendors for similar type of business. They like to have larger business share given to one company. And then using that, they wanted them to get the benefit by giving larger share of business.

Jairam Sampath: So, we are geared up to do these numbers that we are talking about. This is how it works. It has worked in the past, and it is how this business will continue to work in the short term in the future, too.

Meet Jain: Okay. Just if you can give the order book mix for this closing order book, that would be helpful.
Moderator: The next question is from the line of Neel Mehta from Equirus Securities.
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Neel Mehta: Sir, 2 questions. Sir, what will be your 9 months FY '26 OCF at the consolidated level? And what would be 9 months of capex? And, it will be very helpful if you can bifurcate it to capex number within the core EMS segment, OSAT, and PCB project?

Jairam Sampath: Neel, thanks for joining this call. So fundamentally, actually, we kind of missed scoring a goal here. We are almost cash positive in the holding company level, which has never happened in the past. A lot of effort has gone in actually behind the scenes. You only get to see me and hear me, but actually speaking, there are a lot of people working. And that is not possible to make a big company turn OCF positive in short run, but it seems to have happened that. We are just about minus INR55 crores. We could have probably improved that too. And going forward, at consol level, we'll definitely be OCF positive by end of this year. I'm happy to help you with whatever data that is available, you can put it together and you can reach us also separately. We can explain to you how this plan is happening.

So going forward, what will happen is the throughput of sales will increase. So, your inventories and also, we are putting in place some supply chain finance activities. So, receivables also will yield results. And there are some outstanding items which we have been talking about like the other noncurrent assets. So, we will deal with that, too.

So, this year, you can expect at consol level, definitely a significant positive operating cash flow. And of course, financing activities will continue until the new projects are in place. And we are trying to make sure that these monies are invested early so that we can start reaping the benefits of the business early also because we want the newer businesses like OSAT and PC Board also to start generating cash.

And so, we are mindful of that. So, at consol level, you will start seeing OCF positive. And at total company level, definitely, FY '28, you can look forward to a significant OCF in each of the businesses, EMS, OSAT as well as PC Board. So, you will get positive cash flow in all the 3.

Neel Mehta: That's very helpful. And sir, what would be our 9-month capex number? And if you can bifurcate it within the EMS segment, OSAT and PCB?

Jairam Sampath: EMS segment, we have taken a strategy of improving the asset turnover by debottlenecking our existing investments. So as far as the 9 months and the subsequent capex for EMS segment is concerned, we may not add significant one. Some small amounts of capex we will do to make sure that the debottlenecking of lines are done and we start getting better asset turnaround. So, for whatever numbers we have committed, we are not going to implement any more capex in the EMS business. Other businesses, there is already a DPR, the INR3,200 crores is the total capex for OSAT, INR1,400 crores is the total capex for PC Board. And OSAT, Rameshji mentioned saying that no FSA has been signed. So, we are assured of that's 50% central and 20% state government subsidies on the allowable capex.

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And similarly, here also in the PC Board also, we have got the factory going, and we have received written commitments from government on how much state will give. And then as part of the other earlier program, ECMS program now, there is a subsidy available from central government, too.

So, as far as the capex is concerned, it's a moving number. We would like to implement as soon as possible. We don't want to keep it in FDs. So, you can take broadly in this year, maybe about another INR400-odd crores of capex will be spent. And in the coming year, we would like to do at least the Phase 1 completely.

That means we'll spend about cumulatively INR1,400 crores in the PC Board business. And then, of course, the OSAT business, the Phase 1 will get completed that is about INR1,700 crores, INR1,800 crores of capex. And then we will start adding further capex maybe in FY '28 and towards the end of FY '27.

So, it's not a fixed number. As soon as we reach a milestone, we would like to implement the capex. So to cut the long story short, we are not going to come back for any QIP or something we are adequately funded. And most of the business will start generating cash also by FY '28. So, we are sure that we are able to fund without any dilution of our delivery in other parts of the business. Individually, businesses have been funded well.

Moderator: The next question is from the line of Viral Shah from ENAM Holdings.

Viral Shah: Sir, just a clarification. You guided for the full year, the smart metering business should do around INR700 crores to INR800 crores of revenue. So sir, going into the next year, how are you looking at this number?

Ramesh Kunhikannan: Going forward, this number will be going up because there are many AMISPs who will have to buy from people like us, people like Schneider, who are supplying as devices. My own peers are also supplying meters as devices. So the market demand is so high for the next 4, 5 years, year-on-year, there will be a growth of around 30%.

Jairam Sampath: Yes. And also, one more thing is that, like I said, in our business, there are different streams of businesses which are targeting a little higher than what we have realized. Please don't go by this quarterly number this year. This year, I'm sure the peers and everybody has encountered some headwinds and all that. But all of those are getting resolved now.

And in the coming year, you can see growth in smart meter too. But then that will not increase our receivables or any exposure to, let's say, long-winded receivables. It will be like a device maker. And like Rameshji said, by itself can grow at about 30% where the company will go certainly larger than that.

Viral Shah: Sure. Understood. And just my second question is on -- sir, did you share the YTD capex number? I remember you saying INR400 crores will be spent in Q4. What would be the spend so far in 9 months?

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Jairam Sampath: I can share that separately. I'll just get the actual number done. But the only thing is, in principle, what we are saying is that we would not like to keep this money in the fixed deposits. We'd like to implement on a time line basis. So as soon as the milestone is received, we'll take the next step so that the businesses can start delivering cash flows earlier. So, I'd be happy to clarify that offline separately if you want to do an accounting of this exact capex that has happened and so on. So, we will get you that number. We'll publish that for everybody's benefit, not a problem.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund.

Naushad Chaudhary: Clarification on the previous question as our ODM and product engineering order book is 20% of the total overall order book. And does that mean incrementally the gross margin should be in pressure because if I look at last 3, 4 quarters, the ODM and product engineering revenue share were quite high versus 20% of current order book?

Jairam Sampath: No, you would not see much difference because the order book contains orders for those that we visibly see. Something like Kavach and those kinds of things are still yet not added to the order book because we need to get the final revision of product in the field first before we can recognize that order.

So there would be opportunities. The 20% comment was basically the minimum amount of ODM business. And that's not the limit. Like we said, there are some orders which come in for 6 months. There are some orders which come in for 1 year, 1.5 years early and then some orders are there 5 years hence too. So you can look forward to this number increasing.

And we will see, we will also get orders during this Jan, Feb and March. And they have to be executed perhaps in the coming year sometime when the new version of this railway product that we are talking about is done, then we would take up the orders of these and then start recognizing that in the order book, too.

See, order book means the moment we say order book, that means it's a commitment for us to deliver. And we have to make arrangements for the material. That's how we actually make our money by giving the orders early to the suppliers and trying to get the targeted gross margins.

Naushad Chaudhary: Based on the order book number, should we assume that ODM revenue share should remain around 20% of the overall revenue for next 1, 2 years at least?

Jairam Sampath: No, it will be higher, sir. The things like Kavach will start coming in. So, they will come in chunks. So, it will be higher than that. I'm saying what currently in the order book is a minimum. That's something committed already. Once the correct version of Kavach is there in the field, we'll start buying material for that, and we'll start recognizing the orders in our order book. So that's a minimum. It can go up by about 5%, 7 percentage points going forward.

Naushad Chaudhary: And on those only, sir, your ambition of taking it to 40% by '30, do you count your OSAT and PCB into your ODM? Or do you count that separately your pure EMS business should go to 40% ODM?

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Jairam Sampath: Okay. Now it's a little tricky to say whether EMS business by itself will only will grow at that

number. While we are making all the attempts and all the products that we are talking about and all the newer ODM and solutions that we are doing, if that is in place, then the EMS itself can give you growth.

So, in FY '28, if you see \$1 billion, we might be targeting more than that actually, while we may deliver \$1 billion, but we'll target more than that. So OSAT and PCB businesses also, at least minimum reliance is there, we are saying INR1,500 crores and about INR1,000 crores from the other business, PCB and

and INR1,500 crores from OSAT.

But then we might do a little higher than that. And we might do a similar number over to a similar number in EMS too. So let me put it this way. While we are target for individual businesses will be higher. At a consol level, we'll definitely deliver this number of \$1 billion. That's what we're doing.

Naushad Chaudhary: I'm sorry. Sir, my question was to our 40% ambition of overall business making ODM and product engineering. In that 40%, do we count the OSAT and PCB?

Jairam Sampath: No. OSAT and PCB are different businesses. They are not part of ODM. There is a part of ODM and OSAT too, which is like test engineering and all that. So that is a services business that is different. That's not counted in this 40% target.

Ramesh Kunhikannan: OSAT is similar to our PCB assembly business. PCB is a little more process-oriented business.

Jairam Sampath: Yes. But, he is asking about this target of ODM. So, it's based on EMS only, not based on other 2 businesses. Other 2 businesses, we may have to reconstruct the name comment a little bit so that we clarify better.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, just wanted to clarify on the operating cash flow point. You're saying that we'll still be operating cash flow positive for the entire year. Because when I look at both inventories as well as receivables, those have gone up very sharply versus last year. So, we'll have to kind of recoup a fair bit of loss around in fourth quarter. So, have I understood correctly that operating cash flow positive for the entire year and not just for fourth quarter?

Jairam Sampath: Yes. It will be certainly for the fourth quarter because the numbers are higher, but our target is consolidated for the whole year, we will be operating cash positive.

Aditya Bhartia: Okay. And sir, the other clarification that I required was on the core business growth that you spoke about of around 40% for 9 months. Given that last year, we had Iskraemeco only in second half. So, INR500 crores was essentially split between third quarter and fourth quarter. And this year, in first half itself, we have done roughly INR500 crores, even if we assume no further revenues came in, in third quarter, even in that case, it's difficult to see how core revenue growth

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without Iskraemeco could have been more than 20% in 9 months. So where am I getting the calculation wrong?

Jairam Sampath: No, you're not getting any calculation wrong. It is just that we are executing other orders, too. Out of this INR9,000 crores order that is there on hand, the quantum of smart meter orders is just about 20%. The remaining pertains to EMS business. So, we are getting those businesses also fired up in the fourth quarter.

Automotive, for instance, there are many new clients. EV, there are new clients and there are new products. Industrial non-meter-based products are there. Then there is railway other than Kavach also, there are businesses that we are working on. Aerospace orders have been hanging fire for a long time, sitting with us. So, there are orders available in every one of these segments, which are actually going to contribute. So, we are not dependent just on one particular thing to fire up.

Aditya Bhartia: Sure. That's a fair point. So, this 40% growth number that you gave was for entire year, not for 9 months, 40% growth without Iskraemeco?

Jairam Sampath: Yes, sir. Even for the 9 months, it is probably correct. We reconcile this number and ship it to you.

Aditya Bhartia: Yes, yes. Sure. Because for 9 months, it appears that it should be less than 20% or around 20%. That's why I wanted the clarification.

Moderator: Due to time constraints, that was the last question for today. I now hand the conference over to the management for closing comments. Over to

you, sir.

Jairam Sampath: Yes. So, first of all, many thanks to the Axis Capital team who have organized this call and all the participants who have taken time off in a working day and so on and then listen to us. And you have been most helpful in terms of your analysis and looking deeper into our processes and all that. And we hope that next time when we meet, you will probably see an improved delivery of whatever promises that you have seen and whatever expectations that you have.

And we, as a company, also would probably share over the next 2 to 3 months' time frame, some more good news about the way business is shaping up, not merely in the existing businesses, but also in the new businesses. And Rameshji, do you have any final comments?

Ramesh Kunhikannan: No, Thank you for your participation, and we are still reiterating whatever we have claimed, we will be doing.

Jairam Sampath: Thank you.

Ramesh Kunhikannan: And there will be some hiccups here and there. But overall, you'll have to look at a longer picture than one quarter.

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Jairam Sampath: Near a quarter, yes.

Ramesh Kunhikannan: Thank you.

Jairam Sampath: Thank you very much.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

KAYNES TECHNOLOGY INDIA LIMITED

CIN: L29128KA2008PLC045825

Website: www.kaynestechcs.com Email ID: kaynestechcs@kaynestechcs.com

H.O & Regd Office : 23-25, Belagola, Food Industrial Estate Metagalli PO, Mysore 570016 , Karnataka, India

Telephone No: +91 821 2582595

May 19, 2026

BSE Limited
Corporate Relationship Dept.,
14th floor, P. J. Tower,
Dalal Street, Fort
Mumbai - 400 001

Scrip Code – 543664 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1, G Block,
Bandra -Kurla Complex,
Bandra (E),
Mumbai - 400 051

Scrip Symbol – KAYNES

Dear Sir/Madam,

Subject: Intimation of Earnings call transcript of Q4 FY2025-26

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the link for the transcript of Earnings Call for Q4 FY2025-26, conducted on Thursday May 14, 2026 and uploaded on the Company's website.

Particulars Website link

Transcript <https://www.kaynestechcs.com/doc/Regulation-46-of-sebi-lodr-regulation/EarningsCallTranscript14May26.pdf>

Kindly take the above information on record and acknowledge it.

Thanking You,

Yours faithfully,
For Kaynes Technology India Limited

Sudhasri Addepalli
Company Secretary & Compliance Officer
ICSI Membership No. ACS 79832

Enclosed:

- Transcript of the Earnings Call

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"Kaynes Technology India Limited
Q4 & Full Year FY26 Earnings Conference Call"
May 14, 2026

MANAGEMENT : MRS. SAVITHA RAMESH – CHAIRPERSON – KAYNES TECHNOLOGY INDIA LIMITED
MR. RAMESH KUNHIKANNAN – EXECUTIVE VICE CHAIRMAN – KAYNES TECHNOLOGY INDIA LIMITED
MR. MUTHUKUMAR NARAYANASWAMY – MANAGING DIRECTOR – KAYNES TECHNOLOGY INDIA LIMITED
MR. SUMIT VERMA – INVESTOR RELATIONSHIP – KAYNES TECHNOLOGY INDIA LIMITED
MUFG IR – INVESTOR RELATIONSHIP PARTNERS – KAYNES TECHNOLOGY INDIA LIMITED

MODERATOR : MR. NIKHIL KANDOI – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kaynes Technology India Limited Q4 and Full Year '26 Earnings Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation continues. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kandoi from Axis Capital. Thank you, and over to you, sir.

Nikhil Kandoi: Thank you, Swapna li. Good morning, everyone. On behalf of Axis Capital, I would like to welcome you all to the Q4 and Full Year FY '26 Earnings Con Call of Kaynes Technology India Limited. We have with us management today represented by Mrs. Savitha Ramesh, Chairperson; Mr. Ramesh Kunhikannan, Executive Vice Chairman; Mr. Muthukumar Narayanaswamy, Managing Director. Participants are requested to note that Mr. Jairam Sampath, Whole Time Director and Chief Financial Officer, would not be available for the call due to health concerns. Now I'll hand over the floor to the management for the opening remarks, post which we'll open the floor for Q&A. Thank you, and over to you, sir.

Ramesh Kunhikannan: Good morning, everyone. On behalf of Kaynes Technology team, I would like to welcome everyone to the earnings call of Q4 FY '26. Mrs. Savitha Ramesh, Chairperson of our Board; our Managing Director, Dr. Muthukumar Narayanaswamy; Mr. Sumit Verma from our Investor Relationship, and MUFG IR, our Investor Relations partner, are with us today.

Let me begin with a brief overview of our financial performance for the consolidated year FY '26 period. Our total revenue stood at INR3,626.4 crores, reflecting a year-on-year growth of 33.2%. Our EBITDA for the period FY '26 was INR5,741 million, registering a growth of 39.8% over the same period last year. This translates into an EBITDA margin of 15.8% for FY '26, while profit after tax came in at INR3,639 million, representing a PAT margin of 10% for FY '26.

I'm also pleased to share that during FY '26, our Mysore facility achieved a significant milestone by crossing INR10,000 million in revenue. This achievement reflects not only the scale and maturity that the unit has attained over the years, but also strong customer confidence, execution capability and manufacturing that Kaynes has built across its operations.

This quarter and the full year reflect a period of consolidation as we continue to strengthen execution capability and prepare the company for the next phase of growth. Over the last few quarters, our focus has remained on driving consistent improvement in top line growth while maintaining healthy bottom line margins. That said, our near term top line performance did not fully meet market expectations, primarily due to...

Moderator: Sorry to interrupt you in between, sir. Your voice is subdued a little bit.

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Ramesh Kunhikannan: Near-term top line performance did not fully meet market expectations, primarily due to geopolitical disruption, especially the West Asia conflict, which led to last-minute customer

deferment, supply chain delays and product timing shift. Similar to the earlier Russia -Ukraine situation, these events created temporary uncertainty in execution timelines, even though the underlying demand environment remained strong.

Since our revenues are closely linked to customer project readiness and approval cycles, some revenue recognition has shifted despite the orders remaining valid and executable. While these factors have had a temporary impact on near-term revenue timing, our strategic direction, customer engagement and long-term

growth road map remains firmly aligned and Kaynes has

continued to demonstrate resilience and execution strength through this period.

The company has not seen a structural deterioration in demand, order book quality or customer relevance. Our order book remains healthy, diversified, and noncancelable in nature, and we continue to see strong engagement across multiple strategic sectors.

Over the last few years, Kaynes has grown rapidly and in a relatively short period of time, that growth has created significant expectations from investors, customers, partners and suppliers. We respect those expectations. We are conscious that when a company scales at the pace we have scaled, execution has to mature equally fast. That journey of institutional strengthening is underway, and we remain fully committed to improving consistency, predictability and delivery against the confidence placed in us.

There has been some top management restructuring and role realignment in this phase. Such transactions naturally take some time to settle, particularly in an organization that is expanding across multiple technologies, manufacturing and strategic platform simultaneously. However, these changes are intended to sharpen accountability, deepen execution ownership, and build a resilient operating architecture for the next phase of Kaynes. The organization is adapting quickly, and the leadership team is fully aligned to match with the market expectation.

In core EMS as well, our diversification strategy continues to hold strong. As discussed in the earnings call, growth is increasingly broad-based across automotive, EV, industrial, aerospace and railway-related segments with lower dependence on any single business line. This diversified vertical mix gives us confidence that near-term volatility in one area will not define the long-term trajectory of the company.

I am pleased by the trajectory of our 2 new growth engines in OSAT. Unit 1 is fully operational, and Unit 2 is in commercialization by Q2 '26. This business strengthens Kaynes further by deepening backward integration, adding technology depth and expanding our presence in high-value manufacturing.

In OSAT, the order outlook for both the current year and the medium term remains strong with revenue visibility of over INR25,000 million over the next 5 years. Similarly, in PCB, we continue to see a robust and confirmed demand pipeline for the next 5 years, with several customers already indicating requirement for additional capacity expansion.

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One important point that deserves acknowledgment is that certain areas where market expectations moved ahead of actual delivery were driven not only by execution pacing, but also by the broader operational complexities associated with managing the core EMS business amid global uncertainties, while simultaneously scaling new strategic platforms such as OSAT and PCB.

Going forward, our focus remains clear, improving execution in EMS, moving towards product-driven revenues, ramping up PCB and OSAT, with discipline and delivering growth with stronger top line and bottom-line growth and capital efficiencies. We value the trust placed in us and recognize that credibility is built through consistent delivery.

With that, I would like to hand over the call to Dr. Muthukumar, Managing Director of Kaynes Technology. Over to you, Muthukumar.

N. Muthukumar: Thank you, Mr. Ramesh. Good morning, ladies and gentlemen, and thank you for taking time to join with us today. It's a privilege to address all of you as we continue our journey of building Kaynes into a globally recognized technology-driven manufacturing enterprise. Under the leadership and vision of our Executive Vice Chairman, Mr. Ramesh Kannan, Kaynes has built a strong foundation of customer trust, execution excellence and sustainable growth.

Over the last few

quarters, the company has continued to deliver strong financial and operational performance, supported by a healthy order book, increasing the customer engagement and growing presence across all the high-value sectors.

For Q4 FY '26, our total revenue stood at INR12,426 million, reflecting a year-on-year growth of 26% for this quarter. And overall, for the year, we've grown at 33%, while the operational

EBITDA for Q4 '26 came up to INR1,937 million, translating into an EBITDA margin of 15.6%, reflecting our continued operational resilience and scale expansion. The profit after tax for the quarter stood at INR912 million.

Our debt -to-equity ratio stood at approximately 0.2 in FY '26, reflecting a prudent disciplined capital structure even during the face of significant expansion. At the same time, our organization earnings per share basic has grown from INR30 in FY '24 to INR54.9 in FY '26, reflecting the company's consistent growth trajectory and long -term value creation for our all stakeholders.

We realized our working capital days stood at around 122 days in FY '26, primarily reflecting the business model procurement of the smart meter segment, which has different working capital cycle when compared to the core EMS business. On a like -to-like basis, we would like to bring it to your attention that the core EMS business has demonstrated a significant improvement in the efficiency as committed earlier with the working capital days reducing from 83 days in FY '24 to 53 days in FY '26.

We remain focused on further strengthening the operational efficiencies and improving project execution cycles and optimizing working capital and we continue to scale the business. One of

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the defining milestones in the journey has been the inauguration of the OSAT facility at Sanand by our honorable Prime Minister, Shri Narendra Modi.

This is not only the matter of pride for Kaynes, but also a strong validation of our company's growing role in India's semiconductor and electronic manufacturing ecosystem. What Kaynes has achieved in a relatively short span of time reflects the strength of our vision, execution capability and the commitment to our teams across the organization. As we enter the next phase of our evolution, our focus will continue to be on strengthening the foundation and scaling the organization at a greater speed, agility, innovation and operational excellence.

Kaynes today stands at a very important inflection point. The industry is evolving rapidly, customer expectations are keeping more demanding, and our global manufacturing landscape is increasingly shifting towards high -value, technology -intensive solutions. The environment of our aspiration is not only to grow in scale, but also significantly enhance quality and value of our business. One of our key strategic priorities in the next few years will be to accelerate the transition from a traditional EMS -led organization to a differentiated ESDM and product -driven enterprise.

A critical pillar for this transformation will be strengthening our new product development capabilities. We believe that innovation -led manufacturing will define our future of the industry, and our goal is to steadily increase the contribution of NPD -led and value -added solutions to nearly 30% of the total revenue in the coming years.

To achieve this, we are investing on our engineering capabilities, customer co -development model, a digital infrastructure and an R&D infrastructure, and an integrated product realization platform that allows us to engage in the early phases of the customer product development. This will not only improve the margins of the company, but also the customers' confidence and position Kaynes as a strategic technology partner and original design manufacturing company rather than a manufacturing service provider.

At the same

time, operational excellence will remain at the core of our execution philosophy.

As we scale consistently in quality, delivery, productivity, and reliability become even more critical. Our focus will, therefore, be on building deeply a process-driven organization powered by enterprise -wide digital systems, automation and data -driven decision -making.

Quality, in particular, will be a defining theme for us going forward. As we all know that quality is no more a differentiator, it's the base expectation. What differentiates the company now is the ability to deliver superior quality consistently with the speed at a competitive cost and reliability and, of course, intelligence.

With artificial intelligence coming in, we are introducing artificial intelligence in various processes to make sure that we are ahead of the market. At Kaynes, we are committed to building a culture where quality is embedded into every process, every product and every decision across the organization.

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We're also driving the company initiatives with total predictive maintenance, advanced quality systems, Industry 4.0 integration and 2 of our plants have already done the kickoff and moving into the next phase of implementation. These initiatives across the organization are not just about improving the manufacturing metrics. These are about creating a culture of ownership, discipline, a continuous improvement, and a customer-centricity across all our facilities.

As the manufacturing ecosystem becomes more competitive globally, automation and digital transformation will become essential enablers for long-term competitiveness. Our focus will, therefore, continue to be on improving productivity, reducing process variability, strengthening supply chain integration, and enhancing execution.

Another important change is the quality and diversity of experience we continue to bring in our leadership and governance structure. Our Board today brings together an expertise across technology, finance, law, engineering, manufacturing, automotive, and electronic and strategic operations. Leaders such as Mr. S.G. Murali, who brings deep financial leadership experience, including his tenure as the Group CFO at TVS Motor Company.

Mr. Koshy Alexander, who has extensive experience in finance and public sector electronics, including serving as Director of Finance at Bharat Electronics Limited, brings significant strategic and operational depth in the organization. Ms. Poornima Rangana th, with extensive legal and governance experience, is guiding philosophy principles in people development and in our legal framework.

Dr. M. Annadurai, who has deep experience from India's Space and Technology Mission, joining our Board will strengthen us to take it to the next levels of technological upgradation. Mr. Rajesh Mittal, with a strong expertise in engineering and automotive operations, is joining our Board, and I'm sure that it will strengthen our supply chain capabilities and penetrating and getting into more into an automotive operation. Their guidance, along with the addition of strong leadership in various functions in the Kaynes, continues this journey towards becoming a stronger, design-led, technology-focused, and a box-build solution company.

Most importantly, none of this is possible without our people. At Kaynes, we strongly believe that people define our strength and future of the organization. We continue to invest in leadership development, capability building and creating opportunities for our team to innovate, grow and lead. At the same time, we are consciously building a strong pipeline of future leaders who can carry forward their values, culture and long-term vision of the organization as we continue to scale in the Viksit Bharat era.

Our focus remains very clear, customer focus, innovation and quality, and people. These

4 pillars

continue to guide our Kaynes journey as we build Kaynes into a world-class manufacturing organization that will be the new benchmark for the industry. With this commitment from our teams, the trust from our customers, and strength of our strategic direction, I'm confident that Kaynes will continue to play a defining role in shaping the future of Indian manufacturing on the global stage.

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With this, I complete my initial remarks, and I would like to thank Axis Capital for hosting this earning call. I would also like to thank all the participants for joining us today. And I'll hand it over to Axis Capital and looking forward to answer your queries. Once again, thank you very much for taking time to join this call. Over to you, Axis Capital team.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Viral Shah from Enam Holdings. Please go ahead.

Viral Shah: Sir, my first question is on guidance, sir. At the start of the year, sir, we had guided that we are looking to close the year with revenues of INR4,500 crores, which was subsequently toned down to INR4,000 crores, and we ended the year with close to INR3,600 crores of revenue, sir. Sir, how should, as investors, we look at this guidance? And what is the sanctity of the guidance that we are providing, sir? Because there is a very vast variance between what was expected versus what is delivered, sir?

N. Muthukumar: Thank you very much for asking this question. We fully understand and appreciate your question. We did an aggressive top line growth in the year based on the order book and we got the electrification of the vehicle. And of course, the government projects where we are working is going to be at the faster pace.

Giving a guidance of INR4,500 crores is almost 55% growth over the previous year. In the third quarter, I think we have turned out to saying about INR4,000 crores because of a few delays. And one of the largest electric vehicle OEM manufacturers has completely dropped by about 90% of the revenue, wherein we were the single supplier which has dropped our numbers. But we were quite confident in the last quarter of getting 2 government orders where the products

have been done and the product testing have been approved. It is going to be done, but there is a delayed project. I think these are the 2 things that while we have delivered about 33% growth in revenue and 39% growth in the bottom line, we sincerely understand and appreciate that the guidance what we have given, we could not meet.

Having said that, I think while we are looking at strengthening our execution capability, agility in manufacturing, and delivering the product on time, there are certain cases where it's beyond our situation where the customer is full and the drive makes us to hit the numbers. And that is one of the reasons that why we chose to say this time that we'll be outgrowing the market and we'll be doubling the market growth, so that our penetration is much more. I hope I have answered your questions, but we fully understand and we are aware of the questions what you're asking and the implications of it.

Viral Shah: Sir, I appreciate this answer. But sir, 75 days into the quarter, we would be aware of how the quarter would be looking like. But the management comes on the television and holds on to the guidance. Additionally, even apart from the P&L side, the guidance was also that we would be just about marginal negative on the OCF side, sir. Sir, both of these guidance, 75 days into the quarter is actually a bit concerning when the actual numbers reported would be way off. Sir, how do you look at that, sir ?

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N. Muthukumar: I think the intent behind committing those numbers in the last quarter stating that we have based on the product samples that have been approved.

N. Muthukumar: Yes. See, what happened is, while we have got the indication from the invoice from the customer, we started ordering the material. And in fact, if you ask us, we have started even the pre-manufacturing activities of this, which gave us the confidence that, yes, we'll be able to deliver. If you see, more than 50% of the manufacturing of those activities also has been in the pipeline. As I said, it is not a denied order, it is a delayed order. We sincerely apologize for that this has happened. But I'm sure that you would all trust me that it is beyond our control. And going forward, we will take this input in terms of committing for the future numbers.

We are committing for our growth based on what market can pull in. And one of the reasons that you will see that going forward, we will be better like when our Executive Vice Chairman said, our dependency on every vertical, we are bringing it down. So, we are taking it into many other verticals, so that the impact on one business will not have an overall impact, but we will definitely keep this in mind and make sure that in future, we will be better preferred for mitigating these risks.

Viral Shah: Fair enough

N. Muthukumar: In our type of business, we also depend on customer insights and accepting it. I hope you all appreciate that.

Viral Shah: Sure. Sir, which is a fair enough point for the P&L side of you. But sir, OCF INR600 crores of negative, I think that is a bigger disappointment, especially when you kind of guided that you will be just about neutral or slightly negative, sir. So, you would have not guided, sir, why have we not been able to turn that around, sir?

N. Muthukumar: Okay. I think it's a fair question. The operational cash flow, I think there was a little maybe misunderstanding. I was also in the call during that time. The 2 cash flows that we are talking, as a stand-alone EMS business, I wanted to bring it to all your notice that as a stand-alone EMS business, our cash flow was INR250 crores positive when compared to INR65 crores last year. However, as a consolidation entry, see 65% of our revenue today comes from EMS business where we are cash flow positive.

The metering business, which is a specific model, this is the first full year we have taken and we are getting matured into this business. One of the things that happens is, this business model is a strategic acquisition for Kaynes in order to make ourselves getting matured towards a product-based company rather than an EMS assembly company.

I just want to bring it to all your notice that prior to acquiring metering company, we have been supplying them the EMS business. So the entire revenue is not new to us. At least 50% of the revenue as an EMS business we have been supplying there. But this is a unique acquisition where

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it is not only making the meter but also installing the meter and also maintaining the operation and maintenance of providing the software.

We are the only company which has got a unique combination of all the 3, and that's the reason for why Kaynes has committed and moved into this acquisition, which has definitely brought back the good amount of insights on product development, converting ourselves, Kaynes, into a product company and maturing into launching more new products in that segment like whether it be a water meter or gas meter, we are on the pipeline.

Having said that, we should have anticipated this well. There were a lot of government delays, and the payment comes based on the installation. With various activities of the various state governments releasing the tender for supplying the meter, installing the meter, going to those houses and installing, there was a little delay. I would request you all to appreciate that as a stand-alone Kay

nes EMS business, our net working capital days has come from 64 days to 54 days.

However, the total number has gone up because of this. 65% of our revenue comes from EMS business where our receivables is only 35%, whereas 25% of the business comes from EMS where the receivables is 67%. We have worked out the strategy with the management team on how to mitigate this. We've been working with various organizations to see that how this business model can be mitigated. Rest assured, ladies and gentlemen, we'll be able to bring it back at least to a level of reduction.

I think the inflection point has stopped and will come into the reduction, and we will come back in 3 quarters with positive results on specifically this entity. But on EMS business, we have demonstrated our ability of how to bring back both by working on supplier side and also on the customer side and brought it back. The numbers are available in this.

I think you can see from our opening receivables of about INR399 crores in the EMS business, sorry, INR379 crores, by the end of the year, we have come to INR399 crores. Even though we've grown the EMS business at 30%, our outstanding or receivables has gone up only by INR20 crores, which clearly shows how we could be able to manage this business efficiently. Ladies and gentlemen, trust us, in the years to come, we will manage the metering business and demonstrate our ability to manage the product development, which is going to be a strategic shift in the Kaynes organization from moving an EMS provider to a product provider, and at the same time, manage this working capital cash flow efficiently.

Ramesh Kunhikannan: Added to that, if you recollect, we were very clear, our main EMS business, we will be cash flow positive this year, whereas the entire company, we will not be able to do that. So please appreciate, we have done and honored what we have said.

N. Muthukumar: So from INR65 crores, I want to bring to your attention of a cash flow positive our EMS business from last year, we have migrated to INR250 crores plus, which is a significant improvement in a year where there were a lot of uncertainties, including the escalations at one end, supply chain disruption in the last quarter and, of course, customer pulling of the material. And our customers

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and suppliers have really supported Kaynes' initiative in taking this commitment and moving forward.

Moderator: Thank you. Next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Just, I think the call is all over the place. So going forward, I think we are not giving guidance in the same business when you articulated it's a customer-driven business. And when you're saying demand is very good, what is stopping you off giving you the guidance? I mean, is it you see more deterioration in working capital, which will erode the revenue growth from here on also?

So we are very confused if you can throw some light how the direction of revenue and working capital improvement will happen, because it has not happened so far. And you're not giving any guidance. So it's very confusing for the investors. If you can throw some light on aspects of both revenue and working capital?

N. Muthukumar: Okay. And thanks for asking this and giving us an opportunity to explain our position. It is not that we are not giving a guidance for the revenue. We are not only giving guidance for the revenue numbers. When we are saying that the industry in India, the GDP growth is at 8%, the EMS space where we are playing has grown at about 18% last year or is expected to grow in this year 16% to 18%.

We say we'll outgrow the market, we'll penetrate into each and every segment, and we'll double the growth of market growth is what the commitment that we have done. I'm sure that we'll be able to do that. But exactly

, we don't want to put the number because you see, for example, the December projection of automotive industry was a mid -double -digit growth for this year, whereas the latest prediction phase, it will be a single -digit higher or lower double digit, which may impact on the offtake of the product.

While we are trying to mitigate it by getting into the various verticals like, in fact, we are going to be getting into defense and training and, of course, space business and other things. But at the same time, we want to be a little cautious because the market is in a highly volatile condition. Nothing to do with our ability to deliver. Our capacity and capabilities is always available. So we are committing at doubling the growth of market growth, which we will be definitely coming back in every quarter to say that how the market has grown and how we have grown. You can rest assured that Kaynes will continue to focus on delivery efficiency and meeting the customer demand and, of course, making the investors' calculation.

Sorry, if we have made you to put it in a confusing state by not giving the exact number. Having given the exact number, we find that there are a lot of uncertainties which is beyond our control. And rather than coming and telling it and apologetically saying that it is because of this reason, we don't want to be providing a reason, but we wanted to be a solution provider in this. That is on the first revenue.

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In terms of working capital management, we will continue to be efficient in this area. You can rest assured that Kaynes stand -alone, the EMS business will continue to be cash positive, and we'll be improving it at least by about 8 to 10 days in the years to come in this segment. Having said that, the metering business, which is complete for the full year, we started with the receivables of INR521 crores to INR1,300 crores, we are putting our execution team to go and install it in every area. We will reverse the trend. That's what we can say. But we have a very clear road map of bringing it back in 3 quarters to track in this metering business also.

We are also working out various business the current business model, I'm sure that most of you are aware, the business model of metering business is completely different from the EMS business. These are all some of the things. The positive thing is getting into the product, a new technology and, of course, an expanded margin product, and the other side is on the working capital management.

But rest assured that Kaynes management has got the capability, and we will ensure that we reverse the trend in this quarter. And quarter after quarter, you will see, within 3 quarters of this year, we have a very clear strategy on how we are going to come out of this cash flow issue in the metering business.

And ladies and gentlemen, at this point in time, we want to bring to your notice, the working capital management will not have any impact on our growth trajectory or in terms of our execution capability. Our order book continues to be stronger at INR9,000 crores plus. What we have been talking about and executing the new product in 12 months to 18 months, today, our ability to launch the product in 9 months, the full product has come because of the acquisition of new technology and new teams that we have got a product technology team.

You will be able to see and you'll be able to hear more and more of our products launched in the electric vehicle space in every spectrum that we are going to work in, wherein you will see that it gives the ability to launch the product and, of course, improve the margin. We are also submitting 30% of our revenue in the years to come will come from the new products, which means it gives us an opportunity to leverage our technological excellence, at the same time, getting into a better standardization

of the product to bring working capital management and, of course, expanding the margins.

Our idea was not to give a guidance. What we are trying to tell is, we will better our growth of this year next year. We do not want to attach a number to that. That is the only clarification. I hope I've clarified this.

Nitin Arora: Sir, I don't want a number. The question was more what will change suddenly which will get your INR600 crores negative cash to breakeven? Our business remains the same. Even Iskraemeco, you moved out, which I think you have 2 more quarters to go. Correct me if I'm wrong. The rest of the business is your negative working capital. So what will take this INR600 crores was the question?

N. Muthukumar: Sir, the INR600 crores by end of the third quarter will come to around we will try to work on the positive, but at least 70% to 80% of this will come down for sure. And by end of the year,

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we'll be positive. We have a very clear strategy quarter -on-quarter. I'm sure that the next earnings call, when we are going to be together, because it's almost 40 days have gone in this quarter, and the team is working on to put this into effect. We took a little time on this business because more of a product is what we were focusing, and we didn't anticipate this much of delay in the execution of the erection and commissioning.

Moderator: Thank you. Next question is from the line of Renu Baid Pugalia from IIFL Capital. Please go ahead.

Renu Baid Pugalia: A few questions from my side. First, if you can help quantify what was the share of leasing - related revenues in our consol revenues for fiscal '26 versus '25. And how does the growth look ex metering portfolio? That's first question. How are we scaling up in terms of new applications on the power supplies and other aspects, including EV within the industrial business?

Third is if you can share updates in terms of ramp -up of the rail portfolio with respect to Kavach solution. And do we see any headwinds on government offtake given that government finances this year are likely to be under stress?

N. Muthukumar: Thank you very much for listing it out. I will answer the first 2 questions. One is on the metering business. The metering business contribution to our total revenue is around 20% to 25%, okay? Having said that, it is not that the entire 25% of the revenue has come because of the metering business.

I'm sure that you will all be able to recollect that we have been supplying the components and the PCB for this metering business, which is around 60% of the revenue has already been coming. That's why when people say, oh, your growth, is it only because of metering business, 60% of this is our EMS business, which we have done, and we have added the box -build, software, and O&M business on to this. So the growth is like that in that business.

The second question which you asked is, yes, the company is now launching the product for EV segment. And you can see our growth in the EV segment this year is about 28% growth despite the fact that one of our largest customers in 2 -wheelers has dropped the production significantly by about 90%. That means, had that been in full, our penetration would have been much higher. This is one segment which is growing, which has continued to grow. And rather than supplying only PCB, we'll start working on the assemblies and products, which will make our value additions much higher. Every segment, as we said, we are going to diversify to make sure that our impact because of one business will not be there. Having talked about the first 2 of your questions, I will leave it to our Executive Vice Chairman to talk about our progress, what we are doing in railway business.

Ramesh Kunhikannan: Regarding the rail business, our Kavach product has received the initial approval, and we have got the trial

orders. We are in the execution stage. We have done field survey and everything.

We are expecting this year in the first half to complete all approvals and the second half to get a large portion of orders. Execution -wise, yes, we will have opening order in a big number, but a small portion will be out of that completed.

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So this is the status as far as Kavach is concerned. We are developing another 2 more products for the global requirement for one of the OEMs in the rail sector, that also. So rail business, I'm expecting this year to grow by around 20%, 25% because of the se coming in. And the margins are going to be north of current 30% plus. I hope I have answered this.

Moderator: Thank you. Next question is from the line of Amber Singhania from Nippon India AMC. Please go ahead.

Amber Singhania: First thing is if you can share details about your metering subsidiary, what was the revenue for the full year EBITDA and what is the total receivable in this subsidiary?

N. Muthukumar: Sir, as far as the metering subsidiary is concerned, out of the total INR3,626 crores, it's a subsidiary, coming in, about INR971 crores is the metering subsidiary's revenue, which is 24%, 25%.

Amber Singhania: Pardon, sir?

N. Muthukumar: The metering revenue is INR971 crores out of the total INR3,626 crores revenue.

Amber Singhania: Yes. And how much is the receivables in this?

N. Muthukumar: Okay. On the receivables of the metering business, it's about INR1,365 crores, including the -- in the total revenue, the receivables on this business. It is more than that because the first 2 quarters of this year, we could not execute while the metering we have supplied, the installation got hugely delayed, particularly in the rural towns where the government has given business. Our pickup has happened only in the last quarter where our installation is going.

It's going to take about 1 or 2 quarters for us to complete the installation. That is why I have committed that it will take up to the third quarter for us to complete this. I'm sure that this is not only with us, overall, the ecosystem of this is creating a problem, but we have created a pipeline of team and pipeline of equipment to make sure that the installation takes place on time. The availability of people -- the availability of the location is a concern.

Amber Singhania: Sir, just a clarification on this. If I'm correct, last quarter con call, you mentioned that metering subsidiary receivable was somewhere around INR1,100 -odd crores, and you were supposed to receive INR250-odd crores by securitization itself, whereas when we are seeing now, it has gone up. So if you can help me understand, was there any securitization done? If not, why not?

Because we have committed that it is almost done during the last con call. And secondly, what has led to this kind of increase in receivables on the metering business?

N. Muthukumar: See, this securitization, we have just started with one bank. And the first block where the installation is completed, bank has started accepting it. Bank would like to have the first month complete billing and realization. So we have the sanctions every thing, but we have only discounted to around INR40 crores or so.

Amber Singhania: Because sir, I think this is exactly same from what was given in last quarter con call. So there is no progress in this quarter at all in this?

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N. Muthukumar: No, no. Apart from last time, this quarter, again, we have discounted some INR40 crores extra. See, the installation and all reports, after that securitization takes place, and they are willing to disburse the money. Our key challenge is on the installation now, which is what we are working with the various organizations, public sector enterprises, and the end customers, and the

respective GENCO or DISCOM to see how we can speed it up. We understand your concern of why the revenue in the last quarter is INR380 crores. We almost added businesses. It's basically because of the delay on the installation.

Amber Singhania: Sir, just wanted a better clarity in this business. Going forward, are we going to continue to execute this kind of revenue with this kind of working capital? If not, then what are the factors which are giving you confidence that you will be able to reduce this working capital in this business? And if you can quantify something with concrete steps, it will be helpful for us to understand.

Ramesh Kunhikannan: No, no, no. In the past, we have already agreed we are not going to take any orders like this. We are only going to take meter orders, and we will be supplying to the project teams who are taking up orders for the entire execution, like that. So further, it will be our EMS component only we'll be taking orders.

N. Muthukumar: See, the current business what we have taken is about 35 lakh. Yes, 35 lakh meters is what we have taken, which is the order that is being executed and all. But ladies and gentlemen, I think while I fully understand working capital is one of the key concerns and we are working on, this has brought in a lot of other strategic advantage to the organization in terms of our product development capability; a software capability, which no other EMS business has; and on top of this, our ability to execute the projects like this.

I think these are the strengths going forward, which is going to come. And we all know that this comes with a better margin than the standard EMS product. The company, when it's going to migrate from a service provider to a product company, you know the benefits of this. When we are going to be in a B2C, our brand is going to get strengthened. The people are going to look for our brand. And as I said, it's going to have a lot of strategic advantage.

Having said that, you can rest assured that we will come back with a quarterly progress on this and see how, last year, yes, every 4 quarters, we have added up the number, almost more than 50% of the revenue that has come. But now that we have created an ecosystem of our ability to install the meters and the location, we will get into it.

And you also know that when we are doing it with the public sector enterprises and doing this, the process is taking a little more time than normally a Tier 1 OEM or other business. But having understood the business, we are pretty confident we are going to come. And like our Executive Vice Chairman said, we'll also be cautious of taking such a huge business of 35 lakhs, 40 lakhs rather than on this model to only just supplying a metering supply and giving it to SPV companies where they will do the installation, erection, and commissioning. Hope that answers your question, but it is a very, very valid question.

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Moderator: Thank you. Next question is from the line of Dhaval Somaiya from Axis Mutual Fund. Please go ahead.

Dhaval Somaiya: I have 2 questions. Firstly, this 35 lakh odd meters is broadly a INR1,400 -odd crores order. So how many meters or if you can give some quantum in terms of how many meters are pending from this order? And secondly, like you highlighted, the smart meter business this year did roughly INR971-odd crores of top line. That implies that still there is another contribution of INR740-odd crores from subsidiaries. What is the breakup of that, if you can help us understand?

N. Muthukumar: Okay. Sir, in terms of the metering, we will take another 2 to 3 months to complete the entire pending order of this, and which is what we are also putting in our calculations...

Ramesh Kunhikannan: A small extension of this order, as per the continuation, it may or may not come, that is another 3.5 lakhs to 4 lakhs.

N. Muthukumar: So that is why we are pretty confident, in 3 quarters from now, we'll be able to finish off this and the new businesses will be in a different model. That is on the metering business.

Ramesh Kunhikannan: And the other subsidiary, which is very prominent is the KEMPL, which is exactly the EMS business only.

N. Muthukumar: And we are continuing the EMS business and there almost, if you see our EMS receivables, the start of the year, we started with INR379 crores. The EMS revenue, I'll just talk about it. The EMS revenue is about INR2,655 crores with INR442 crores in the quarter 1, INR683 crores in quarter 2, INR667 crores in quarter 3, and INR862 crores in quarter 4. We started the year with INR379 crores of receivables, and we ended up the year with

We went up to INR466 crores in the quarter 2 and INR437 crores in the quarter 3, and we brought it down to INR399 crores in the quarter 4, which sees that we have exceeded only by INR20 crores for a revenue growth of about 26%, which means our prudent management of receivables and our shorter lead time.

See, basically, it is about how fast we can manufacture and ship it out of the plant and ensure that it gets into the factory and start consumed by the customer. Out of the INR2,655 crores, for your other question, one is Executive Vice Chairman answered KEMPL. There are 2 foreign entities, which put together on an average about INR300 crores revenue.

Thank you very much for giving us an opportunity to clarify this question. I fully understand your concerns on this, but the business model of the metering business is completely different from the EMS space. While it is putting a stress on to the working capital management, ladies and gentlemen, believe us, it gives us an enormous ability to do the product development launch at the time, not only with the product development, but building our capability in erection and commissioning on these types of projects. And of course, the software, which is going to really help us. Not only for this contract, but beyond this contract, the money is going to come back for a long term for us, till the meter is up and running.

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Moderator: Thank you. Next question is from the line of Jigar Shah from HSBC Mutual Fund. Please go ahead.

Jigar Shah: Sorry to harp on it again and again on smart meter business, but the communication from your side seems to be very off since last 2, 3 quarters on smart meter business and has created a lot of confusion. And if you see, your commentary has been that this year, smart meter business, FY '26 would be INR800 crores, but it has come at almost INR1,000 crores.

And going forward, you will not be taking AMISP business and hence, the receivables, which is current, but not due, spending in other current assets or noncurrent assets, which is around INR250 crores, will come down. So that was not also done. In fact, revenue has increased, receivables have increased. And in FY '27, I would like to know that from AMISP model, how much will be revenue, and incremental other current assets, but not due incremental, what will be the situation there?

N. Muthukumar: Okay. Sir, I just wanted to let you know, while we were at INR800 crores, when we got an opportunity to grab to offset some of the business that there was a delay in automotive business or there is delay in something, we grabbed every opportunity, and that is why we have grown in this. For the next year, while the INR971 crores of sales, what we did this year, in absolute numbers, we may remain same or slightly up or down, that's not a question, but almost 50% of the business will be in the old model and the rest will come in the new model.

As Executive Vice Chairman said, we have to finish some more, and there is a contract that if the government is going to ask for more, we may have to continue to supply. So we

will be

definitely taking prudence. But rest assured, we have worked out the business model for this

year. In next investor call, we will just make sure that we start a presentation with this for first 5 minutes or something and giving these numbers to make sure that we completely keep you all in transparency on how the business is going and how we are going to collect it.

We are also working out on a couple of more strategies to make sure that how the noncurrent assets, what we are talking about, which is setting up for a long time, how we are going to mitigate that risk and at least get 50% immediately. We will get back to you in the days to come on this specific project. But rest assured that this is on top of our agenda and top of our working to make sure that how we can reverse this and then get back towards the positive value for you.

Jigar Shah: Yes. Just one more thing on receivables. You mentioned that subsidiary is INR1,365 crores. So how much will be this long term and short term?

N. Muthukumar: I think you only estimated, about INR250 crores is noncurrent assets. I think that will be there. Rest will be current. I think our ability to now do the installation is going to be the key. There are 4 states where our team is working, and it is taking extremely high time for more than 6 zones. We are working on this. But we have put enough infrastructure and team to do this. And we now got a clearance from them to do -- almost from morning 6 to night 12, I think our team is putting efforts, and we'll speed up this process.

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We have been traditionally a manufacturing company. So we worked on improving the efficiency and productivity in the plant, and we really understand the new model of how it takes time to do the installation at every site location or every house.

Moderator: Thank you. Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: In balance sheet, the intangible asset in FY '25 was INR238 crores. And in FY '26, it is INR536 crores. So what was the INR300 crores increase? What was the key reason for that?

N. Muthukumar: I think if you go back to the 2 quarters before, we did 2 acquisitions. One is in Iskraemeco, and second is August Electronics, which is in Canada and supplying in the EMS space to the big players in the North America. The intangible asset that has been capitalized on these 2 is about INR320 crores, and there was a clear thing on what is the order book and it's based on the current accounting standards, and we did INR320 crores.

For all of your information, even though you've not asked this question now, I think we have committed that how we are going to do the amortization of this, our policy was once in a year. So in the last quarter, we amortized these intangible assets and that has added to our depreciation and amortization to a level of about INR32 crores. That is why the PAT in the last quarter has come down PBT, but we believe that the full year was around 10%. Going forward, I think we'll be doing this amortization on every quarter. This is basically from the order book and other assets that's available from acquisitions of Iskraemeco and August Electronics.

Moderator: Thank you. Next question is from the line of Sameet Sinha from Macquarie. Please go ahead.

Sameet Sinha: So apart from the smart metering business, I think everyone is trying to get their arms around guidance. Mr. Muthukumar, you were on TV talking about this 2x growth. I wanted to get a sense of when do you expect to get to that double the market rate? Is it from starting now? Or is it going to be the third quarter is what you're referring to? And would that include OSAT and PCB as well to get to that sort of double rate? Or is that just the pure EMS business? And then I have a follow-up.

N. Muthukumar: Okay. Sir, in the 2x growth, I think

we have launched 3 products and which is already in production now, SOP started. So we will continue to penetrate into every customer. And when the automotive business is growing at around 30%, share of business is a key driver for this business, and we'll continue to focus on not only introducing the new product, but also expanding our share in the business. And that is why we are confidently telling we are getting into this. The aerospace business is another one where we are substantially growing last year, and we continue to grow in this year. Like Executive Vice Chairman said, railways is another core. So see, as I said in the earlier or to some of you when we were talking, the industry is growing at 6.5% to 7% in India, our market space is growing at around 15% to 16%, and we'll be doubling the growth.

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Being in the Middle East war, even in the last quarter, we have performed much, much better

and our supply chain agility was good. Our strategic stocking has really helped us in this. So we will be doing the 2x growth from the start. When I say 2x growth, it's not the 2x growth of our last quarter comparison, but on the market growth and our growth. I just want to make myself clear. And the market is going to grow at 15%, and we are doubling until we are there at the numbers.

Sameet Sinha: Right. And that

N. Muthukumar: Okay. On OSAT and PCB, I'm sorry, I missed the question. See, OSAT and PCB, ours is a very, very strategic product. We are also evaluating how much of that is going to be consumed internally and how much we are going to give it outside. For all the products that we are making, where we are making it design specific and where we are going to be offering as a solution as a Keynes product, we may be using our own product because of the technological advantage and the competitiveness.

At the same time, we'll continue to focus on the end customer. There is a pipeline of customers that's coming in. And you know the OSAT ecosystems and PCB systems. We are strategizing it out. But at the end of the year, yes, the overall growth from those segments, we can see that either it will expand in bottom line or on the top line, depending on how we strategically use the product, through our own product by expanding the margin or selling it to other customers. It will be a strategic call, and moving forward, it will be an integrated business.

Moderator: Thank you. Next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Sir, just to expand the previous question, if you could talk from a production value perspective, the earlier guidance of INR1,000 crores for OSAT, INR500 crores for PCB. Does that stay intact? Or is there any risk to that number? That's my first question.

Ramesh Kunhikannan: We have not given any guidance like this. This is our first year. I'm sure and certain we will do a good number of PCB of around INR300 crores to INR400 crores, and OSAT of around INR250 crores to INR300 crores.

N. Muthukumar: And how much of that we are going to consume locally, how much of that we are going to sell it outside is a strategy that's being worked out, and we will be communicating to you at an appropriate time to all of you.

Ramesh Kunhikannan: But OSAT business and all, locally, there will be nothing to start with. It will be always in export mode only.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question, and with that we conclude the question and answer session. I'll now hand the conference over to the management for closing comments. Thank you and over to you sir.

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N. Muthukumar: Thank you very much, ladies and gentlemen. I think we appreciate really the opportunity that is given to us to explain about our

initiatives and some of the concerns that you had. We hope that we have answered most of your queries. And if any one of you have any queries, please do reach out to our Investor Relations, and we are here to show you. We also welcome you to visit our plants and see those facilities. Seeing is believing, and I'm sure that -- thanks to every one of you for supporting us in this growth journey. I'm just handing over the phone to our Executive Vice Chairman for any closing comments.

Ramesh Kunhikannan: Thank you very much. I'll be shortly meeting in some conferences. So if there is any clarification, please reach out to us. We will be happy to clarify all points. Thank you.

N. Muthukumar: Thank you very much.

Moderator: Thank you members of the management. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.